Carborundum Universal Ltd. (CARBORUNIV)

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“Carborundum Universal Limited
Q1 FY202 3 Earnings Conference Call ”

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Carborundum Universal Limited
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 Moderator: Ladies and gentlemen, good morning and welcome to post earnings conference call of Carborundum Universal hosted by Spark Capital Advisors India Private Limited. As a reminder, all participant lines will be in the listen -only mode and th ere will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ravi Swaminathan from Spark Capital Advisors India Private Limited . Thank you and over to you Sir!

Ravi Swaminathan : Thanks. A very warm good morning to everyone. O n behalf of Spark Capital, I would li ke to welcome you to the Q1 FY2023 earnings call of Carborundum Universal. We have the management today being represented by Mr. Sridharan Rangarajan – Director - Finance and Strategy , Mr. N. Ananthaseshan – Managing Director , Mr. P. Padmanabhan – CFO, and Mr. G. Chandramouli – Advisor, Investor Relations. I would like to hand over the call to Mr. Ananthaseshan for his initial remarks post which we will open up the floor for Q&A. Over to you Sir!

N. Ananthaseshan : Thank you Ravi. Good morning to all of you. Before we begin , as a practice we will now have Mr. Chandramouli read out our disclaimer and then I will take the call .

G. Chandramouli : Good morning. During this call we may make certain statements, which reflect our outlook for the future , or which coul d be construed as a forward -looking statement. These statements are based on the management current expectations and are associated with uncertainties and risks are more fully detailed in our annual report, which may cause the actual result to differ. Henc e, these statements must be reviewed in conjunction with the risks that the company faces. Thank you .

N. Ananthaseshan : Thank you Mouli. T hank you all for joining us on this call and welcome to the first quarter FY2023 earnings of CUMI . Before highlighting the performance of the period , I hope that you and your family members are safe and healthy. Today we are joined on the call by my colleagues , Mr. Sridharan Rangarajan – Director – Finance and Strategy, Mr. P. Padmanabhan –

CFO, and Mr. Chandramouli –Investor Relations . I will start with providing an overview of the company performance and the commentary on the outlook followed by Padmanabhan who will walk us through the financial performance and Sridharan will take you through the performance of the newly acquired subsidiaries and VAW , Russia.

The quarter started on a volatile note with geopolitical tensions impacting global economy. The current macro environment is more challenging compared to the previous quarters with head winds like inflation, raw mater ials' availability, supply chain disruptions, foreign currency rate fluctuations, higher cost of capital and exp ectations of a global recession. We had sense d and share d some of these during our last call. E conomies ac ross the world including India are fa cing inflationary pressures. Hopefully , as the supply side situation improves , inflation should come down. T his was also highlighted by a recent RBI report that India is today better po

sitioned to
mitigate exter nal risks and global spillover s as compared t o other economies and that is good news.

 Coming to the company' s performance, we are glad to report yet another quarter of robust performance and a reasonable start to FY2023. Our performance ye t again is backed by strong demand of our products/solutions a nd also backed by manufacturing and research capabilities and the timely execution in domestic and overseas markets. For the quarter , our revenues has grown by 60% quarter -on-quarter to Rs.1129 Crores at a consolidated level and by 29% to Rs.600 Crores at a standalone level. The quarterly reve nues a t consolidated and stand alone level has crossed the milestone of Rs.1000 Crores and Rs.600 Crores respectively. The growth was driven b y all three segments. A ll the major overseas subsidiaries have perform ed well on top line and also the newly acqui red subsidi aries have contributed additional sales of Rs.181 Crores during the quarter.

As far as the bottom line performance is concerned , profit after tax and non-controlling interest grew by 10% to Rs.86 Crores agains t Rs.78 Crores in Q1 of previous year. The negative variance s when compare d on a Q-o-Q basis have come from our power generation subsidiary - SEDCO , due to significant increase in gas prices and reported losses from newly acquired subsidiaries, which Sridha ran will cover later. Also , the incremental growth in topline o f our Russian subsidiary did not translate proportionally to bottomline due to the strengthening of the Rouble against all currencies. At the stand alone level , profitability for the quarter rec orded strong grow th across minerals and ceramic s segments and the PAT increase d to Rs.73 Crores from Rs.63 Crores in Q1 of last year ; however, the profit margins were impacted due to cost inflation.

Coming to the demand side, the outlook remains positive, but could be facing supply challenges and cost pressures going forward due to inflation and commodity price increases. The auto sector performed well compared to the previous year, but still below pre -pandemic levels in some segments . The construction linked sector has grown, but margins are likely to be impacted due to increasing input costs; however, led by policy tightening and expectations of a slowdown in global growth , some cool off has been witnessed in the commodity price s since the start of the Russia Ukraine conflict. In the base metals, iron ore has corrected by 49% and aluminium by 37% from their respective peaks and this gives us some relief. The outlook remains positive for other sectors like steel, cement, po wer, glass, carbon black, solid oxi de fuel cells, etc., to whom our company caters. We do have good order back at present and we expect the demand to be robust in coming quarters for all the three business segments; however, maintaining or increasing margins will be a challenge consi dering higher input costs and the uncertainties due to geopolitical tensions, but have to be managed through price hike s and prudent cos t management.

On the health front , the COVID -19 cases in India once again saw an increase in June 2022 after witnessing a decli ne in May; however, the rise was not significant , thanks to th e large -scale vaccination drive. The lesser severity and fewer fatalities has revived con fidence in improving the conditions but the businesses are well prepared with safety protocols and vacci nation with nearly 99% of our workforce having received at least one dose and around 91% with both the doses. In terms of capex , at a consolidated level we spent Rs.56 Crores in the first quarter.

I will now request Mr. Padmanabhan , our CFO to walk us thr ough the financials.

 P. Padmanabhan : Thank you Ananth . Good morning , everyone. L et me summarize t

he financial performance for
the quarter ended June 30, 2022. The consolidated sales for the quarter has increased by 60% to Rs.1129 Crores from Rs.706 Crores in the corresponding period of last year mainly driven by the steady performance across business segments and additional sales of Rs.181 Crores from newly acquired subsidiaries. P rofit after tax and after non-controlling interest for the quarter was at

Rs.79 Crores as compared to Rs.77 Crores in the corresponding period of last year. PAT margin dropped from 10.9% during Q1 of previous year to 7% in the current year on account of the cost increase and the losses at the newly acquired subsidiar ies, which will be covered in detail later. The stand alone sales increased by 29% to Rs.600 Crores from Rs.465 Crores, PAT grew 16% to Rs.73 Crores from Rs.63 Crores. PAT margin decreased from 13.6% to 12.1% during this quarter mainly on ac count of increasing input cost.

Coming to the segmental performance, Abrasives consolidated sales for the quarter increased by 88% to Rs.513 Crores from Rs.273 Crores in the corresponding period of last year. Standalone sale increased by 20% to Rs.269 Crores from Rs.224 Crores in Q1 o f last year. The Russian subsid iary Volzhsky Abrasive s and domestic subsidiary Sterling Abrasive s registered double digit growth. The newly acquired subsidiaries - Rhodius and Awuko added additional sales to the topline. At the consolidated level , the PBIT for the quarter was Rs.18 Crores decreasing from Rs.38 Crores mainly due to the cost push in domestic and overseas subsidiary p erformance. In the electro minerals division , the consolidated sales for the quarter increased by 41% to Rs.406 Crores from Rs.288 Crores in the corresp onding quarter of previous year. Volzhsky Abrasive s, Russia and Foskor Zirconia , South Africa registered significant growth. At standalone level , sales increased to Rs.179 Crores from Rs.134 Crores in Q1 FY2022. The consolidated PBIT of the electro mineral segment for the quarter increased to Rs.59 Crores from Rs.40 Crores in last year. Profitability growth was significant at the stand alone level driven by the volum e growth and higher realization. Russian subsidiary re corded a drop i n profits on account of rupee depreciation.

Ceramics consolidated sales for the quarter grew by 40% on quarter -on-quarter basis from Rs.173 Crores to Rs.243 Crores. The stand alone sales grew by 37% on quarter -on-quarter basis to Rs.193 Crores despite logis tics and cost -related challenges. Subsidi aries in Australia and America also registered significant growth. Consolidated PBIT of the ceramic segments for the quarter increased to Rs.58 Crores from Rs.33 Crores in Q1 of last year , many on account of growth in volume, realization , better product mix, which was further aided by the forex benefit.

On the finance side, there was a working capital debt of Rs.148 Crores in the stand alone books as of quarter end. The total debt on a consolidated basis was at Rs.254 Crores as compared to Rs.212 Crores as of March. The debt equity ratio was at 0.09 for the consolidated as of Q1. On the forex cover , CUMI is typically a net importer in dollar terms and net export er in euro terms . We cover the net exposure a s appropriate and in accordance with the forex policy . On the cash flow front , our strong balance sheet is evidenced by the net cash pos ition and low debt equity ratio. T he net cash available was at Rs.118 Crores. This concludes my update on finance. I now request Mr. Sridharan, our Director - Finance and Strategy to walk us through the performance of the Russian Subsidiary - VAW and the recent ac quired entities.

 Sridharan Rangarajan : Thank you Ananth and Padmanab han. Good morning to all of you. I would walk you through both Russia as well as the rec ent acquisitions and update on them. First of all , let us st art with Russia. I would say the team in Russia has mana ged the business well in a very, very challenging environment complying with all possibl e restrictions impose d on them. We saw that in the local currency , the sales grew by 22% on quarter -on-quarter basis on account o f higher volume and realization , sequentially sales grew by 9% on account of higher volume as well as some realization put together. W e see that the silicon carbide segment also has done very well both in terms of volume as well as in terms of the realization. W e saw that the abrasive business grew double digit . Both the segments achieved higher sales for any quarter so far that is silicon carbide as well as abrasives. Considering the current challenges , particularly the logistics related challenges to sell outside of the Russia due to Russia Ukraine conflict , the business had explored opportunities to sell more with domestic market and increases volume share in Russia from 45% to 55% levels as well as selling more to India and they are able to sell within Europe as well with the small decrease from the ir earlier position complying all the logistics norms that they need to follo w. T here has been no impa ct on the operation s and installed capacity u tilization due to this conflict. A lso, collections are on time . On logistic s front , they have definitely improved far better from the initial stages when we talk to you about three months back . They were able t o develo p logistics routes, which will work properly both to Europe as well as to India.

Coming to the bottomline , the performance of the operational PBIT definitely improved far better , at least by 800 bps and 340 bps in Q1 compared to Q1 last year. H owever, the profit after tax in local currency decreased largely due to the restatement of their receivables and payables in foreign currency to Rouble. This is a big impact. The impact due to forex loss was 372 million Roubles , roughly one can state it is about Rs.37 Crores to Rs.40 Crores of impact. You would note that when this conflict started , it was about 75 to 77 Roubles per dollar and went as high as about 135, then it fell down to 56 and right now it is in the range 60 to 62 . So there is a wide fluctuation as far as the currency movement is concerned and this caused the receivables both in terms of dollar and in euro have to be restated from the ir earlier position of what they booked in March to June and that restatement effect is what we are seei ng. So, as and when this position changes suppose it starts improving in this quarter obviously there will be restatement gain that we will have from the earlier course, so this is a normal I would say unrealized position at this point in time but it could change depending on the quarterly movements that would happen. W e feel the outlook remains very positive in the upcoming quarter. The team in Russia is exploring all possible options in minimizing the cost and optimizing the opportunity. W e expect yearly performance to be in line with the business plan and better than previous years both in terms of the topl ine as well as profit after tax.

Now coming to Rhodius ; just to recap - during the year , CUMI made a significant acquisition of Rhodius Abrasives in Ge rmany at an en terprise value of 55 million euro and to ok control o f the company effective from April 1, 2022. Rhodius manufactures in Germany globally best qu ality cutting and grinding discs . The y lead in product innovation and quality with unique professi onal segment product suite. They have proprietary production pro cess setting industry benchmark. They have a strong legacy of seven decades of successful business serving more than 100

 countries. We took control of the company three months back . We would like to tell you that Rhodius Abrasive s was supported by Rhodius Holding s in t

erms of common financia l and IT
leadership across their various businesses . We choose the common infrastructure for both IT and in electrical and electronic support and resources. These resources will be available until December and CUMI has to create the team and the infrastructure by then. The progress so far in the last three months is very good. We have now CFO for the company recruited and joi ned the company. We have also now an IT head recruited and joined the company. We have appointed a consulting company to work on providing the IT infrastructure. We have engaged recruiting agency to setup a proper team. W e are progressing well in this regard. W e are also happy to share that the Rhodius delivered better than our internal plans and this quarter achieved net sales of €18 million ; we expect the full year sales to be € 70 to €75 million for this year. I would like to recall that w e communicated in our last call that the EBIT margin of Rhodius used to be 7.5% to 8% with high teen return on capital employed. We also said that we expect a drop in margin as well as ROC E. We expect the EBIT margin of 12% to 14% by FY2026. A s far as this quarter is concerned , the sales are better than planned; however, we made a loss of Rs.6.5 Crores, this partially in line with our forecast. Rhodius was impacted by higher costs of input material and logistics costs. Rhodius has implemented a planned price correction but of course the catch -up game is o n and this can only be progressively done. W e expect the full impact of this would be around €3 million. B esides this , as explained earlier we expect additional cost in setting up the leadership team, infrastructure costs as well as the depre ciation of intangibles. Considering all these , we expect the full year would be a break even . Losses in Q2 and Q3 will come down and we expect a profit in Q4.

As far as AWUKO , just to recap - during the year , CUMI acquired main assets of AWUKO Abrasive s from insolvency administrator . The assets included land and building, plant and machinery , fixed assets, lease assets, brand, and trademark, patterns, technical know -how, etc. CUMI paid €8 million and we also paid a settlement cost for the reduction of labor force. AWUKO has got two makers with flat belt and loop drying mach ine with wide width capability. CUMI will gain access to the coated abrasive capacit y in Europe with global distribution base and an experience d process and application engineering team. CUMI is currently working on stabilizing AWUKO's business and expect them to take a couple of years. CUMI expects AWUKO to break even by FY2024. CUMI expects to reach sales of €22 to €25 million by 2026 with high teens return on investment. All the statements what we made last time still hold fine . We are progressing right on target. We have taken ov er the company five months back, w e are in the process of strengthening the local leadership as well as facilitating by providing shared services in the DSR, finance and HR. This will be common to Rhodius and AWUKO. We are re-establishing relationships with suppliers who stopped supplying as the company was earlier in financial problems. Setting up the supply chain is the priority and we are doing that. We expect the supply chain will become normal only in H2. We are also reaching out to the customers and distributors and this process is going well. CUMI's name and Murugappa Group backing helps a lot in this process. W e feel we will be able to set up the full leadership team, re -establish the supply chain and bring back the customers by Q4 of this year. W e feel the process of morale building, re-establishing supply chain and custome r relationship is pro gressing in the right

 direction. We now have a dedicated leader appointed for the integration of AWUKO and Rhodius. This quarter , they achiev

ed €2.7 million sales . We expect the full year sales to be €12
million. W e expect the full year losses to be around Rs. 20 Crores to Rs.25 Crores and Q1 loss is
about Rs.4.8 Crores. As we earlier said that AWUKO will break even by FY2024.
Now I wi ll go to PLUS S. As far as PLUSS , the sales for the quarter was Rs.11 Crores . We expect
the full year sales to be Rs.50 Crores . We expect that they wil l break even at full year level. For
Q1, there was an operational loss of Rs.26 Crores . We feel we need to nurture this company.
CUMI believe s that PCM is a growing technology ; PCM s are thermal storage materials with
versatile applications in the pharma cold chain, refrigeration and food supply chain, medical
devices, buildings and HVAC applications. As communicated earlie r, CUMI would take a year to
present and discuss the future opportunities for PLUSS . So, this is the update from my side as far
as performance of Russian subsidiary and the three recently acquired subsidiaries is concerned .
All of them are on track . As exp ected in terms of our own decision - making process , we feel that
we need to give some time to make sure that we stabilize the ir operations well and then we will
start reaping the benefits. With that , I will conclude my opening remarks and probably we can
open up for question and answer.
Moderator : Thank you very much. We will now begin the question and answer session. Ladies and
gentlemen, we will wait for a moment while the question queue assembles. T he first question is
from the line of Sujit Jain from AS K Investment Managers Private Limited . Please go ahead.
Sujit Jain : Thank you for the opportunity. Just to get the numbers right of these tw o subsidiaries German
subsidiary at the company level if you can give us sense as to what is the volume growth an d the
pricing growth would be or at the division levels?
Sridharan Rangarajan : I think I would say the company level is a bit difficult because of the v aried businesses, let us
drive by segments . Now as far as the CUMI standalone is concerned I think in abrasives , there is
lower volume compared to Q4 of the last year, but higher volume compared to Q1 of the last
year, prices are soft and that is why it starts reflecting it in the PBIT margin . As far as ceramic
goes, there is very strong volume growth and moderate price growth, in EMD both volu me and
price growth very strong. This is I would say a broad t number I would be able to give you.
Sujit Jain : The ceramics and EMD commentary that you gave would be Q -on-Q, right?
Sridharan Rangarajan : Q-on-Q as well as sequential both is doing fine.
Sujit Jain : Right and in terms of the staff costs and the stand alone they are of 60 Crores, so what is that has
led to this increase Q-o-Q?
Sridharan Rangarajan : You are talking about the employee costs is that corre ct?
Sujit Jain : Right.
 Sridharan Rangarajan : So, employee cost both stand alone and consolidated since this question is asked I a m sure there
will be a qu estion relating to consolidated also . The increase in consolidated is largely a function
of the cost in AWUKO, cost in Rhodius and the cost increases in CUMI standalone, all these
three contributes to the employee cost addition and it reflects largely a function of salary
increases in the domestic subsidiary because the Q1 of the last year compared to th e Q1 of this
year, there will be a salary correction that would have happened plus people addition that happen
all through the last year and as far as AWUKO and Rhodius is concerned , it was not there hence
both of the m got added to the consolidated. The o ther big entity is VAW because there also there
is the people addition and the salary corrections. W e feel it is normal and nothing abnormal.
Sujit Jain : The depreciation rate at the consolidated level of Rs.43 Crores per quarter that w

ill continue?
Sridhar an Rangarajan : You are talking depreciation at the quarter level, so these Rs.42 Crores would include a portion
of the depreciation that would come from AWUKO and Rhodius, which has just com e in right,
so hence this is going up I think for you to estimate you can take this as a base fo r you to estimate
the full year.
Sujit Jain : Thank you. I will come back in the queue.
Moderator : Thank you. The next question is from the line of Rahul Gajare from Haitong Securitie s. Please go
ahead.
Rahul Gajare : Thank you gentlemen for very elaborate presentation. I ha ve got two questions, one you briefly
touched upon supply chain constraints during the quarter can you please elaborate on this and
how do you see this impacting your full year performance, that is the first question?
N. Ananthaseshan : The supply chain constraints I would say is largely on the inbound side, so where we ge t our raw
materials from China plus in countries from Europe, so we did have disruptions in materials
coming in from Europe especially on abrasives because many of these are from Scandinavia and
some other countries like France and there the shipment got delayed and also because of their
production disruptions because of these energy limitations also caused a delay in suppliers. On
the outbound we still see some disruption s, but definitely it does better than the previous two
quarters.
Rahul Gajare : My second question is I think you had indicated earlier that South African operation will take a
couple of years to turnaround, so I was pleasantly surprised to see profits, can you discuss what

happened in South African operation please?
Sridharan Rangarajan : The South African operation, I do not think we said two years perhaps it might have been two years back because we introduced quite a few new p roducts, they also change d their business model to get into shorter working capital cycle, they also introduced tilt firm furnace from the ir stationary furnace, these three coupled with few other local changes and the demand side in terms of the availabili ty of the products push the prices as well that resulted in a quick turnaround of
 the company, so for the last four quarters they are consistently performing and delivering profitable resource s.
Rahul Gajare : Sir, thank you very much.
Moderator : Thank you. The next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.
Harshit Patel : Thank yo u very much for the opportunity. Sir, my first question is on VAW, our earlier impression was that there could be some translational gains over there because the Rouble had appreciated significantly over Rupee , so could you explain as to why as to nearly 37 Crores to 50 Crores kind of forex losses we have made, so is it because of translating those receivables in euro, so translating those r eceivables to rouble and then into INR, could you explain a little bit over there?
Sridharan Rangarajan : Yes, I think it is a good question. As we said in the earlier calls also they have almost more than 50% of their business in silicon carbid e getting ex ported out of Russia, they are predominantly invoiced either in euro or in dollars, their receivable in euro and dollar have to be converted into roubles and if you see that the rouble appreciated like for example if I have to get a million dollar and if I have to restate this million dollar let us assume a t 80 dollar in last quarter I am just giving an example only and then it is appreciated let us assume it goes to 50, so that would result into an exchange loss in the r ouble books and that rouble loss wil l now have to be converted back into INR. So hence the same exchange loss will translate back into Indian rupees and that is how it comes.
Harshit Patel : Understood, just a follow up to this, could you say as to what was the

geographical mix of Russia
in the last quarter, how much of the volumes were sold in Russia, Europe, India and the rest of the country?
Sridharan Rangarajan : Around 55% in Russia, 17% in India, the balance is Europe and rest of the world.
Harshit Patel : Understood. Sir, my second quest ion would be on our industrial ceramics portfolio . So could you throw some light on our portfolio in anti-corrosive and composi te, I think you have given quite a lot of flavor in the annual report, so what is the overall addressable market that we are catering to through these categories of products , what would be our revenues at the moment and how fast they can grow?
N. Ananthaseshan : The anti-corrosive product for a portfolio what we have is largely for flooring s and coating s which are used in asset ma nufacture, sulphuric acid or fertilizers or very corrosive chemicals, so these are industrial coatings and as to your question of how fast they can grow we do believe that one as a coating and also as what you call as bricks these are speciality lining and they are project based, today in terms of size the business .
 Sridharan Rangarajan : A small portion the anticorrosive side of it, so there are three components to that -ceramic s
segment, industrial ceramic s, refractory and anticorrosive . These t hree components and industrial ceramics has got wear as well as the higher end of the industrial ceramics application, so this is how the industry has to be looked at and that is how if you look at the annual report we would have covered all the three side s of it.
Harshit Patel : Right, Sir, what would be our broad mix of the sales between these three categor ies, refractory, industrial ceramics, and this anticorrosive and composite?
Sridharan Rangarajan : I would encourage you to look at it together rather th an splitting it because it is a mix that sometimes gives us ability to sail through and then service various industr ies like for example, the same industry is served through all the three different products, if you take a cement, we will serve cement i ndus try by all the three product line s, so we do not distinguish in that way.
Harshit Patel : My question was on the capex plan, I think we have already done around 56 Crores in the first quarter , I think that is likely on the higher side vis-à-vis our own hist orical averaging . We also see the electro mineral sales ramp ing up very fast helped by China plus one, so here what are the product lines that we are expanding, are there any new product line, I think you had previously mentioned about this brown fused a lumin a, so how is that product line doing and what would be our overall capex for the next couple of years that would be my last question?
N. Ananthaseshan : Your observation is right, we have seen that we are spending a little more than what we normally

do, it is also an effect of these spillover s of the Q4, which gets capitalized in Q1. As to your question regarding electro minerals , the product you rightly point ed out is the brown fused alumina, which came in through I would say full c apacities in the late of the second half of last year, so you are seeing the benefit of that, so the synthetic brown fused alumina is running well and that was going to deliver volumes in EMD, so is the case of the white fused alumina, so the capacity incr eases in white fused, in brown fused alumina, which is core products are significantly resulted in the EMD business doing well.

Harshit Patel : Understood Sir. Thank you very much for answering.

Moderator : Thank you. The next question is from the line of Bh avin Vithlani from SBI Mutual Fund. Please go ahead.

Bhavin Vithlani : Thank you for the opportunity. First question is on the stand alone abrasive s division . We see some softness sequentially as well as in the margins which were hovering aro

und 18% in the last seven quarter s we saw 14.5%, so could you just help us with the volumes as well as the margins in fact in the standalone abrasives division?

N. Ananthaseshan : The standalone, if we were to take the three broad segments, we have abrasives, ceramics an d the minerals while the minerals and the ceramics had a good run because both in terms of the volumes and also the margins, the abrasives is the one which has been impacted and this is largely due to a combination of cost push of all the input raw materia ls and we also remember

 that this cost push came in through from Q3 on so significant increase in the case of the input materials, so not all the costs we have been able to pass on because there is always a lag in the abrasives industry, so to putting up t he prices and implementing it in full, so that is largely the reason for this lower margins.

Bhavin Vithlani : Sure, on the volume s front, the softness and what is the kind of growth that we should expect on the abrasive side for the annualized basis?

N. An anthaseshan : If you look at sequential ly, yes there has been a drop in volume that is also due to the fact that we have not been able to get I would estimate about 15 Crores to 20 Crores we have not been able to deliv er more because of non -availability of specific raw materials otherwise the sales would have been better. We do see that there is definitely more positive mood in terms of the consumption so we expect that it would be better and positive around 10%.is wh at we expect.

Bhavin Vithlani : Sure and would the margins come back to that 18% levels as the lag impact is covered?

Sridharan Rangarajan : I do not know where you get the 18% Bhavin because I am just looking standalone, the best in the last eight quarters we delivered is about 16.8%, but I thin k still there is a point that you are making is yes we have come down in the margin we clearly see that I think we will be back, my guess is that at last year full year level we were at 12.2% and we think that we should be get back to that level at the full year level at the end of 2023.

Bhavin Vithlani : Sure, the last question is if you could just help us again with losses which were there in the German subsidiaries and the kind of crisis that we are seeing on the energy prices as well as availability, how do you see the impact of the energy availability and the prices on the operations and what is your plan of action to overcome these difficulties?

Sridharan Rangarajan : I think it is a good question, so first of all we need to split this into two broad areas, AWUKO and Rhodius, I covered both AWUKO, if you really see we took the assets of the AWUKO when it was end of the liquidation for almost two to three years they were reeling under a lot of pressure, supply chain disruptions happened, customers started moving away from them and that is the kind of situation we took over this company and we know that it is going to take time and we said and we communicated that it will take at least two years upto FY2024 to even come to break even, so in that regards I think the losses that we are seeing and I think I said that we will be full year loss could be about 20 Crores to 25 Crores is very much in line with our expectation. Now to the question that you ask how is the gas price playing around, few good things that in our favor is that we have contracts for the full year that this calendar year, so the avai lability of gas is not an issue, cost also in the terms of the current situation we are very well under control, we would like to enter and we are in the process o f entering into contracts for the next year, so we feel that though the headline news paper led gas price cost increase, etc., is one, but in reality that is not going that alarmingly high, but it is definitely on I would say at least minimum three times

higher compared to what we have been looking at, so which means we need to start preparing putting the price back to the customers as well as wor k on the energy saving measures, product mix cha nges and some productivity work, so this is what currently we are looking at, looking

 forward to the next year, not for this year, as I said that we are fine as far as this year is concerned and we have to wait and see how things turn . There are signs of positive things coming along in terms of this conflict, probabl y people will start realizing that cash price also i s not sustainable at this level, it will start coming up, alternate energies will start appearing, so we will have to wait and see, but definitely we are watching this trend . The same goes for the comment for Rhodius, I think they have very well entrenched co ntract with the local suppliers, so we are fine as far as this year is concerned, we are working on contracts for the year to come and we see this across the entire Europe, we see this across the other geographies as well so there is going to be a lot of pressure, so that pressure will start reacting on bringing this cost back and if you really see that 18 months back we all saw the commodity price going up and then now suddenly there is a big drop of c ourse it is not comparable to earlier price, but it is still a huge drop of 40% to 50% drop has happened, so I think we are seized off this particular fact and we are working on that.

Bhavin Vithlani : Sure, I just missed the Rhodius loss number for the qua rter and your e xpectation for the current year?

Sridharan Rangarajan : I said th e expectation for the full year , we will break even and the loss for the quarter I said about 6.5 Crores.

Bhavin Vithlani : Thank you so much for taking my questio ns.

Moderator : Thank you. The next question is from the line of Dikshit Mittal from LIC Mutual Fund . Please go ahead.

Dikshit Mittal : Sir, my question is on Russian acquisition, you have mentioned that you have resumed your exports to Europe , so do you think you can get more market share maybe high er margins in Europe since Europe is suffering from higher gas or power cost?

Sridharan Rangarajan : We have not resumed, we continue to do what we are doing and like there was no impact, I think we will communicate this in Q1 al so, so I think what I would say that the silicon carbide is a very important material and it is needed by all the industry hence they will have to start using this material and we are following whatever is the guideline respective government provides as fa r as the logistics is concerned we ar e doing the same, so I would say the logistics issue s are getting better day -by-day, the Indian Government is also doing quite a lot as far as logistics routes to India . To your question will it create more opportunitie s for Europe I would think definitely yes, but like as I said operationally we are doing the best at this point in time except that the exchange issues are beyond our control that is the challenge we face.

Dikshit Mittal : Because your operations are in Rus sia so I presume that you will be better placed as compared to your European competitors in terms of cost structure, so will that help you increase margins in the medium term?

 Sridharan Rangarajan : I think as far as our position is concerned yes, we are be tter positioned than probably in European counterpart particularly in terms of the e nergy availability and the cost, but I think we want to do the right things for the customer and we will go by the market price, we are not looking for like for example usi ng this opportunity to have a windfall gain, but it depe nds on the demand supply and the price at that point in time.

Dikshit Mittal : But I assume that the prices will automati

cally rise right basically power costs are rising so in a way that should help?

Sridharan Rangarajan : That is right, I think I told in my remark is the combination of what we got is the price and volume and price is playing a big role there.

Dikshit Mittal : Thank you Sir.

Moderator : Thank you. The next question is from the line of Aditya Mongia from Kodak Securities . Please go ahead.

Aditya Mongia : Good morning and thanks for the opportunity. M y first question relates to the three segments and I will put in one, from what I recall a few quarter s back when I asked this question it seems that EMD amongst all the three segments was the best place as per you in terms of growth visibility and ability to pass on cost inflation to the customer, it seems to be the case right now also as per your commentary, we do understand that EMD is the comm oditized or the commodity like business, do you expect this trend of EMD is related to the other two segments sustaining for a longer period of time?

N. Ananthaseshan : The EMD business as I share this in two parts, one is in Russia and other was in India and it was always the Indian part of the business that we were concerned about in t erms of sustained profitability . The last couple of years I have seen EMD grow in volumes and also improve when I say product mix it has picked up products and changed them completely as in the case of the synthetic brown which gives them a very good cost position, so what is happening is that combined with volumes and also a good cost position now. EMD has set itself up for I believ e a sustained profitable growth, so while s ome parts or the bulk of the EMD businesses in what you call a commoditized product, but there is also a large growing portfolio of specialized products,

which would overall improve the margin profile of EMD.
Aditya Mongia : Understood. Thanks for your resp onse. My second question is more clarification somewhere in your opening remarks you suggested that beyond the subsidiaries creating a loss making situation for you there was also a gas price issue and that impacted, if there is a separate loss number that you would want to kind of quantify f or the quarter?
Sridharan Rangarajan : SEDCO the price is set by ONGC every quarter based on the global basket of the price of their source what they source to us, it is an Indian based one, so if you really see $2.9 pe r MMBTU has gone to $6.1 per MMBTU, so that has created a high cost of gas to SEDCO and S EDCO in turn cannot pass on it to its customers so it is a captive unit it serves the group and we always
 price the group companies at what power generation company can charge to it s customer, which is basically is it TANGEDCO or KSEB how they charge the same rate they charge, so in some quarters they get a better profit because of your gas input cost is coming down, in some quarter it has got a loss that is how the whole thing plays, so what you have to see is that had passed on this and it will come in the other side of it that is how it goes through.
Aditya Mongia : Understood and just one more clarification and not a question, when you say that the receivables have been treated and there has been a forex impact where exactly does it get booked inside the segmental EMD numbers?
Sridharan Rangarajan : Yes, it gets booked in segment EMD, correct.
Aditya Mongia : Got, Sir. Those were my question s. Thank you for your response.
Moderator : Thank you. The next question is from the line of Manoj Bahety from Carnelian Asset Management. Please go ahead.
Manoj Bahety : Sir, thanks for taking my question. I have a couple of questions, so my first question is since you mentio ned that portion of impact on margins is due to conversion of exports back to Rouble so just wanted to understand like once we have done the exports and do not we have a hedging like

where we lost our export realization for this kind we have decided not to have looking at like expectations that Rouble will keep on under pressure?
Sridharan Rangarajan : I wish such mechanisms are available in Russia given what they are undergoing.
Manoj Bahety : The second part of my question is that if you can touch a bit on our next generation business vertical especially on the battery side is silicon carbide, if you can touch up on some update on that that will be helpful?
N. Ananthaseshan : As mentioned in the last call these two projects are still on a pilot stage and whil e we have made progress in terms of the high purity silicon carbide both as a raw material and also as potentially single crystal and it would take time to get that into some commercial levels so as of now it is on a pilot and progressing as per our plan .
Manoj Bahety : Sure, thanks for taking my question.
Moderator : Thank you. The next question is from the line of Alok Ranjan from IIFL AMC . Please go ahead.
Alok Ranjan : Good afternoon, Sir. Sir, my first question is broadly on the macro with the way we are listing on the macro side of the things . The global demand we a re likely to continue to see headwind, are you getting any initial signs in any of your segment especially on the electro minerals and abrasives any early indication in terms of the demand coming down or something ?
 N. Ananthaseshan : In the abrasive s segment what we have seen over the last quarter the precision abrasives has stayed strong that is possibly the revival of the auto industry is helping and also the imports of abrasives, the forex i s also leading to higher cost of imports and also supply difficulties from overseas suppliers is also helping, so the position of abrasive s is seeing a stronger demand . In the case of the mass market abrasives , there has been some amount of pressure from t he co nstruction industry side, but I believe that going forward this should ease a bit, while in the case of minerals and the ceramics , the demand continues to be very positive.
Alok Ranjan : Just to add on this one given that China was impacted because of the COVID and there were lockdowns although it was kind of localized, but the way you mentioned that the mass market segment is the one which majo rly goes into the house under construction with this opening of the Chinese manufacturing, how do you see ex China for companies like us, how the volume market share gets impacted or also in terms of the pricing, will you see with the op ening of the China manufacturing will be impacting us negatively or it will be neutral or positive . Can you just comment on this please?
N. Ananthaseshan : It is not surprising that the China has got back or will get back . It is a large production base for materials like ours, having said that their cost position has been impacted because their energy costs have gone up, thei r people costs have gone up and also the raw material costs for them also have gone up, so I am saying that while they would come back the prices at which the imports

from China would come in is not going to be cheap and on top of that the rupee also weak ening, so that is also going to put up t he overall cost of the products, yes, it is not going to be a very lopsided competition as before.

Alok Ranjan : Got it, just one clarification, given that we are witnessing commodity cost coming down except oil most o f the commodities have seen cost correction, will you see el ectro minerals also witnessing price correction or the dynamics are very different there?

N. Ananthaseshan : There will be pressure on price correction because wh en the commodity prices went up commodities like alumina went up obviously we had to put up prices and it would be the reverse going down but at the same time having said that there is also the raw materials what we so

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can also be at a lower prices, so hopefully the margins remains the same.

Alok Ranjan : Got it, Sir. Thank you, that is all from my side.

Moderator : Thank you. The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair : Good afternoon Sir. Sir, just continuation of the previous que stion in terms of the EMD while realizations will go down and also the r aw material prices will go down, will that actually mean an expansion in the margins per se because of mathematic ally as such the margin numbers should go up because absolute profit wi ll remain same?

 N. Ananthaseshan : Mathematically, yes, but while there are demands or there will be a demand from customers to bring down the prices, we also have to see the next because there are already raw materials , which we have bought at higher pric es so to that extent we will have the margins being imparted, so when the prices go down and the future consignments at a lower price then you still have a better margin, so overall I would think that net-net would stay with similar margins.

Bhoomika Nair : The next question is on Rhodius we are projecting something like €70 million kind of a revenue versus what we used to earlier do about €60 million odd, now with Europe entering into slow down or recession, etc., is it a risk to this number which would mea n that what you are projecting break even for the current year could be at risk and if you can just throw some light into we are looking at sustainable margin at about 12% plus by FY2026, how are you looking at the journey from break even from that 7% hist oric margins of the 12%?

Sridharan Rangarajan : Bhoomika, first of all the y export to multi geographies it is just not focused on one geography and also there is a mix of own brand versus the private label brand so coupled with the construction boom that is happening in every place and also the visibility that the private label players give, the team is conf ident of delivering this number, there could be some softness but I think by and large they are very much looking at that like for example this quarter t hey deli vered better than the last year, so it is in line with that . The second question is about what is your path from 7.5% to 12%, the path is coming largely from three broad areas, the volume going up, certain new investment in term s of improving the p roductivity, also introducing few new products what they have started introducing or work in progress in the final stages and the mix change particularly some of the raw mat erial that they have been using, so these are the three broad reason s which will le ad us them to pick up this . I am looking at not just the drop, right now what you are witnessing is not a right comparison because it is a lag between price increase that you would product versus the cost push that you are suffering, so that you need to el iminate and if you put this back they are still in a very healthy of 7.5% to 8%, so from there they will pick about 400 to 450 basis points to these measures and that was kind of originally planned not because of our acquisition that they have planned they have in their own projection. Now there is an offset and on top of that that we talked about six synergy areas in the last call that needs to play out which will be on a larger bases of both India and Europe put together so for that we have not considered any be nefit that would come from that, we need to work on that, we have now identified one leader who would champion this project obviously he will be given a team to support delivering this synergy that we are looking at.

Bhoomika Nair : Sure, so it would be fair to see while this year there is a challenge because of all these aspects in the first year and as expected to be break even in the current year but would it be fair to say

that

next year onwards we should bounce back to that 7% to 7.5% level give n that recently commodi ty prices are kind of easing off?

Sridharan Rangarajan : Yes, absolutely.

Bhoomika Nair : Great, Sir and the next question is on ceramics . We have clearly seen a very stron g performance both on the stand alone and consolidated basis, there is a lot of moving parts out there if you can just kind of elaborate what has hap pened and how sustainable it is, the outlook in terms of the segmental margin s?

N. Ananthaseshan : In the ceramics business largely divided between wear ceramics and engineered ceramics and both of them have a significant export component, on the wear ceramics we do see both through Australia and through America demand for the lined equipment as you call it, we also have projec ts which was delivered in Q1, which was a spillover from Q4 so that also helped. O n the technical ceramics which is Metz cylinders and the ceramics for alternative energy the demand continues to be strong and that is where we would continue to grow.

Bhoomi ka Nair : Sir, these margin s that we have seen in this quarter now would be a more sustainable level as we move ahead on an overall for stand alone and consolidated basis?

Sridharan Rangarajan : Let us look at two compartments, we feel standalone is sustainab le and consolidation that comes from our Australian business and also from America, so there are some orders pile of f which they could ship out this quarter, so there is a higher margin but it is not going to fall of f this time so I would say they would b e better than the last year 's margin on a consolidated basis.

Bhoomika Nair : Sure, thank you Sir and I will come back in the question queue and all the best.

Moderator : Thank you. Ladies and gentlemen due to time constraint that was the la st question for today. I would now like to hand conference over to Mr. Ravi Swaminathan for closing comments.

Ravi Swaminathan : Thanks a lot and thanks everyone for being in the call. I would like to thank the management also. Thank you everyone.

Moderator : Thank you. O n behalf of Spark Capital Advisors India Private Limited that concludes this conference. Thank you for joining us . You may now disconnect your lines.

Call: Oct 2022

"Carborundum Universal Limited
Q2 FY 2 3 Earnings Conference Call "

October 31 , 202 2

MANAGEMENT : MR. SRIDHARAN RANGARAJAN - DIRECTOR - FINANCE AND STRATEGY , CARBORUNDUM UNIVERS AL LIMITED
MR. N. ANANTHASESHAN - MANAGING DIRECTOR , CARBORUNDUM UNIVERSAL LIMITED
MR. P. PADMANABHAN - CFO , CARBORUNDUM UNIVERSAL LIMITED
MR. DENESH KUMAR , -SR. MANAGER -STRATEGIC PLANNING , CARBORUNDUM UNIVERSAL LIMITED

MODERATOR: MS. BHOOMIKA NAIR - DAM CAPITAL

Moderator: Good morning, ladies and gentlemen and welcome to the Q 2 FY'23 Earnings Conference Call of Carborundum Universal Limited hosted by DAM Capital Advisors Private Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Na ir from DAM Capital Advisors Private Limited. Thank you and over to you, ma'am.

Bhoomika Nair: Thanks, Michelle. A warm good morning to everyone. Welcome to the Q2 FY'23 Earnings Call of Carborundum Universal. We have the management today being represented by Mr. Sridharan Rangarajan, Director -Finance and Strategy; Mr. N. Ananthaseshan, Managing Director; Mr. P. Padmanabhan, CFO and Mr. G Chandramouli , Investor Relations.

I'll now hand over the call to Mr. Ananthaseshan for his init ial remarks, post which we will open the floor for Q&A. Over to you, sir.

N. Ananthaseshan: Good morning, everyone. Before we begin, as a practice, we will have not Mr. Chandramouli but Mr. D enesh because Chandramouli is indisposed and Mr. D enesh will be taking his place and he will read out the disclaimer and then I will take the call.

Denesh Kumar : Good morning, everyone. During this call, we may make certain statements, which reflect our outlook for the future, or which could be construed as f orward -looking statements. These statements are based on management's current expectation s and are associated with uncertainties and risks are fully detailed in our Annual Report, which may cause the actual results to differ. Hence, these statements must be reviewed in conjunction with the risks that the company faces. Thank you.

N. Ananthaseshan: Thank you, D enesh. Thank you all once again for joining on this call and a very warm welcome to the second quarter FY'23 Earnings Call of CUMI. I trust that all of you and your family are safe and all of you had a very good Diwali. Today, we are joined on the call by my colleagues, Mr. Sridharan Rangarajan, Director -Finance and Strategy; Mr. Padmanabhan and Mr. D enesh.

I will begin this call by providing an ove rview of the company's performance and a commentary on the outlook. This will be followed by financial performance by our CFO and afterwards Mr. Sridharan will take you through the performance of our major subsidiaries, VAW and newly acquired busines s.

Since the last time we spoke in July, the macroeconomic conditions have changed across all sectors and markets. There has also been change in the level of optimism as businesses and economies around the world or all of them are dealing with all - time h igh inflation. We are seeing geopolitical turmoil, which is causing this energy crisis, an increasing or

rising cost of capital, the For ex rates are fluctuating and there are disruptions on both the demand and supply side and almost every major econo my is also experiencing an economic deceleration and a little bit fear of recession. So it is, in a way heartening to note that despite all these challenges, the company has managed to deliver a double -digit growth year -on-year on topline on a standalone and consolidated level.

Profits, obviously, has been better at a standalone basis, but lower on a consol level on account of losses from the newly acquired subsidiaries and Mr. Sridharan will cover this in detail during his part of the call. Overall, the performance for this quarter is largely a reflection of the diverse nature of our business portfolio. So, with all these uncertainties around , diverse nature has balanced the uncertainties and the
 opportunities across industries and geographies. This r esilience is contributed largely by our diverse product portfolio mix and the market delivery channels which are both customer and distribution and supported by efforts in newer and emerging areas.

For the quarter, our revenues has grown 34% to INR1,117 crore and remained flat sequentially at a consolidated level. At a standalone level, it has grown by 11% quarter -on-quarter and 2% sequentially to INR610 crore. The growth was driven by all the three segments , Electrominerals and the Ceramic segment has shown significant growth quarter -on-quarter, while the growth in Abrasive segments also includes additional sales from the newly acquired subsidiaries.

All major existing overseas subsidiaries have grown significantly compared to Q2 of last year , whereas on a sequential basis, American subsidiary grew in double digits. Subsidiaries in Australia and Russia remained flat, while the South African subsidiary, Foskor Zirconia, de -grew marginally. The growth in top line has been significant on a YTD basis. Cons ol sales grew by 46% to INR2,245 crore and our standalone sales grew by 19% to INR1,211 crore.

Coming to the bottom -line performance , at a consolidated level, profit after tax and non-controlling interest grew sequentially by 13% to INR89 crore against IN R79 crore in Q1 of the current financial year, but de -grew by 9% Q -on-Q. PAT margins improved sequentially from 7% to 8% in Q2 but dropped by 374 points quarter -on-quarter. This was mainly on account of the cost related to the newly acquired subsidiaries, as I said earlier.

At the standalone level, PAT grew 14% to INR72 crore from INR63 crore on a quarter -on-quarter basis but decreased by 2% sequentially due to cost impact on Abrasives segment and the minerals. PAT margins has increased to 11.8% from 11.4% in Q2 FY'22 but dropped by 38 basis points sequentially.

Coming to the bottom -line performance of subsidiaries, the domestic subsidiaries except SEDCO, which is our energy generation subsidiary, did well. The profits of

SEDCO, which is located in Tamil N adu was impacted due to the steep increase in input gas prices for the H1 of FY'23. There is also a hike of 40% in gas prices for H2. Also, due to steep jump in related generation and transmission charges, the losses are expected to widen for SEDCO in H2 F Y'23. The operational losses from PLUSS Advanced Technologies have come down by 37% compared to Q1 FY'23 and the American subsidiary has shown remarkable growth quarter -on-quarter and sequentially on account of increasing demand for Abrasives and Wear C eramics in the end user industries.

The profitability of the Australian subsidiary was lower due to the increase in freight charges and was negative for a subsidiary in Middle East due to the non -availability of materials because of the

logistics challeng es. The profits for VAW in INR terms
have grown in double digits quarter -on-quarter and also sequentially. More details will be covered later in the call by Sridhar. Profits of our subsidiary in South Africa was higher on a quarter -on-quarter basis, but si gnificantly lower sequentially. This was majorly on account of our supplies being disrupted due to the congestion in the South African ports, are caused by their strikes.

Coming to the bottom -line performance , on a YTD basis, PAT at a consolidated level d ecreased by 4% to INR168 crore from INR175 crore during H1 of last year and PAT margins dropped to 7.5% from 11.3% year -on-year. The drop was mainly from the Abrasive segment as commented earlier. On a standalone basis, PAT increased to INR145 crore in H1 from INR126 crore in H1 of last year. Margins dropping by 47 basis points.

Coming to the external environment, we expect that the global growth would decelerate from 6% in calendar year 2021, which was caused by the post -pandemic resurgence to 3.2% in cal endar year 2022. This is mainly because of the tightening
 global financial conditions to fight inflation , sharpest slowdown in China due to extended lockdowns and the spillover effects from the war in Ukraine. We believe India is positioned at a better pl ace than many other economies across the globe.

The auto sector has reached pre -pandemic levels in mo st segments and expected to do better on the back of strong order books and easing supply constraints, especially on the semiconductor front. The construc tion linked sectors are also showing signs of continuous improvement over the pre -pandemic levels and is led by the Cap ex plans announced by the government and many private players. However, we see the inflation which has impacted margins significantly ac ross segments in the last few quarters, hopefully is expected to slow down as we see cooling off in the commodity prices.

We remain cautiously positive on the outlook for sectors like steel, cement, power, glass, carbon black, new energy businesses to whi ch CUMI caters. While we do have a good order book, especially in the Ceramics segment for the coming quarters, we believe that the Abrasives and Minerals are expected to have the demand side challenges. In terms of Cap ex, at a consolidated level, we have spent INR177 crore in the first half of FY'23.

I will now request Mr. Padmanabhan, our CFO, to walk us through the financials.

P. Padmanabhan: Thank you, Ananth. Good morning, everyone. Let me summarize the financial performance for the quarter ended Se ptember 30, 2022. At the company level, consolidated sales for the quarter increased by 34% to INR1,117 crore from INR834 crore in the corresponding quarter of last year, driven by strong performance in Electrominerals and Ceramics segment and of course, t he additional sales of INR 141 crore from newly acquired subsidiaries.

On a YTD basis, the sales has grown 46% to INR2,245 crore from INR1,540 crore in H1 of last year. This includes the additional sales of INR322 crore from new subsidiaries. On a consoli dated basis, profitability for the quarter recorded a strong growth across Minerals and Ceramics segments. Profit after tax and non -controlling interest for the quarter grew by 13% to INR89 crore against INR79 crore in Q1 of the current financial year. How ever, profit after tax and non -controlling interest for the quarter de -grew by 9% compared to Q2 of last year. The profit for the quarter was lower in comparison to Q2 of last year on account of the raw material cost inflation and amortization arising out of the acquisition costs related to the newly acquired subsidiaries in second half of F ’22.

On a YTD

basis, profit after tax and non -controlling interest dropped by 4% from INR175 crore to INR168 crore and PAT margin dropped from 11.3% to 7.5% because of reasons cited above. Coming to the standalone performance, sales increased by 11% to INR610 crore from INR551 crore on a quarter -on-quarter basis and by 2% sequentially. For the quarter, PAT grew by 14% to INR72 crore from INR63 crore on quarter -on-quarter basis and decreased by 2% sequentially and PAT margins have increased to 11.8% from 11.4% quarter -on-quarter but dropped marginally by 38 bps sequentially. On YTD basis, sales grew significantly by 19% to INR1,211 crore from INR1,015 crore, and PAT increased by 15% from INR126 crore to INR145 crore, but the PAT margin dropped from 12.4% to 11.9%. The drop was mainly from the Abrasive segments on account of raw material cost inflation.

Coming to the segmental performance, Abrasives consol idated revenue for the quarter grew by 49% to INR484 crore compared to INR325 crore in Q2 of last year but was lower by 6% sequentially. Standalone Abrasives grew by 3% quarter -on-quarter and sequentially to INR276 crore. The newly acquired subsidiaries, RHODIUS and AWUKO added additional sales of INR128 crore to the top line beside significant growth from the subsidiaries in Russia and America.

On YTD basis, consolidated sales grew by 67% to INR997 crore and for standalone, it grew by 11% to INR545 crore. AWUKO and RHODIUS added additional sales of

INR298 crore during the first half of '23. Profit from the finance cost and tax at consolidated level was lower by 37% at INR28 crore as against INR45 crore in Q2 of last year. However, the profits were better b y 57% on a sequential basis. On YTD basis, consolidated PBIT de -grew by 44% to INR46 crore and for standalone, it de -grew by 11% to INR67 crore. The lower profit is due to the raw material cost impact in standalone and integration costs for the newly acqui red subsidiaries.

Electrominerals segment consolidated revenue for the quarter was at INR410 crore versus INR323 crore in Q2 of last year, resulting in an increase of 27%. Standalone Electrominerals grew by 21% to INR172 crore from INR142 crore on accoun t of higher realizations and volumes in fused Aluminas . Volzhsky Abrasive Works, Russia and Foskor Zirconia, South Africa, also registered significant growth. On YTD basis, consolidated sales grew by 34% to INR816 crore and for standalone, it grew by 27% to INR351 crore. Profit before finance cost and tax at consolidated level was at INR69 crore as against INR48 crore of Q2 last year. Profitability growth was due to strong performance at standalone as well as overseas subsidiaries on account of higher real ization with increasing demand of minerals. Our PBIT remained flat on a sequential basis due to softening in commodity prices globally, which impacted our realization. On YTD basis, consolidated PBIT grew by 46% to INR128 crore and for standalone, it grew significantly by 79% to INR57 crore.

In respect of Ceramics, consolidated revenue for the quarter was higher by 21% at INR254 crore as against INR210 crore in Q2 of last year and sequential growth was at 5%. Standalone Ceramics grew by 22% to INR211 crore on a quarter -on-quarter basis and 9% sequentially on account of strong demand across end user industries and geographies. Subsidiaries in Australia and America also registered significant growth. On YTD basis, consolidated sales grew by 30% to INR497 cror e and for standalone, it grew by 29% to INR404 crore. Profit before finance cost and tax at consolidated level grew by 32% to INR65 crore from INR49 crore on quarter -on-quarter basis and 11% sequentially on account of growth in volume, realization and produ

ct mix. On YTD basis, consolidated PBIT grew by 51% to INR123 crore and for standalone, it grew significantly by 52% to INR99 crore.

On the finance front, there was a debt of INR263 crore in the standalone books and at the consolidated level , it was at I NR382 crore as of 30th September as compared to INR254 crore as of June 2022. The debt equity ratio was at 0.14 for consolidated as of Q2 '23. On the For ex cover, CUMI is typically a net importer in dollar terms and a net exporter in euro terms. We cover the net exposure as appropriate and in accordance with the For ex policy. On the cash flow front, our strong balance sheet is evidenced by net cash flow position and low debt equity ratio. The borrowings, net of cash, was at INR78 crore.

This concludes my update on finance. I'll now request Mr. Sridharan, our Director, Finance and Strategy, to walk us through the performance of the Russian subsidiary, VAW and the recent acquisitions.

Sridharan Rangarajan: Thank you, Ananth, and Padmanabhan. So good morn ing to all of you. Hope you had a good Diwali celebration and getting back to normalcy. You are keen to understand how we have performed in Russia as well as the new acquisitions. So , I'll try to cover all your probable questions that you will have in your mind.

First, I will take Russia. As we earlier commented in the call, the products of Russia are not under any sanction, not as restricted material, neither Volzhsky Abrasives Works as an entity or its Director or any of its employee are under any sancti on. VAW is having timely collections from its customers with no challenge. The logistics arrangements to Europe, India, or other geographies are in compliance with the regulations which are in place. VAW delivered a top line of RUB1.8 billion this quarter compared to RUB2.1 billion in the prior quarter and RUB1.8 billion in a comparable last year Q2.

 They delivered a profit of RUB236 million in this quarter and RUB225 million in the last quarter and RUB270 million in Q2 last year. Ruble were converted at a n average of RUB1 to INR1.32 for this quarter. The same was done in Q1 at INR1.16 and in Q2, it was done at INR1.01. VAW is able to collect all its receivable on due dates or earlier. They continue to be debt free and having enough liquidity. They have als o worked on zero import and they are able to source all their material within Russia.

Capacity utilization is normal and they are able to sell inside Russia higher. The current mix is around 55%, which used to be normally at 45%, has moved to 55%. In terms of the last quarter, we said that they have incurred an exchange loss of INR35 crore because of a sudden change in strengthening of the ruble. This quarter, an exchange gain of INR8 crore. So, that gives you a broad picture of our Russian subsidiary.

Just to sum up, I think we are in quite decent performance in Russia, but we are taking one month at a time and all our leaderships are focused on delivering, maximizing the capacity utilization and making sure that what they invoice is well collected a nd complying with all the regulations. This is how we are doing it in Russia.

I'll move to RHODIUS. Just to recap, CUMI made a significant acquisition of RHODIUS Abrasives in Germany at an enterprise value of EUR55 million and took control of the company effective from April 1, 2022. RHODIUS manufacturers in Germany, global best quality cutting and grinding discs. They lead in product innovation and quality with unique professional segment product suite. They have proprietary production process setting ind ustry benchmark. They have a very strong legacy of 7 decades of successful business, serving more than 100 countries. We took control of

the company 6 months back. We would like to tell you that RHODIUS Abrasives was supported by RHODIUS Holding in terms o f the common financial and IT leadership.

It used the common infrastructure, including IT infrastructure and resources. These resources will be available until December and CUMI will have to recreate the team and the infrastructure by then. The progress is good. I would like to report to you that we now have a CFO of the company recruited and joined the company, which we shared with you in the last call itself. We have also now an IT Head recruited and joined the company. This is also we reported to you earlier. We have appointed a consulting company to work on providing the IT infrastructure. The progress is good and we'll be able to have all the common services part of us by December. We have engaged recruiting agents to set up a proper team. We are pr ogressing well in this regard.

So just to sum up, I think the leadership team is in place, the infrastructure will be in place by December, but there's a provision of infrastructure through the common platform during these 6 months. RHODIUS in Q2 achieved a net sales of EUR14 million. As of H1, they are closer to the plan. We expect the full year sales to be EUR68 million to EUR70 million. I said in the last call, we will be in the range of about EUR70 million to EUR75 million.

I would like to recall what we communicated in our last call . We said that EBIT margin of RHODIUS used to be 7.5% to 8% with a high teens of ROCE. We also said that we would expect a drop in margin as well as ROCE after we take over. We expect to reach EBIT margin of 12% to 14% by F Y'26. These were communicated to you in the last call and we still feel that we are progressing towards these marks that I just shared with you.

As far as this quarter is concerned, we made a loss of INR9.6 crores and in Q1, we made a loss of INR6.5 crores . We expect the full year loss would be about INR19 crore to INR20 crore. Please note that we have INR23 crore of higher costs due to amortization of intangibles, that is EUR2.8 million. We will incur an integration cost
 of about INR11.5 crores , rough ly about EUR1.4 million. This is for setting up the team, infrastructure costs . Some will be written off and some will have a Cap ex program. Beside this, RHODIUS was impacted by higher cost of input material and logistics. They have contracted the en ergy for the full year, which is the calendar year 2022. So far, there is no impact on the energy costs. Within Q4 of FY'2 3, there will be an energy cost increase that is now factored into the number that I just shared, which will have an about EUR1 m illion increase in higher energy costs in Q4.

With all said, we expect that they will be incurring a loss of about INR19 crore to INR20 crore. Predominantly, as I said, one, due to higher amortization costs, that is INR23 crore , integration costs one -time about INR11.5 crore and higher energy cost of about EUR1.1 million. RHODIUS has implemented a planned price correction. Of course, this can only be affected progressively. We expect the full -year impact of this would be about EUR3 million.

In the last ca ll, we said that we expect full year would be a breakeven, but now we are saying that they will be incurring a loss of about INR19 crore to INR20 crore. Losses in Q2 and Q3 will come down and we expect a profit in Q4. We expect FY'24 a profit from where we will progress to PBIT margin of 12% to 14% in FY'26. In addition to the current quarter, the expectation of energy price increase, which we now have clarity, we feel that there will be an increase in energy price in FY'24 to the extent of about EUR4 milli on to EUR5 million. We

would plan a price
increase and expect a softening of raw material and freight costs. We would work on offsetting the energy price and when I communicat e now that FY'24 a profit, this considers energy price increase as well as t he price correction that will affect, as well as the softening of the raw material and freight cost.

I will move to AWUKO. Probably, I will just sum up RHODIUS for a second. I think RHODIUS is doing well. Their product demand is in shape, capacity utiliza tion is well under control. There are challenges in terms of the energy price increase, which we need to face. Obviously, there is also a recessionary feeling that has been set. But I think the demand for the products which are sold in many geographies are well in control and we have to take it one quarter at a time.

AWUKO, just to recap, during the last year, CUMI acquired the main assets of

AWUKO Abrasives from the Insolvency administrator. The assets included land, building, plant, machinery, fixed asse ts, leased assets, brands and trademarks, patents, technical know -how and other intangible assets, excluding cash and receivables. CUMI paid about EUR8 million. AWUKO is a 120 -year-old leading brand in coated abrasives. AWUKO is a market leader in leather and wood applications with strong presence in all these areas.

AWUKO exports 70% of its products predominantly in Europe and America . AWUKO has got 2 makers. With wide -width capability, CUMI will gain access to the coated abrasive capacity in Europe with a global distribution base and an experienced process and application engineering team. CUMI is currently working on stabilizing AWUKO's business and expect that it will take a couple of years. We expect AWUKO to breakeven by FY'24. This is what we commun icated to you on last call. We still have the same view at this point in time and to reach sales of EUR22 million to EUR25 million by '26, with a high -teen returns on the investment.

AWUKO has got a coated capacity of 10 million square meters on a single -shift basis. CUMI's coated capacity will double with this acquisition, and CUMI will work on global coated strategy, optimizing product portfolio, geography and application need and cost positions. We have taken over the company 8 months back. We are in t he process of strengthening the local leadership. We are reestablishing the relationship with suppliers who stopped supplying us as the company was earlier in financial problems. Setting up the supply chain is our priority. We are doing that. We expect the supply chain will become normal only in H2. We are also reaching out to customers and distributors. This process is going on
 well. CUMI's name and Murugappa Group backing helps us a lot in this process. We feel we'll be able to settle the full leadership team, reestablish the supply chain, bring back customers by Q4 of this year. This was communicated earlier and we still feel no difference to that.

We feel the process of morale building, reestablishing supply chain customer relationship is progressing i n the right direction. We have now onboarded Chief Operating Officer for AWUKO, who is from abrasive industry and has got a substantial experience in this business, which is a positive thing for us. We have now a dedicated leader from CUMI appointed for th e integration of AWUKO and RHODIUS, who would spend at least 2 to 3 weeks in a month from Germany. This quarter, they have achieved EUR2 million in sales.

We expect the full -year sales to be EUR10 million to EUR12 million. We expect the full-year loss to be INR20 crore to INR25 crore, which was again communicated to you earlier. We still feel the same. Q1 loss is INR4.8 crore. Q2 loss is about INR4 crore. AWUKO wi

ll breakeven by FY'24. There is no debt in the company. We will continue to fund the company u ntil it stabilizes.

As far as PLUSS, I think we still feel they are progressing on the right direction. I would allow some more time for them to stabilize and deliver what their full potentials are. So , I think we will share more with you as and when prob ably in a year's time, they will be doing better and we'll share more details to you.

So, I think just to sum up, I feel that the acquisitions are doing fine. We have put in place a reasonable leadership team, both at RHODIUS and AWUKO. We have put a person in charge of the integration project. We feel that this will take time, particularly AWUKO . It's a long haul and we need to work on each of these areas, which is what we expected and I think there's no difference to earlier what we commun icated.

And as far as Russia is concerned, we are still doing fine. Capacity utilization is good. They continue to have a prudent management on the ground. But it's a tough time. I mean every day, there are lot of news, there are lot of changes that's com ing in, geopolitical feed. But what is important to us at this point in time is the products what Russia manufactures is a very important product and I think it is in demand.

Similarly, the RHODIUS products are also in demand because of the technology and innovation support. AWUKO has a good product. We just need to give time to reestablish the whole thing, which would take about a couple of years. We are prepared for that long haul and we have put in leadership in place.

I think I will close my remar ks. But I'm sure you are eager to ask many questions. We'll be glad to answer as much as possible. Thank you.

Moderator: The first question is from the line of Sujit Jain from ASK Investment Management. Please go ahead.

Sujit Jain: In standalone Abrasive s segment, we are clocking margins of close to 12%, 12.5% versus earlier higher margins. When I look at the Grindwell Norton numbers Q1, their margins did not decelerate. Of course, their results are yet to come out for Q2. Both of us are equal size in Ind ia almost. What is causing this margin decline? You have given reasons in Q1. When do you see these margins come back to their normal levels?

N. Ananthaseshan: Okay. I will now answer that question. So , in the case of Abrasives, we do have 2 product segme nts. One, as you know, is a bonded segment and the coated abrasives segment and over the last couple of quarters, we have seen the raw material prices going up significantly. The bonded abrasives is a material, I mean, as a product group, which consumes a lot of grains and approximately 70% of a grinding wheel

 are grain and the cost push there has significantly impacted the overall cost and industry margins.

What happened over the last quarter is that, so while we put up prices over the last 3 quarters to offset these costs push, we also saw that last quarter, the commodity price was coming down and consequently, the grain price was also coming down, which has helped Abrasives pick up the margins. I believe that this trend, what we see over the next couple of quarters will get the model Abrasives back into a much better position.

Having said that, we also had supply chain challenges last quarter before. We had stocked some material, which is obviously at a higher cost. So we have to balance that. In the case of coated abrasives, most of the paper backing has imported and also some of the resins and they are imported from Germany and the cost of those imports have gone up significantly. So while we are putting up prices and then we have seen al so the work which we've done on the efficiencies kicking in

, the rate at which the prices will come down on these raw materials are not so clear. So maybe it will take another quarter or 2. But I believe over the next few quarters, we would see Abrasives m argins back to its normal level of about 14%.

Sujit Jain: Sure. And in terms of AWUKO absolute sales for this quarter, what is the quarterly run rate that you're clocking currently and your estimate of annual revenues, therefore, in AWUKO?

Sridharan Rang arajan: So AWUKO, I think we are running about EUR 1 million. This is the run rate at this point, EUR1 million a month and I think this quarter is lower. We feel that EUR10 million to EUR12 million for this financial is what we are expecting as a full y ear.

Sujit Jain: Yes. Because if I reduce the sales of RHODIUS from the total that you've given in the presser, right, can you grow the amount to only EUR 1.4 million quarterly sales for AWUKO, which you are saying which this revenue run rate will increas e.

Sridharan Rangarajan: That is still correct.

Sujit Jain: Right and there is one item in the cash flow, which is basically exchange gains of INR 24 crore. What is that on account of?

P. Padmanabhan: It is mainly on the fixed deposits we kept in ou r subsidiaries to acquire the new entities.

Sujit Jain: Fixed deposits kept in subsidiary to acquire new entities, and these deposits were in euros probably?

N. Ananthaseshan: Correct.

P. Padmanabhan: And we utilized that for acquiring the companies.

Sujit Jain: Right. And I just want to check with you, CUMI International, what business is it? How is it, the subsidiaries?

Sridharan Rangarajan: So CUMI International is a holding company. So , it has Russia, South Africa, China, Germany, America, all s ubsidiaries, except the Australian subsidiary and the domestic Indian subsidiaries.

Sujit Jain: Yes. And one last question is the increase in working capital, especially inventory and receivables, consol level?

Sridharan Rangarajan: So 2 reasons. One, th ere's a standalone increase as well as the new acquisitions, which are now getting consolidated. So , their inventories and receivables are also getting added. Standalone inventory is higher, largely in abrasives, as well as in

 Electrominerals, largely to c ater to the future requirements and wherever we feel that it's better to lock in, that's what we have done.

Moderator: We have the next question from the line of Vishal Biraia from Max Life Insurance. Please go ahead.

Vishal Biraia: Perfect. Sir, the fir st question pertains to the domestic Abrasives segment, the standard Abrasives segment. Could you help us with the pricing scenario and the competitive dynamics in the market?

Sridharan Rangarajan : Yes. So, I think the question, Vishal, yo u are asking is the Abrasives EBIT margin and then the competitive scenario. Is that correct?

Vishal Biraia: Yes and the pricing and the competitive scenario.

Sridharan Rangarajan : Pricing and competitive scenario. So as far as Abras ives and domestic business is concerned there are 2 major players. Of course, there are few other players who have got niche products segment, et cetera. I think I would say that capability to pass on price is there, but at the same time, bey ond a point, it is difficult to pass on because of the nature of the industry that we serve. So sometimes it comes as well. But in the last year or so when the imports in China were expensive, particularly in terms of the minerals and Abrasive prices went up. So all the competition, as well as we put up the price and it was absorbed in the market. And so, hence, the capability to pass on the price is there, but it depends on, up to your point and beyond whi

ch there could be some, people will start trading o n the lower products and then start managing their expectation or, let's say, performance at that level.

Vishal Biraia: So have we seen increase in imports from China for the second quarter?

Sridharan Rangarajan : So there's a small incr ease, but I think it is not to say that there is a significant change. So we need some more time to see how this whole thing will span out. Like, for example, how China in the new regime how they would approach, all these needs to be looked at and I thi nk people importing are also a bit vary in terms of all these because they understand there could be some quality constraint, there could be some commitment to the meeting the schedule cannot be predicted. So all these are also factored in by the importers , so we need to wait and watch.

Vishal Biraia: Okay. And we've grown by just 3% on a year -on-year basis for Abrasives in India. So I mean, is the demand slightly tapering off? Or would we have lost some market share?

N. Ananthaseshan: What we have done i s in terms of the volumes what we are picking up is the precision abrasives. We are seeing there is a demand pickup. So that is helping us. While also in the coated abrasives, we are seeing better than the Q1 demand. So yes, we believe that there is a volu me pickup, which has happened in both precision and in the mass market segments.

Vishal Biraia: Okay. The other question pertains to VAW. Exports forms what proportion of the revenue currently?

Sridharan Rangarajan : It's about 45%.

Vish al Biraia: And what proportion of this would be going to Europe? Bulk of it?

Sridharan Rangarajan : Yes. A significant portion is going to Europe.

Vishal Biraia: Okay and what is the capacity utilization currently from VAW?

Sridha ran Rangarajan : 90-plus percentage, very high percentages. There's no drop in utilization.

 Vishal Biraia: Okay. And lastly, on RHODIUS, are there any plans for capital expenditures to increase capacity, I mean, in the medium term?

Sridha ran Rangarajan : So, we are continuing whatever is their earlier plans of Cap ex expansion. No, we have not changed any of our plans. PLUSS, we are also looking at various synergies, which we laid out when we acquired between RHODIUS and AWU KO. So we'll continue to progress and including opportunity for us to manufacture something in India and using some of our products being exported through the RHODIUS channel, all these are now being looked at. It is just 6 months old in this venture and I think people are on the ground. We need to build a good working relationship, the chemistry with leadership. Leadership is being set up now. So always we'll start spanning out in the next couple of years.

Moderator: We have the next question from t he line of Deepesh Agarwal from UTI AMC. Please go ahead.

Deepesh Agarwal: Yes. My first question is if I read your FY'22 Annual Report, you have given a vision of increasing your bottom line to 3x by 2025. Does it mean you are looking to actually increas e our consolidated PAT through almost INR1,000 crore by, say, FY'25 -'26. And if so, what will drive it? Because even then your AWUKO and RHODIUS contribution would not be very significant to bottom line.

Sridharan Rangarajan : See, good q uestion. I think if you really look at this vision is a mixture of organic growth as well as somewhat continued inorganic growth that we will pursue. The 2 acquisitions that we are talking currently is the initial year and we will get back to the normalcy by 25% and all these acquisitions when they start performing, right now, they will have a loss because this is an initial year and we have explained some of

these specific extraordinary situations. One, due to the intangibles that we need to write off, plus the synergies that we identified will also play out by then. So if you really look at that, those sell, let's say, for example, last year, we delivered about INR 333 crore, so then we are talking about delivering INR 600 odd crore doubling this by the n. So we will be able to progressively do this through both these acquisitions performing well, domestic business doing well, as well as a few more in the pipeline that we would target and look at it by then. So this is how that will play out.

Deepesh Aga rwal: Okay. Secondly, what would be the impact of the Europe slowdown? Is that factored in our guidance for AWUKO and RHODIUS?

Sridharan Rangarajan : Yes. So we are sharing our guidance for FY'23, which is factoring in whatever is happening as of today and we feel there is a strong demand as far as the products of RHODIUS is concerned and as far as AWUKO is concerned, we are just very, very low in utilization and very low in their products. The last 3 years, kind of the company was goi ng through tough times. So hence, the distributors and dealers that they have been working with have slowly gone out and started sourcing products from others. But now they have started coming back and I think that's the first touch point that we are look ing at. So I think for us, there's a lot of headroom for us to do better. So we need to focus on that at this point in time. So at least for what we are sharing, FY'23, we have considered all these factors when we are sharing with you.

Deepesh Agarwal: Okay and lastly, do you think VAW's performance is sustainable from here on? I understand there are lot of uncertainties there. But in terms of pricing and volume scenario, do you think these kinds of EBIT is sustainable?

Sridharan Rangarajan : I wish I have a crystal ball to answer your question. So look, this is a very, very dynamic scenario. But I think what we are telling is to strength, we need to play on our strength at this point in time. One, the product is in demand. Two, this is t he lowest cost of production for this product still. The company is having a Zero debt. The company has the capability to vary the mix of its product being served, domestic, as well as export and capability to collect money and having liquidity. So
 these are the strengths at this point in time we are playing and we hope good sense prevail in the political arena and so those beyond our control.

Moderator: We have the next question from the line of Bhavin Vithlani from SBI Mutual Fund. Please go ahead .

Bhavin Vithlani: A few questions. One is the growth of standalone abrasives decelerated to 3% from 28% last year, but your comments were on the positive side. So if you could just help us understand what led to deceleration in the growth? That's number one. Number two is the Ceramics segment. You're seeing positive traction, both on the top line and the bottom line front. Could you help us understand what is the sustainable level of growth that we could see over the next 3 years, which is medium term and what are the key drivers of this? That's the number 2 question.

Number 3 is when we look at the consolidated minus standalone, we have seen a significant increase in the depreciation on absolute basis. So what is driving this depreciation? Because the ac quisitions, the cost of it are not as significant. So what is driving this depreciation increase? The last question is on the standalone Electrominerals business, wherein we are seeing a marked improvement in the profitability and EBIT level of 16%, 17% fr om 5%, 8% we used to see historically. So what is driving this? And what is the sust

ainability of this? These are my questions.

Sridharan Rangarajan : I think a lot of good questions and I think we'll take some time to answer you. We'll first take the depreciation part, so the depreciation you are comparing is the right comparison. I think you have seen that the depreciation has gone up significantly compared to a normal run rate. So that's largely coming out of the new acquisitions, whic h are basically RHODIUS and AWUKO. So if you really see, they are significant. While you used the word, they are not big, it's almost EUR 50 million plus acquisition and another one is about EUR8 million plus acquisition. And those depreciations will start kicking in, and that's one of the reasons that in fact, these two alone account for a significant increase and one should look at it, at this point in time, a run rate of about INR45 plus crore at the quarter level. So that's on the depreciation side.

I'll go to the Electromineral, and then we'll come to the Abrasives in a minute and Ceramics also we'll cover. So if you really see the Electromineral, what is driving the Electromineral change is that 2 broad reasons. One is that the strategic move to manufacture synthetic brown fused alumina without depending on bauxite. This resulted in cost competitiveness, increasing capacity, as well as cleaner products. This resulted in a significant volume increase and thereby, the cost leverage. We feel that this portion of this will continue. The advantage will continue to be available to us.

The second reason is that there's a particular demand -supply shortage, purely playing out of the China lockdowns and related issues. So we feel that this could be temporary, but I think people are also wavy I would say that they are a bit shy of importing from China at this point in time. So there could be some, I would say, a mixed benefit. Some will continue. Some will drop. So these are the 2 broad reasons, I would say, fo r the EMD margins to do better, as well as the top line is getting better.

Now coming to the Abrasives portions of it. I think there are 2 sets of questions there. One is on the top line. The other one is on the margin. I think as far as the margin is con cerned, I will take first. We were clocking about 13.8 percentage at the consolidated level. It has come down significantly. It is coming down to 5.8%. Obviously, this is a concern from many of you. So we'd like to put things in perspective at this point.

The biggest driver for an Abrasives margin is standalone first. Standalone, we were clocking about 15% to 16%, and we are coming down at this point in time and on
 shares, large drop is a function of cost push, not being able to pass on fully and tha t's one of the reasons we are able to have a lower standalone margin. So we feel that it would take a year to get back to the normal level of 15% to 16% from the current level of 12% to 13%.

The second composition in the consolidated margin on Abrasives s ide is AWUKO's acquisition. So we explained that they would make a loss of INR20 crore to INR25 crore. We expect them to breakeven in '24, and then start making profit in FY'25. AWUKO will have a 4% share in Abrasives. Then the other significant reason is about RHODIUS acquisition. Q2 achieved net sales of EUR14 million, but their EBIT margins were much lower. Hence, it is affecting our overall consolidated Abrasives margin. We expect them to be back to the level of 12% to 14% by '26, which is what we just shared in the opening remarks.

So in summary, I would say, standalone, we'll get back to 15%, 16% in a year. RHODIUS will be about 12% to 14% by '26. AWUKO will start making profit by FY'26. So we feel that Abrasives margin on a consolidated b

asis from t he current
level of 5.8% would get to 12% to 14% by FY'26 and these are the key components that will take this progressive change that will happen.

The next question is on the Ceramics side, which you laid out. I think we are seeing both Technical Cera mics and Refractories are witnessing strong demand due to the end user industries demand and core sector doing fine, as well as the Solid Oxide Fuel. Ceramics, this is also helping quite a lot in terms of the demand that Ceramics business is witnessing. So in the medium term that you were looking at, we feel that it would continue to do well, both in top line as well as in bottom line. I hope we answered all your questions.

Moderator: We have the next question from the line of Renjith Sivaram from Mahindra Manulife Mutual Fund. Please go ahead.

Renjith Sivaram: Yes. Congrats on good set of numbers given the slowdown. So what we are looking at is that despite good growth in the automobile volumes, the Abrasives are not showing a similar growth. So why is th at? Is that because our other segments apart from has any of the segments have degrown? That will be my first question. And second question is that your other operative expense, which you show in your segmental, that has seen a considerable increase both in standalone and consol. So is there any one -time in that other unallocable expenditure . These will be my 2 questions.

N. Ananthaseshan: Okay. On the Abrasives, yes, we have been seeing the auto industry getting back to pre-pandemic levels and especially you are seeing the CVs and the PVs coming up. So what we supply into those segments are the precision abrasives, where we have seen good growth. So when you look at the Abrasives in totality, it is a combination of what we supply into the automobile segme nt, which is about 25% and that has shown us good growth. The other part of the segment is a, what I would call the mass market segment, which is our infrastructure, woodworking , engineering, which has shown a little muted growth that is also the price -sensitive segment. So when you're looking at the costs, when you put up the prices, there is always a pushback from this segment rather than from a precision segment because those are largely custom -built. So that's possibly the reason for this little lower g rowth.

Renjith Sivaram: Yes, sir and regarding that other unallocable?

P. Padmanabhan: In respect of the other unallocable, it relates to the other liabilities and the assets.

Renjith Sivaram: Yes. So is there any one -time because we see a good jump in this quarter, both in standalone and consol.

 P. Padmanabhan: As compared to the last quarter in the sense of last year, Q2 of last year, we didn't have the RHODIUS and the AWUKO, whereas it is getting reflected in the consol in the current period. The refore, it is happening.

Renjith Sivaram: And in standalone?

P. Padmanabhan: And then standalone, we'll get back to you.

Moderator: We have the next question from the line of Alok Ranjan from IIFL AMC. Please go ahead.

Alok Ranjan: Just one questi on from my side, sir. On the Electrominerals part, if you can help me understand, over the last 5 years, if I have to see the demand and supply, could you help me understand how much of the new demand that has got created from the new segments, like, let's say, 5G or semiconductor and all that? So how much of that has happened? And over the next 5 years, if someone has to think about this business on the Electrominerals part, let's assume that the China comes back, how do you see the demand and supply equat ion will pan out? So if you can elaborate on both the sides.

N. Ananthaseshan: Yes. So, I will con

fine myself to the standalone part of Electrominerals, with silicon carbide part in Russia has largely been steady over the last 5 years and there's alway s been this kind of yo -yo EMD standalone segment. So in the Electrominerals, broadly, what we do have is what we call the regular business, which is your commodity type aluminum oxides, which is brown fused aluminas, the white fused aluminas and still a bout 18 months, the capacity is what we were running at, especially the brown fused alumina was largely dependent on natural raw materials like bauxite, which was going down in quality.

So the amount of energy and infrastructure or capacities that was con sumed to purify the bauxite was much higher and since the last 18 months, we have been able to come up with a process, which not only reduces energy costs, but also significantly increases the output from the same capacities. So that has given us kind o f an edge in terms of building volumes for the Abrasives and the Refractories business. While the Abrasives and Refractories business themselves, in India, I would say, broadly on an average for the raw materials, I would say, a 10% growth is what we saw. But because of our less participation in the brown fused, we were always much lower and hence, what we are seeing now is advantage we are taking out of this new process.

The second is on the white fused alumina, while the market has always, I mean, bee n there, and some of them has been serviced by imports from China, the volumes what we have now today is also a consequent to the shifting of the capacities what we had in South Africa a couple of years ago and investing in supporting infrastructure and in processing, which has helped us since the last couple of quarters. So, these are the structural changes that we have made, both in terms of cost and capacities and hence, Electrominerals business is seeing more stable numbers.

As to your question in t erms of the newer products, whether how will the minerals business look like, there has to be certain amount, a certain part of the business, which will address a higher realization and more technical side of the products or higher performance side. So tha t is the area we have invested in, in terms of pilot plant research and that will continue to grow.

Alok Ranjan: Sir, just one clarification. Since our Volzhsky plant is operating at 90% plus capacity and lot of environmental restrictions are there in ter ms of coming up with a new capacity and this is in relevance to industry as a whole, where Carborundum is a part of that. Do you see that because of the newer opportunity or in terms of the demand that is coming out from the Electrominerals, there can b e increasing mismatch will come on the demand and supply side and the demand will be much higher compared to the supply and leading to continuous tightening of the product supply here?

 N. Ananthaseshan: You're talking about products for the existing appl ications?

Alok Ranjan: I'm saying, sir, since the product, newer demand is coming on the aggregate basis, so traditional demand is there. But on the aggregated basis because the newer demand which is coming for this product.

N. Ananthaseshan: Yes. There will be a pressure on capacity creation, whether it is in Russia or India or elsewhere and all of them will be tied up into making the product in a much cleaner fashion and as I have been mentioning over the last couple of quarters, we have invested in much cleaner technologies in Russia and we are doing the same in India as well. So hopefully, that will help us in putting up capacities going forward.

Moderator: We have the next question from the line of Ravi Swaminathan from Spark Capital.

Please g o ahead.

Ravi Swaminathan: Sir, if you can give a breakup of the Ceramics and Refractories revenues. Across Ceramics, there is regular Wear Ceramics, the Technical Ceramics, the Refractories and the Metallized Cylinders and what kind of growth rate tha t one can expect for all the subcategories, if you can give you a broad thought process?

Sridharan Rangarajan : Ravi, we normally do not share this.

Ravi Swaminathan: Ballpark numbers, sir. Even ballpark numbers.

Sridharan Rangarajan : When I say ballpark, I may as well give you.

Ravi Swaminathan: Got it. At least for metal cylinders, how much is the run rate now and what kind of growth that we can expect in that? Are there any special new applications which are coming up with respect to Metallized Cylinders, if you can give? And also for Solid Oxide Fuel Cells, what is the run rate? How large can it go?

Sridharan Rangarajan : So, I think the existing demand with the respect to application itself is quite strong and we feel that double -digit growth rate is possible and the current run rate can continue.

Ravi Swaminathan: Okay. And the profitability improvements that we are seeing in the Ceramics and Refractories, is it a function of mix or operating le verage or a combination of both?

Sridharan Rangarajan : That's a combination of both. You are right.

Ravi Swaminathan: And with respect to RHODIUS and AWUKO, long -term growth rate, how should we think about it? So basically, will it be lo w single digit, mid -single -digit, high single -digit or even double -digit growth?

Sridharan Rangarajan : I think we shared earlier as well as now also. I think by FY'26, RHODIUS can be about EUR95 million to EUR100 million company and EUR25 million for AWUKO.

Moderator: We move on to the next participant. The question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar: I had just 2 questions. First was on the antidumping duty that government is looking to put on resin bonded thin wheels. So how important is that for us? I mean, what is that segment contributing to us and what is the progress over there? And second question was on the capacities. I mean, are you putting on any new capacities on organic basis? Yes. So those were the 2 questions.

N. Ananthaseshan: Yes. So the antidumping duty on the resin bonded, it's largely focused on the cutting and grinding wheels, which were coming in from China. So it is important to us and to the industry fo r, one, in terms of the market prices for these products have been depressed for quite some time largely because of these very low -cost imports, which

 will help the local industries have a fairer competing ground for these products. Second and more importa nt is that, when the cost goes up, it also hopefully ensure that the quality and the safety, which is built in of these products will further improve. And that is what we are looking at. This segment is one of the fastest - growing segments. And definitely, we will also put in Cap ex to grow in this part of Abrasives.

Mihir Manohar: Sure and sir, if you could quantify what is this particular segment contributing to our revenue to our top line?

N. Ananthaseshan: Today, I would believe that it will be aro und 12%.

Mihir Manohar: Of the overall company level top line?

N. Ananthaseshan: No, of the Abrasives.

Mihir Manohar: Of the Abrasives business. Okay. Yes. Sure and second question was on just the capacity revenue across the 3 divisions. Are we put ting on capacities on organic basis?

N. Ananthaseshan: We continue to do that, whether it is in Abrasives. Last year, we completed our sort of the upgrades in EMD, bo

th in terms of the processing. And we have other investments in line balancing, whether i t is in Abrasives or in Ceramics.

Moderator: Ladies and gentlemen, this would be the last question, which would be from the line of Ashwani Sharma from ICICI Securities Limited. Please go ahead.

Ashwani Sharma: Yes. Sir, I have only one question, basica lly, on the debt. So obviously, we have seen a sharp increase in the debt and thereby, interest cost. I just want to know, is there a further room for a further increase in the debt from here on?

Sridharan Rangarajan : I think the debt is 0 .14 at a consol level and in fact, net of cash is INR70 crore or plus net debt. So it depends on your debt taking appetite. So, there's a lot of room.

Moderator: Thank you. As that was the last question for today, I would now like to hand the conferenc e over to Ms. Bhoomika Nair for closing comments.

Bhoomika Nair: Thank you very much, sir and the entire team for answering all the queries and also all the participants for being on the call. Thank you very much, sir and wish you all the best. Any clo sing remarks from your side, sir?

N. Ananthaseshan: Yes. Thank you all very much for joining us on this call and so what we believe is that our focus would be on getting this integration, these newly acquired subsidiaries going on well. And hopefully, the global trends what we see and the volatility in commodity prices, energy prices, we do expect another challenging quarter going forward. But we continue to focus on our operational efficiencies, the management of the working capital and building our ca pabilities to address the opportunities in the future. Looking forward to seeing you all again in the next quarter.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may no w disconnect your lines.

Call: Feb 2023

“Carborundum Universal Limited
Q3 FY '23 Earnings Conference Call ”
February 02 , 202 3

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MR. DENESH KUMAR – SENIOR MANAGER STRATEG IC
PLANNING – CARBORUNDUM UNIVERSAL LIMITED

MODERATOR : MR. ASHWANI SHARMA – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Carborundum Universal Limited Q3 FY '23 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the co nference over to Mr. Ashw ini Sharma from ICICI Securities. Thank you, and over to you, sir.

Ashwani Sharma: Thank you, Darwin. Good morning, everyone. On behalf of ICICI Securities, I would like to welcome you all for the Q3 FY '23 Earnings Conference Call of Carborundum Universal Limited. We thank the entire management of CUMI for giving us this opportunity.

The management is being represented by Mr. Sridharan Rangarajan, Director, Finance and Strategy; Mr. N. Ananthaseshan, Managing Director; Mr. P. Padma nabhan, Chief Financial Officer; Mr. G. Chandramouli, Advisor, Investor Relations; and Mr. D enesh Kumar, Senior Manager, Strateg ic Planning. We'll start the call with opening remarks on the results and outlook by the management post that we can have the Q& A session.

I would now like to hand over the call to Mr. Ananthaseshan for his opening remarks. Thank you, and over to you, sir.

N. Ananthaseshan: Good morning, all of you. Before we begin, we will have Mr. Chandramouli read out our disclaimer and then I w ill take the call.

G. Chandramouli: Good morning. During this call, we may make certain statements which reflects our outlook for the future or which could be construed as a forward -looking statement. These statements are based on management's current expe ctations and are associated with uncertainties and risks are more fully detailed in our annual report, which may cause the actual results to differ. Hence, these statements must be reviewed in conjunction with the risk that the company faces. Thank you.

N. Ananthaseshan: So thank you, Chandramouli, and thank you all for joining us on this call, and a very warm welcome to our third quarter FY '23 Earnings Call. Before we begin, wishing you all a very Happy New Year. Traditionally, we have our earnings call t he day following the Board meeting. But since yesterday was the budget day, and ceding to the wishes of many people, we have our call scheduled today.

As mentioned earlier, we are joined on this call by my colleagues, Mr. Sridharan Rangarajan, Mr. Padmanab han, Mr. Chandramouli and Mr. D enesh. I will begin this morning by providing an overview of the company performance and a commentary on the outlook, followed by the financial performance by our CFO, Padmanabhan. Afterwards, Mr. Sridharan will take you through the performance of the VAW and the newly acquired subsidiaries. Since our last call,

the macroeconomic environment has largely been unchanged. The fears of recession and slowdown, while has been there, but it's not been as strong as it was anticipated. We also saw that the crude and commodity prices softened during the second half of the second quarter and also in the quarter following that.
While it has benefited our input prices, realizations have also been under pressure. We also saw that the Russian -Ukraine war continued into the third quarter as well. Despite all this, our Russian subsidiary managed the business very well. Overall, during the quarter, we delivered growth year -on-year on top line at standalone and at consolidated levels. Profits have definitely been better on a standalone basis and lower at console level on account of losses , specifically from the newly acquired subsidiaries. We will detail this during the

later part of the call.
The good news is that the profits of the consolidated s ubsidiaries are on an increasing trend since Q4 of FY '22. For the quarter, our revenues have grown by about 32% to INR 1,172 crores. And at a standalone level, it has also grown 6% quarter -on-quarter to INR 634 crores. The growth has been driven by all the 3 segments and the Electro minerals and Ceramic segments have shown significant growth.
On a consolidated basis, the Abrasives segment also includes additional sales from Rhodius and AWUKO. So all major existing overseas subsidiaries have grown signific antly compared to Q3 of last year, except our African subsidiary, Foskor Zirconia. On a sequential basis, we saw the American subsidiary gr ew in double digits, both on the Ceramics and Abrasives segments, and subsidiary in Australia and Russia also showed a little growth.
The growth in top line has been significant on a YTD basis at INR 3,418 crores by about 41%, and the standalone sales has grown to INR 1,845 crores. For the bottom line, at a consolidated level, profit after tax and non -controlling interes t grew sequentially by 23% to INR 109 crores, which is possibly our highest ever . PAT margins have also improved sequentially from 8% to 9.3% and PAT grew 9% to INR 72 crores from INR 67 crores. With respect to t he bottom line performance of the subsidiari es, the domestic subsidiaries, except SEDCO, have performed very well.
The bottom line performance of overseas subsidiaries, especially the American subsidiary, has shown remarkable growth. The profits, however, sequentially has been impacted on account of inflationary pressures and also higher freight costs. The profits for VAW in INR terms have grown significantly and also sequentially. More details will be covered later in the call by Sridhar.
When it comes to bottom line performance on a YTD basis, PAT at consolidated level increased to INR 277 crores from INR 276 crores in FY '22, and PAT margins dropped to 8.1% from 11.4%. And the drop was mainly from the Abrasives segment, as commented earlier, because we did not have the overseas subsidiaries last ye ar. Coming to the external environment, the global growth is expected to decelerate from about 5.9% in calendar year of 2021 to 2.9% in calendar year 2022 and to 1% in 2023. However, we are better positioned in the domestic market.

And also, we see that th e auto sector in India has crossed the pre -pandemic levels in some segments.
The adoption of the EV business, electrification of these vehicles in India has been significant and also provides us additional opportunities. The construction -linked sectors are also showing signs of improvement, and this should augur well for us going i nto the future. What we see is that the outlook, remains cautiously positive for broadly all segments like steel, cement, power, glass, carbon black and the other segments like solid oxide fuels , etcetera, to which CUMI caters.
So in terms of the capex at a consolidated level, we have spent about INR 267 crores in the 9 months of FY '23. May I now request Padmanabhan, our CFO, to walk us through the financials.
P. Padmanabhan: Thank you, Ananth. Good morning, everyone. Let me summarize the financial performance for the quarter ended December 31, 2022. Consolidated sales for the quarter increased by 32% to INR 1,172 crores from INR 891 crores in the corresponding quarter of last year, driven by strong performance by all 3 segments, including additional sales of INR 145 crores from AWUKO and Rhodius. On year -to-date basis, the sales have grown 41% to INR 3,418 crores from INR 2,431 crores in the corresponding period of last year.
On a consolidated basis, profitability for the quarter recorded a strong growth across Minerals and the Ceramic segments. Profit after tax and non -controlling interest for the quarter grew by

23% to INR 109 crores against INR 89 crores in Q2 of the current financial year and grew by 7% compared to Q3 of last year. On a YTD basis, profit after tax and non -controlling interest increased by 20 basis points to INR 27 7 crores from INR 276 crores, and the PAT margin dropped to 8.1% from 11.4% because of the cost i nflation and acquisition costs related to recent acquisitions.

Coming to the standalone performance , Sales increased by 6% to INR 634 crores from INR 596 crores on a quarter -on-quarter basis and by 4% sequentially. For the quarter, PAT grew 9% to INR 72 cr ores from INR 67 crores on a quarter -on-quarter basis and increased 1% sequentially, and PAT margin has increased to 11.4% from 11.2% quarter -on-quarter, but dropped marginally by 36 basis points sequentially. On a YTD basis, sales grew significantly by 14 %, to INR 1,845 crores from INR 1,612 crores. And PAT increased by 13% to INR 217 crores from INR 193 crores. PAT margin dropped by 19 basis points from 11.9 % to 11.8 %. The drop was mainly from the Abrasives segment on account of the raw material cost infl ation. Coming to the segmental performance. Abrasives consolidated revenue for the quarter grew by 50% to INR 513 crores compared to INR 341 crores in Q3 of last year and grew 6% sequentially. Standalone Abrasives was almost flat and grew by 0.5% quarter -on-quarter and sequentially by 2% to INR 282 crores.

The newly acquired subsidi aries , Rhodius and AWUKO, added additional sales of INR 145 crores to the top line besides significant growth from the domestic subsidiary as well as subsidiaries in Russia and A merica. On a YTD basis, consolidated sales grew by 61% to INR

1,510 crores. And for standalone, it grew by 7% to INR 827 crores. AWUKO and Rhodius added additional sales of INR 443 crores during the first 9 months of FY '23.

Profit before finance c ost and tax at the consolidated level was lower by 56% at INR 21 crores as against INR 47 crores in Q3 of last year and by 26% sequential basis. On YTD basis, consolidated PBIT degrew by 48% to INR 67 crores, and for standalone, it degrew by 9% to INR 107 crores. The lower profit is mainly due to the raw material cost impact in standalone and the integration costs for the newly acquired subsidiaries.

In respect of Electro Minerals, the consolidated revenue for the quarter was at INR 412 crores versus INR 361 crores in Q3 of last year, resulting in an increase of 14%. Standalone Electro Minerals was almost flat and grew by 0.5% to INR 173 crores from INR 172 crores in Q2 and de-grew by 2% quarter -on-quarter basis. Our Russian subsidy, Volzhsky, registered significant growth, whereas the South African subsidy, Foskor Zirconia, degrew.

On a year -to-date basis, consolidated sales grew by 26% to INR 1,228 crores and for standalone, it grew by 16% to INR 524 crores. Profit before finance costs and tax at consolidated level was at INR 82 crores. That's against INR 63 crores of Q3 last year and INR 69 crores in Q2 of current financial year. Profitability growth was due to strong performance in the standalone as well as overseas subsidiaries on account of the higher realizatio n with increasing demand of minerals. On a YTD basis, consolidated PBIT grew by 40% to INR 210 crores, and for standalone, it grew significantly by 48% to INR 84 crores. In respect of the Ceramics, the consolidated revenue for the quarter was higher by 24% at INR 264 crores. That's again INR 213 crores in Q3 of last year, and sequential growth was 4%. Standalone Ceramics grew by 23% to INR 219 crores on a quarter -on-quarter basis with 4% sequential growth on account of strong demand from end user industries and geographies.

Subsidiaries in Australia and America also produced a significant growth. On a YTD basis, the consolidated sales grew by 28% to INR 762 crores. And for standalone, it grew by 27%

to INR
623 crores. Profit before finance costs and tax at c onsolidated level grew by 54% to INR 66 crores from INR 43 crores on a quarter -on-quarter basis and grew 3% sequentially on account of growth in volume, realization and product mix. On YTD basis, consolidated PBIT grew by 52% to INR 1 89 crores, and for sta ndalone it grew significantly by 53% to INR 154 crores.

And on the finance front, there was a debt of INR 26 5 crores in the standalone books with a total consolidated debt of INR 384 crores as of December 31, 2022, as compared to INR 382 crores as of Septe mber. The debt -equity ratio was at 0.14 for consolidated as of Q3. On the forex cover, CUMI is typically a net importer in dollar terms and a net exporter in euro terms. We cover the net exposure as appropriate and in accordance with our forex policy.

On the cash flow front, we have a strong balance sheet as is evidenced by net cash position and lower debt -equity ratio. The cash and cash equivalents, including the deposits at net of borrowings, was at INR 30 crores. This concludes my update on finance. I'll now request Mr.

Sridharan, our Director of Finance and Strategy, to walk us through the performance of Russian subsid iary, VAW and the recent acquisitions.
Sridharan Rangarajan: Thank you, Ananth and Padmanabhan. Good morning to all of you. We started the year with a lot of concern on Russia because that's when the Ukraine conflict started. I would like to state here that our local leadership have managed the situation very well and glad to tell that they have done an excellent work. And they have done a good performance. And I think as we shared last time, that the company is not under sanction. The product is not under any restricted category, nor its directors or its employees. The company is in a position to carry on the business with the best effor t both from domestic as well as from international front.
They delivered a top line of RUB 1.95 billion and profit of RUB 402 million. I would say that the rouble got converted at 1.27 for this quarter compared to 1.01 in the same period last year. YTD bas is also, both sales and profit grew by double digits . VAW was able to collect all his dues and it continues to be debt free and keep his liquidity.
Capacity utilization is normal, and they are able to sell more products in Russia. Depending on the mix , they are able to swing this. We expect the yearly performance to be better than the previous year, both in top line and the bottom line. So the message is they are in good st ate. We hope they are able to continue this trajectory. .
Now coming to Rhodius. We ha ve acquired this company, and we are in control of this company for the past 9 months. We tried to state that we put in place a reasonable leadership team in Rhodius. We have a CFO. We have an IT head. We have in -sourced the entire common services that was provided by the holding company earlier. So both accounting IT infrastructures are all in-stores as of December.
So the progress is good, and they will be in a position to manage the department as well. They have recruited people in the respect to organiz ation. So I would say that practically, the organization is in good shape.
Rhodius in Q3 achieved a net sales of EUR 15 million compared to EUR 14 million in Q2. YTD basis, they have done EUR 47 million sales, and they're on plan at this stage. We expect t he full year to be EUR 68 million to EUR 70 million. We expect the full year loss to be about EUR 3.5 million to EUR 4 million.
The reason for the loss are as follows: integration cost of about EUR 1.5 million, goodwill write -off of about EUR 2.8 million. And if you exclude these, there will be a small profit of EUR 600,000. The profitability is lower as they have to absorb material cost push, freight cost increase and a small energy cost increase. Besides t

his, they also need to pay a compensation to
emplo yees as recommended by the government to off -set the inflation. This is paid as of December. So this is a significant cost that they absorb, almost about EUR 0.5 million. The normal profit would have been around EUR 3 million to EUR 3.5 million. We expect FY '24 a profit. And from there on, we will p rogress towards PBIT margin of around 12% to 14% by '27.

So in summary, Rhodius is in good shape. We have done top line in place. There are some unexpected cost push largely coming out of the Ukraine crisis. I think the leadership is in place. We will prog ress from here well towards achieving the profitability.
As far as AWUKO is concerned, I think, again, I'm glad to say that we have the local leadership is in place. Chief Operating Officer is in place. The marketing team is in place. We are working toward s setting up the finance team, organizing them. So that is work -in-progress at this stage. So it took quite a lot of time in bringing team in place. So that's a big challenge to us. We are fortunate to have some of the leadership teams to come who have got industry experience and they are able to add value to this business.
However, I think in the interim, the fixed cost has to be spent, and top line, since it's not coming through, you see a loss in AWUKO. This was expected, and it is in line with our expec tation. This quarter, they achieved 2.2 million sales against 2 million in Q2, and we expect the full year sales will be around 10 million.
I think we also expect the full year loss to be about EUR 4 million, which is after considering the Christmas bonus, which was paid for the first time after several years that the company could not pay. Hence, for better employee motivation, we paid the Christmas bonus this time. Losses are predominantly, as I said, to lower absorption of costs due to lower sales. This is in line with our expectation. We feel by FY '24, AWUKO would break even.
I would say overall, we could end this year with the sales of about INR 4,500 crores to INR 4,600 crores at consolidated level. This would be a growth of 38%. Roughly 50% of the gr owth is from organic, 50% of the growth is through acquisitions. Acquisitions would contribute about INR 600 crores of the growth as a full year.

PBIT margin, we could end up somewhere between INR 525 crores to INR 550 crores with a healthy margin growth i n Ceramics and Electro Minerals business. Abrasives EBIT margin will be lower. This is largely from AWUKO, Rhodius and standalone. We expect the consolidated PBIT margin would be around 5% FY '23.

I know this is a concern. Standalone EBIT margin has shown improvement in Q3. If this trend is continued and improved in FY '24, which we feel we would be able to do that, and losses from AWUKO and Rhodius stop, we expect EBIT margin for Abrasives in FY '24 to be about 9%.

Rhodius is doing fine. Top line is coming through. We faced the cost push for material and logistics costs. So far, the energy cost has not impacted Rhodius as we have contracted the energy costs earlier. We expect energy costs would impact in FY '24. However, material cost is softening. We need to focus on volume, the current trend of traveling in the projected growth trajectory.

There are 6 synergies identified, and we have put in place mechanisms to work through the 6 synergies. I'm glad to report that as far as sourcing opportunity is concerne d, both Rhodius and

AWUKO are strongly working with our Electro Mineral divisions and establish the product, which is the most important phase of the sourcing one. So that has happened. Now they will start sourcing, and they really find this a good arrange ment to work with CUMI.

Rhodius needs to work in both CUMI, and Rhodius needs to work on the synergy as f

ar as Thin

Wheel projects in India is concerned, which is a work in progress. In the year, we expect programs will be in place.

It just concluded union budget plans to spend heavily on capex programs. These augurs well for the Thin Wheel consumption, and we should be working towards that.

AWUKO will take a year to bring it into break -even. It has good potential. Products are of good quality. We are slowl y winning the confidence of the customer back. Supply chain is getting restored. We will start working on the synergy with India once we stabilize AWUKO operation.

I know in the interim, the losses are a concern to all. And to some extent then, we expected this in AWUKO, or and its impact on Rhodius was not anticipated. But the business model is solid, and we are confident that Rhodius will add greater value to CUMI in the long run.

With that, I will conclude the remarks and probably we'll open up for your questions.

Moderator: The first question is from the line of Ravi Swaminathan from Spark Capital.

Ravi Swaminathan: With respect to the Abrasives business, so basically, growth has been continuing to remain muted in the Abrasives sector.

Moderator: Sorry t o interrupt, sir. Request you to please start the question again. There were some audio loss at the beginning.

Ravi Swaminathan: So I just wanted to check with you regarding the muted growth in the Abrasives category. So basically, what is the reason behin d that? Is it that the end markets have been on the slower side or there has been a higher share of imports. If you can give your broad perspective, it would be great.

N. Ananthaseshan: Yes. So the Abrasives market, if you look at it, the segments, what we call the precision segment, has been doing reasonably well. While the last Q1, Q2 and the previous quarter saw a good pickup in precision abrasives, we also saw a little bit of a slowdown in Q3, especially coming from the 2 -wheeler , farm equipment and also the hand tools industry.

In the case of some of the retail products, we've also seen the higher competition from imports at much lower predatory pricing, as I would say, because we also would remember that Q1, Q2 saw lower imports and for various reasons from China. And after the opening up of the COVID restrictions, you have a lot more imports coming in. Obviously, the stocks are coming in as imports.

In addition, there has been some, I would say, slowdown in a few government proje cts in specific markets. Also in addition to that, we had consciously focused on better margin segments, while by kind of weaning away from low margin, high competition -intensive segments in the product groups in the places.

So it's a combination of all th is. But then the good news is that we have been consciously been moving in terms of being making better margins and focusing on growing product groups which are more sustainable in terms of growth and margins that we will see in the quarters to come.

Ravi Swaminathan: And with respect to the Electro Minerals business, basically, the margins were surprisingly on the higher side. So last quarter, you had mentioned that there might be some normalization, but the margins have continued to climb. Can you can tal k about the sustainability of these kind of margins?

N. Ananthaseshan: Well, as you all know, the big chunk of the Electro Minerals business is both in now in Russia and in India. And while the Russian business has been having a good run, they have been ab le to produce and sell and also kind of shift their sales share into the domestic market and in r ouble terms also benefit out of it.

In the domestic market, the volumes have been steady, while they also have been a pressure on the prices. So realizations h ave also pushed down the overall sales, but the volume is still there. Yes. So it's a combination of things. But I would believe

that the overall margins for Electro Minerals would be around the 15%, as we have been mentioning now.

Moderator: We have the next question from the line of Sujit Jain from ASK Investment Managers Limited.

Sujit Jain: Sir, if you can just give the position in terms of inventory data, payable days. And if you can just repeat the debt position.

P. Padmanabhan: As far as Debt is con cerned, the debt -equity ratio was at 0.14 at the consolidated level, and we have the debt of INR 265 crores in standalone books. And at the consolidated level, it is at INR 384 crores. And if you take the cash balances, net of borrowings will be INR 30 crores surplus. This is the position as far as the cash flow is concerned.

Sujit Jain: And Y -o-Y, how is the position is good?

P. Padmanabhan: And on the Y -o-Y one, this is a balance sheet position.

Sujit Jain: What was the December quarter both in standalone and console in the base Q3 last year?

P. Padmanabhan: In December quarter, standalone debt was INR 2 68 crores. And at the consolidated level, it was at INR 3 76 crores.

Sujit Jain: And then coming to your consol inventory days, data days and payable days.

P. Padmanabhan: It comprised of various NTPs and it varies with the geographies. On an average, we can say that it will be around, say, 30 to 35 days overall.

Sujit Jain: And just to understand VAW business better. When r ouble depreciates against European, against euro, because 45% is basically export to European nations, does it benefit? How does the currency play out when r ouble depreciates, how does it work for the company? Because then you have also conve rted eventually into rupees.

Sridharan Rangarajan: So it will benefit the company because, as you rightly observed, the depreciation approval against euro and dollar first would benefit the local balance sheet in local P&L and balance sheet in rouble. And when again, convert this back into Indian rupee, depending on how the fluctuation happens in INR, it will again benefit this. So that is where we see this profitability and top lines are in good stead.

Sujit Jain: And if you can just help me with 9 month s ales and profit numbers of VAW .

Sridharan Rangarajan: What's your question? Could you repeat that?

Sujit Jain: The 9 -month sales profit grew in double digits. The absolute figures for 9 months VAW .

Sridharan Rangarajan: So sales is about INR 750 crores com pared to INR 540 crores of last year.

Sujit Jain: And profit?

Sridharan Rangarajan: Profit is about INR 150 crores compared to INR 100 crores of last year.

Sujit Jain: And you spoke about Rhodius, eventually margins going up to 12% -14% ban d. This is by FY '26, right?

Sridharan Rangarajan: FY '27.

Sujit Jain: FY '27. This is the PBT margin you are talking about, right?

Sridharan Rangarajan: Yes. PBT margin, correct.

Sujit Jain: And in terms of the commentary, probably Rhodius by FY '24 would be PBT -neutr al. AWUKO would do that in FY '25.

Sridharan Rangarajan: No, FY '24, we are expecting AWUKO also to be neutral. But definitely, company -wise, they will have a zero PBT and EBIT could have a small loss there.

Sujit Jain: So for the full year, both entities will turn PBT neutral FY '24, Rhodius and AWUKO?

Sridharan Rangarajan: Rhodius will make a profit EBIT -wise.

Moderator: The next question is from the line of Ankur from HDFC Life.

Ankur Sharma: Just one question again on the standalone Abrasives business, where we've seen this flattening out of top line, both Q -on-Q and Y -o-Y. So if you could just help us understand, I know you did talk about some segments kind of slowing down, and you also maybe were drawing from some of the lower -margin businesses, But, a, if you could talk about overall industry, how is that

doing? And is that still growing in high single digits , volume or pricing, whichever you want to talk about it? And how do you see that in, say, '24? And then how do you see specifically for CUMI that business shaping up on the top line front?
N. Ananthaseshan: Yes. Well, Abrasives, if you look at it overall, while the demand across segments broadly has been positive, the industry had been hit in Q1 and Q2 by significant raw material push. And that has pressurized many of us to put up prices. And we saw that over the last 3 quarters, quarter - on-quarter pricing increases, which has rarely happened in the Abrasives industr y.
Coming to Q2 and second half of Q2, Q3, we also saw the input prices coming down. That also put pressure on industry to go down on prices, and it's always a battle between the distribution channels, end users and industry. So there has been in some segment s like the position where we could hold on to prices, but in some other segments where we can't.
The precision segment is one which is our strength, and that has grown both in the domestic and in the export market as well. And I would believe that going fo rward, there is one segment which will see a significant robust growth, while the retail segment, which is driven largely by the sheets and rolls, the precision segments will see higher competition intensity. But then given the capacity is what we have bui lt and also the products, the inputs we get from Rhodius in terms of the real product portfolio should hold a good stead going forward.
Ankur Sharma: And would there have also been, because you said input prices have come down, so there have also been an e lement of dealer destocking expecting prices to come down, and that's also the reason why maybe growth was slightly slow?
N. Ananthaseshan: Yes, yes.
Ankur Sharma: Sorry, I didn't catch that.
N. Ananthaseshan: No. I think there is also that because there is also the kind of a hope and then there's a pressure on prices also to come down because commodity prices have come down as inputs. So from the market, you also see that pressure.
Moderator: The next question is from the line of Harshit Patel from Equir us Securities.
Harshit Patel: Yes. Sir, India Electro Minerals revenues are now almost 70% to 80% higher vis -à-vis the pre - COVID times. I remember our brown fused plus white fused capacity used to be around 30,000, 35,000 tons pre -COVID. So how much have w e expanded in last 2 years? And what will be the current utilization levels over that?

N. Ananthaseshan: Observation and a good question. We did have, as you said, about 30 -odd thousand tons of capacities pre -COVID. And during the COVID times, we spent eff ort on increasing that capacities, both in the furnacing side and on the processing side. And today overall, the Indian capacities would be in the region of about 60,000 -65,000 tons per year.
So to answer your question going forward, this is one area wher e we would continue to look at ways of increasing the capacities, but this is contingent to getting additional power from the Government of Kerala, and that is one area we are working on.
So there is an opportunity because this is a raw material business a nd which is addressing both the refractories and the Abrasive segments, which feeds into whether it is into the core industries like steel, cement, carbon black, et cetera. So definitely, yes, there is an opportunity to grow in that segment.
Harshit Patel: What would be the capacity utilization number at the moment?
N. Ananthaseshan: Today, I would believe around 80%.
Harshit Patel: Okay. Just a follow to that, we are now doing almost more than 15% EBIT margin in this standalone Electro Minerals at the mom ent, and we have done that for the last 3 quarters now. Do you think it will revert to the historical levels of 8% to 9% when the pri

ces will cool down?
Or our margins are structurally much higher now because of a better scale and a very different product mix. I think you have highlighted the improvements you have done on the brown fused alumina side, the synthetic version that you were doing. So what would be the steady -state margins in this business when the commodity prices will cool down?
N. Ananthasesh an: As I said earlier, the commodity prices going down will auger well on the purchase side. And though the realization will maybe a little bit pressure on realizations, overall contributions will still remain robust. And these changes what we have brought about the EMD business is very structural, I would believe. And the cost coverage is also much better with the volume increase going up. So I don't think we'll go back to the historical levels of 8% to 9%. It will be closer around this 13%, 14% is what we are seeing today.
Harshit Patel: Just a small last question from my side. It has been quite some time that we have commercialized

the SiC -based ceramics portfolio. So could you give some flavour on what kind of revenues we are doing from that product line ? What are the margins that we are earning? Are the margins higher or lower than the current portfolio of industrial set -up. That would be my last.

N. Ananthaseshan: Yes. We kind of commercialize the ceramics, what we call RBSiC ceramic parts, about 1 year, 1.5 years ago. The commercialization has happened. These are parts. They're not tonnage parts. They are very specific to applications, nature of industry. So hence, it is built to customer requirements. So the margins there wo uld be definitely be different from what we have as a bulk ceramic.

Where we would definitely be growing as the SiCs as an application beyond what we see as rare and thermal applications. So that is an opportunity for to grow into in terms of volumes. So different applications, different volume segments, but definitely another profitable segment is possible.

Moderator: The next question is from the line of Aditya Mongia from Kotak Securities.

Aditya Mongia: The first question that I had was probably, just for my understanding, your Russian facility, as you rightly said, has grown quite meaningfully Y -o-Y, whereas I had this notion that technically, Russian facility is driven by silicon carbide capacities that are being chock up block. So if you could give u s a sense of how, let's say, profit numbers have become 1.5x, remains kind of about similar that kind of quantum in this year would be useful for us to appreciate what is happening? And how would the future hold in for this business?

N. Ananthaseshan: Yes, the Russian subsidiary also this. Apart from silicon carbide, we also have what we call the ceramics, this is the high -temperature applications and also the abrasive segments. While all the 3 segments have reasonably grown, what we see is in the silic on carbide space, the demand, at least in this quarter, this quarter for the domestic markets has been significant.

And the product mix we are addressing is largely now in domestic, but also the customers who are there in the Western markets continue to bu y from us. The profits obviously in r ouble terms is better because what we also saw that the power costs and the raw material costs have not increased significantly. So that has also helped.

Aditya Mongia: Understood. The second question that I had was on the Ceramics segment. You've been growing more than 20% for some time now. As you think through kind of continuing to lower this pace for a longer period of time, which are 2, 3 key sub -segments that are going to kind of drive this growth? And should one t hink of these growth numbers moderating down over time or kind of sustaining at these levels?

N. Ananthaseshan: Yes. So the bulk ceramic segments are ware ceramics, the e

ngineered ceramics and also the thermo -ceramics. Now what has happened over time is th ese are the 3 segments which are very design intensive. And what we now do is work with customers not only in terms of providing just the material, but also taking the design services in the fold.

So the ware ceramics segment kind of developing into more a design services installation segment and which is obviously giving us a better share of the wallet of the customer. And similarly, in the thermo segment, focusing on projects and focusing on projects not only in India, but also globally in segments like g lass, cement, ceramics. Carbon black has also helped.

The engineered ceramics segment for the power distribution transmission and also for the new energy businesses are robust and that is also giving strength to this growth. We believe that the growth of a bout 20% what we see is broadly sustainable going forward.

Aditya Mongia Understood. Putting one last question, and this is more kind of kind of mathematical in nature. See, there's this line item called other unallocable expenses, which has been kind of r ising quite sharply and eating into your reported margin numbers. So even the segmented numbers are great, we don't see that in overall numbers. Could you give us a sense of what is driving this line item over the last 2, 3 years and how to think about it as we go forward?

Sridharan Rangarajan: So the consolidated level, you are seeing an unallocated expense of INR 68 crores compared to INR 37 crores. And for that, that's where your question….

Aditya Mongia: So it's jumped up in 2 years, to is a lot more.

Sridharan Rangarajan: Yes. So I think the components largely there are the costs which are generic in nature. So one, the biggest cost is about the dividend tax from Russia, which we cannot absorb it in Cyprus is one component. And there is also a professi onal charge that we incurred in terms of the acquisition cost. And we are also shoring up people in terms of managing these acquisitions,

which we would like to support for a temporary nature.
So those are the costs which are sitting at there. You were loo king at how do I look at it in future.
So there are certain amount of costs which will continue. My guess is that somewhere in the
range of about INR 60 crores - INR 65 crores, one should start looking at that.
Aditya Mongia: Understood. It shouldn't be growing along with sales as much because up to the period, these
are more start -up costs for the acquisitions that you have done.
P. Padmanabhan: Yes. Right.
Moderator: We have the next question from the line of Sanjay Dam from Old Bridge Capital.
Sanjay Dam: Sir, could you confirm…….
N. Ananthaseshan: Sir, You're not audible, sir. There are lot of disturbance in your line.
Sanjay Dam: Am I audible now?
N. Ananthaseshan: Yes.
Sanjay Dam: Sir, in your guidance, sir, you mentioned the EBIT is INR 525 cror es to INR 550 crores. Did I
hear right, at the consol level?
P. Padmanabhan: Yes, INR 525 crores to INR 550 crores, correct.
Sanjay Dam: So basically, again, to correct myself, if I look at our 9 -month numbers, kind of we've done about
380 -- sorry?
P. Pa dmanabhan: 380 Crores?

Sanjay Dam: INR 380 -odd crores, INR 384 crores.
P. Padmanabhan: Yes.
Sanjay Dam: Okay. So we're expecting somewhere around INR 160 -odd crores in the fourth quarter?
P. Padmanabhan: Yes.
Moderator: We have the next question from the line of Sanjaya Satapathy from Ampersand Capital.
Sanjaya Satapathy: Sir, while you have mentioned about the, I mean, your improvement that you will see in your
subsidiaries outside of India. So can you just articulate your views on how all these entit ies will
come together? And how will some kind of a synergistic benefit for

the enterprise?
N. Ananthaseshan: Yes. So the major subsidiaries in the segments of Electro Minerals are in Russia and in South
Africa and the Indian part of the business.
So, the Russian subsidiary is largely focused on the silicon carbide part, whereas the South
African part is on zirconia. And in India, we focus on the fused aluminas, right . So what happens
is for the Indian market, you also have a requirement not only for fused aluminas, but also silicon
carbide, which is currently of significant import. Now what we bring about as a synergy benefit
is that our processing infrastructure avail able in India, in other parts of the world, which we are
leveraging to value add to the raw material that we're bringing in from Russia and then supplying
out of India. That's one level of synergy we're looking at.
So the market gets a full basket of produ cts from one source, and it's a global in nature. In the
case of abrasives, we see through today the presence in India, the presence in America, which is
largely for the precision abrasives. And through the Rhodius and AWUKO, the presence of the
coated and cutting and mining wheels in Germany.
So as a synergy benefit for the Abrasives as a raw material supplier, we are now a global supplier,
not only for the Indian market, but also for the Russian subsidiaries as well. For the German
markets, for the German entities, India is also a market which offers opportunities. And also
through our distribution channels in Russia and other parts of the world, we can distribute both
the AWUKO and the Rhodius range of products in addition to their channels as well.
So br oadly, I would say, raw material linkages, complementary portfolio for the Rhodius and
AWUKO businesses through offering CUMI's products into their markets and offering Indian
market access to the Rhodius and AWUKO range of products and a channel for conve rsion for
the abrasives in Germany and other parts of the U.S. is broadly is what we see as a synergy.
Ceramics, of course, we are mostly customer businesses. So hence, whether we have a customer
position in Russia or in other parts of the world, we use th e local entities to deliver our products.

Sanjaya Satapathy: Understood. And if I can just ask that going forward, will your growth be so much dependent on
acquisitions that have been in last 8 - 10 years or it will be like a lot more your own product
devel opment capability because now that you are present in such a meaningful way in so many
locations?
N. Ananthaseshan: I would say, I mean, it should be both. Because, one, each entity has its own inherent strengths

and for product development and for improve ment.
So for example, the location in Russia brings to us a competitive advantage in terms of raw materials, in terms of energy prices, and choosing to produce volumes in that location where products are energy -intensive or process energy -intensive would b e one way of leveraging that strength and growing. But it does not take away any opportunity in terms of identifying complementary or supplementary, I would say, entities which can add to our portfolio. But it has to make a meaning for each of those segmen ts or even for the newer segment of new emerging businesses like the high purity silicon carbide and others, which are what I would call the advanced materials.
Sanjaya Satapathy: So my point is that will you be looking to do a lot acquisitions in foreseea ble future or you will be more focused on stabilizing the lead and taking the advantage of the synergies which are evident.
N. Ananthaseshan: Yes. Obviously, the focus now would be on getting the Rhodius and AWUKO operations running and turning around and now delivering on the synergy benefits, but also keeping an eye on for acquisitions in other segments as well.
Moderator: We have the next question from Prolin Nandu from

Goldfish Capital.
Prolin Nandu: Sir, I want to start with the suggestion that since we have subsidiaries in lots of countries and lots of subsidiaries, I mean, at least if you can give quarter -on-quarter, I mean, every quarter, if you can release a slide deck which will have top line and EBIT number for each of the subsidiaries, that will make our analysts as we know life better in some time. So that's one suggestion that I wanted to give. You obviously give the consol and the standalone numbers. But subsidiary -wise, if you can give it in the slide deck, that will be very helpful.
Sir, my first question is on the domestic Abrasives business. And you mentioned that in the retail is where you have to pass on the price and you are letting go of some of these segments. Could you help us understand as to in terms of your overall Abrasives domest ic sales , How much is retail? And what part of portfolio are you facing the pricing pressure? Because where I'm coming from, sir, is that during COVID, the Chinese imports were not possible. At that time, most of our customers had experienced the better qu ality of product that we were supplying. And you had also mentioned in the past call that some of that would be sticky. So in that context, how much of that stickiness have we been able to retain despite such price rises in the segment?

N. Ananthaseshan: So if you look at our portfolio, around 30 -odd percent of the product group is what I would call a retail focus, which would largely be the part of business portfolio of sheets and rolls, cutting disks, which goes your carpenters, painters, fabricators, et cetera. So these are the ones which are distributed through the local hardware store, for example, right .
And this can also be imported in bulk. So this definitely is one segment which is facing price pressure, while the segments like in the industrial consumables, as I call, which is, let's say, the ones, the grinding wheels, which go on to mix and machines, which are used in MSMEs and SMEs, and in the precision abrasives, which goes to much higher end customer segments. So they are much more robust.
So the pressures on retail is broadly on this coated abrasives, which is the sheets and rolls, and also on the India segments. And this is one area where we are also strengthening our retail distribution.
Prolin Nandu: And just an additional follow -on on that.
Moderator: Sorry to interrupt. Due to time constraints, we will need to end the question -and-answer sessi on here, sir.
Prolin Nandu: I just have one last question, allow me to go ahead. That would be on M&A, as the previous participant last asked, 10 years, we have made lots of acquisitions. But given now how geopolitically things are shaping up in terms of e nergy prices and energy crisis or whatever you want to call it, how does that change our acquisition strategy going forward as to whatever our learnings based on some of the acquisitions that we have made and also in light of some of the changing geopoliti cs? How has our acquisition strategy changed going forward?
Sridharan Rangarajan: I don't think there is any change. We continue to have an appetite for acquisition largely coming from wherever we need to have a technological gap to be addressed and wherev er we need to have market access, we continue to be focused on that.
And to the extent we can do this acquisition with the conservative balance sheet still maintained, we will continue to focus on it. I don't think we will change from that strategy of what we are looking at in M&A.
The geopolitical tensions keeps coming and going. They all play out sometime to the advantage, sometime there could be a stress. But I think if we have to look at the long run, I think we should continue to have that focus.

Moder ator: Ladies and gentlemen, that was our last question for t

oday. I now hand the conference over to
the management for the closing comments. Over to you, sir.
N. Ananthaseshan: So thank you all so much again for joining on this call. We did hear the announ cement of budget.
I'm sure that there are a lot of positives for the company going forward, and we hope to leverage
on that. And while we expect another challenging quarter, we believe that India and CUMI is

well placed to take advantage of this. And we wi ll continue to focus on our operations, turning -
around strategies, on -ground strategies and the newer mandates and of course, on our innovation
as is our tradition.
So thank you all so much again for joining in, and looking forward to the call the next qua rter.
Moderator: On behalf of ICICI Securities, that concludes the conference call. Thank you for joining us. You
may now disconnect your lines.

Call: May 2023

“Carborundum Universal Limited
Q4 FY '23 Earnings Conference Call ”
May 09, 202 3

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – DIRECTOR OF FINANCE AND STRATEGY – CARBORUNDUM UNIVERSAL LIMITED
MR. N. ANANTHASESHAN – MANAGING DIRECTOR – CARBORUNDUM UNIVERSAL LIMITED
MR. P. PADMANABHAN – CHIEF FINANCIAL OFFICER – CARBORUNDUM UNIVERSAL LIMITED
MR. G. CHANDRAMOULI – ADVIS OR, INVESTOR RELATIONS – CARBORUNDUM UNIVERSAL LIMITED
MR. DENESH KUMAR – SENIOR MANAGER , STRATEGIC PLANNING – CARBORUNDUM UNIVERSAL LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Carborundum Universal Q4 FY '23 Earnings Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should yo u need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors L imited. Thank you, and over to you.

Bhoomika Nair: Yes. Good morning, everyone, and welcome to the Q4 FY '23 Earnings Call of Carborundum Universal Limited. We have the management today being represented by Mr. Sridharan Rangarajan, Director of Finance and Strategy, Mr. N. Ananthaseshan, Managing Director, Mr. P. Padmanabhan, CFO , Mr. G. Chandramouli, Advisor - Investor Relations, and Mr. D enesh Kumar, Senior Manager - Strategic Planning.

I'll now hand over the floor to the management for their opening remark s, post which we'll open up the floor for Q&A. Over to you, sir.

N. Ananthaseshan: Good morning, everyone. Before we begin, as a practice, we will have Mr. Chandramouli readout our disclaimer, and then I will take the call.

G. Chandramouli: Good morning. D uring this call, we may make certain statements which reflect our outlook for the future, or which could be construed as a forward -looking statement. These statements are based on management's current expectations and are associated with uncertainties and risks are more fully detailed in our annual report, which may cause the actual results to differ. Hence, these statements must be reviewed in conjunction with this risk that company faces. Thank you.

N. Ananthaseshan: Yes. T hank you, Mouli, and thank you all again, for joining us on this call. Welcome to our fourth quarter FY '23 earnings call. Today, we are joined on the call by my colleagues, Mr. Sridharan Rangarajan, Director of Finance and Strategy, Mr. Padmanabhan, our CFO, Mr. Chandramouli, Investor R elations, and Mr. D enesh Kumar, Strategic Planning.

I will start by providing an overview of the company performance for the quarter and for the full year, followed by a commentary on the outlook and Mr. Padmanabhan will cover financial performance, after which Mr. Sridharan will take you through the performance of the subsidiaries, especially the Russian one and the newly acquired ones in Germany.

All of us are aware that the year started with the Russia -Ukraine war and its attendant consequences, inflatio n, raw materials availability, supply chain disruptions, currency fluctuations, interest costs, etcetera. Many economies across the world, including India, faced inflationary pressures. Now despite these challenges, the company's performance has been robus t, and it again speaks about its resilience. As Sridharan will share later, the most impacted subsidiary to the face of the reluctance of customers, from Western customers, especially, has been the VAW, and the team there has managed the situation very wel l.

They are focused more on serving the domestic market and increase the share which used to be about 45% to now 58%. So in addition, during the first half of the financial year, we also had some COVID cases, especially in Germany. But thanks to the vaccin ation drives and the COVID protocols, we have full confidence of the workforce and not too much of a production or productivity loss. Towards the second half of the year, we saw a sustained recovery in domestic demand. We also saw government impetus to inf rastructure, export growth, some softening in commodity prices and all of which led to a strong rebound in business perfo

rmance.

Some segments also witnessed a higher share of exports with incremental growth coming in from customers wanting to de -risk thei r supply chains. All 3 businesses also registered a high double -digit growth on top line and in the Abrasives segment, the growth also included additional sales from RHODIUS and AWUKO. The Ceramic business continue to perform better in terms of top line an d margins due to a strong demand of value -added products, better realization, and favourable product mix.

I'm pleased to inform you that in the recent Q4 quarter and for the full year '23, the company has performed well despite the many challenges which I just spoke about. The revenue has grown for the full year by 40% to INR 4,601 crores at a consolidated level and by 13% to INR 2,473 crores at a standalone level. For the year, at a consolidated level, profit after tax and non - controlling interest grew by 24% to INR 414 crores and INR 333 crores, respectively. At the standalone level, the PAT increased by 30% to INR 331 crores from INR 254 crores during the last year. So this was possible by the higher capacity utilization, better product mix, growth in volumes and realization.

PAT margins improved from 11.6% to 13.4% at a standalone level and at a consolidated level, it dropped down from 10.1% to 9%, mainly due to the integration costs and re -establishment of the businesses at AWUKO.

I would have Sridharan describing you in much more detail regarding the overseas subsidiaries. But what I can tell you is that all of them did well except the small ones in Middl e East and China, where we took conscious decision to de -grow our operations there. The sales from the subsidiaries, which we acquired last year, was INR 673 crores compared to INR 29 crores in the last financial year.

So on the other hand, all the domestic subsidiaries have grown significantly except the SEDCO, which is energy generation -company, which was impacted significantly due to the rise in gas prices. The external environment for the year 2022, grew by about 3.5% and is expected to grow at 2.5% and we saw that this was primarily due to the global monetary policies, which were implemented to contain inflation along with geopolitical tensions.

So India performed much better in FY '23 on the back of a sustained recovery in domestic demand and hopefully, the infrastructure push by the government and private players also adding to the momentum. So as we become the world's fifth largest economy, in real terms, the economy is expected to grow at 7% for the year ending March '23 and the fundamentals, we believe, are sound and this outlook gives us a cautiously optimistic position for many of the sectors that we cater to. In terms of capex at a consolidated level, we spent about INR 294 crores during FY '23.

I now request Mr. Padmanabhan, our CFO, to wa lk us through the financials.

P. Padmanabhan: Thank you, Ananth. Good morning, everyone. Let me summarize the financial performance for the quarter and the year ended March '23. At the consolidated level, sales for the quarter increased by 38% to INR 1,183 crores from INR 859 crores in the corresponding quarter of last year, mainly driven by strong performance by all the segments, including the sale of INR 176 crores from AWUKO, RHODIUS, which was INR 10 crores during the Q4 of the last financial year.

For the full year, sales has grown 40% to INR 4,601 crores from INR 3,290 crores in FY '22, which include sales of INR 673 crores from AWUKO, RHODIUS and plus in FY '23 compared to INR29 crores in FY '22. On a consolidated basis, profitability for the quarter recorded a strong growth across Minerals and Ceramic segments. Profit after tax and non -controlling interest for the quarter grew by 26% to INR 137 crores against INR 109 crores in Q3 of the current financial year and grew b

y 141% compared to Q4 of last ye ar.
On a full year basis, profit after tax and non -controlling interest increased by 24% to INR 414 crores from INR 333 crores and the PAT margin dropped 9% from 10.1% because of the cost inflation and the acquisition costs related to the recent acquisitio ns.
Coming to the standalone performance, sales increased by 8% to INR 628 crores from INR 580 crores on a quarter -on-quarter basis and was almost flat sequentially. For the quarter, PAT grew 84% to INR 114 crores from INR 62 crores on a quarter -on-quarter basis, an increase by 58% sequentially and profit margin, and the PAT margin has increased to 18.2% from 10.7% quarter -on-quarter and better sequentially also from 11.4%. On a full year basis, sales grew 13% to INR 2,473 crores from INR 2,192 crores, and PAT increased by 30% to INR 331 crores from INR 254 crores during last year. PAT margins improved from 11.6% to 13.4% year -on-year.
Coming to the segmental performance. Abrasives consolidated revenue for the quarter grew by 53% to INR 525 crores compared t o INR 344 crores in Q4 of last year and grew 2% sequentially. Standalone Abrasives was almost flat sequentially as well as quarter -on-quarter at INR 280 crores. The sales from RHODIUS and AWUKO for the quarter was better by INR 31 crores compared to Q3. Th ere has been significant growth from subsidiaries in Russia and America.
On a full year basis, consolidated sales grew by 59% to INR 2,035 crores and for standalone , it grew by 5% to INR 1,107 crores.
The sales from AWUKO and RHODIUS for the year was INR61 9 crores compared to a mere INR10 crores in FY '22. For the quarter, profit before finance costs and tax at consolidated level was better at INR 38 crores against INR 27 crores in Q4 of last year and INR 21 crores in Q3 of current financial year and at the standalone level, it improved sequentially by 10% to INR 44 crores after some easing on the input cost and was almost flat quarter -on-quarter. On YTD basis, consolidated PBIT de -grew by 33% to INR 105 crores; and for standalone , it de -grew by 7% to INR 151 crores. The lower profit is due to higher input costs and due to integration costs related to RHODIUS and the reestablishment costs relating to AWUKO.

In respect of the Electrominerals division, Electrominerals consolidated revenue for the quarter was at INR 405 crores versus INR 340 crores in Q4 of last year, resulting in an increase of 19%. Standalone Electrominerals grew 6% quarter -on-quarter to INR 178 crores from INR 168 crores in Q4 of last year and grew by 3% sequentially. Russian subsidy, Volzhsky Abrasive Works and the South African subsidiary, Foskor Zirconia, registered significant growth for the quarter -on-quarter. On a full year basis, consolidated sales grew by 25% to INR 1,634 crores and for standalone , it grew 13% to INR 702 crores.
For the quarter, profit before finance costs and tax at consolidated level was at INR 65 crores as against INR 44 crores in Q4 last year and INR 82 crores in Q3 of current financial year and at standalone level, it grew significantly by 236% to INR 14 crores quar ter-on-quarter, and de -grew 46% sequentially after easing in commodity prices impacting realization of our products, low generation from Maniyar hydel power plant, increase in power tariffs from KSEB.
On a full year basis, consolidated PBIT grew by 42% to INR 275 crores and for standalone , it grew significantly by 61% to INR99 crores. The profitability growth was due to strong performance at standalone as well as overseas subsidiaries on account of higher realization with increasing demand of minerals.
In respect of the Ceramics, the consolidated revenue for the quarter were higher 31 percentage at INR 265 crores as against INR 202 crores in Q4 of last year and sequentially, it was almost flat. St

andalone Ceramics grew by 24% to INR 211 crores on a quarter o n basis on account of strong demand across end user industries and geographies, but de -grew by 4% sequentially. Subsidiary in Australia registered a significant growth. On a full year basis, consolidated sales grew by 29% to INR 1,027 crores, and for stand alone , it grew by 26% to INR 834 crores. Profit before finance costs and tax at the consolidated level grew by 75% to INR 62 crores from INR 35 crores on a quarter -on-quarter basis, and de -grew by 7% sequentially and at standalone level, it grew significan tly by 65% to INR 51 crores quarter -on-quarter. This is majorly on account of growth in volume, realization, and product mix. On a full year basis, consolidated PBIT grew by 57% to INR 251 crores; and for standalone , it grew significantly by 56% to INR 205 crores.
On the finance side, there was a debt of INR 104 crores in the standalone books, and the total debt on a consolidated basis was at INR 230 crores as of March 31, 2023, as compared to INR

384 crores as of December 2022. The debt -to-equity ratio was at 0.08 for consolidated and 0.05 for standalone . On the forex cover CUMI typically a net importer in dollar terms and a net exporter in euro terms. We cover the net exposure as appropriate and i n accordance with the forex policy.

On the cash flow front, our strong balance sheet is evidenced by the net cash flow position and the low debt -to-equity ratio. The cash and cash equivalents, including deposits with tenure not exceeding three months, net of borrowings was at a surplus of INR 166 crores.

This concludes my update on finance. I'll now request Mr. Sridharan, our Director of Finance and Strategy, to walk us through the performance of the overseas subsidiaries, mainly covering VAW and the recent acquisitions.

Sridharan Rangarajan: Good afternoon to all. I think it's a pleasure meeting you once again on our earnings call. I would cover quite a few key subsidiaries and also would provide a broad summary.

First, to start with VAW. As you all know th at we started the year in February 2022 with a conflict between Russia and Ukraine and economic sanctions were imposed on large parts of Russian economy, businesses, banks, and individuals. This disturbed the entire world in terms of increasing inflation, higher energy and food prices, geopolitics, uncertainty, supply shocks and many more.

Thankfully, the impact of war was not as much on our Russian subsidiary. The team at VAW managed risk well and took suitable actions to mitigate them. Just to update the products of VAW are not under any sanction, neither Volzhsky Abrasive Works as an entity nor its directors or its employees are under any sanctions. VAW is having a timely collection from its customers with no challenge. Suitable logistics arrangements to Europe, India, and other geographies, complying with all regulations were made. There has been no impact on the operation and the installed capacities are being utilized at the same level as it was before the war.

On a full year basis FY '23, we did about RUB 8.1 billion compared to RUB 7.3 billion last year and the profit after tax was about RUB 1.2 billion compared to last year at RUB1.1 billion. Both top line and the PAT grew in double digits. These were converted in FY '22 at an average rate of RUB 1 is equal to INR 0.97. This resulted in a sale of INR704 crores of top line and PAT of INR 106 crores in FY '22. In FY '23, these were converted at an average rate of RUB1 to INR 1.23. This resulted in a sale of INR 990 crores and a PAT of INR 152 crores. The y continue to be debt free and having enough liquidity to manage their business as well. The volume share in Russia, which was normally around 45%, moved up to 58%.

The overall performance of VAW in FY '23 was very good. The outlook remains posit

ive as
demands are on increasing trend, but there will be pressure on maintaining realization at current levels, considering softening of the commodity price globally. The team in Russia will continue to explore all possible options to maximize opportunities. Howeve r, we are cautiously optimistic, and we plan the next year accordingly.

Now coming to RHODIUS, we acquired RHODIUS and in control of the company since April '22. We have put in place a leadership team. We have also in -sourced accounting, human resources, and IT services, which was provided by the erstwhile holding company. So I would say that practically, the organization is in good shape.

RHODIUS in Q4 achieved a net sale of EUR 17 million compared to EUR 15 million in Q3. On a full year basis, we have told earlier that they will be doing around EUR 68 million to EUR 70 million. They managed to achieve 95% of the plant and did about EUR 65 million. Russia - Ukraine conflict did have a lot of impact on the RHODIUS operation. There were shortages in producti on volume also delayed deliveries back of transportation capacities and energy costs going up.

Coming to the bottom line, the performance, we expected the full year loss to be about EUR 3.5 million to EUR 4 million as commented during our last earnings call. We ended up at a loss of

EUR 3.7 million. On an operational side, the business was impacted due to material cost push, freight cost increase and energy cost increase in Q4. Energy cost increases only in Q4. We could not fully recover, offset this cost increase by higher realization. This impact was roughly about EUR3 million. There is difference between realization and cost portion. Other than that, the losses include integration costs of EUR 1.5 million . Most of this is a onetime and will drop off. Then intangible and goodwill write -off of about EUR 2.8 million, this will continue for about

seven years to eight years. Major portion of it will be written -off in five years.
Besides this, they also need to pay a compensation to employees as recommended by the government to offset the inflation that was about EUR 0.5 million. So in all, the normal profit would have been EUR 3.8 million to EUR 4 million, which is very much comparable to pre - acquisition profit. So I would say the business is fine. We are doing all efforts to bring leadership team in place. All that is all going fine. Cost push versus price is a challenge, and I think this is where we are taking a lot of effort.
FY '24, RHODIUS is planning an 8% to 9% growth. Major portion of the one -off costs will drop. However, the energy cost increase which we faced only in Q4 FY '23 will be there for full year FY '24. This could be in the range of about EUR 2.2 million to EUR 2.5 million, but our team is tryin g their best to offset these. Level of market is facing a headwind. They're cautious of these facts. They're taking every effort to bring back profit. As we told earlier, we expect FY '24 a small profit after setting off of the intangible depreciation and from there on, we will progress towards PBIT margin up 12% by '27 as communicated in the earlier calls. The plans are in place accordingly.
And in summary, the RHODIUS is in good shape. Leadership team is in place. Top line is coming through. There are som e unexpected cost push largely come out of the Ukraine crisis. We will progress from here well towards achieving the profitability broadly in line with our expectation.
AWUKO, this quarter, they achieved EUR 2.6 million sales against EUR 2.2 million in Q3. The full year was about EUR9.4 million against EUR 10 million that's what we communicated to you earlier. Losses at full year, it was EUR 3.7 million against EUR 4 million that we communicated to you earlier. Given the fact it is taking time to re -establi sh the business, we feel in FY '24, the l

oss could come down to EUR 2 million to EUR 2.5 million. We will be break -
even in FY '25 only. We earlier said, we will be break -even in '24 that we are revising to FY '25. However, we are taking a lot of effort to accelerate better performance, so hope we do better than what we are communicating to you.
As far as PLUSS, on a full year basis, we crossed INR 50 crores as communicated during our last call. We registered INR 53 crores and we told earlier that PLUSS will break even in FY ' 23 but ended up with a minor loss. The last year focus was on business development and establishing strong customer base. We feel that I think they will make profit in FY '24 and I think they are going str ength -to-strength. We need to give some time to re -establish the whole thing as far as AWUKO and PLUSS is concerned.

So just to summarize, I think we finished FY '23 with INR 4,600 crores -plus top line. We grew at 40% in comparison to FY '22. Roughly, 50% of the growth came from acquisition, the balance came from our existing business. We acquired three companies, RHODIUS, AWUKO and PLUSS. These were funded from internal accruals. At the end of the year, we are having net cash question. RHODIUS is a strong brand with high -end quality product. Our reason for acquisitions are good stead, we will be realizing these benefits in the next three years to five years.
In India, we feel we have a good market opportunity for CUMI. We will make use of it. AWUKO will tak e a year more to stabilize. Our Russian team has managed the situation well. Ceramics business have done well at standalone , and they have given an ROCE of 48%. Electrominerals business as standalone have done an exceptional job of improving their top line margin and ROCE. You would note that they are having an ROCE of about 39%.
Our Abrasive business at standalone could have done better. They had a small growth. ROCE is at 41%. Overseas Russia is doing fine. Foskor has done well. They have kind of become d ebt-free at this point in time. Our American operations are doing well. We are moving out of China. Recent acquisitions will take a couple of years to stabilize. Our standalone free cash flow is at 57%, if you exclude some of the capex that we did over and above the depreciation, largely the land acquisition at about INR48 crores. Our free cash flow conversion is about 80%. Obviously, we can do better. Now that we can -- what we can expect for FY '24.
Domestic abrasives will go strong this year. We have put in place the right plans. There will be a moderation in growth of ceramics. Overall, we aim to grow 15% to 18% in domestic business. Standalone , we had an EBIT margin of 18.1%. in FY '23, this should improve in FY '24. At consolidated level, we aim to gro w 12% to 14% and at a consolidated level, we had an EBIT margin of 11.2%. This should improve in FY '24. At consolidated level, the ROCE of Abrasive went down to 7.8%. This should improve in FY '24.
At consolidated level, ROCE of Ceramic business was at 42 %. We should be able to maintain in FY '24. At consolidated level, ROCE of Electrominerals business was at 30%, which should

also be stable around that. So overall, we are cautiously optimistic about FY '24 and we have done our best in '23 and consolidate our position in '24, that's what we will do in this year. And thanks a lot for all your patient hearing. We will now open up for question -and-answers.

Moderator: Thank you. Our first question comes from the line of Bhavin Vithlani from SBI Mutual Funds. Please go ahead.

Bhavin Vithlani: Thank you. Good afternoon, gentlemen and congratulations for great performance, especially amidst the uncertain environment. So two questions. One is on the Abrasives side, we've seen a slowdown in the revenue growth rate, e specially on the standalone front, if you could help us understand, is i

t the slowdown in the market? Because we are seeing the similar trend in Grindwell as well. How do you see the trend next year?

The second question is on the Electrominerals business, where we saw volatility in the EBIT margins in the current quarter, standalone Electrominerals business. What has driven this? And what do we see as a sustainable margin going forward? These are my tw o questions.

N. Ananthaseshan: Yes. Thank you, Mr. Vithlani. I would take the first question in Abrasives. As all of you know that we have three broad segments in Abrasives, which is precision, the industrial consumables, and the retail segment. What you s aw over the last year is a strong and continued demand for the precision business, not only in India, but also in other markets as well, especially in the North American markets. So we believe that, that segment would continue to do better.

In the segment, which we don't address in the domestic market -- I mean in the standalone business, but we addressed one of our subsidiaries is also the agro processing and which has done extremely well. So while the overall, I would say, the precision business in agro p rocessing and auto, auto OE, non -auto segment, steel industry, has contributed very well to growing that part of the business.

The industrial consumables business, which addresses largely the SMEs, MSMEs, the foundry segment has been a little muted and obviously, the cost pressures and the raw material cost pressures, with some captive abrasives and which we were not able to pass on to this segment also impacted, I guess, some of their offtake.

The retail segment, which is the largest one, which is the fast est growing one. I also saw quite a bit of competition from lower -priced imports, and that has been one area where we can definitely focus on and we have been taking some corrective actions in terms of like from a product development for that particular se gment, the channels, and the organization structure, which would address that specific segment. So we do, we are hopeful that we would see a good turnaround in the Abrasives going forward.

Sridharan Rangarajan: So as far as the EMD business, I think you th en have a right observation, I would like to gauge you as follows: FY '22, we did 9.9% and in FY '23, we did 14%. But then there is a margin in quarter. There's a movement, which is what you are asking and also where we would be stabilized?

First point is the 9.9% of FY '22 should be read as 14.7% on a normalized basis because we have written -off certain legal expenses relating to our Maniyar business. So that needs to be normalized and we also feel that FY '23 should be read as -- 14% should be read as 15. 6% or 15.5% in and around that. So and the last two years is where we have done significant changes in the operation and productivity improvement and also conversion from a traditional way of manufacturing brown fused alumina to our renewal way of grand ma nufacturing brown fused alumina, which is what caused the whole change in the performance.

Now if you look at it is going forward, we expect it should be in the range of 14.5% to 15% EBIT margin going forward and there could be some because of mix changes, etcetera, there could be quarterly ups and downs, but I think broadly, it should be in that line.

Bhavin Vithlani: Just one more question, if I may. So in the last year's annual report, there was a target set of 2x revenues and 3x profits, which is roughl y INR1,000 crores by 2025. Do we believe we are on

track or the certain higher losses in the AWUKO and Abrasives as you outlined can push that some bit?

N. Ananthaseshan: I must tell you a background of this because this was set out in 2019 as part of our long-term five-year LTS strategy and every five years, we do dro

p LTS. So this was set out then and
subsequently, we also had the COVID hitting us and that also impacted. But I'm glad to say that from that time on, what we had set out to do, both on our co nsol basis and a standalone basis, we are there.
Sridharan Rangarajan: Yes. But I think just to make it clear that the INR1,000 crores that you are talking about as a number, I don't know where you are getting, but I think that will not be the case.
Bhavin Vithlani: Okay. Got it. Thank you so much.
Moderator: Thank you. Our next question comes from the line of Ravi Swaminathan from Spark Capital. Please go ahead.
Ravi Swaminathan: Hi, sir. Congrats on good set of numbers. I have two questions. One is on the Ceramics and Refractories segment. If you can give the breakup between Ceramics, Refractories, metallic cylinders for the full year, that will be great? And which are the tough segments in which you are most positive in terms of growth? That's the first q uestion.
Second question with respect to the Electrominerals business. In the Russia n entity, we have seen good growth, is it because of the currency depreciation? I mean I'm just wanting to know what was the kind of volume growth that we have seen in FY ' 23 vis -à-vis '22? And if you can give the growth outlook for Russia going forward, that will also be great? Thanks.
N. Ananthaseshan: Okay. On the Ceramic segment, I can tell you broadly, I mean, we don't give the split between refractories and ceramics. B ut I can tell you broadly these two, the thermal management part of it and the EMD, wear and engineering part of the Ceramic segment, addresses customers, large customers and the product orders coming in from the end -user industries, whether it is the mining, steel, power generation, the solid oxide fuel cells, that continued to be robust.
What's also happened in the West Ceramics business is that while we manufacture ceramic parts in India, the value addition happens in the America and in Australia where w e address all the mining industry so that has grown pretty strongly in both these geographies, and that has been another reason why kind of ceramics has done pretty well.
The customers like in steel, carbon black, glass, ceramics, both in India and in Nort h America, wherever exports go on the thermal side also has done quite well, and we see that demand continuing.
On the Russia side, the capacities and the production volumes have remained very close to the 90%-odd despite the blip what we saw in the beginn ing of the year because of the war.
Subsequent to that, the volumes, what we've been producing also being helped by a better realization for the silicon carbide and also, product mix for -- when I say product mix, it is basically market mix and that has al so helped the Russian operations. Did I miss any?

Sridharan Rangarajan: I think the exchange is a reason and I think we initially told that the rate at which we converted last year versus this year, that is FY '22 versus '23, which is INR0.97 versus INR1.2 3. So obviously, that is helping, plus there is a depreciation that happened in between the year suddenly, the rouble became very strong and then again, the end of the year, it started beginning. So these fluctuations also helped sometimes it, sometimes di d not help, but I think. Overall, there is a net gain, and that's also contributing to the top line.
N. Ananthaseshan: The promising thing is that we stayed with now the volumes. So volumes did not -- and capacity utilization was strong.
Ravi Swaminathan: Got it and the outlook for growth for these two segments at a consol level, both Ceramics, Refractories and Electrominerals? I mean last year; Ceramics has seen 30% growth. Should we estimate similar growth, or we have kind of -- I mean that's a very bumpe r year and we need to tone down the growth. Is it somethin

g like that?
Sridharan Rangarajan: As I told you, we should expect a moderation and I think that's what broadly commented in terms of concluding remarks. So we should see the moderation in growth.
Ravi Swaminathan: And same is case with the Electrominerals. So high single -digit growth is something that we should expect?
Sridharan Rangarajan: So I think Electromin erals also you should see , because as I said that the domestic Electromineral grew substantially well in the last two years. But I think we should see there's going to be a competition because there's a softening of input material, more material could come from China and Russia is already fully optimized, and there is nothing much can gr ow at that point. There could be some marginal growth, but I think that will be the stay in Electromineral. Foskor can grow, so overall, we should expect a moderation.
Ravi Swaminathan: Okay and the broad breakup, sir. Percentage breakup Ceramics, Refracto ries, met cylinder, will you be able to share?
Sridharan Rangarajan: I'm sorry, Ravi.
Ravi Swaminathan: Okay. Thanks.
Moderator: Thank you. Our next question comes from the line of Nitin Arora from Axis Mutual Fund. Please

go ahead.
Nitin Arora: Hi, sir. T hanks for taking my question. Just on the Ceramics part, is it possible to quantify the growth you are getting from your new businesses, I'm talking about the EV, the alternative energy and you said moderation here in the business. But can you throw some l ight over the next two years to three years because now Ceramics is almost like 20%, 21% of our overall sales on the consol basis.
In the next two years to three years, where do you see this proportion going up? And also, if you can help us in terms of pro fitability? Because I'm assuming if it's 20%, 22% of sales, it is closer to 30% for the -- on the PAT. You can correct me if I'm wrong. So nothing number specific, if

you can quantify where do you see the direction of Ceramics going in the next two years t o three years? And how the new business is growing on the Ceramics side? These are the two questions.
Sridharan Rangarajan: So Ceramics, I think, when I say moderation is that, see, we have been -- last year, we grew at about 26%. From that moderation woul d happen. That's what my comment is largely coming from the refractory portion of it, where we feel that standalone , we expect both these businesses would grow well, and we feel that it should be high teens , they should do that. But I think there will be s ome headwinds in other parts of the business.
So overall, we should be able to grow these two businesses, that is Refractory, and Ceramics put together as well as our overseas business in Australia and America, which are also going very strong. We should s ee a trajectory of at least kind of a 20% CAGR going forward. You are talking a three -year window. So I'm just giving you a broad number here.
Moderator: Thank you. Our next question comes from the line of Rahul Gajare from Haitong Securities. Please go ahead.
Rahul Gajare: Yes. Good afternoon, sir. Sir, given you've had very strong performance from your Russian operation. Can you talk about your ability to transfer money from Russian subsidiaries to Indian parent given the sanctions and all those issues which are there?
Sridharan Rangarajan: No. So I think, we don't have any issues on all the purchases that we make. We also have no issues in terms of the sale that we make to Russia, we are able to collect as well as pay not only from India from other geog raphies, and that is not an issue.
Now as far as the dividend outflow from Russia, there are restrictions purely by imposed by the Russian government. So we are going as per the policies of the Russian government, which we are able to transfer, but unable to transfer fully because there is a cap in terms of what

they can
transfer.
So we are trying to make use of that money more in the local capex programs and develop the business as much as possible. But I think we should expect some stability forthcoming, and I think that should come forth soon.
Rahul Gajare: Okay. Sir, my second question is on the capex. You've spent nearly INR 300 crores in this year. Over the next couple of years, you touch upon your capex plans and where specifically would you want to s pend money, including M&A activity?
Sridharan Rangarajan: Well, let's divide this year capex, though we spent about INR 300 crores. Of that, close to INR 50 crores is a purchase of a land in Hosur, which we did in December and so these are one -offs.
I mean , we can't expect this to continue and then the capex at this point in time. If you exclude that standalone would be about INR 100 crores. But I think a lot of this is probably debottlenecking of certain capacities that we have, and certain process improve ment related capex is what we have spent.
So I feel that we can't expect that this kind of a repeated capex program going forward. Is this a broad gate line, I would say? If you look at that, we have broadly about INR 180 crores of

depreciation at consol l evel, right? So somewhere in that range, INR 180 crores to INR 200 crores of capex is normally one can expect and there are some extraordinaries, as I told this time, there we had INR 50 crores of land that we bought. So if you exclude that, I think we are still very much in line with the broad depreciation that we have incurred. Now as far as the acquisition, we don't have a number in mind. But as we progress, as we get something good, we will continue to look at it.
N. Ananthaseshan: Just to add -on, over the last couple of years, we have invested in Minerals business in terms of increasing capacities, and that continues in terms of modernizing the plants there. You know that Minerals business needs a lot of emissions. That's also something which we are ver y clear

about that we need to have very clean processes, so we'll spend money on that as well. We would focus our investments, obviously, in the Ceramics part of the business and also in Abrasives in the domestic market.

Rahul Gajare: Sure, sir. Thank you very much.

Moderator: Thank you. Our next question comes from the line of Deepesh Agarwal from UTI AMC. Please go ahead.

Deepesh Agarwal: Yes. Good afternoon, gentlemen and congrats on good numbers. My first question is, in one of the comments you mentione d that Abrasive is likely to see a strong growth in FY '24, can you throw some more light what drives this confidence?

Sridharan Rangarajan: Abrasive growth in '24.

N. Ananthaseshan: Abrasive growth in '24. Yes. I mean looking at a combination of the end -user markets. So what is the growth in end user markets that we address, whether it's in the auto or auto OE, auto comp, the agro processing and also the infrastructure retail segments. So that's something which we are looking at and I believe that infrastr ucture, housing, and growth in India, especially in the Tier 2, Tier 3 cities, will be addressing the retail part of the business.

And we also see the growth in SME sector in the industrial clusters largely driven by the exports led growth for -- in genera l engineering and in the precision, both in the auto or when I say auto, I'm talking about ICE and non -ICE -- and in the mobility, which I call out gear grindings and steel, aerospace, etcetera, both in the domestic and in the international business segmen ts. So I would broadly club everything together and would expect a growth of about 10% overall.

Deepesh Agarwal: Understood. The second question is when do we expect to go into commercial production stage of some of the key materials, we are working on lik e high quality silicon carbide, syntheti

c

graphite huge?

Sridharan Rangarajan: I think, it would take some more time because there are multiple qualification process plus our capability to meet certain standards that the industry would want. These are curr ently being on at this time. So there is a progress, and I think as and when we make sure to go to the next step, definitely, we will be more than glad to share with you.

N. Ananthaseshan: And some of the future capex obviously will be in this area.

Deepes h Agarwal: Okay and lastly, book -keeping question. If I see the standalone financial in the fourth quarter, there seems to be a sequentially a significant decline in employee cost and other expenses from your usual run rate. What is driving this?

P. Padman abhan: Well, it is mainly arising out of the actuarial assumptions because the interest rates are going up, therefore the shift between the P&L and the OCI will always be there. That is why it is giving a drop.

Deepesh Agarwal: And for other expenses?

P. Padmanabhan: Other costs. See, in the earlier quarters, there were repairs and maintenance. So the maintenance were not there in the latter part. That is why the reduction in there.

Deepesh Agarwal: So this is a sustainable number or?

Sridharan Rangarajan: You should always look at our full year and be guided from that. That could be some small changes in the fourth quarter.

N. Ananthaseshan: Yes.

Deepesh Agarwal: Understood. Thank you.

Moderator: Thank you. Our next question comes from the line of from Saif Sohrab Gujar from ICICI Prudential AMC. Please go ahead.

Saif Gujar: Thanks for the opportunity. So my question is regarding the retail segment. So you talked about retail segment and imports, which have been influxing an impact on pricing. So what propor tion of our appraiser sale would be retail, if you can break it down, retail segment for us?

N. Ananthaseshan: Broadly, I would say, currently about 30%, 35% is what we do.

Saif Gujar: Okay and you talked about imports, which are on the rise. So if you can quantify what impact it has done to our pricing? And so if we are talking about flat growth year -on-year as well as Q -o-Q, would that mean that it is only attributable to volume growth, and we have taken some price cuts or something?

N. Ananthaseshan: So the imports on the retail side has always been there. So the question as at what prices are they coming in a nd how they get distributed, et cetera. So what we have been focusing on is not on the entire breadth of the retail product portfolio. But in segment s where we don't have, what I would call, or rather we have a strength, which is basically in terms of making much more safer products and those products obviously are a little more expensive than what is available in the market. The focus now is to see ho w do we improve our processes to ensure that we stay with our quality and safety part of the products but make it more productive and thus more competitive going forward. As I said earlier, it is not just a product. We also are looking at a

retail organiza tion, which would increase our reach and presence for these segments.
Saif Gujar: Okay and so the imports have now stabilized –and we can gain market share from them now?

N. Ananthaseshan: That's what we aim to.
Saif Gujar: Okay. But no influx as such, rig ht? It remains stable now, at least?
N. Ananthaseshan: Yes.
Saif Gujar: Yes. Thanks, sir.
Moderator: Thank you. Our next question comes from the line of Alok Ranjan from IIFL AMC. Please go ahead.
Alok Ranjan: Thank you for this opportunity. Sir, just 1 question. How should we read opening of China in conjunction with the lower PMI, which is being reported there in terms of global supply and aggressiveness in the market, is the China plus One very

strong to mitigate that? What we are
seeing in other secto rs, not in the cap goods, but other sectors, a lot of dumping especially in the commodity has started to happen from China. So could you give some sense like whether their production or capacity have come back to normal in China, but if the domestic demand in China is lower, whether they are coming into the global market and coming at lower prices and how we are getting impacted by that?
N. Ananthaseshan: So the China plus One strategy gained strength or gained currency just after the COVID. I think it cont inues to be there because, especially in global markets. Customers are looking at a reliable and stable source of supply, and they want to have robust supply chains and we are seeing that happen in our industry. All of us know that China is still the large st manufacturer of minerals in the world and abrasives in the world. But despite that, we are seeing many customers wanting to source from us, and that's also one of the reasons why we are positive about the EMD business. Costs in China is also going up. I t is not that they will continue to be a very low -cost layer. Employee costs, labour costs, energy costs are going up and it will have to be seen how competitive they can be in the long run. The company in this gap, I would say, is coming down significantl y.
Alok Ranjan: Sir, just a question associated to that, can we rate competitiveness of India versus like CUMI versus for China manufactured product, if the difference is like 5% to 7%, China plus One works, but if it is obviously till higher than 10% then the customers -- the season making can be very different. So can we say that since our cost of production may be somewhere in the range of around, let's say, 5% to 7%, maybe higher than China, and that's why we can be competitive and China plus One works, but if it will be higher than 10% or something, then obviously, the preference can be different.
N. Ananthaseshan: Yes, I would -- if you look at the entry barrier is about 5%, 6%, depending on -- 7%, depending on product groups and some you don't have. B roadly, I think we have kind of narrowed the gap and our cost of production compared to that of China should be in the range of about 10%, 12%. What also helps in our favour is that many of the Western customers want to show some companies who are complian t to their energy, I mean, their environmental standards, not only the quality standards. So now that has become also a major driving force for companies to choose

their partners in the value chain. So there is a small premium that they're willing to pay and if we have stable quality, supplies and quantity, we definitely have an opportunity here.
Alok Ranjan: Got it, sir. Okay. Thank you, sir. That’s all from me. Thank you.
Moderator: Thank you. Our next question comes from the line of Harshit Patel from Eq uirus Securities. Please go ahead.
Harshit Patel: Thank you very much for the opportunity, sir. Sir, my first question is on the standalone Electrominerals business. We used to do annual sales of close to INR400 crores in the pre - COVID period. Now we have closed FY '23 at almost INR700 crores. So that's a growth of almost 70% which means pre -COVID era. So how much of the 70% would have come from better pricing versus volumes in your opinion?
N. Ananthaseshan: Harshit, I was mentioning earlier, we have signi ficant work in terms of, one, modernization of our factories. When I say modernization, consequent to the process changes that we have made to bring about a new product, which is the synthetic alumina. Now that has been able to we are able to produce more volume from the same assets and also much lower energy costs, which is very-very competitive. In addition to that, we have modernized our furnaces to make them continuous furnaces, which means that the down

times are much lower, and productivity is much
higher, yields are much better.
And supporting that is the investments we have made in all the grain processing facilities, which is able to handle the volumes and also the flexible nature of the product mix. So it's a combination of all this, which has given us possibly a capacity increase from about 35,000 -odd tons to 70,000 -odd tons. So that is definitely reflecting in the numbers of this year.
Harshit Patel: Understood. Sir, just a follow -up to that. You previously mentioned that overall standalone EMD margins for FY '23 should be read as 15.5% vis -à-vis 14% reported. I believe there has to be some one -off in the fourth quarter margin because margins were very low at only around 9%.
So could explain what was the number?
N. Ananthaseshan: We said that. We mentioned that.
Sridharan Rangarajan: We mentioned that. Yes.
Harshit Patel: So what was the one -off over there? I mean what exactly happened in the fourth quarter?
Sridharan Rangarajan: Yes. We have taken some look at some of the inventories relating to the -- in Electrominerals, and that's what we have done that.
Harshit Patel: Okay. Understood. Sure. Sir, second question is on our capex. While we have done almost INR 300 crores of capex at the consolidated level, the standalone capex, including land pur chases stood at around INR 150 crores, INR 160 crores. So that means we have incurred almost INR140 crores at subsidiary level. So could you explain where we have invested the money? Is this mainly pertaining to Russia or something else as well what we wou ld have done?
Sridharan Rangarajan: It includes Russia, Sterling Abrasives and a few other subsidiaries put together.

Harshit Patel: Okay. Anything that we would have done in the German front? I mean any money we would have put to probably...
Sridharan Ran garajan: Normal capex.
Harshit Patel: Okay, sir. Understood. That would be from my side. Thank you very much for answering my question.
Sridharan Rangarajan: Thank you.
N. Ananthaseshan: Thank you.
Moderator: Thank you. Our next question comes from the lin e of Mihir from Carnelian Capital. Please go ahead.
Mihir Manohar: Yes. Hi. Thanks for giving the opportunity and congratulations on a good set of numbers. Sir, I wanted to understand the ceramics part of the business. I mean we have seen margins improving ceramics, particularly this financial year for both our parent business as well as at the consolidated level also from the 21% to 22%, we have reported 21% to 25% margins.
But now -- I mean the business is going to be a slightly muted next year, the growt h rate coming down. So I just wanted to understand what led to the improvement in margins this financial year? Are there any process improvements or are there any specific structural changes, or would it largely be volume related? So how should we see the margins over there?
And the second question was on the silica carbide. I mean the application that we are looking for high purity silica carbide, so when should one expect commercialization on this front? And would this be material for us at the starting i nitial years or it won't be that case. So just wanted to get an understanding around that?
N. Ananthaseshan: Okay. On the Ceramics, we do have, what I would call, as I said earlier, the revised ceramics part of it and technical -- were in technical ceramics and also the thermal ceramics part and as I said, the project orders for the thermal part, which is into glass, ceramics, carbon black, chemical process industries, all of them had a pretty robust demand.
And these are designed made -to-order, made to design and hence, has better margins than a commodity refractory. Same is the case for the tech ceramics, where we supply to the renewable -- I mean, new energy businesses like solid oxide fuel ce

lls, some part of mobility business and
also the value -added portion, which is the line ceramics, which goes out again, it's a designed for customers, specifically in markets like in Australia and in America. So a combination of going up the value chain, addressing opportunities in design and installation and a ddressing the markets which are better capacities or better volumes of ceramics from India has contributed to all this.
On the outlook front, I think broadly, these are directions which we should sustain and while there will be a little bit of an ups and d owns, but this is a good growing segment.
Mihir Manohar: Sure and just on the silica carbide side, on that question?

N. Ananthaseshan: Silica carbide, we are in the process of qualification, as Mr. Sridharan said and while we are making smaller investments in terms of the, what I would call balancing processes. It would take about a few quarters to get into a commercial scale.
Mihir Manohar: Sure. I mean as investors, should we see this as a material portion for us in the initial part of year for that one t ypically?
Sridharan Rangarajan: Sorry. You are not audible at all. We find it difficult to listen to you.
Mihir Manohar: Yes, sure. So just wanted to understand that the initial part of the year, I mean, should we see this business as material or that not being the case?
N. Ananthaseshan: You're talking about the high purity silicon carbide?
Mihir Manohar: Yes.
N. Ananthaseshan: Yes. So we are not considering that in the sales at all now.
Mihir Manohar: Sorry. That's it from my side. Thank you very much.
Moderator: Thank you. Our next question comes from the line of Bhavin Vithlani from SBI Mutual Funds. Please go ahead.
Bhavin Vithlani: Sir, thank you for the follow -up. Could you -- I mean this is a follow -up to the earlier question. If you could help us on the progress during the year on your initiatives on high -purity silicon carbide and high purity graphite and graphene, which will be going towards the battery operations. I mean where are we in that journey? What's the progress during the year? That's one.
And second is on the SOFC part, we understand the next version of the SOFC has a significant higher percentage of ceramic. So we historically have been highlighting about not arithmetic but geometric growth. So what part of that business is driving ou r 20% CAGR guidance on the Ceramics front? These are the two questions.
Sridharan Rangarajan: So I think see, HPSIC, as we said that we have established the product. It meets the standard. We are going through various testing process. As I said that it's a very lengthy process, and we are very much on it and we would share more details as we really get into a commercial scale, which is what we communicated. The progress has been good, satisfactory. We would be more than glad to share as and when we commercially get into that. As far as the solid oxide fuel cells, where you said that the next range of products, definitely, we are very much working with our customer and the progress there also is very interesting, and it is also gives a lot of hope that we will -- as and when that program gets complete also, we should get a good share of business and again, I think we will be more than glad to share as and when we have more firm details coming out of that program.
Bhavin Vithlani: Sure and the progr ess on the high purity graphite and graphene that we are working on for the battery operation?

Sridharan Rangarajan: Yes. So as far as graphene is concerned, I think it's definitely good progress. Product is established. We are trying to work on multiple f ronts and I think -- so graphene is a product where it's not going to be sold in scale, but I think it's going to be sold in niche applica

tions. So
we have to work in multiple areas, which is what we are doing. I think 2 broad themes is that how graphene c an improve our own products that is theme 1, which is basically better productivity, better performance in all our products that we currently manufacture.
The second theme is using graphene for various other applications, which is like battery, tyre manu facturing, cement, various applications that we can use that, which is what we are going through at this point in time. It's a very, very lengthy time -consuming process, but the progress has been good. As far as the high purity graphite is concerned, it's still on a very test level basis at this point. We will take more time to get to the next step.
Bhavin Vithlani: Sure. Just a follow -up on the high purity SiC. Recently, Bosch announced that for the semicon investments in the U.S., we are opting for high p urity SiC rather than the other products. So are we -- I mean, would our application also be considered and are we working with them?
Sridharan Rangarajan: See, what Bosch did is that they went ahead and acquired SiC fab which manufacture using silicon car bide the chips that go into various applications, rather than a silicon -based wafers, which I think we all know that SiC -based wafer has got an edge over silicon -based wafer in certain application for specific reasons and I think this is very much acknowle dged worldwide and that's why not only Bosch, many people are getting into this. Infineon has made a significant investment. Similarly, many companies have made a substantial investment in these areas. So where we come is that in that value chain, obviousl y, we will be suppliers to these manufacturers, and that is how we will link into the value chain program that creates a chip based out of silicon carbide.
Bhavin Vithlani: Appreciate. Your answers. Thank you so much.

Moderator: Thank you. Ladies and gentl emen, we have reached the end of the question -and-answer session. I now hand the conference over to Bhoomika Nair from DAM Capital Advisors Limited. Please go ahead.

Bhoomika Nair: I thank you the management for giving us an opportunity to host the call. W ishing you all the very best, sir, and thank you to all the participants.

N. Ananthaseshan: Thank you all so much for logging in and looking forward to seeing you again in the next quarter.

Sridharan Rangarajan: Thank you.

Moderator: On behalf of DAM Capit al Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

“Carborundum Universal Limited
Q1 FY 2023 -2024 Earnings Conference Call ”

August 04 , 2023

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MR. P PADMANABHAN – CHIEF FINANCIAL OFFICER –
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MR. DENESH KUMAR – SENIOR MANAGER – STRATEGIC
PLANNING – CARBORUNDUM UNIVERSAL LIMITED
Carborundum Un iversal Limited
August 04, 2023

 Moderator : Ladies and gentlemen, good day and welcome to the Carborundum Universal Limited Q1 FY2024 Earnings Conference Call hosted by Kotak Securities L imited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded. I no w hand the confere nce over to Mr. Aditya Mongia from Kotak Securities Limited . Thank you and over to you, Sir.

Aditya Mongia : Thank you Darwin. G ood afternoon and welcome everyone to the Q1 FY2024 earnings concall of Carborundum Universal Li mited. F rom the management side , we have Mr. Sridharan Rangarajan, the Managing Director , Mr. P . Padmanabhan, the CFO, Mr. G . Chandramouli, Advisor, Investor Relations and Mr. Denesh Kumar, Senior Manager, Strategic Planning . Without any further ado, I would request the management to shar e their opening remarks post the results. Over to you Sir.

Sridharan Rangarajan: Good morning to all of you and a warm welcome to our Q1 call. I would request my colleague Chandramouli to read out the general disclaimer and then we will start the call .

G. Chandramouli: Good morning . During this call , we may make certain statement which reflect s our output for the future or which could be construed as forward looking statement . These stateme nts are based on the management current expectations and are associa ted with uncertainties and risks are more fully detail ed in our annual report which may ca use the actual result to differ. Hence these statements must be reviewed in conjunction with the risk that the company faces. T hank you.

Sridharan Rangarajan: Thank y ou Mouli , so let us begin the call. I trust all of you are safe, your family are also safe and well. Today I joined in this call with Mr. Padmanabhan our CFO, Mr. Chandramouli our investor relationship person, and Mr. Denesh our strategic planning hea d. We will begin this call by providing a broad outlook and summary and then we will take your questions . Before I start I would like to place on record the company' s appreciation and thanks to Mr. Ananthaseshan who has retired as managing director of the compa ny after reaching 60 years of age . Mr. Ananth served the company over 37 years in various capacities. We wish him well in his retirement.

The Company has beg un this financial year with a solid start . We are glad to report yet another quarter of robust per formanc e and the solid start to FY2024. F or the quarter , our revenue has grown by 6% quarter -over-quarter to Rs. 1191 Crores at consolidated level and by 10 % to Rs.659 Crores at standalone level. T he growth was majorly driven by ceramics and the growth from abrasives and electrominerals has been steady. A ll major overseas subsidiar ies have performed well . Profit after tax and non -controlling interest grew by 44% to Rs.113 Crores against Rs.79 Crores at consoli dated level. Y ou would note that we

 delivered Rs.137 Crores in Q4 FY2023 and this included an exceptional income of Rs.25 Crores. I n the current quarter , we d

elivered similar PAT without one-time exceptional
income . PAT margins improved from 7 % to 9.5 % quarter -over-quarter at consolidated level . At standalone level , the PAT increased by 28 % to Rs.93 Crores from Rs.73 Crores during the last year same quarter . This was mainly on account of margins coming back to normal in abrasive standalone and improvements in margins of ceramic business. PAT margins impr oved from 12.1% to 14.1%.

Coming to the subsidiaries performance among the overseas subsidi aries CUMI America performed significantly well in terms of top line and the bottom line. CUMI Australia grew well and profits were better. Volzhsky Abrasive Works, Russia and Foskor Zirconia , South Africa w ere almost flat on top line. CUMI Middle East and CUMI China the company has cut down its operation as you all know. On the other hand, domestic subsidiaries have grown in double digits over the last year whereas o ur energy generation business SEDCO had some challenge in terms of the bottom line due to a steep rise in gas price and we are working in terms of how to recover. In terms of the capex at consolidated level we spent Rs.55 Crores in the Q1.

I will now cove r the segmental performance. Abrasives, the abrasives c onsolidated revenue for the quarter was almost flat at Rs.519 Crores compared to Rs.513 Crores in Q1 of the last year. Standalone grew by 5% to Rs.282 Crores. Sterling , American subsidiary, VAW and AWU KO delivered Rs.24 Crores of incremental sales. Closure of China, lower volumes in Rhodius reduced Rs.14 Crores of sales. On sequential basis sales degrew by Rs.6 Crores. Standalone abrasives Sterling , CUMI America and VAW combined together gave an increme nt of Rs.12 Crores whereas Rhodius dropped by Rs.15 Crores. A brasives India has grown 5% compared to Q1 of the last year , but was almost flat sequentially. Coated retail segment is facing challenges after increase in supplies from China and new entrants in the segment. A ll other segments in abrasives are doing well . We expect to hit overall 8% to a 10% growth at the full year level. T he focus has been on improving the margins which have come down significantly in the last few quarters . We focus on product m ix optimi sation , increasing sales in value -added products and improving internal efficiencies which helped us to bounce back to the previous margins in the range of 15 % to 16 % compared to 12.1 % in Q1 of the last year. Rhodius in Q1 achieved the net sales o f €15.5 million compared to €17.4 million in Q4 of FY2023 and €18 million in Q1 of the last year. We communicated in the last call that Rhodius is planning an 8% to 9% growth in FY2024 . We also said that the energy cost increase could be in the range of €2.2 million to €2.5 million and our team will try their best to offset these. T he price increase put up to offset the cost push resulted in lower order intake which impacted the overall sales . We are also seeing softening of demand in parts of Europe of a r evised outlook is flattish top line. L ast year , we delivered a loss of 4.7 million which included one off costs of €2 million and a PPA write off of €2.8

 million. We expected this year with higher topline we could deliver a small profit , but with softening in demand an d increase in energy costs, we can expect a similar loss in line with that of the last year. T his is our current outlook. We have eight more months and we are looking into all possible options to minimi se this loss and improve the performance.

Coming to Awuko's performance this quarter we achieved €2.5 million sales against €2.6 million in Q1 as well as Q4 of the last year past f inanci al year. Losses in Q1 was 0.7 million against the loss of 1.2 million in Q4. T he cost control efforts as well as drop in input costs helped to minimi se the losses . We communicated in the last call the

losses in FY2024 will
be around 2.5 million. We expect Awuko to break -even by FY2025. We maintain the same outlook. C oming to the bottom line performance for quarter , profit and loss before finance cost and tax at consolid ated level was Rs.31 Crores against Rs.18 Crores in Q1. T he increase predominantly coming from standalone margin moving from 12.1% to 15.3% , better performance at Sterling and clos ure of China. S equentially , PBIT margin dropped from Rs.32 Crores to Rs.31 C rores. T his is due to lower profits in India, CUMI America ,

Middle East and China. M argins at consolidated level dropped from 7.3 % to 6% sequentially but improved from 3.5 % in Q1 of the last year.

Electro minerals, - Electrominerals consolidated revenue fo r the quarter was Rs.418 Crores versus Rs.406 Crores in Q1 of the last year resulting in an increase of 3%. Standalone electrominerals grew at 10 % quarter -over-quarter to Rs.197 Crores from Rs.179 Crores in Q1 FY2023 and grew by 11 % sequentially. Volzhsky Abrasive Works, Russia and Foskor Zirconia, South Africa was almost flat quarter -on-quarter and marginally lower when compared to sequentially . For the quarter profit before finance costs and tax at consolidated level was Rs.74 Crores a gains t Rs.59 Crores in Q1 predominantly contributed by better performance of VAW . PBIT at standalone level grew by 59 % to Rs.23 Crores sequentially and degrew 25% quarter -over-quarter after easing in commodity price, impacting the realisation of our products and higher input costs .

Coming to performance of VAW , despite challenges due to ongoing Russia Ukraine conflict the team at VAW is continuing to manage th e risks well, taking suitable actions every time . The operations are running well and the install ed capacitors are bei ng utili sed well. VAW delivered i ts higher ever quarterly sales o f ■2.4 billion in this quarter compared to ■2.12 billion prior quarter and ■2.11 billion in Q1 last year. T his was mainly on account of higher reali sation across all three segments as well as weaker Rouble against US dollar and Euro. T hey delivered a profit of ■417 million which is again highest in any quarter . Rouble s were converted on average of one Rouble which is equivalent to Rs.1.01 for this quarter compared to Rs.1.16 in Q1 in FY2023. Y ou would note that the average for FY2023 was 1.23 . Capacity utili sation is normal when they are able to sell more in Russia. T he mix

towards Russia sales domestically has increased to 60 % in the Q1. VAW is able to collect all its receivable. T hey continue to be debt free and outlook remains stable and positive .

As far as ceramics business is concerned , ceramics consolidated revenue for the quarter were higher by 18 % at Rs.287 Crores as against Rs.243 Crores in Q1 of the last year and sequentially it was Rs.265 Crores. S tandalone ceramic grew by 19 % to Rs.231 Crores on quarter -on-quarter basis on account of strong demand across end user industries and geographies and grew 9% sequentially. S ubsidi aries in Australia and America registered significant growth as well . Profit before finance costs and tax at consolidated level grew by 39% to Rs.81 Crores from Rs.58 Crores on quarter -on-quarter basis and grew 31 % sequential at standalone level . It grew by 38 % to Rs.62 Crores quarter -on-quarter. T his was majorly on account of growth in volume , realisation and product mix . There was Rs.58 Crores of debt at standalone books and total debt that consolidated basis was at Rs.178 Crores compared to Rs. 230 Crores as of March 2023. The debt to equity ratio was at 0.06 at consolidated level. C ash and cash equivalent including deposits with maturity exceeding three months at net of borrowing was Rs.190 Crores.

I would like to end the opening remark with a small summary. P erformance of the company in Q1 is good. Electrominerals,

c eramics and non -retail portion of th e abrasives are performing well. Russia and South Africa are doing fine. Awuko progress is in line. There is a softening of demand in Europe and Rhodius is workin g on an effective response plan. The company remains debt free. We feel stable standalone growth could be in the range o f 15% percent and consolidated could be in the range of 10 % and standalone and consolidated PBIT margins compared to FY2023 should improve. With that I think we will complete the opening re mark. We will be happy to take your questions. T hank you.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Bhoomika Nair from DAM Capital (erstwhile IDFC Securities) . Please go ahead.

Bhoomika Nair: Yes, good afternoon Sir. Sir my first question is o n the abrasive segment on this standalone basis the demands still continues to remain fairly muted the revenues are still at around sub 5% kind of a growth or just abo ve that so what is the outlook in the domestic market and how is the competition from the Chinese which have kind of picked up in the last six months . Does that still continue ? so that is my first question .

Sridharan Rangarajan: Yes, so I think as I said except the retail segment we are doing fine in rest of the segment and the growth rates ar e in double digits . We feel the challenge is largely in the retail segment where there could be some dumping happening from China and of course there is going to be a response which will take some time and as I said that we could be looking at a broad 10 % growth which is what I indicated at the full year level. We feel that retail could

be flat or slightly lower. T his is our current thinking and our team is putting together a response plan for that . Other than that I thin k this standard industrial side, precision side and international exports are all doing fine .

Bhoomika Nair: Sir, 10% would be the abrasive standalone entity growth ?

Sridharan Rangarajan: Yes.

Bhoomika Nair: Okay Sir obviously Rhodius there is a challenge as you mentioned but there was also a plan to kind of bring the technologies and the practices that they have the lower impact out here what is the progress on that aspect for improving their previous cost competitiveness in the local market ?

Sridharan Rangarajan: So bringing technology of R hodius is not to address the cost competitiveness in India but it will address the cost competitiveness in Europe . By having product manufactured here we will be able to supply to the Europe well which are all like the baseline products which is I think we are progressing well . I think we will take 18 months by the time we will have this work that whatever we are doing currently we will do that which requires like for example we are currently working on OSR certification which is a base level requirement an d the audits are currently going on . Once that is there then we will have the next step which is basically creating an environment of manufacturing at their quality level and start supply ing to that so that program is very much on .

Bhoomika Nair: Okay . Sir, my second question is EMD segment and our new initiatives out there what is the progress of the high purity SiC that we were looking at ? We were already in pilot stages out there in Russia sector was much ahead than India so what is the progress out ther e and also if I m ay just squeeze in on the progress of the SOFC within the ceramic segment ?

Sridharan Rangarajan: So as far as in terms of the high purity silicon carbide we are doing it at both in Koratty as well as in Russia and these are at the I would say lab scale where we are testing these products and creating confirmatory results for various parameters which requires like are we able to achieve the 4 N and 5 N capability a

nd that is what we have done and we have reasonably achieved the 4 N capabili ty and we are progressing towards work towards on the 5 N side of it and we are also in the meantime setting up a plant in India and that we will convert it from a lab scale to a small mini plant at this point in time that is what we will get into that. As far as SOFC is concerned I think the progress is quite decent . We have been fully utili sing our capacity . One of our major customer is doing well and that progress is really well as far as CUMI is con cerned and the progress in terms of further parts that we can supply in th e SOFC field is also very much in line with the time scale that we are working with the customers .

 Bhoomika Nair: Sure, so just one follow -up on the high quality silicon when do we see them progressing from a large pace to a revenue and within the SOFC what is the kind of revenues that you are operating at and what can possibly get to over the next two to three years ?

Sridharan Rangarajan: See high purity silicon carbide setting up could take a year and then we will start supplying these products so I would say it might take a year to set up and then establish ourselves another year . SOFC, I think we do not share an individual component wise details as far as the industrial ceramic piece is concerned but it is a very sizable portion of our business and we are progressing well there .

Bhoomika Nair: Sure Sir. I will come back in the question queue. T hank you very much.

Moderator : Thank you. The next question is from the line of Bhavin Vithlani from SBI Mutual Fund . Please go ahead.

Bhavin Vit hlani : Good afternoon gentlemen. My question Rhodius results are a little disappointing for your expectations so could you talk about the cost take out initiatives given that passing on price increase and increase cost is difficult so how do you scale up i n the revenue which is very critical for you to turn around and is the eventual plan of 11 % still in there ?

Sridharan Rangarajan: I missed your first sentence . Could you repeat ? Are you talking about Rhodius ?

Bhavin Vithlani: Yes, the question is on the Rhodius where the performance has been below your expectations and so how do you take out cost as you are not able to pass on the price hikes and your guidance of 11% margins ?

Sridharan Rangarajan: Very fair question. So first of all the biggest portion of i t is the energy co st. So these costs are contracted much in advance and that is okay . We had the benefit of that in our favor last year but that is impacting us in the current year so as we see the cost of gas prices has come down and I think our contract is over. I n the current year we expect that will tap it down and that is w e are currently seeing that and the second is we are also working in terms of improving the product output which is basically some re -work in terms of material preparation investment that we have done as well as in terms of line balancing that the work that Rhodius is doing . We feel that would also help us to bring the cost down. T o your question of whether will we get to the 12% that we indicated to you in terms of the PBIT margin we are still confident of getting. I do not think we have any doubts on that. It is

temporary phase I would say that the softening what we are currently seeing. P roducts are
in demand but at the same time we have to recogni se the fact Europe is going through a
demand challenge so hence I think it is important to bring this up and that is how we are
sharing the current outlook. A s I said that we still have eight months to work on in terms of
any other possibility of bringing these and see some of these contrac ts are with private label
 partners happens much in advance so hence we need to work with eac

h one of them and win
this orders which we are definitely working on. How can we load the business in such a
way that we get the benefit of the volume and that is what we are currently working on as
well.
Bhavin Vithlani: Actually second question is on industrial ceramics piece of the business and within that
where we are seeing that refractory is a piece where we are running full out despite the
strong growth could you just give us a n outlook on the new expansion initiatives in the
refractory space and also the other expansions in the ceramics segment ?
Sridharan Rangarajan: So ceramic segment I think has got two components refractor ies and industrial ceramics.
Both the components are doing well and in fact the refractory side of it is definitely edging
higher than industrial ceramics at this point in time and all our programs in terms of the
capacity expansions and investments in latest process all that is fully on st ream , nothing is
held back. We do not see capacity coming in way as a constraint .
Bhavin Vithlani: Okay so just a follow -up here what is the outlet towards the expansions in the industrial and
the ref ractories and what will be the volumetric exponent will it like double or so the
current capacities ?
Sridharan Rangarajan: See, if you really see this year I think they have Q1 they have grown at about 19 % and we
should expect a 20 % plus growth is very much possible .
Bhavin Vithlani: Okay ye s thank you so much for taking my questions.
Moderator : Thank you. The next question is from the line of Harshit Patel from Equirus Securities .
Please go ahead.
Harshit Patel: Thank you very much for the opportunity Sir. Sir my first question is on the standalone
electro miner als margins? We have that 11.6% in this Q1 which is very much below our
guided range of 14 % to 15 %? W hile I understand that we had done some structural
improvements in the past couple of years such as producing the syn thetic version of a
Brownfield alumina , moderni sation of fur naces to increase the process yields and so on and
so forth so any specific reasons you would want to call out here ?
Sridharan Rangarajan: Absolutely a great observation and I think largely coming out of the softening of the market
coming basically import from China that is coming in this way . That is the biggest reason
for the drop but we still feel that at a full year level 13 % to 14% we will be looking at as a
EBIT margin that is still our aim and I think the outlook for the next fe w quarters when we
went through that we feel confident about that .
 Harshit Patel: Sir just a followup to that in the VAW Russia since we are already operating at flat out
capacities how we are planning to grow over there because as I understand the reali sations
are coming down and if we are not able to grow the volumes because of the capacity
constraint then how will we achieve any kind of revenue growth over there ?
Sridharan Rangarajan: So I think I would look at it in two parts . I am not sure where you ar e getting the idea that
the reali sations are coming down . Average realization in Rouble terms is higher . They are
able to flux the mix more towards the domestic one but your observation of the volume
growth is a fair observation but given the market condit ions which is largely a geopolitical
issue we are waiting and watching . We did one cell expansion last year and I think that is
on stream and that will help us to a bit but I think we would wait for things to stabili se
before we take the next call .
Harshit Patel: Understood Sir my second question is on the standalone abrasives so the revenues have
been stagnant around Rs.280 Crores since last seven quarters now so you have already
mentioned about the heightened competition from Chinese products especially i n the retail
counters so just wanted to check if we have deliberate

ly scaled down a particular product
group or a customer site or is this softness entirely due to the normalcy coming back to the
Chinese imports ?
Sridharan Rangarajan: So I would li ke to sp lit this into two parts. One , the part that is on the retail side of the
abrasive business and the part which is on the industrial side of the abrasive business both
on precision and standard industrial product side . We feel that on the retail side we see this

challenge coming and but on the rest of the side we are able to see the growth and as I said that the growth on those side s will be double digit . With the retail side at flat or slightly lower in the last year we are expecting about 9% to 10% growth b ut I think this is our current outlook. O ur people are working in terms of how should we work on a response plan in terms of addressing this . It is a fact that we have been flat for a couple of years. We are conscious and we will get back I think give us a bout six quarters in ter ms of how do we respond to that. We are working on multiple strategies to address this.

Harshit Patel: Understood. Sir just a small follow up to that. H ave we reduced the prices of our products as input costs have started coming dow n or the pricing remains at the same level as before ?

Sridharan Rangarajan: So prices are responded based on the market condition which is as the input cost is coming down definitely people expect this and we are also responding based on the market situati on but at the same time we are able to improve the margin. I f you look at our margin has gone up. We are in the range of 15.3 or 1 5.4%

Harshit Patel: Right Sir. Understood Sir. T hank you very much for answering my questions and all the best.

 Moderator : Thank you. The next question is from the line of Amit Anwani from Prabhudas Lilladher Private Limited . Please go ahead.

Amit Anwani: Thanks for taking my question . My first question is on the industrial ceramic side where we are witnessing a strong growth which you just highlighted at least 20 % growth ? I just wanted to understand Sir we have been talking about product advancement here and largely this business being global in nature would like to understand are we increasing our addressable market with new pro ducts in pipeline if you would highlight like we did for metalis ed cylinder and at the same time if you would like to highlight the contribution from metali sed cylinder and industrial ceramics and how the growth has been there ?

Sridharan Rangarajan: Yes, I think we are definitely trying to improve our product range and service the customer and as the customer also expects us to move along with their own growth as well like a lot of our customers are asking us can we supply a part which probably they are sou rcing elsewhere at this point in time . So definitely these programs are there and some of them are very interesting areas that we are working on which I think we will start playing out in future . Similarly, even in the refractor ies also we see that quite a n interesting demand overseas exports is really picking up and that is also helping us in terms of the growth so I would say that both these engines are currently firing well and we are doing the right steps in terms of addressing that .

Amit Anwani: Right my next question is on abrasives you did highlight on retail site ? We are facing headwinds so how much is the retail portion in abrasives and second question on the Rhodius abrasives you did highlight it that the major advantage would be taking cost advant age in India and selling products there so what is the utilization there and how we are actually thinking to increase utili sation in Rhodious abrasives in coming quarters ?

Sridharan Rangarajan: So as far as the retail is concerned we are in the range of ab out 30 % to 35 % is our sha re of our business is t

he retail and as far as the Rhodius abrasive they are operating pretty much on a very high capacity utilisation so that is not a challenge and what we are really looking at is the challenge of price drop or expectation of the price drop from the customer vis-à-vis our situation of passing on the cost and thereby the price increase so that is where this current struggle is and we are working towards that .

Amit Anwani: Right my last questions Sir on electro miner als. VAW we did highlight in the last quarter we are already at 85 % and we are witnessing a decent growth there so any thought on capex there or any outlook you would like to give on the capacities in the VAW?

Sridharan Rangarajan: No as I said in the prev ious question we are operating at probably to the brim there and we just added a cell last year and we will not hesitate adding capacities . We will wait for some stability in the geopolitical situation be fore we start adding capacities. The normal capex

 programs that we do besides the silicon carbide in terms of the refractories and abrasives are all very much on and that we have made an on ground investment there .

Amit Anwani: How much is the capacit y Sir in VAW right now?

Sridharan Rangarajan: How much is that.

Amit Anwani: Capacity in VAW?

Sridharan Rangarajan: Capacity is about 90 ,000 tonnes of silicon carbide.

Amit Anwani: Thank you Sir. All the best.

Moderator : Thank you. The next question is from the line of Karan Gupta from Varanium Capital . Please go ahead.

Karan Gupta: Basically my question is related to the industry front where we are working on abrasives or ceramics, and industrial ceramics so we are more on B2B product right so how do you see the B2B products panning out in the premiumi sation sto ry where the B2C products which is on a year all the consumer products right which goes to direct the end consumer ? They are all on the premiumi sation part so where do you see the next five years or may be 10 years the B2B products segment which is all usi ng the manufacturing side right so that is not panning out in India about the manufacturing story and industriali sation this thing so how do you see this thing?

Sridharan Rangarajan: Yes, I think it is a great observation. I think India is witnessing a lot of investment in high - tech manufacturing as well as some of the new tech industries coming into India so definitely the B2B what you call as industrial products definitely will be in demand and products that we have practically do not have any business to consumer type of a product we have all B2B and probably a channel could be different but I think by and large it is that type of application and we see I think a great opportunity for a company like us in terms of what India would present to us as it goes from the current to say third position as the government wants to by 2030 . Definitely a far more greater opportunity for companies like us will be there .

Karan Gupta: Okay so the differentiation in the products will be on the basis of the competitive adva ntage in making in the B2B segment which is more related to the cost effectiveness right on the basis of cost advantage we can make the competitive advantage or anything we can introduce in this B2B segment as overall industrial basis not abrasives may be anything which is related with the manufacturing side so I am just trying to get your broader view on this?

Sridharan Rangarajan: Look I think some of the businesses that we are all in actually it require a lot of processing and technology skill sets a re required. It is just not the costs which acts as a competitive advantage. P erhaps you start with cost as an advantage but predominantly it is the value that we create both out of the technology as well as out of th e processing capabilit y plus the integrated value chain that we possess in terms of the minerals that we will have and which is manufactured by us helps us to get integrated into both abrasive s, ceramics and the refractory products so these are value opportunity that we will be able to create and b ring the differentiation .

Karan Gupta: Okay and just the last one is how to tackle this thing the China or the other let us say manufacturing countries are dumping the product so how do you tackle in the long term so that is something related to my previou s question?

Sridharan Rangarajan: I will give a very generic response because we are in a very wide sector that we are looking at. In the long run you have to compete on the values and that is the only way you can compete in any country for that matter and that is what we are working on .

Karan Gupta: The policy will be also beneficial if the governments are implementing about the dumping part so that will be helpful kind of thing ?

Sridharan Rangarajan: All right th at government should work on taking a n active look at antidumping support systems which is I think a very good observation .

Karan Gupta: Sir in the long term let us say you as a company dumping your product s in another country right let us say you have two to three segments you are dumping your pr oducts in another country so in the long run you will be beneficial in terms of financials or you will be demonstrated? It is just hypothetical question?

Sridharan Rangarajan: I think I am not g etting your question right but I think if you are asking us wh ether we will be going and dumping in some other country the answer is no . That is not our interests and probably we are not playing in those type of field and our scales are not that high for us to start looking at dumping as a way to survive .

Karan Gupta : Fair enough. Thank you.

Moderator : Thank you. The next question is from the line of Aditya Mongia from Kotak Securities Limited . Please go ahead.

Aditya Mongia: Thank you for the opportunity . The first question was more focused on Russia? N ow you talked about a constraint on the supply side but assuming there is no constraint from a

supplier perspective given where the globally things are going in China plus one what kind of growth let us say on a five year group block can you see out of Russia?

Sridharan Rangarajan: Aditya I wish we have able to do such kind of a forecast in a country like Russia. Y ou would appreciate that it is amongst many things that is going on at this point in time but what I can tell is that what is going in favor or Russia as a cou ntry has got a lot of minerals . This is not going to change overnight and the demand for those minerals will continue to be there irrespective of the political situation that it is facing and the cost positions that they have are really attractive so these are core I would say values that or the advantage that Russia possesses at this point in time and hence I would like to look at it that way and it is difficult for me to give a forecast let us say five years from now what would be the growth if things are normal I think we can definitely look at all possible ways to expand there and this is a good place to work on .

Aditya Mongia: Understood , the second question that I had was a gain related we talked about reali sations from Russia and going up what are the kind of drivers kind of driving that thing up just want to get a sense of because as the mix change that is happening how much more realisation growth can actually happen from here on if capacity is a constraint?

Sridharan Rangarajan: I think the way I wou ld like you to look at it is that so there is a demand inside Russia , right and those demands were met by us as well as by imports. No w the Russian government is also looking at similar

programs like Atmanirbhar in terms of supporting the Russian industri es as well as supporting the consumption that should happen in a domestic manufactured industry so hence they are also looking at how can they support their ecosystem and they are also facing in terms of sourcing products from outside of Russia so obvious ly these things help at this point in time so I would say that that is a reason we are also having capability to change the mix and improve the mix in what we sell in Russia and thereby we are able to continue to progress well .

Aditya Mongia: Understood th en the final question from my side . First of all congratulations for the new role of the company . From the perspective of how you see through the growth happening from here on how much importance would you be giving to acquisitions from here and I understa nd the interior supply chain and how it kind of feeds inside does that make you more open to be doing acquisitions and if you can give us some sense across segments that will help us out ?

Sridharan Rangarajan: Yes, I think see CUMI has been doing acquisiti on based on the need it had and how that acquisition brought value to its existing positions . So I think if you ask me I think we will continue that program and we will continue the program in terms of our core areas that would be the area that we will loo k at it largely in terms of where it can add value in terms

 of the technology , to support growth in let us say in the c eramics in particular and similarly some of the growth areas that we would look at it in terms of high performing materials . These are ar eas where definitely we would look at it and similarly we are also looking at how should we revitali se our research setup and improve our capability and bring in let us say not short term objective but really on the long term how CUMI can add value in term s of bringing products - a differentiated product through the research . This is something will be our focus going forward .

Aditya Mongia: Understood. M any thanks for your answers . I will let others ask questions . Thank you.

Moderator : Thank you. The next qu estion is from the line of Harshit Patel from Equirus Securities . Please go ahead.

Harshit Patel: Thank you very much for the followup . Sir my question is on Pluss Advanced Technologies . I think in the last annual report you have mentioned quite a lot abou t what are the new products that you are developing over there including those vacuum insulation box and one order that you have received from a power utility company as well . Sir, could you give us some outline about what would be the growth drivers over there ? What kind of growth that we are looking at would that be in excess of more than 20 % to 25% or not over the next three to four years and what are the actions we are taking to become profitable over there ? I think last time you had mentioned that for the full year FY 2024 that segment will become profitable so are we on track with respect to that or not ?

Sridharan Rangarajan: All right so I think as far as Pluss is concerned they are working on multiple segments . The key focus segment is building is one key focus area which is basically how do you reduce the energy intensity of a building. T hen the second area is the cold chain which is largely how do you supply products from what is produced is efficiently supplied to the market and there are current me thods of serving them in terms of reefer trucks type of the model and how do you make use of PCM as an alternate. Similarly, the other area is transportation of vaccines and transportation of medicines. A ll these areas auger well in terms of the PCM produc t applications . They also have polymer as the third vertical . That is also that key focus area. W hat currently we are doing is bringing out newer and newer applic

ations and demonstrating to the customers in terms of the use of it and convincing them to shi ft and

this is actually is the process that takes time because there is going to be an initial first co st
which is going to be higher but a lifetime cost is going to be lower but also you are having a
very, very green conscious cost that you will have but it takes time. In India it ’s not going to
be easy for converting from a traditional solution to a solution like this but that is what our
team is working on. F rom a small base their growth rates can be higher and that size I still
feel that we should give them a couple of more years before we start presenting and
reviewing them in terms of focused lens . People like you can start looking at that so I would

say it is something that we nurture at this point in time . Let us allow them that space and
then we wil l wait for their growth .

Harshit Patel: Understood Sir. T hank you very much .

Moderator : Thank you. The next question is from the line of Bhavin Vithlani from SBI Mutual Fund .
Please go ahead.

Bhavin Vithlani: Thank you for the followup . Sir regarding the p revious answer many confusion ? You
mentioned the S iC prices in Russia ha ve been going up but in the domestic EMD you
mentioned about drop in the realization so if you could answer in two ways ? One is the
quantum of price increases in Russia and quantum of price drop in India over the last
quarter in the Y-o-Y items and if you could just help us understand this better ?

Sridharan Rangarajan: Yes, I think it is a good observation. I think what we talk in India is largely alumina based
material and what we are talking in Russia is a silicon carbide and material coming from
Russia into India is pretty expensive and that is not to be compared so here we are talking
about materials coming from China into the Indian market and bringing the prices down .
Basically it is I would say not on a fair basis but let us say it is a dumping that would
happen but I do not believe that they can continue to keep on doing this so we feel that we
are able to match sometime the prices based on the volume and we are able to continue t o
keep the utilization and the capacities on stream and that is why you are seeing that the
growth sale, margin improvement is there and we feel that there will be also continued such
programs but at the same time we are also moving lot of value added prod ucts that gets
supplied which helps us to not based on a commodity based discussion but actually the
value adds that we could bring down so that is what we are currently working on .

Bhavin Vithlani: Could you give us the price reali sation change in Y-o-Y in this quarter both in domestic and
in Russia?

Sridharan Rangarajan: I am sorry Sir at this point I will not be able to discuss that .

Bhavin Vithlani: No worry. Sir so last question is what is the capital expenditure plan ned for the current and
the next fi nancial year and how would that be across the three divisions ?

Sridharan Rangarajan: So last year we spent about to close to Rs.300 Crores is the consolidated capex spend and
we would generally we should be ballpark in that range this year as well .

Bhavin Vithlani: And how would that be different across the three segments ?

Sridharan Rangarajan: I would say for ease I think you can take one third and one third but it could be some
somewhere 25 % and some where it could be 35 % but ballpark it is one third .

Bhavin Vithlani: Thanks for taking my questions .

Moderator : Thank you. The next question is from the line of Jason Soans from IDBI Capital . Please go
ahead.

Jason Soans: Thank you for taking my question . What I just wanted to know is when I really do
understa nd that you are well backward integrated through your elec

tro mineral section for
manufacturing abrasives as well as certain ceramics as well but I just wanted to know like
in the terms of proportion how much do you source in house and how much is taken
externally or bought externally as a percentage ?

Sridharan Rangarajan: So typically let me call it about 25 % to 30 % would be sourced our abrasive division would
source from our electromineral and the rest is all source d outside .

Jason Soans: Right okay so 25% to 30% is sourced internally in the abrasive segment and the rest
everything is sourced from outside ?

Sridharan Rangarajan: Right .

Jason Soans: Yes thanks for that sir and Sir my next question is when you did speak about the increase in
Chinese competitio n in your abrasives segment as well as electro minerals segment as well
especially towards the Alumina side now I just wanted to know the ceramics business also
I think around 50 % to 60 % is exports and China is basically stepping up intensity there in
terms of competitive intensity so just wanted to know from your sense how is the Chinese
competition playing out in terms of the ceramics business there in terms of the global
scenario how are you seeing Chinese competition play out in your ceramics business ?

Sridharan Rangarajan: So as far as the ceramic business is con cerned look I think we have wear ceramics and we have the other one is the industrial ceramic side of it . There could be competition coming in the wear mass ceramic side of it which is like ba se level ceramic that will be coming for protecting against the ware but on the other side we do not see a competition . Obviously on the wear side we are definitely getting into the value added solutions like engineering solution plus supplying the entire rubber backed ceramics, lined c eramics so all those are value added products so where you really work in terms of what the customer finally gets as a value addition in product rather than looking at per kilogram of ceramic supplied so that is how we work .

 Jason Soans: Sure Sir and just a follow -up to that I mean you do also supply to emerging areas such as electric vehicles or SOFC and renewable energy so there also would you say the competition the Chinese competition is minimal ?

Sridharan Rangarajan: On the SOFC field definitely we do not see that and definitely it is very, very minimum and people actually work with you the customers work with you for quite long time to be part of their design itself so it is not going to just a quick buying decision but it takes time first of all to bring you on board and then it is also going to take time for them to make any change so hence I would say these are areas where people really compete on values .

Jason Soans: Sure thank s for taking my question .

Moderator : Thank you. The next question is from the line of Amit Anwani from Prabhudas Lilladher Private Limited . Please go ahead.

Amit Anwani: I just wanted to understand one thing you did mentioned about wear ceramics and t echnical . Any proportional breakup if you can provide within industrial ceramics ?

Sridharan Rangarajan: Normally we do not share this Amit. The proportion of technical ceramics on the higher side.

Amit Anwani: Okay thank you Sir. T hanks .

Moderator : Thank you. That was our last question. I would now like to hand the conference over to the manage ment for closing comments. O ver to you Sir.

Sridharan Rangarajan: Thank you for being part of this call and activel y participating in our business. Y our questions and comments really help us in a lot of times . I would like to summari se here is that I think the performance of Q1 is really good and electrominerals, ceramics, non-retail portion of abrasives are performing well. Russia and South Africa is doing fine. Awuko is progressing well. S oftening of demand in Europe it needs to be add

ressed as far as Rhodius is concerned . The Company is debt free and I think the margins are improving. We will have a reasonable growth for this year and I think with that I would like t o complete the call and looking forward to seeing you in the next call. Thank you.

Moderator : Thank you. On behalf of Kotak Securities that concludes this conference. Thank you for joining us. Y ou may now disconnect your line .

Call: Nov 2023

"Carborundum Universal Limited Q2 FY'24 Earnings
Conference Call "

October 30, 202 3

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – MANAGING
DIRECTOR , CARBORUNDUM UNIVERSAL LIMITED .
MR. P. PADMANABHAN – CHIEF FINANCIAL OFFICER ,
CARBORUNDUM UNIVERSAL LIMITED .
MR. G. CHANDRAMOULI – ADVISOR , INVESTOR
RELATIONS , CARBORUNDUM UNIVERSAL LIMITED .
MR. DENESH KUMAR – SENIOR MANAGER , STRATEGIC
PLANNING , CARBORUNDUM UNIVERSAL LIMITED .

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED .

Moderator : Ladies and gentlemen , good day and wel come to the Carborundum Universal, Q2 FY'24 Earnings Conference Call , hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to M s. Bhoomika Nair from DAM Capital Advisors. Thank you, and over to you, ma'am .

Bhoomika Nair : Good morning, everyone and a warm welcome to the Q2 FY'24 Earnings Call of Carborundum Universal Limited.

We have the management today being represented by Mr. Sridharan Rangarajan – Managing Director; Mr. P. Padmanabhan – CFO; Mr. G. Chandramouli – Advisor -Investor Re lations and Mr. Denesh Kumar – Senior Manager of Strategic Planning.

At this moment, I will hand over the floor to Mr. Rangarajan for his initial remarks , post which we will open up the floor for Q&A . Over to you, sir.

G. Chandramouli : Let us start the pr oceedings with the disclaimer there :

Good morning , during this call, we will make certain statement s which reflect our outlook for the future, or which could be construed as a forward -looking statement . These statements are based on management 's current expectations and are associated with uncertainties and risk s, more fully detailed in our Annual Report, which may cause the actual result to differ. Hence these statement s must be reviewed in conjunction with the risks that the Company faces. Thank you.

Sridharan Rangarajan : Good morning to all of you and a warm welcome to our 2nd Quarter and First Half Earnings Call for the Financial Year , FY'24 . I trust that you and your family members are safe and healthy.

Today I am joined in the call by Mr. Padmanabh an – our CFO ; Mr. Chandra mouli – our Investor Relationship Advisor ; Mr. D enesh – our Strategic Planning Head .

We will begin this call by providing an overview of the Company 's performance for the quarter as well as the first half and then open up for questions.

Consolidated Numbers
First, I will start with Results:
Consolidated sales for H1 FY'24 were Rs. 2,314 crores , growing at 3.1% contributed by Ceramics growing at 11% , Abrasives growing at 3.2% , and Electrominerals with a negative

growth of 2.5% . Consolidated sales for Q2 FY'24 w ere at Rs. 1,123 crores with quarter -over-quarter growth of 0.6% and a de-growth of 5.7% sequentially .
Growth in Q2 FY'24 over Q2 FY'23 is contributed by 5.5% growth in Abrasives , 4.2% growth in Ceramics , and then a (-7.8%) growth in Electrominerals . Q2 FY'24 performance compared to Q1 FY'24 was a (-5.7%) mainly contributed by Electrominerals de-growth of 9.7%.
It is important to bring the perspective of war here. VAW, our Russian subsidiary grew in H1 FY'24, i n Rouble terms 24% . However , in INR terms, this turned out to be a de-growth of 6% . In H1 FY'23 Rouble was converted at 1.24 and H1 FY'24, Rouble is converted now in 0.94 and the exchange rate remained the same . The overall growth of CUMI in H1 would be in the range of 9.6% to 10%. We will discuss this in detail later.
PBIT of H1 FY'24 had Rs. 295.9 crores , the PBIT margin of 12.8% compared to PBIT of H1 FY'23 at Rs. 236.09 crores , PBIT margin of 10.5% grew at 25.3%. This was contributed by Abrasive growing at 49.1% , Ceramics growing at 26% , and Electrominerals growing at 5.8% .
PBIT for Q2 FY'24 was at Rs. 1 41.31 crores . PBIT margin of 12.6% compared to PBIT for Q2 FY'23 at Rs. 126.6 crores , PBIT margin of 11.3% grew 11.6% quarter -over-quarter and de-grew 8.6% sequentially .

PAT for H1 was at Rs. 215.1 crores grew 28.2%, PAT for Q2 FY'24 was at Rs. 101.9 crores grew 14.5% compared to Q2 FY'23, sequentially fell by 10%.
Standalone Numbers
Standalone grew by 7.6%, Rs. 1,303 crores in H1 FY'24 compare d to H1 FY'23. The growth was majorly driven by Ceramic segment at 10.9%, Electrominerals at 10.9% and the Abrasive segment at 4.1%.
Growth in Q2 FY'24 compared to Q2 FY'23 is 5.4% compared to Q1 FY'24. There was a negative growth of 2.4% sequen tially.
PBIT for H1 FY'24 was Rs. 232.78 crores , PBIT margin of 17.9% grew at 17.79% compared to PBIT of H1 FY23 at Rs. 197.62 crores , PBIT margin of 16.3%. The growth in PBIT margin came in from Abrasives , grew by 35.7% . Ceramics grew by 20.9% and a fall from Electrominerals by 20.3%.
Q2 FY'24 PBIT margin was Rs. 110.63 crores , PBIT margin percentage of 17.2% grew 11.2% compared to Q2 FY'23 and sequentially d e-grew by 9.4%. PAT for H1 FY'24 was Rs. 175.9 crores , this is an increase of 21.7% compared to H1 FY'23. PAT for Q2 FY'24 was at Rs. 8 2.8 crores resulting in a 15.4% growth compared to Q2 FY'23 and 11.1% de -growth compared to Q1 FY'24.
Abrasives
Abrasives consolidated revenue for H 1 FY'24 was Rs. 1,029 crores growing at 3.2% compared to H1 FY'23. Abrasive consolidated revenue for the quarter grew 5% to Rs. 510 crores compare d

to Rs. 484 crores in Q2 of the last year that de-grew by 1.6% sequentially. H1 FY'24 standalone Abrasive was at Rs. 568 crores and grew by 4.1% compare d to H1 FY'23. Standalone Abrasives grew by 3.4% to Rs. 285 quarter -over-quarter and almost flat sequentially.
Our subsidiary in America grew at H1, Q2 and sequentially, very healthy. VAW H1FY'24 grew 22% in Rouble terms, however in INR this itself is a decrease of 7.3%. H1 FY'23, Rouble to INR was converted at 1.24 whereas H1 FY'24 Rouble to INR is converted at 0.94, quarter -over-quarter growth in Rouble was also good at 24%.
RHODIUS in Q2 achieved the net sale s of €15.2 million compared to € 14.2 million in Q2 of FY'23 and €15.5 million in Q1 of the current year. We communicated in the last call that the RHODIUS is planning to be flattish at top -line due to softening of the demand , parts of Europe and competitive pricin g in the market. We still maintain the same expectation the price increase put up to offset the cost which resulted in lower order intake which impacted the overall sales. On a YTD basis sales de-grew by 5% to €30.7 million from € 32. 2 million during the last year. We delivered a loss of 4.7 million which included one -off cost of €2 million and a PTA write -off of Rs. 2.8 million . On a YTD basis , we are at a loss of €1.4 million against €2 million during the last year, which means losses are coming down. As said during our last call, we expect in the full year a similar loss in line with that of the last year due to softening demand and an increase in energy costs. We are maintaining our forecast . This is our current outlook and we

will have another six months to explore anything better.
Coming to AWUKO's performance this quarter, we achieved €1.9 million , sales against €2.5 million in Q1 of the current quarter and €1.95 million in Q2 of the last year. Losses in Q2 was €0.86 million against the loss of €0.7 million in Q1 of FY'24 and €0.5 million in Q2 of last year. On YTD basis, we achieved €4.4 million sales, which is 3% lower compared to the last year and the losses at €1.6 million against €1.1 million during the last year . As communicated earlier, we expect the losses in FY'24 will be around €2.5 million. We expect AWUKO to breakeven by FY'25 . We maintain the same outlook .
Standalone Abrasive s, in India, we have grown 4% compared to H1 of the last year . There has been good growth in terms of the volume in Industrial Segment and Precision Segments , almost cl

ose to a double -digit growth . However, in Retail segment, we are facing challenges after increases in supplies from China , and new entrants in the segment.
Better reali sation and softening in input costs has helped us to reach the margins to the previous level of 16% in H1 FY'24 which was at 12.3% in H1 o f the last year . We expect to hit overall 8% to 10% growth in the full year as told during the previous earn ings call. The focus has been on improving margins through product mix optimi sation, increasing sales in value -added products and improving internal efficiencies.

Consolidated PB IT of H1 FY'24 was at Rs. 68.3 crores compared to Rs. 45.9 crores resulting in margin improvement from 4.6% to 6.6% . Q2 FY'24 PBIT was Rs. 37 crores against Rs. 28 crores in Q2 o f the last year and Rs. 31 crores in Q1 of the current year . The increase predominantly coming from stand alone margin movement from 1 2.3% to 16 %, better performance at Sterling , America , VAW , lower losses a t RHODIUS and closure of China helped to achieve this .
Electrominerals
Electro minerals on a consolidated basis for H1 FY'24 had a sales of Rs. 796 crores compared to Rs. 816 crores in H1 FY'23. Electro minerals consolidated revenue for the quarter was Rs. 377 crores versus Rs. 410 crores in Q2 o f the last year , resulting in a decrease of 8% as it de-grew 10% sequentially .
Standalone Electrominerals for H1 FY'24 was Rs. 390 crores and it grew by 11% , de-grew at 2% sequentially , but grew at 12% quarter -over-quarter . At H1, volume growth in alumina and refractories are in high te ens. However, price dropped due to dumping by Chinese producers . The strength is witness ed in many geographies and we will stay focused on volume growth . We expect price stability will come , margins could be under pressure , under stress in the interim .
Coming to the performance of VAW , the performance has been good in local currency and deliver ed its higher ever quarterly sales of 2 .5 billion Rouble s in this quarter compared to 1.86 million Rouble in Q2 of the last year. Also, in H1 basis sales grew by 24% to Rouble 4.9 billion. Operations are running well and there has been an increase in sales volume compared to last year, 4% in silic on carbide and 18% in abrasives, 10% in refractories . Also, price reali sations are better compared to previous years. When converted to INR the story looks a little different and shows downward performance because of a stronger Rouble during Q2 of the last year where it was at one Rouble equivalent to 1.33 whereas it has become much weaker at 1.01 in Q1 FY'24 and 0.88 in Q2 , FY'24. We delivered a profit of Rouble 418 million, same as during Q1 of the current year against 236 million Rouble s during Q2 over the last year .
On YTD basis, profit increased significantly to 835 million Rouble compare d to 461 million during last year. For H1, Rouble s were converted on average one Rouble which is equ ivalent to 0.94 for this year compared to 1.24 during H1 of FY'23 .
Capacity utilisation is normal when they are able to sell more in Russia and on YTD basis, the mix to our session sales volume from domestically has increased to 59% compared to 5 5% during the last year .
VAW is able to collect all its receivable, they con tinue to be debt -free and ou tlook remain s stable and positive.
Foskor Zirconia , FZL's lower sales in Q2 of '24, FY'24 is majorly on account of postponement of offtake by the Top Three customers and price pressure from Chinese supplies. The team is

confiden t to compensate in the second half of the year and expects a similar top -line as that of last year.
Overall, for the quarter P BIT at consolidate d level was at Rs. 62 crores again st Rs. 69 crores in Q2 o f the last year and Rs. 7 4

crores in Q1 of the current financial year . On a YTD basis it grew
by 6% to Rs. 136 crores . Standalone margins significant ly impact ed during the first half of the year compared to the previous year mainly because of dumping by China .

Ceramics

Consolidated Ceramics in H1 FY'24 grew by 11% to Rs. 552 crores . Q2 FY'24 were higher by 4% at Rs. 265 crores as against Rs. 254 crores in Q2 FY'23 of the last year , sequentially de-grew by 8% percent .

Standa lone Ceramics at H1 FY24 grew by 11% to Rs. 448 crores compared to H1 FY'23. Q2 FY'24 sales of Ceramics were Rs. 217 crores , growing 3% quarter -over-quarter and 6% de-growth sequentially.

The R efractories , Wear Ceramics , Metal lised Cylinder business grew in H1 FY'24 very well in high teens. Delay in offtake in Engineered Ceramic business resulted in 11% growth as of H1 FY'24 . Subsidiaries in Australia and America register ed a significant growth .

Profit before finance costs and tax at consolidated level for H1 FY'24 was Rs. 154.7 crores growing at 26% compared to H1 FY'23 ; Q2 FY'24, P BIT was Rs. 74 crores growing by 14% quarter -on-quarter basis, but de-grew 9% sequen tially at consolidated level . The PBIT margin has improved from 24.7% in H1 FY'23 to 28% in the current financial year. All companies in the segment contributed to margin im provement.

Now I request our CFO – Mr. Padmanabhan to cover PBIT margin, debt positions, cash flow and CAPEX.

P. Padmanabhan : Consolidated PB IT margin improved from 10.5% in H1 of last year to 12.8% in the current year, mainly driven by three segments. PBIT margin for the quarter improved from 11.3% to 12.6% in the current quarter , dropped by 40 basis points sequentially. On a quarter -over-quarter basis margins have improved in Abrasive and Ceramic segments , with a marginal drop in Electrominerals margin . On sequential basis margin improved for Abrasive but dropped marginally in Electro minerals and Ceramics .

At the standalone basis margin s have improved from 16.3% to 17.9% in H1 of current financial year, this is majorly driven by Abrasiv e, then Ceramics , but drop in Electrominerals segment . PBIT margin for the quarter improved from 16.3% to 17.2% in the current quarter and dropped 130 basis points sequentially. The margin improvement was contributed by Abrasives and Ceramics quarter -over-quarter , whereas on a sequential basis the un-allocable expenses increase , brought down the overall margin, but broadly all the segment al performance is good.

On the Abrasive front on H1 basis, PB IT margins improved from 4.6 % to 6.6 % at consolidated level , majorly contribu ted by standalone business increasing margin from 12.3 % to 16%. At the consolidated level PBIT margin for the quarter improved from 5.8 % to 7.3 % in the current quarter, and also improved by 1 30 basis points sequentially. This was due to increase in the margins of standalone business from 12.5% to 16.7% in the current quarter on back of better realization and softening in the input cost . Standalone Abrasives margins improved by 150 basis points sequen tially . Also, the loss es coming down in RHODIUS contributed to improvement in margins .

On Electro minerals in H1 at consolidated level PB IT margins have improved from 15. 7% during last year to 17% in the current , majorly contributed by the Russian subsidiary on account of higher volumes and better reali sation. The margins of standalone business dropped significantly from 16.3 % to 11.7% mainly because of the dumping by China , even though volume pickup is there. For the quarter PB IT margins at consol level dropped from 16.9% to 16.3% quarter -over-quarter ba sis, and also drop ped 140 basis points sequentially. The margins of standalone business dropped significantly from 15.8 % to 11 .9% in the current quarter. However, it was b etter by 40 basis point

s sequentially .

In respect of the Ceramics business, at the consolidated level for H1, PBIT margins improved from 24.7% to 28%. Standalone Ceramics improved from 24.4 % to 26.6 %.

American subsidiar y did significantly well compare d to last year , the margins of Australian subsidiar y has also improved . For the quarter PB IT margins at cons ol level improved from 25.4% to 27.8 % quarter -on-quarter basis but dropped 40 basis points sequentially. The margins of standalone business improved from 25.5 % to 26.2 % in the current quarter but dropped by 65 basis poi nts sequentially. The higher volumes and better product mix contributed to the higher margins compared to last year.

On the debt position there was Rs. 23 crores of debt a t the standalone books and the total debt on consolidated basis was Rs. 1 40 crores compared to Rs. 1 78 crores as of June 2023. The debt-to-equity ratio was at 0.05 at consolidated level . Cash and cash equivalent , net of borrowings was a t surplus of Rs. 221 crores meaning the net debt after adjusting for cash equivalents is almost zero.

CAPEX spen ds so far at consolidated level is Rs. 97 crores and we expect for the full year '24,

we will be incurring a CAPEX of around Rs. 260 to Rs. 280 crores as again st Rs. 300 crores as
was communicated earlier .
Our free cash flows for H1 in the current year at consolidated level is 69 % of PAT compared to
(-126%) of PAT in last year first half . At standalone level it is also at 68 % of PAT compared to
(-49%) of PAT in H1 of last year. This is mainly on account of significantly higher net cash
flow, inflow from operations compared to last year. Standalone Rs. 22 crores in H1 FY23 to Rs.
150 crores in H1 FY24 and consolidated Rs. (-38) crores to Rs.243 Cr in the current quarter,

mainly because of better working capital management and lower CAPEX spend compared to
previous year .
I would now request Mr. Sridharan to summari se.
Sridharan Rangarajan : I would like to summari se the following 10 to 12 points .
CUMI achieved consolidated sales of Rs. 2,314 crores in H1 FY'24 and a PBIT of Rs. 296 crores
with PB IT margin of 1 2.8%. Sales grew at 3.1% but PBIT grew by 2 5.3%, PBIT margin
improved by 230 bps. It is important to bring the perspective of V AW here , VAW gr ow in H1
FY'24 in Rouble terms 24%, however in INR te rms there is a degrowth of 6%. As the exchange
rate remains the same, overall growth of CUMI in H1 would be 9.6% to 10% .
CUMI remains a debt free Company , CUMI's free cash generation is very good , free cash to
PAT at 69%. The overall performance of the Company during the first half of year is good .
Volume and price growth is good in Refractor ies, Ceramics and Electro minerals. Major portions
of the Abrasive business , volume growth is very good.
We need to focus on the standalone Retail segment that will b e our focus for the coming few
quarters. We feel standalone growth could be in the range of 10% to 12% against what we
communicated last time at 15% . And consolidated could be in the range of 5% against earlier
forecast of 10% , largely because of the excha nge impact of Rouble . Standalone and consolidated
PBIT margins compared to FY'23 should improve.
With th at we will end the opening remarks and open up for questions answer session . Thank
you.
Moderator : Thank you very much. We will now begin with the Question -and-Answer Session. The first
question is from the line of Ravi Swaminathan from Avendus Spark . Please go ahead.
Ravi Swaminathan : My first question is with respect to the Abrasive business Retail segments, which are the sectors
which are slowing the growth with respect to this particular sub -segment ? And s ame is the case
with E ngineered Ceramics also, so which other sectors which are seeing a slowdown in terms of
overall growth, which is d rying our growth of bo

th categories?
Sridharan Rangarajan : First of all, I would say there is no slowdown in the sector. What is happening in Retail is
competitive pressure of price dumping by Chinese competition, as well as some of the people
outside of the traditional Abrasive business coming into Abrasive business, p articularly on the
lower end of the business to leverage their distribution trend , which I am now referring to paint
business which I think we have been talking for quite some time , that is what is happening and
not a degrowth of a particular industry or s ector.
Similarly, on the Engineered Ceramics side also there is no degr owth of the industry or a sector .
What is happening is a particular customer trying to clear their inventory as well as switching
from one model to the other model , is basically slowing down their order intake from us . They

have communicated this and we are recalibrating it and we expect things to become normal,
which we have already considered in our forecast.
Ravi Swaminathan : And you had talked about Chinese competition or dumping in both the Abrasives and the
Electrominerals segment. This is something incrementally I think the reference has gone up over
the past few quarters. So, how intense is the competition, is it almost back to pre-COVID levels ?
How should we think in t erms of profitability, given the fact that usually Chinese products are
very aggressive in terms of pricing and therefore, can it have an impact on the profitability,
especially on the Electro minerals segment ?
Sridharan Rangarajan : The trend of Chinese competition we are witnessing not just in India across various geographies
and across many sectors, not only in Abrasive , Electro mineral s, Ceramics , you could see the
same thing in electronics, you could the same thing in auto parts, man y sectors. Some sectors,
they are also reversal of the trend by Chinese competition, increasing the price .
I was just telling that the Chinese competition is there, not only in our business, but across
various different business . You know what's happening in China, so there is always a pressure
from their business to sustain we are trying all our best . We have also witnessed sectors where

they have reversed th eir trend, they used to work on a no -profit basis, then w ent to no -cash ba sis, then they are reversing that trend. I don't think they can keep doing this beyond a point. So, I feel that we will continue our trend of holding our volume, which is what we did in our Electro - mineral business . As I said, we have double -digit volum e growth in Electro -mineral business domestically and we will continue that strategy.

And I think we are also equally working on bringing costs down, which I think to some extent volume growth helps us to bring the cost down. I feel that we need to give a few more quarters to see how this trend will continue.

Moderator : Thank you. The next question is from the line of Bhavin Vithlani from SBI Mutual Fund . Please go ahead.

Bhavin Vithlani : The question is on Ceramics , if you could dissect the segment between the three refractory segment , Wear Ceramic part and the Engineered part , and give us a growth of , what's the growth in the 2nd Quarter and the first .

And you mentioned some destocking and changeover to a new model by the customer. So, how long is this per iod go ing to be? And how do you see the growth here because this is a segment where you have been guiding for a 25% growth so the slowdown to 4% seems a little too stark .

Sridharan Rangarajan : I think as I told in my opening remarks, I think in refractories we are growing at volume and price at double digit and we are also growing well in Wear Ceramics and Metali sed Ceramics , again both volume and price in double -digit. Engineer Ceramics is whe re we have blip, which I feel that as I explained

to you it could take a couple of quarters more before they readjust their destocking and getting into the new mode l position. And then we will be back. And I think this

has been communicated. They are worki ng with us in this manner. So, I don't think we have a surprise , we know that this is happening, and they have been communicating and working with us, including the new model development. So, we should be back I don't think ; it's a temporary blip.

Bhavin V ithlani : Just a follow up on this , because the earlier calls , the guidance was that we can see it’s n ot arithmetic , but geometric growth in the Ceramics largely driven by the new energy segment. So, would we see that after a couple of quarters where there is a changeover from a Model A to Model B , we would catch up and more than make up for the growth.

Sridharan Rangarajan : Broadly, I would say see Ceramics we have been growing at a CAGR of somewhere in the range of 20 % plus, right. And I don't see a reason why that should drop. And as I said that our America business , Australia business , India business , all firing well and some of the areas that we are working on is doing fine. So, I think those type of trends should co ntinue is what I feel.

Bhavin Vithlani : On the Abrasive side , the industry has gone for anti -dumping request to the government, especially due to the Chinese dumping and you also mentioned about this. So, is there any progress on that front? And in terms o f pricing how different is the pricing of the large, organi sed players like yourself and G NO versus the Chinese and the kind of cost action that you mentioned how much can that help you to regain the l ost market share?

Sridharan Rangarajan : We did represen t through the proper channels on the price dumping methodologies and put up our case as an industry. And I think one set of the government supported this and recommended a set of actions. But the other set of the government did not take this on and proceeded w ith it. So, that is a reality , but we will continue our pursuit. And we feel that I think this cannot continue long. And I feel that a certain amount of this interim challenge we must face , and we will get back as a business.

Bhavin Vithlani : In the Annual Report, you did speak about positive progress on the high -purity S iC and the high - purity graphite graphene, which one part will be used for the electronics semiconductors and others for the battery part . If you could just help us with the progress so far and where are we in that journey ? And how much acceleration to the growth could we expect once we are able to commerciali se this?

Sridharan Rangarajan : Mr. B havin, I did talk about this in the last call, and I want to re iterate our position clearly here. This is a three -to-five-year work, I think it will take time . It would be difficult to update quarterly progress , but what we can tell is largely that we have established a high-end purity level . We are able to produce products . We have done testing on the quality of our product; we have grow n crystals out of that we have wafered products out of a crystal that is grown. And the qualities of them are all meeting the standards. We a re working and progressing in this direction. And I would defer to futu re actions only when we get into a clear position of what we can do with that. That's where I would give you a broad idea.

Moderator : Thank you. The next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.
Harshit Patel : My first question is on V AW. What would be the current reali sations for silicon carbide vis-à-vis the full year FY'23? As you have mentioned, there has been an increase in the overall realisations. This is a bit surprising given that even the reali sa

tions ar e falling in the domestic Alumina business . Even globally, most of the commodity prices are falling, including that of Electro minerals. So, how is it that we have been able to post a growth in the reali sations over there?
Sridharan Rangarajan : Mr. Harshit , I think we are talking silicon carbide, which is totally different to Alumin a. And as far as our competitiveness in V AW, as I said that we have a capability to produce at the best cost possible in the world and capability to swing the mix between domestic and export out of Russia . and that makes this product reasonably capable of putting up prices, as well as some extent of let's say for example when you sell products in Dollar and Euro, then as we saw that some of the depreciation of Rouble coming through so obviously, there is going to be a price reali sation change that would also come through , because of the exchange gain that in Rouble terms that what we would have. But we see that even in terms of the Dollar pricing, as well as Rouble pricing, there is a small I would say, a small drop in terms of the Dollar and Euro pricing, probably really very small drop, but the reali sation in Rouble is really strengthening. So, this is how it's happening.
Harshit Patel : My second question is on the Abrasives. Have we taken any pricing actions in the last two to three quarters either on the upward or downwards or are we maintaining the same prices? Is there a possibility of downward revision , given that the RM cost pressures have broadly come off now ? If that is the sit uation, then what explains such a huge jump in the standalone m argins ? Is there any impact from the product mixing as well, given that we have posted more than 16 .5% margins, which are very different from what we have been doing in the past few quarters?
Sridharan Rangarajan : So, I think we should look at Abrasi ve in the lens of last say three, four years we have been posting a 15 % to 16% PBIT margin . There was a drop because of the cost push and then capability to put up the price and reali se that which was happening in last year and that's how you are seeing a lower PBIT margin coming through and we have been telling that we are taking respect ive actions on that. And that's what we are able to get back to our normal level of PBIT margin.
Second is the mix between Precision and Industrial versus Retail also is helping us to some extent, a better PBIT margin .
Coming to your question of, are we putting the price upward or downward? We are trying to do and adjust our price according to the market as our aim is to secure volume and this is where we would focus on and as I was just saying in my opening remark, we are doing well in Precision , we are doing we ll in Industrial , our challenge largely remains in the Retail segment.

Harshit Patel : Just a last small book -keeping question , the unallocable expenses below PBIT have jumped quite sharply in the last two quarters. We thought that this would taper off since the majority of integration process of AWUKO and RHODIUS would have been over by now. So, how should we read this?
Sridharan Rangarajan : No, I think some of the unallocable expenses at the YTD level is comparable to the last year. I don't think it's any differen t. Let me just take my note for a second. I think YTD , Q2 was Rs. 50 crores and YTD Q2 this year is at Rs. 51.5 crores , it's very much in line.
Harshit Patel : We thought this would taper off actually given that the integration processes are broadly over of the German acquisitions. So, that is why ?
Sridharan Rangarajan : This should continue, I think last time also at the beginning of I would say two , three calls before I was telling that the trend should continue , I don't think it should taper off . We will probably at the end of the year we will give more guidance on the

next year.
Moderator : Thank you. The next question is from the line of Raj Shah from Marcellus Investment Managers. Please go ahead.
Raj Shah : So, my question is again on the standalone Abrasive side, in the opening remarks you mentioned about new entrants that are coming in the market. The question was how serious are these players ? And who are these players? How impactful is their presence for our Retail segment ?
Sridharan Rangarajan : Mr. Raj, I think we talked about this , largely it's the pain t sector where , as you know , that pain t business is also going through a bit of a high degree of competition and each of the pain t majors are looking for opportunities to divers ify and one of the opportunities for them is to make use of their distribution channel, which is the hardware paint counters, mainly paint counters, where Abrasive products are put through like sheets, rolls and those products are put through.

So, these a re the players who are what we refer red to as new entrants and this is quite expected and normal for any business, which has got a good degree of leverage to make use of it. But I think we will stay focused on our core busi ness, our capability of product strength, innovation and the distribution strength that what we have built, plus working with customers in Industrial and Precision will continue. But we will see , we are cognizant of this competition, we are working towards responding to this competition. And this is where I said that an impact on the Retail segment is there.

Moderator : Thank you. The next question is from the line of A mit Anwani from Prabhudas Lilladher. Please go ahead.

Amit Anwani : My first question is on AWUKO and RHODIUS . So, AWUKO , this quarter w e did some 0.86 million losses versus 0.7 million , which actually widened . So, just wanted to understand from you are we on track on the long-term plans on these two subsidiaries, you guided breakeven for AWUKO by next year and I think 12% to 13% margin for RHODIUS by FY'26, so just wanted to have an update on th ese two subsidiar ies.

Sridharan Rangarajan : So, AWUKO breakeven at FY'25 , we are still working on that , that's our current forecast, as I mentioned in my opening remarks . PBIT margin getting b ack to 12% for RHODIUS by FY'27 is still very much on track from our si de.

Amit Anwani : My question on Retail Abrasives which you already did highlighted, but you did mention that you are expecting to come back here and the growth in standa lone Abrasive you are confident of some 8% to 10%. So, how are we dealing this Chinese competition which you already did highlight? And what would be our strategy that we are confident of growth despite these challenges here?

Sridharan Rangarajan : I think we are expandi ng our Retail network. So, like say some o f the geographies that currently we are not that much p resent , we are expanding it . We are putting more feet on the street. We are investing on the technology in terms of connect, and then how do you work with the retail counters and even like perhaps painters, artisans, that kind of a connect. We expect this type of work would take about 18 months to 24 months in terms of making these changes significant result to come up and I think because of our knowledge and e xpertise in the core Abrasive business, we will be able to do this . And we should do that and that is the right way of responding to competition like this. So, that's the strategy that w e will work on.

Amit Anwani : My last question on Electro minerals , Synthetic Brown Fused Alumina used to be one of the breakthroughs couple of quarters back. If you would like to highlight how was the contribution and growth here ? And also, same thing for the SOFC how is the contribution in growth , this quarter and any u pdate for upcoming quarters here?

Sridharan Rangarajan : As I s

aid that I think when I talked about Aluminas which covered including the synthetic alumina where we are securing very good volume growth and I think, as I said that the price pressure which is a mix of competition plus the Chinese dumping, which is what is causing this we expect that this trend should reverse. It is difficult to put up a broad timeline, but I think I expect they should come back .

Amit Anwani : How was the contribution from S OFC .

Sridharan Rangarajan : So, Solid Oxide Fuel Cell , is that what you are referring to?

Amit Anwani : Yes, right sir.

Sridharan Rangarajan : They are doing fine. And I think we are continuing our good work there.

Moderator : Thank you. The next question is from the line on Mohit Pandey from Citi. Please go ahead.

Mohit Pandey : First question is, again, on Engineered Ceramics. So, you mentioned one of the key customers moving from Product A to B, just wanted to clarify if you have certifi cations in place to cater to Product B as well or that is something you have to work on over the next two quarters.

Sridharan Rangarajan : I think we have been working with them in co-creating this Product B. So, it's work that has been going on with custom ers. So, as soon as they launch, we should also be in a position to start something.

Mohit Pandey : And secondly margin s were quite strong despite the deceleration in growth on the Ceramic side. So, once the growth comes back to the earlier trajectory after say a couple of quarters, is 30% kind of margins a possibility in Ceramic?

Sridharan Rangarajan : So, as I said of the entire bouquet of Ceramics business there is one segment where we have , let's say the harder postponement, etc. and once those volum es comes our margin should improve and I am not in a position to com ment whether we will hit 30% or not -- currently let's say we are doing in the range of about 27 %, 28% I think that should continue and probably slightly

improv e upon .
Mohit Pandey : The l ast question is on the CAPEX; I think in the opening remark it was mentioned CAPEX of Rs. 2 60 crores , Rs. 280 crores versus Rs. 300 crores earlier guidance. So, where is the reduction coming from , which businesses, if you could put some light there?
Sridharan Rangarajan : We said Rs. 260 crores to Rs. 280 crores I don't think there is any particular deferment, but I think when you ex ecute a CAPEX sometimes the delay in execution will also come in play and we will not be in a position to capitali se with in the timeframe that we are looking at. That is what i t is, there is no let's say that we are deferring a particular CAPEX program etc.
Moderator : Thank you. The next question is from the line of Charanjit Singh from DSP Mutual Fund . Please go ahead.
Char anjit Singh : Specifically on the Abrasives market, if you can touch upon now Chinese and these new paint players who are coming into the market, what percentage of the market they will be addressing? And right now in terms of the mix of Precision and Indus trial and Retail , what is that mix for us right now ?
Sridharan Rangarajan : They are about 70% is our mix , 30% is Retail . This is our mix and I think probably the market should represent close to that . And in that these are the new players coming and working on it, in certain select segments within that 30% .
Charanjit Singh : So, is it a correct understanding that these new players and the Chinese players are part icipating mainly in this 30% of the market?
Sridharan Rangarajan : Yes.
Charanjit Singh : And do you see the paint players also scaling up in the Industrial segment with the kind of capabilities and their understanding is there?
Sridharan Rangarajan : It's like we want to enter into let's say a pain t business or any other business , it’s going to be tough for anyone to change and get the knowledge and ex

pertise required in particular business .

It's not impossible, but I am just saying . But whereas in Retail on the low level on the sheets , rolls, mainly working on a traded product using their reach that is what is the current focus of those people.
Charanjit Singh : So, in terms of the reali sation how do you see the reali sation now moving forward in the Abrasives market? Do you see further pressure in the pricing or now the prices should stabili se any thoughts there ?
Sridharan Rangarajan : So, in the Retail, I feel that competition would continue and there will be inter im price pressure . But in Industrial and Precision , which is largely working with customers , working with an application winning t hrough that is largely a function of how well they benefit out of our product. So, there could be a price pressure on the Retail side.
Charanjit Singh : Lastly, on the m et cylinder , if you can just give us any update in terms of how is that market performing, because a large part is exports within that market and what is the future outlook there?
Sridharan Rangarajan : So, as I said in earlier question, we are doing well in Metal lised Cylinder segment . The growth is very good, and we are performing well. We are probably the number two player in the world and we are doing it well.
Moderator : Thank you. The next question is from Saif Gujjar from IC ICI Mutual Fund . Please go ahead.
Saif Gujjar : So, I have two questions regarding V AW, that is our Russian subsidiaries . First how much would be domestic and external sales breakup for first half ?
Sridharan Rangarajan : 59% is domestic.
Saif Gujjar : And out of the remaining 41%, what w ould be the exposure , it will be mainly Euro or Dollars ?
Sridharan Rangarajan : It's a mix of I don't think any particular , it depends on some Euro country also starts paying in Dollar. It depends on the customer to customer.
Saif Gujjar : Just a follow up on the VAW, so for the first half of this year, if you can give us the numbers regarding PBIT for V AW for first half , along with the cash flow generated from operations . And how is the same getting allocated , in terms of dividend payout to CUMI or CAPEX or Debt Repayment for first half ?
Sridharan Rangarajan : So, as far as the dividend payment , it happens once a year and that could happen sometime June , July of next year. But as far as the PBIT is concerned for the first half, I think I mentioned in my call, it's about 1.1 billion rouble versus 663 k rouble of the last year.
Saif Gujjar : And so are we able to repatriate it fully or are there some restrictions going ahead ?
Sridharan Rangarajan : No issues so far.

Moderator : Thank you very much . We have one last question. The last question is from the line of Prolin

Nandu from Goldfish Capital. Please go ahead.
Prolin Nandu : Two questions from my side , one is on the Retail Abrasive segment. There again, I mean, lots of questions on that. You mentioned two types of competition. One is Chinese, which is probably gaining on price and other is paints, which is probably gaining on distribution. But when it comes to quality, I think our quality of these Retail products would be far superior. So, in terms of the market trend changing and people using better quality products, how is that trend? And do you think that I mean during COVID when Chinese competition was not there, there were some people who had shifted to products of higher quality have they now shif ted back because of pressures in their business ? And going forw ard, how do you a shift towards quality production, which will benefit us in the three to five years' time ?
Sridharan Rangarajan: I think I would say in a window that you are looking at three t o five years where we need to rework our Retail reach a

nd distribution model , I think quality will have a good play and people will start looking at their effort that they will put to use and either cut or grained and also the per piece cost that they wou ld have, will all come into play and I think I feel that in the long run quality will have a play.
Prolin Nandu: And second question would be on your M&A strategy right, I mean how is the pipeline looking in terms of, I mean are there some companies that y ou are actively evaluating and given whatever is going on in the global market, do you think, I mean would there be something, asset available at a good price or would you like to probably wait for some calm in the market before you go ahead with the acqui sition ? Some color on your M&A strategy would help .
Sridharan Rangarajan : See if there are assets at a good price, we are always interested in looking at that and we as a player are looking at long term horizon , you know t here could be some current geopolitical tensions, other things happening. But I think these things you can't figure out a decade where there was no geopolitical tension and issues always remained, not in this century , but even if you look back many centuries back as well. So, we are committed to our core business, and we feel that these areas are bound to grow and whe never a good opportunity comes, we will definitely look at it.
Moderator: Thank you very much. That was the last question. I would now like to hand the conference back to Ms. Bhoomika Nair for closing comments.
Bhoomika Nair: Thank you everyone and particularly the management for giving us the opportunity to host the call. Thank you very much sir and wishing you all the very best. Any clo sing remarks from your end, sir?
Sridharan Rangarajan : Well I think I just summari sed and I would reiterate that the majority of the business volumes and price are there. There are select segments where we need to work. Retail Abrasive is one such segment where we need to really work, and we know what we should do and we are working towards that and I expect 18 months, 24 months the result starts playing out. Margins

are good. Volumes are good. I resta ted, impact is there but I think, those are all things keep happening. But I think if yo u look at excluding that, I think broadly the business growth is in direction, cash flows are good and I think we continue to grow in that trajectory. And we feel that there could be some interim challenges like the ones that we are facing , but I think we will have programs to address this. We are confident about the guidance what I just said in the closing remark. Thank you and all the very best and wish you all a very Happy Diwali and be safe and healthy.
Moderator : Thank you very much on behalf of DAM Capital Advisors Limited . That concludes this conference. Thank you for joining us, ladies and gentlemen , you may now disconnect your lines.

Call: Feb 2024

“Carborundum Universal Limited
Q3 FY202 4 Earnings Conference Call ”

February 02, 202 4

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MR. DENESH KUMAR – SENIOR MANAGER
STRATEGIC PLANNING - CARBORUNDUM
UNIVERSAL LIMITED
 Moderator: Ladies and gen tlemen, good day and welcome to Carborundum Universal Limited ’s Q3 FY 2024 Earnings Conference Call hosted by ICICI Securities. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions af ter the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ashwani Sharma . Thank you and over to you Sir!

Ashwani Sharma : Thank you Vir en. Good morning everyone. On behalf of ICICI Securities I welcome you all for the Q3 FY2024 Earnings Conference Call of Carborundum Universal Limited . We thank the entire management of CUMI for giving us this opportunity again. Today from the management we have Mr. Sridharan Rangarajan – Managing Director , Mr. P. Padmanabhan Chief Financial Officer, Mr. G. Chandramouli , Advisor Investor Relations and Mr. Denesh Kumar , Senior Manager S trategic Planning . So we will start the call with opening remarks from the results and outlook by the management . Post that we can have the Q&A session. I now hand over the call to Mr. Rangarajan for his opening remarks . Thank you Sir and over to you !

G. C handramouli : Good morning I am Chandra mouli. Let us start the pro ceeding with the disclaimer clau se. During the call we may make certain statements which reflect our outlook for the future or which could be construed as a forward -looking statement. These s tatements are based on management ’s current expectations and are associated with uncertainties and risks are more fully detailed in our annual report, which may cause the actual results to differ. Hence, these statements must be reviewed in conjunction wit h the risk that the company faces. Thank you very much.

Sridharan Rangarajan : Thank you Mouli and good morning to all of you. A very warm welcome to our third quarter and nine months ’ earnings call for FY 2024. All of you are doing well and safe and healthy and in today’ s call I have with me Mr. Padmanabhan , our CFO ; Chandra mouli, our investor relationship support ; Denesh , our strategic planning he ad. We will b egin this call with provi ding an overview of the company’ s performance for the quarter and nine mon ths and then open for your questions. Before I start sharing the business performance I am happy to share with you the news of CUMI announced as the best managed company in 2023 in India by Deloitte . They are running this program me worldwide in and around 45 countries. Deloitte started this program me in India three years back. This is an acknowledgement of good work done by team CUMI for many decades. I am very happy to share this achievement.

 I will now start with the consolidated financial results. Consol idated sales for nine months of FY2024 were Rs.3445 Crores growing at 0.8% contributed by ceramics growing at 4.4% , abrasives growing at 3.2% , and electrominerals with a negative growth of 5.2%.

Consolidated sales for Q3 FY2024 were at Rs.1130 Crores with a sequential growth of 0.6% and a degrowth of 3.6% quarter -over-quarter . Growth in Q3 FY202 4 over Q

3 FY2023
was contributed by 3.1% growth in abrasives , degrowth of 7.9% in ceramics and a degrowth of 10.6% in electrominerals . Q3 FY2024 performance compared to Q2 FY2024 was 0.6% mainly contributed with ceramic s segment degrown at 8.1%.

It is important to bring the perspective of VAW here. V AW, our Russian subsidiary on YTD basis represents 20% of the consolidated CUMI . VAW grew 25% in nine months in Rouble terms; h owever, when translated in INR there is a de growth of 9%. During the last year on YTD basis Rouble was converted into INR at 1.27 and in FY2024 on YTD basis Rouble is converted into INR at 0.92. Had the exchange rate remained the same , overall growth of CUMI on YTD basis would have been 8% instead of 0.8% we will discuss this in detail later.

PBIT for YTD FY 2024 is at Rs.453.8 Crores with P BIT margin of 13.2% compared to PBIT of YTD FY2023 which was at Rs.383.8 Crores and a PB IT margin of 11.2% this is a growth of 18.2%. This was contributed by abrasive growth growing at 77.8% , ceramic growing at 13.6% , electrominerals with a degrowth of 11.7%.

PBIT for Q3 FY2024 was at Rs.157.9 Crores with a PBIT margin of 14% compared to PBIT for Q3 FY 2023, which was at Rs.147.7 Crores with a PBIT margin of 12.6%, t his represents a growth of 11.7% sequentially and 6.9% quarter -over-quarter.

Profit after tax on YTD basis for FY2024 was at Rs.326.4 Crores growing at 17.9% and profit after tax for Q3 FY2024 was at Rs.111.3 Crores growing at 9.2% sequentially and 2% compared to Q3 FY2023 .

Now I will go standalone and then by segment, standalone grew by 5% to Rs.1937 Crores in nine months of FY2024 compared to last year. The growth was majorly driven by electro minerals at 7.2%, ceramic segment at 6%, and abrasive segment at 3.8%. The growth in Q3 FY2024 compared to Q3 FY202 3 is almost flat at Rs.635 Crores and compared to Q2 FY2024 there was a degrowth of 1.4%.

PBIT on YTD basis was Rs.343 Crores with a PBIT margin of 17.7% which grew at 14.2% compared to PB IT of last year at Rs.300 Crores with a PBIT margin of 16.3%. The growth in PB IT margin came from abrasives, which grew at 31.7%, ceramics which grew at 10.3%, and a fall from electrominerals by 29.7%. Q3 FY 2024 P BIT was R s.110.2 Crores, PBIT

 margin of 17.4%, which grew at 7.3% compared to Q3 FY2023 and sequentially there was a degrowth of 0.4%.

Profit after tax on YTD basis was Rs.256.1 Crores; t his is an increase of 18.1% compared to FY202 3. Profit after tax for Q3 FY2024 was at Rs.80.15 Crores resulting in a 10.9% growth compared to Q3 FY202 3 and 3.2% degrowth compared to Q2 FY202 4.

I will n ow move on to segments. Abrasives consolidated revenue on YTD basis was Rs.1558 Crores growing at 3.2% compared to last year. If VAW ’s impact is considered the growth should have been at 5.8%. Abrasives consolidated revenue for the quarter grew 3.6% sequentially to Rs.529 Crores and 3.1% quarter -over-quarter.

On YTD basis standalone abrasives was Rs.858 Crores and grew by 3.8% c ompared to last year. Standalone abrasives grew by 3.2% to Rs.291 Crores quarter -over-quarter and 1.9% sequentially.

VAW on abrasive segment, on YTD basis sales grew by 24% in Rouble terms; h owever , in INR this resulted in a decrease of 9% . During the nin e months FY2023 t he Rouble was converted at 1.27 last year and this year is getting converted at 0.92.

RHODIUS in Q3 achieved net sales of €15.5 million compared to €14.9 million in Q3 FY202 3 and €15.2 million in Q2 of the current year. On YTD basis the sales degrew by 2% to €46.2 million from €47.2 million during the last year. Due to softening of the demands in parts of the Europe there was a drop in volume to an extent of 8% while the mix and price enabled a 6% gain resulting in a net drop of 2% . On YTD basis the loss after tax at €2.1 million against

the loss of €3.4 million during the last year, t his means losses are coming down. We t old earlier during our last earnings call that at full year basis a similar loss as that of the last year is what we expect . However , considering the better performance in Q3 and the positive outlook for Q4, we may lo wer the losses than earlier expected . The interesting point to note here is that if we exclude the PPA write -off of €2.1 million on YTD basis RHODIUS was close to break even operationally.

Coming to AWUKO's performance this quarter we achieved €2.3 million sales against €1.9 million in Q2 of the current year and €2.2 million in Q3 of the last year. Loss after tax in Q3 was €0.27 million against the loss of €1.36 million in Q3 of FY 2023 and 0.86 million in Q2 of the current year. On YTD basis we achieved €6.6 million sales which is 3% lower compared to last year and losses at €1.86 million compared to €2.42 million during the last year. As communicated earlier we expect the losses in FY2024 will be around €2.5 million we expect AWUKO to break even by FY202 5 we maintain the same outlook.

 In America we had a good growth I think close to a double digit growth that we have.

Standalone abrasives on YTD basis we have grown 3. 8% to Rs.858 Crores compared to last year. Industrial and precision segment s had a good growth. Retail segment is below last year. As communicated earlier retail segment is impacted due to dumping from China and competition from new entrant s. We are working on addressing these challenges and expect recovery in four to six quarters. On YTD basis the margin has improved significantly to 16.4% compared to 12.9% during the last year. Mainly on account of product m ix, softening in input cost, improvement in operational efficiencies and better realization.

Consolidated abrasives to PBIT on YTD basis was at Rs.118 Crores compared to Rs.67 Crores resulting in margin improvement from 4.4% to 7.6%. This was mainly due t o better performance in standalone which we just covered. RHODIUS and AWUKO we also looked at it slightly earlier. Q3 FY2024 PBIT was Rs.50 Crores against Rs.21 Crores in Q3 of the last year, Rs.37 Crores in Q2 of the current year, t he increase predominant ly coming fro m standalone margin moving from 12.9% to 16.4% and lower los ses at RHODIUS and AWUKO .

I will now move on to electrominerals . Electrominerals on a consolidated basis for nine months FY2024 had sales of Rs.1164 Crores compared to Rs.1228 Crore s during the last year. Electrominerals consolidated revenue for the quarter was Rs.369 Crores versus Rs.377 Crores in Q2 of the current year resulting in a decrease of 2.4% and it degrew 10.6% quarter -over-quarter.

I will move to the standalone electromi nerals . For nine months of FY2024 we had Rs.562 Crores and it grew by 7.2% compared to last year. The revenue for the quarter was Rs.172 Crores versus Rs.173 Crores in Q3 over the last year and degrew 10.6% sequentially . On YTD basis the v olume growth in alumina was very high teens and SiC double digit has been good but price realization was hit largely due to the dumping by Chinese product . Price realization was hit almost by 9% . Hence we could not get the benefit of increased volume in sa les. Our focus will continue to secure volumes. We expect the short t erm price pressure to continue.

VAW, now I will cover the performance of V AW sales for Q3 FY2024. I n local currency , it grew by 26% to Rouble 2.47 billion compared to Q3 FY 2023 and degrew by 2% compared to Q2 of the current financial year. On YTD basis sales grew by 25% to Rouble 7.4 billion, 19% due to mix, exchange and price realization and 6% because of the volume. The operations are running well and there has been an increase in sales volumes compared to last year. When converted to INR the story looks

different and shows downward performance because of the stronger Rouble during the last year where it was one Rouble

 equivalent to 1.27 on an average for the first nine months whereas it has become much weaker at 0.92 this year. They delivered a profit of 392 million Rouble in Q3 FY2024 against Rouble 411 million during the same period last year . On YTD basis profit increased to Rouble 1.2 billion compared to 890 million during the last y ear. Capacit y utilization i s very good, t hey are able to sell more in Russia , the mix is now moving to 58% domestic, which used to be 45% pre Russia -Ukraine conflict.

Foskor Zirconia on YTD basis , Foskor had low er sales of 23% compared to last year. This is a volume reduction. This is mainly on account of postponement of offtake by three top customers and price pr essure from Chinese supplies. Sales in Q3 FY 2024 had improved compared to Q2. We expect Q4 to be better , we expect Q4 to be normal and we are work ing towards improving the sales volume and expect a normal business in FY202 5. We are confident of achieving this one . Orders backlog that we hold as of now for Q4 tells us that it will be a normal Q4.

Overall Electrominerals on YTD basis PBIT was Rs.186 Crores compared to Rs.210 Crores compared to last year , this is a degrowth of 11.7% this is due to the impact of Rs.25 Crores in standalone and Rs.17 Crores in Foskor Zirconia we will cover this more in detail later.

For the quarter PBIT at consolidated le vel was Rs.50 Crores against Rs.62 Crores in Q2 of the current year and Rs.82 Crores in Q3 of the last financial year.

I will move to ceramics . Consolidated ceramics on YTD basis for FY2024 grew by 4.4% to Rs.795 Crores . In Q3 FY2024 s ales of ceramics was Rs.243 Crores against Rs.264 Crores in Q3 FY2023 and Rs.265 Crores in Q2 FY2024.

Standalone ceramics on YTD basis it grew by 6% to Rs.661 Crores compared to Rs.623 Crores during the last year. Refractory , wear ceramics and metallised cylinder business grew around 22% on YTD basis, but with the degrowth of engineered ceramics business the overall ceramic business segment resulted in a 6% growth. In Q3 FY2024 sales of ceramic was at Rs.213 Crores against Rs.219 Crores in Q3 FY 2023 and Rs.217 Crores in Q2 FY2024.

Subsidiaries in Australia and America registered a very good growth .

Profit before finance cost and tax at consolidated level on YTD basis was R s.215 Crores growing at 13.6% compared to last year. Q3 FY2024 PBIT was Rs.60 Crores a degrowth of 9.4% c ompared to Q3 of FY2024 and a degrowth of 18.5% compared to Q2 FY 2024 at consolidated level . The P BIT margin has improved from 24.8% to 27% on YTD basis. All companies in this segment contributed to margin improvement.

 Now I request Mr. Padmanabhan to cov er PBIT margin, debt position, capex, cash flow and return on capital employed. Thank you.

P. Padmanabhan : Thank you. In respect of the PB IT margin at consolidated level on YTD basis it is at 13.2% in the current year compared to 11.2% during last year. Th is is mainly due to the better performance in abrasives and ceramics. P BIT margin for Q3 FY 2024 was at 14% compared to 12.6% in Q3 of FY 2023 and 12.6% in Q2 of current year. Standalone : on YTD basis standalone P BIT margin is at 17.7% in the current year co mpared to 16.3% during last year. This is majorly driven by abrasives from 12.9% to 16.4% then ceramics from 24.6 to 25.6% but there is a drop in electromineral segment from 16.1 to 10.5%. PB IT margin for the quarter improved from 16.2% in Q3 of last year to 17.4% in Q3 of the current year and improved by 17 BPS sequentially.

I will move on to the segments. In respect of the abrasive segments on YTD basis consolidated PBIT margins improved from 4.4% to 7.6% mainl

y contributed by standalone
abrasive business , margins increasing from 12.9% to 16.4% and losses coming down in the German entities RHODIUS and AWUKO. At consolidated level PBIT margins for the quarter improved from 4% in Q3 of last year to 9.5% in Q3 of the current year , also improved by 221 basis p oints sequentially. This was due to the increase in margins of standalone business from 14.2% in Q3 of last year to 17.2% in Q3 of the current year , this is on back of the better realizations and improved operational efficiencies. Standalone abrasive margi ns improved by 50 basis points sequentially as well .

In respect of Electrominerals on YTD basis at consolidated level PBIT margins has decreased from 17.1% during last year to 16% in the current financial year. This drop is a result of standalone business and the South African subsidiaries performance. The margins of standalone business dropped from 16.1% to 10.5% on year -to-date basis volume growth in alumina and silicon carbide has been good ; however, price realizations were low er due to dumping by the C hinese producers. This has resulted in drop in PBIT to the extent of around Rs.25 Crores . PBIT margins at consolidated level for Q3 of current year was at 13.7% dropping from PBIT margin of 20% in Q3 of last year. Sequentially it dropped by 264 basis point s. The margins of standalone business dropped from 15.5% in Q3 of last year to 7.8% in Q3 of the current year and 410 basis points sequentially. The drop in margins is mainly due to the lower price realization despite securing higher volumes .

In respect o f the ceramic segments on YTD basis consolidated PBIT marg ins improved from 24.8% to 27%, t his is mainly contributed by standalone ceramics business margins increasing from 24.6 % to 25.6 %. American subsidiary did significantly well compared to last year. A t consolidated level PB IT margins for the quarter dropped from 25.1% in Q3 of

 last year to 24.7% in Q3 of the current year and dropped by 314 basis points sequentially.
The margins of the standalone business dropped from 25.1 % in Q3 of last year to 23.7 % in the current Q3 and by 259 basis points sequentially , this is mainly on account of the mix between the industrial ceramics and refractories and product mix within the industrial ceramics.
On the debt position , the standalone has no debt and it is a debt free company now and at the total debt at consolidated basis was at Rs.119 Crores compared to Rs.140 Crores as of September 2023. The debt equity ratio was at 0 .04 at consolidated level. Cash and cash equivalent net of borrowings was at Rs.342 Crores .
Capex spend so far at consolidated level is Rs.154 Crores . At a full year the investment in capex program me w as Rs.300 Crores at the consolidated level as communicated earlier . We expect for the full year we will be incurring capex of around Rs.240 to Rs.260 Crores .
In respect of cash flow or free cash flow on year -to-date b asis during the current year at consolidated level is at 75 percentage of PAT compared to a -33% of PAT during last year. At standalone level it is at 80 % of the PAT compared to 10% require d during last year. This improvement is mainly on account of a significantly higher net cash inflow from operations and better working capital management compared to last year .
In respect of the return on capital employed on YTD basis at a consolidated le vel it is at 18.3% compared to 15.8% during last year. A t standalone level , it is at 20.5% compared to 18.3% in last year . On year -on-year basis for consolidated businesses return on capital employed for ceramics has improved from 38.3 % to 46.5%. For elect rominerals , it has decreased from 29.9 % to 27.1 % and for abrasive it has improved from 6.6 % to 11.4% . For standalone businesses the return on capital employed for ceramics has improved from
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2.5% to 51.4%. For abrasives it has improved from 36.4 % to 42.9 %, but for Electrominerals it has decreased from 38.2% to 27 %.
And in respect of the unallocable expenses , basically it is the difference between the income and the net at the other corporate level which is not included in the respective segments. The unallo cable expense at the YT D level , there is a reduction of Rs.18.5 Crores . On a quarter -on-quarter basis there is a reduction of Rs.19.5 Crores and sequentially it was lower by Rs.27.38 Crores . The broad reasons are withholding tax related to the dividends fr om our Russian subsidiary accounted in F Y2023 but not in the current year . That is why the difference is coming and the second reason is higher exchange gain in the current year and lower project -related employee cost and completion of the consultancy enga gement in the last year itself . There is no similar expenditure in the current year . In respect of the standalone also, the there is a reduction in unallocable expenses on YTD basis the expense

 is low er by Rs.17.91 Crores , similarly quarter -on-quarter the expense s are low er by Rs.15.5 Crores and sequentially the expenses are low er by Rs.13.36 Crores . In all the three cases th e broad reason s are higher dividend income in the current period . Lower p roject employee cost and completion of the professional engag ement in the last year and these are all the reasons why the reductions.
Ashwani Sharma : I would now request Mr. Sridharan to summarize.
Sridharan Rangarajan : Thank you. I would like to end the opening remark with a small summary. In standalone business , volume and price growth is good in refractories, ceramics, industrial and precision abrasives. There is a good volume growth in core products in electromineral business . The price realization was impacted due to China dumping. Reasonable volume growth and strong price realization in Russia . South Africa was impacted by low o rder intake and partially by China dumping . We are confident in Q4 they would get back to normal sales. RHODIUS should breakeven excluding PPA, losses in AWUKO are lowering . CUMI America and Australia are doing well. Free cash flow to PAT is good and the company is debt free. PB IT margin of abrasive India was 12.9% during last year and we expect this could go up by 350 to 400 basis point s. PBIT margin of consolidated abrasive w ill go up. Our expectation is 200 to 220 basis point s. PBIT margin of ceramics in India was at 24.6% and it could be at the same level as the last year. P BIT margin of consolidated ceramics from 24.4% of last year, there could be a pickup of 150 to 180 basis point s. PBIT margin of EMD will go down from 14% and we expect at least in the range of 350-400 basis point s it will be lower. Overall PB IT margin last year was 11.8% could go up by 100 to 120 basis point s. We feel standalone growth could be in the range of 5 to 6% as against what we communicated last time at 10 to 12% and consolidated sales could be flattish or marginal growth against 5% what was earlier shared. This is largely an impact of the exchange impact coming from Rouble .
In summary, major parts of the busi ness, volume and price growth is there, margins are

improving, good cash flows, recovery in Fosko r is in place. Work needs to happen in abrasive domestic business. RHODIUS and AWUKO is on track . With this I will complete the opening remarks a nd w ill be hap py to answer your questions. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. We have our first question from the line of Bhoomika Nair from D AM Capital Advisors. Please go ahead.

Bhoomika Nair : Good morning Sir and thank you for the detailed opening remarks . Sir my first question is on ceramics if I see this quarter on both standalone and also on consolid

ated basis there has been a decline in the revenues I remember the previous quarter you had highlighted there

 was some inventory correction which was happening by the client so just wanted to understand what is the status of that right now and how should we look at the ceramic s business going forward given that we are doing a lot of initiatives to grow the same a nd also if you can talk about how metall ised cylinders and wear ceramics are also performing out here. That is my first question .

Sridharan Rangarajan : Thank you Bhoomika . I think it is a good question and concern. As we said earlier it was one customer in ventory correction that they were going through, which I think is what currently we are facing that is why in my opening remark also we said there is a growth which is substantially high at about 22% in all other business segment of the ceramics and a degrowth in engineered ceramics which cost the overall growth of 6% . We believe that once this correction which I think would get addressed by this year we will get back to an overall growth of 20 plus percentage as normal that we used to have in the past.

Bhoomika Nair : Sir can we quantify what is the decline in the engineer ed ceramics in some manner so that we get a sense of what is being the 22% kind of a growth, what is the base number that it can possibly decline to?

Sridharan Rangarajan : 22% is the growth in rest of the ceramic business , metalli sed cylinders, wear ceramics, those are the businesses which are growing at 22% whi le this is having a degrowth. We expect this correction to get completed and in the next year we will have overall growth of about 2 0 plus percentage.

Bhoomika Nair : The question is that from here into the fourth quarter will there be a further decline in the ceramics revenues you think or is this quarter your thing that this is bottom and should not decline further from here?

Sridhara n Rangarajan : I do not think we expect further decline. I think we already have seen all the corrections , etc., so it should be fine and I do not think we would get back to any further challenges coming in.

Bhoomika Nair : Understood. So the other question is on the EM D segment , you said and spoke about the Chinese competition and the dumping which is impacting pricing both in India and also in Africa, as that be en a fairly weak couple of quarters out there because of this aspect , are we seeing further reduc tion in prices out here or if you can just give some trend on how the SiC prices are trending and how are we trying to contain this so that our profitability does not decline on an overall basis?

Sridharan Rangarajan : So I think we have first of all good v olume growth both in alumina as well as in silicon carbide . Our aim is to definitely secure volumes and we do not want to lose any opportunity

 that is we are very clear but the unusual price dumping is what is causing the current problem and that is how th e margins of the electromineral is going down , but I expect that as a business they have probably bottomed out, but I am not saying that the Chinese are going to stop further dumping. We expect this trend to continue maybe for the next four to six quarters we need to wait and watch. Largely this is not a situation th at we are seeing only in India w e are seeing this across the globe and I am sure you guys notice this across industries as well it is just not in our industry , so that is why I said that the pri ce pressure will continue. We feel that we have bottomed out, there could be some minor change, but I do not think it will go any further down. So last year we ended at 14% PB IT margin and this year we could end the range of about 10% and let us say if you look at the Q3 we were lower because there

are some mix play also is there, but I think 10 to 12% is something we should expect.

Bhoomika Nair : On the VAW side because obviously there has been also a further impact on the consolidated basis because of the Rouble translation so how should we look in terms of VAW revenue is growing they have obviously done very well as you mentioned almost

26% kind of growth for the current quarter in Rouble terms , so how should we look on consolidated basis for VAW to con tinue doing well and any update on both in VAW and in India on the specialty which can offset some bit of this impact of the Chinese dumping?

Sridharan Rangarajan : So as far as V AW is concerned that the company is doing fine and I think they are having both volume and price growth. See the conversion rate of last year was abnormal conversion rate of this year is not abnormal. This year it is in the range of 0.92 in that range . Normally if you have observed in the last five years we will be in the range of 0.9 to 1. This is a normal trend as far as conversion of Rouble to INR is concerned. Last year you must have noticed that when the oil prices were going up Russian Rouble had benefit and then they had really kind of shot up that is why it went up to as hig h as about 1.27 or even as high as 1.3. So hence we had the benefit of higher conversion in last year, which is not forthcoming this year.

Bhoomika Nair : Yes Sir , that part of translation bit I understand. I was asking more in terms of Rouble terms that this performance that we are seeing is sustainable or not.

Sridharan Rangarajan : I think Rouble terms the 10% to 12% growth is sustainable what they have grown 23% now there is certain element of these type of benefits getting passed on, but I think a 10 to 12% growth should be expected .

Bhoomika Nair : So on a consolidated basis because of this whole translation impact plus the China dumping that is happening in the other markets one should kind of build in even for FY202 5 because

 the same might continue for some time would it be fair to say that we should look at a single digit kind of a growth and 12 % odd and 12% margin profile on consolidated basis?

Sridharan Rangarajan : Are you talking m argin profile or growth profile?

Bhoomika Nair : For FY202 5 if I were t o build in like a single digit growth on consolidated revenues and margin profile of 12 % odd would that be fair or you think there is some upside out there?

Sridharan Rangarajan : I think this year my guess is that we could end around 12 -12.8% I prefer the growth that we could end and at the same time we also had losses this year from Foskor and we also had some challenges forthcoming because of issues in AWUKO progr essing in terms of the recovery, etc., and the losses in AWUKO and RHODIUS to further come do wn. So if I look at it I feel that these are losses that would go away and probably we will be in a better position . Those are th e additional upsides that one is to consider. As far as the growth is concerned I will probably come and share with you more wh en we meet in April or May.

Bhoomika Nair : Sure. S ir I will come back in the question queue for other que ries. I have more question s there. I will come back in the question queue Sir.

Moderator: The next question is from the line of Bhavin Vithlani from SB I Mutual Funds. Please go ahead.

Bhavin Vithlani : Good morning Sridharan and the team. Good performance especially on the bottomline front. So I have a few questions when we acquired the German companies , at that time we had outlined a path two double digit EBIT margins so the question here is the same I had asked previously is do you believe that those level of margins are achievable , are the timelines that we anticipated are same changing while we are moving in the same direction and qualitatively if you co

uld talk about what makes you believe that from a loss to a break even we could get to a double digit margin level that is the first question . Second is if I look at the standalone abrasives as a segment , then after first quarter of FY20 23 prior to that we were clocking high teens growth rate. The underlying growth rate has nosedive d to low single digit sub 5% and you alluded to some competitive pressures especially in the thin wheel segment while we have seen the margins going up, so if you could talk qu alitatively on the standalone abrasive segment it seems that the margin expansion is driven by the mix change towards a higher share of bonded, which is a better margin segment and how do you see this growth rates coming back, the efforts that the company has been taking underway last time you mentioned that there are a lot of effort being taken to kind of take the growth rate up to double digit or teen , so if yo u could kind of talk about this, last bit is in the previous participant 's question you did kind of alluded but if you could talk about the green energy segment, the hydrogen where in the previous instances we have mentioned that as

 the customer moves to version one to version two, there could be an intermittent st uff, but there is a significant incr ease in the content for CUMI c onsequently there could be a geometric gr owth from an arithmetic growth, s o if you could talk more about it qualitatively and that you said that next year the growth rate for the segment as a whole can jump to 20% how does tha t lead to profitability and t hese are my three questions .

Sridharan Rangarajan : Thank you. I think first let me take the RHODIUS question. So we said that we would take five years to get back to the double digit PB IT margin and we feel confident of that trajectory. So what is happening in the current context is that one Europe is going through demand challenges whic h I think you all know and you are all seeing across many industries plus Germany especially went through a huge cost pressure particularly comi ng from the energy and similarly on the other raw materials, which are all now slowly get back to normal except energy costs, which is still on the higher side but for these two blips that they have to face I think once these things get addressed we are still confident that we will get back to that trajectory that we were sharing at the time of acquisition. In fact , the integration and the work that we are all doing is really good because there are a lot of projects that we are working closely in terms of electromineral supplies to RHODIUS has significantly increased. Similarly, we are able to work closely on various technology projects that we could work together on the thin wheel area . I think probably we will share more in the next say 18 months, 24 month s as we start making use of it. To your second question, which is largely on the abrasives standalone , so we look at the abrasive standalone in three broad segments abrasives that goes to the industrial application and precision abrasives and abrasives tha t goes through the retail segment , the first two segments are growing well and we think that growth rate should really pick up and we should be able to put our acts together well . As far as retail, the challenge is below last year and that is what is pulli ng us down and we have putting a set of various action s in terms of retail initiatives and that is why I said that we will take about four to six quarters to put our acts together to get back to the normal growth rate of abrasive that we used to have. So I would not call that just as a demand challenge s or competition challenges etc , I think majorly it is majorly an internal challenge that we need to start addressing. Definitely there is a challenge of Chinese dumping and the price pressure that we are fac

i ng. So that is definitely there but
besides that we clearly face our own internal challenges which I think we will work and put together in the next four to six quarters. Now as far as the ceramics goes you were talking about hydrogen -based ceramics, I thi nk perhaps you are talking about ceramics that goes into hydrogen economy perhaps that is what I am inferring from your comment . We are working with certain customers who are in the field of solid oxide fuel cell manufacturers . They used a similar technolo gy for the hydrogen and they are using our product testing, bringing their own products , etc., so we will get to that. I am not sure about your comment of geometrical progression. If there is some impression like this I would probably ask you
 to take that away and we will get back to you once we have clarity in terms of how the product gets established but definitely our products are getting used, tested by them. We will share more as we establish our product.

Bhavin Vithlani : Just a followup on the last bi t, in our previous discussion we understand our content l ike in auto we say content for vehicle is the content for SOFC for Carborundum going up for that product and that itself can lead to further significant growth for the segment as a whole as you are g uiding 20% growth for the segment is in itself a sub stantial growth ?

Sridharan Rangarajan : We used to be more than 20% growth. It is just one customer correction is where this challenge has happen ed but I think on ce that is addressed, but we are also putti ng together a program me where how do we address such a thing not to affect us in future. There are 10 different initiatives we are working on to counter that, s o considering all that I am saying that we will get back to the 20% growth trajectory.

Bhavin Vi thlani : Great Sir. Thank you so much for taking my questions.

Moderator: Thank you. The next question is from the line of Harshit Patel from Equirus Securities . Please go ahead .

Harshit Patel : Thank you very much for the opportunity Sir. S ir my first quest ion is on our ceramic segment. S ir could you give a flavor on the exports that we do from this particular segment so what would be the share of exports within necessary refractories and similarly what would be the share of exports within the we ar cer amics, technical ceramics that we do and over the past few years have you seen any change in this mix between domestic to exports because I reckon seems a lot of newer industries which are growing in India let us say the renewable energy, lot of new wind capacit y coming on board where we supply those initial cohorts we do quite a lot of business into metal lised cylinders as well which go i nto the high voltage equipment, s o since this kind of industries are growing is there a case for domestic revenues to grow fas ter than the exports or will it continue to grow faster on exports because we are acquiring new customers over there , so if you can give some idea about the export within this segment that would be very helpful .

Sridharan Rangarajan : Thank you Mr. Harshit . So as far as the mix change that you are asking definitely within the overall ceramics industrial ceramics is highly export oriented. I would say 80 plus percentage is exports and that continues to be in that zone. I do not think any major change is happ ening . As far as refractory is probably 20 to 25%, but tha t is where the mix is changing, t here is more exports happening and the orders on industries where we have established in India people are looking at using similar applications elsewhere that is how the growth also is happening on the refractory side. So I think your observation of the

 demand for such products outside this is a correct observation and it i

s increasing more towards export.

Harshit Patel : Understood . Sir my second question is on VAW s ince you have mentioned the pricing is under pressure especially in India with respect to the fused alumina business h ave we seen the similar kind of pressure in the silicon carbide business as well at V AW or because we are the largest producer of SiC over there and one of the low est cost producers we are still insulated from those kind of pressures and given that you have mentioned that we could grow our revenues 10 to 12% in the Rouble terms over there per annum do we have sufficient capacity to grow or we have already put in motion the expansion plans over there?

Sridharan Rangarajan : I think as far as V AW is concerned it is just not the price alone. I think the ability for them to work with the customer and application basis product allows them to be real ly competitive both in terms of the lowest cost manufacturer as well as highly technically capable manufacturers. So these two factors allow them to compete in the market so well and that is also the reason where we feel that this trend could continue.

Harshit Patel : Sir in terms of any capex plans over there apart from the usual debottlenecking that we do ?

Sridharan Rangarajan : I think we have the normal capex plan plus I think the last couple of years we have added a few capacities more in the silicon car bide fusion capacity, which we shared earlier is good enough to cover and address the growth rate that we are looking at.

Harshit Patel : Understood Sir. Just last one bookkeeping question, could you quantify what was the sales and profits for Foskor Zircon ia for the nine month s FY2024, that would be my last question ?

Sridharan Rangarajan : It is about Rs.115 Crores of sales and Rs.10 Crores of loss.

Harshit Patel : Understood Sir. Thank you very much for answering my questions.

Moderator: Thank you. The next question is from the line of Amit An wani from PL Capital. Please go ahead.

Amit Anwani : Hi Sir. Thanks for taking my question. My first question on the German subsidiary I just wanted to understand in previous quarters you did talk about the energy contrac t getting terminated the high er cost energy contracts and it will be getting into the new er contract so any update on that and second thing despite the volume growth this quarter in the subsidiaries w hat exactly led to the performance improvement this quar ter?

 Sridharan Rangarajan : Thanks for your sharp remembering of this earlier comme nt and yes the contracts as they end, we get to the normal contract and the normal one prices are at lower p rice which i s also is giving us the benefit. W hy the better perfor mance is , see we p eaked up cost increase and it start s softening and you might have noticed that the prices are coming down in terms of the commodities as well as the energy costs is coming down and these two helped us to bring this benefit in terms of low er los ses and they have also improved the mix, particularly in terms of the private label customers that they could get more and that is where it is helping them plus the sub sidiaries in Australia and America is doing very well and because of the higher or der intake in the in these two geographies. So it is a combination of all these factors helping them doing better.

Amit Anwani : Sir my second question on lot many companies announcing the semiconductor manufacturing LLT also did announce the fabulous semic onductor facility which they will be putting up so any sense on your business outlook or product baske t improving when this be incremental growth market which is going to come , any assessment on this front for CUMI ?

Sridharan Rangarajan : I think the announ cements so far we have seen are all on the silicon based fab. So far we have not seen any silicon carbide based fa

b s so we will wait if there are better opportunities for us.

Amit Anwani : Sir my last question on the Red Sea crisis, since you explained that the ceramics business is more than 80% exports and overall we have subsidiaries and we are supplying raw materials to the German subsidiary as well so any impact of Red Sea crisis which you can

say in medium to long term?
Sridharan Rangarajan : In the last quarter there are some delays in shipment we are looking at largely because of the container availability those type of challenges, t he other challenge is the freight cost going up, shipping time going up, s o it is customers who are trying to get adjusted to this, how they would like to look at it . Lot of them are looking at how can they ship using Asia to get into US and avoiding this route at all, but all these takes cu stomer -by-customer as well as their own challenges in terms of urgency v ersus cost, ho w do they balance, etc., but it is, it is a concern and we are working customer -by-customer.
Amit Anwani : Sure Sir. Last question if I can squeeze in about the 2 0% growth which you mentioned in ceramics for the nontechnical ceramics, w anted to understand t he technical ceramics contribution this quarter if you can highlight?
Sridharan Rangarajan : We d o not share individually these details.

 Amit Anwani : Sure Sir. Thank you and all the best .
Moderator: Thank you. The next question is from the line of Ravi Swam inathan from Avendus Spark . Please go ahead.
Ravi Swaminathan : Sir thanks for taking my question. Most of my questions have been answered . Once more on the Chinese dumping that we are seeing so if we recall some 6 -7 years ago China had shut down many of th e facilities which were th ere in the northern Mongolia belt and that had led to better realization across the world for electrominerals , now this dumping is because are they opening up those facilities or what is happening over there, what is resulting in this dumping over the past few quarters?
Sridharan Rangarajan : I think those days the Mongolia is largely a silicon carbide shutting down there is a story on that. Right now we face this primarily in the alumina s and ye s there is a pressure on the silicon carbide as well, but not to the extent of what we are facing it in the aluminas. So I am not an ex pert on Chinese economy and difficult for me to comment, but I think what I see is there is definitely a pressure what we see from the Chinese economy . They w ant to sustain at whatever the cost and hence they want to prize it, which I do not know h ow they are getting compensated, etc., which is a very difficult thing for us to understand but this is a reality.
Ravi Swaminathan : Alumina would be what percentage of electromineral business overall ?
Sridharan Rangarajan : It is a significant percentage Ravi.
Ravi Swaminathan : The second question is with respect to you commenting that we can grow the second segment that is the refractories and ceramics business by 20% is it going to come from overall market growth and we have products over there and that driving or is it like new product introduction o ur efforts into getting into newer markets can you explain some more on how that 20% would be achieved , is it just pure category growth that is going to help us or is it a bit of market share gains, new products and all these things?
Sridharan Rangarajan : The market itself is growing and look at the history of us for the last four , five years we have been doing this, s o it is a market and the combination of products what we have done and the third factor is the higher export as one of the participant was also asking refractories, we are able to get into newer geographies which we were never there. So these factors are givin g us this feeling that we could do 20%.
Ravi Swaminathan : 20% growth is m

ore of volume growth that we are talking ?

 Sridharan Rangarajan : It is a combination of volume and price.
Ravi Swaminathan : Got it Sir. Thanks a lot.
Moderator: Thank you . That was the last question for today. I would now like to hand over to the management for closing comments. Over to you Sir !
Sridharan Rangarajan : So thank you for all of your time. I hope we could answer all your questions. We tried our best in terms of putting up a decent opening remark with all your concerns that you may have, but I think I just like to summarize is that I feel that major parts of the business, volume and price growth is there, margins are improving, good cash flows and the return on capital employe d is improving . Recovery in Foskor is in place and RHODIUS and AWUKO are on track. We need to put our acts together on domestic abrasives. These are some broad sense of summary that I could share. Thank you.
Moderator: On behalf of ICICI Securities that co ncludes this confe rence. Thank you for joining us. Y ou may now disconnect your lines.

Call: May 2024

"Carborundum Universal Limited
Q4 FY '2 4 Earnings Conference Call "
May 06, 202 4

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – MANAGING DIRECTOR – CARBORUNDUM UNIVERSAL LIMITED
MR. P. PADMANABHAN – CHIEF FINANCIAL OFFICER – CARBORUNDUM UNIVERSAL LIMITED
MR. SUSHIL BENDALE - CHIEF FINANCIAL OFFICER DESIGNATE – CARBORUNDUM UNIVERSAL LIMITED
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MR. DENESH KUMAR – SENIOR MANAGER , STRATEGIC PLANNING – CARBORUNDUM UNIVERSAL LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Carborundum Universal Limited Q4 FY '24 Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Ms. Bhoomika Nair from DAM Capital. Thank you, and over to you, ma'am.
Bhoomika Nair: Thank you. Good morning, everyone. Welcome to the Q4 FY '24 Earnings Call of Carborundum Universal Limited . We have the management today being represented by Mr. Sridharan Rangarajan, Managing Director; Mr. P. Padmanabhan, CFO; Mr. Sushil Bendale, CFO Designate; Mr. G. Chandram ouli, Advis or, Investor Relations and Mr. Dinesh Kumar, Senior Manager, Strategic Planning. I'll now hand over the floor to the management for their initial remarks, post which we'll open up the floor for Q&A. Over to you, sir.
Chand ramouli: Good morning, Bhoomika. I'm Chandra mouli. Let us start the proceedings with the disclaimer clause. Good morning. During this call, we may make certain statements which reflect our outlook for the future or which could be construed as a forward -looking statement . These statements are based on management's current expectations and are associated with uncertainties and risk are more fully detailed in our annual report, which may cause the actual results to differ. Hence, these statements must be reviewed in conjunction with the risk that the company faces. Thank you.
Sridharan Rangarajan: Good morning to all of you, and a very warm welcome to our fourth quarter and full year earnings call for the financial year FY '24. Before I begin, I trust you and your family members are safe and healthy. Today, I'm joined in the call with Mr. Padmanabhan, Mr. Sushil Bendale, Mr. Chandramouli and Mr. Denesh . We will begin this call by providing an overview of the company's performance for the quarter 4 and the full year as well as an outlook for FY '25 .
First, I will start with the consolidated business performance. Consolidated sales for FY '24 almost flat and grew at 0.6% to INR4,628 crores. This means a growth rate of 2.7% in Abrasives, 4.8% in Ceram ics and Electrominerals with a negative growth of 5.4%. But it's important to understand VAW's performance here to appreciate this INR4,628 crores, how it comes. VAW represents 19.4 percentage of the consolidated CUMI sales. VAW grew by 20.4% in FY '24 in rouble terms. But when it gets translated into INR, it shows a degrowth of 9.5%. That's why it

gets reflected both in consolidated tot al sales as well as in the Electromineral sales.
During the last year, that is FY '23, RUB 1 was converted into INR1.23. Whereas in FY '24 RUB1 is converted at INR0.92. Now had the exchange rate remained the same, the overall growth of CUMI would have been 7% instead of 0.6% as we just mentioned. This also means a growth of 8.9% in Electrominerals, 6.3% in Ceramics and 5% in Abrasives.

Coming to quarterly performance. Consolidated sales for Q4 FY '24 was at INR1,183 crores with a sequential growth of 4.7% and almost flat quarter -over-quarter. Sequential growth was contributed by growth of 15.5% in Ceramics, a growth of 3.3% in Electrominerals and 0.8% growth in Abrasives.
Now coming to PBIT. PBIT for FY '24 grew at 15.4% to INR625 crores, with a PBIT margin of 13.5% against INR541 crores in FY '23 with a PBIT margin of 11.8%. The PBIT margin of INR625 crores is the highest in the long term, the last 4 -5 years, if one looks at it. This was contributed by Abrasives gr

owth of growth at 73%, Ceramics growth at 14% and a degrowth in Electrominerals by 14%.
PBIT for Q4 FY '24 was at INR171 crores, with a PBIT margin of 14.4% compared to PBIT for Q3 FY '24 shows at INR158 crores with PBIT margin of 14% and PBIT for Q4 FY '23 comparable last year quarter was at INR157.5 crores with PBIT margin of 13.3%. So the growth is 8.3% sequentially and 8.6% quarter -over-quarter. So we have a good growth at the PBIT at full year level and the Q4 level.
Now if I look at PAT. PAT for FY '24 grew at 11.4% to INR461 crores. Th ere was an exceptional income of INR25 crores during FY '23, which you would note that it was called out as exceptional income in the P&L face itself. If we exclude that, profit after tax growth was 18.6% compared to last year. PAT for Q4 FY '24 was at INR135 crores against INR111 crores in Q3 FY '24 that is the immediate preceding quarter, and INR137 crores comparable quarter last year, which included a onetime exceptional income of INR25 crores. So if we exclude that as a significant growth, which is what we just saw.
Stand alone performance . Stand alone business grew by 4.9% to INR2,593 crores in FY '24 compared to the last year. The growth was majorly driven by Ceramics segment at 5.6%, wherein Refractory grew at 13.5%, Electromineral segment grew at 5. 6% and the Abrasives segment grew at 3.9%. On a quarterly basis, stand alone grew by 4.4% to INR656 crores in Q4 of this year FY '24 compared to last year's Q4 FY '23 at INR628 crores and sequential basis, the growth was at 3.4%.
If we exclude onetime exceptional income of INR25 crores in FY '23, PBIT for FY '24 grew at 10.8% to INR467 crores with PBIT margin of 18% compared to PBIT of the last year, which was at INR422 crores with a PBIT margin of 17.1%. The growth in PBIT margin came from Abrasives, Ceramics and a fall from Electrominerals .
Q4 FY '24 PBIT was INR124 crores, which grew at 12.8% compared to Q3 of FY '24 and grew by 2% compared to the same quarter of the last year. Profit after tax for FY '24 was at INR350 crores. Th is is an increase of 5.9% compared to FY '23. PAT for Q4 '24 was at INR94 crores, resulting in 17.6% growth compared to Q3 FY '24 and 17.4% degrowth compared to Q4 FY '23, which included onetime exceptional income of INR25 crores.
Now I'll go to segments . Abrasives. Abrasives' Consolidated revenue for FY '24 was at INR2,091 crores, which grew at 2.7% compared to the last year. The growth is 5%, excluding the growth is,if it is equivalent to 5% if one excludes gross exchange rate impact. The Abrasives

consolidated revenue for quarter grew 1.5% quarter -over-quarter to INR533 crores and by 0.8% sequentially.
On a full year basis, stand alone abrasives was at INR1,150 cro res and grew by 3.9% compared to last year. Stand alone abrasives grew by 4.2% to INR292 crores quarter -over-quarter and 0.5% sequentially. VAW , on a full year basis, sales grew by 22% in r ouble terms. However, in INR, this resulted in a decrease of 8%.
During FY '23, Rouble to Rupees was converted at INR1.23, which I just said, whereas in current year, it is converted at INR0.92. Quarter -over-quarter, the growth in r ouble was almost good at 14%. Exchange rate in Q4 '24 was 0.91 against 1.12 of the Q4 of the last year. Now I'll move to RHODIUS. RHODIUS , in Q4 achieved a net sales of EUR 17.1 million compared to EUR15.5 million in Q3 of FY '24 and EUR17.4 million in Q4 of the last year. On a full year basis, sales

degrew by 2% to EUR 63.3 million from EUR 64.5 million during the last year.
Coming to the bottom line performance, I'm happy to share that RHODIUS has made a profit of EUR 0.6 million in Q4 FY ' 24, including the PPA write -off. On a full year basis, the loss after tax was EUR 1.5 million against a loss of EUR 3.7 million during the last year. This is what we have been communicating

that they would come down. The interesting point to note here is that
if we exclude the PPA write -off of EUR 2.8 million on a full year basis, RHODIUS made a profit before tax of EUR 1 million in FY '24 itself.
AWUKO : Coming to AWUKO's performance , on a full year basis, we achieved EUR 9.13 million sales, which is 3% lower compared to last year and losses after tax at EUR 2.3 million against EUR 3.7 million during the last year. The sales for the quarter grew by 19% to EUR 2.55 million against Q3 FY '24 and EUR 2.6 million in Q4 of the last year. The loss after tax for the quarter was at EUR 0.4 million against a loss of EUR 1.2 million in the same qu arter last year. We expect AWUKO to break even at EBITDA level in FY '25, and a small loss of EUR 0.7 million to EUR 1 million in FY '25.
America, which grew at 8% on a full year basis, has done well. Stand alone abrasives on a full year basis grew 3.9% to INR1,150 crores compared to last year. All 3 segments industrial, precision and retail had a single -digit growth with volume growth in industrial and precision, whereas the volume degrow in retail segment, which had the impact, which we have been talking to you for quite some time.
Coming to the bottom line performance of the segment, the consolidated Abrasives PBIT on a full year basis was INR182 crores compared to INR105 crores resulted in a margin improvement from 5. 1% to 8.7%. So this is the consolidated PBIT margin. This was mainly due to better performance in stand alone, RHODIUS and AWUKO. On a full year basis, the stand alone margin has improved, significantly to 17% compared to 13.7% during the last year, mainly on account of the product mix. This is the stand alone product mix, softening in input cost, improvement in operational efficiencies and better reali sation.
Q4 FY '24, PBIT was INR63 crores against INR38 crores of Q4 of the last year and INR50 crores in Q3 of the current financial year. RHODIUS has delivered profit after tax of EUR 0.6

million against the loss of EUR 0.7 million in Q3 FY '24, which we just covered. Now I'll move to Electrominerals. Electrominerals on a consolidated basis for FY '24 had a sale s of INR1,545 crores compared to INR1,634 crores during the last year. Growth is 8.9%, excluding VAW's exchange rate impact. Electrominerals consolidated revenue for the quarter was INR381 crores versus INR369 crores in Q3 of the current year, result ing an increase of 3.3%, but it degrew 6.1% quarter -over-quarter.
Now let's cover individual sub elements in it. Stand alone Electrominerals, for FY '24 was INR741 crores, showing a growth of 5.6% compared to the last year. Revenue for the quarter was at INR179 crores versus INR172 crores in Q3 of the current year, almost flat quarter -on-quarter basis. On a full year basis, the volume growth in aluminas has been very good. It is high -teens alumina volume growth. SiC volumes were marginally better than the last year, but the price reali sation were impacted due to the dumping by China producers. Hence, we could not get the benefit of increased volume and sales.
VAW, I'll cover the performance of VAW. On a full year basis, sales grew by 20% to RUB 9.7 billion. This is a better performance in r ouble terms. The operations are running well. There has been increase in sales volume compared to the last year in all 3 segments: silicon carbide, abrasives and refractories. In FY '23, r ouble was converted at an average Indian rupee at 1.23, whereas in FY '24, it is converted to 0.92.
This conversion resulted in net degrowth of 5.4% as a consolidated revenue in Indian rupees compared to FY '23. On a full year basis, the profits increased significantly to RUB 1.6 b illion compared to RUB 1.2 billion of the same period last year. Sales for Q4 FY '24 in local currency grew to RUB 2.3 billion compared to Q4 '23. They delivered a pro

fit of RUB 384 million in Q4
against RUB 349 million during the same period last year.
Capac ity utili sation is very good. On a full year basis, the product mix towards Russia sales increased to 59% compared to last year 57% and the pre -conflict time was 45%. They continue to be debt free and outlook remains stable and positive. I'll move to Fosk or Zirconia. On a full year basis, Foskor had a lower sales in volume to the extent of 16%, which we communicated earlier largely 3 customers postponed the order. They had an impact in Q2 and Q3 of their quarters.
And Q1 was around 1,000 tons, Q4 was also at 1,000 tons, which is a good sign. So which means

2 out of the 4 quarters, they did well. But the 2 quarters, which they could not do, really impacted them. This was possibly with increased offtakes which is what is happening in Q4. We expect this momentum to continu e in FY '25. So we feel that FY '25 will be a better performance in FY '24.

Coming to the bottom line performance of the segment on a full year basis, PBIT was INR237 crores compared to INR275 crores in the last year. This is a degrowth of 13.8%. This is due to the impact of INR28 crores stand alone and INR20 crores in Foskor Zirconia. For the quarter, PBIT at consolidated level was INR51.6 crores against INR50 crores in Q3 of current year and INR65 crores in Q4 of the last financial year. This I am coveri ng the entire Electromineral section.

Now I'll move to the Ceramics. Consolidated Ceramics on a full year basis for FY '24 grew by 4.8% to INR1,077 crores. In Q4 FY '24, sales of ceramics was INR281 crores against INR243 crores in Q3 FY '24 and INR265 crores in Q4 FY '23. Stand alone Ceramics for FY '24 grew by 5.6% to INR881 crores compared to INR834 crores during the last year. Refra ctory, Wear Ceramics, Metalli sed Cylinders grew at high teens on a full year basis. But with the degrowth in Engineered Ceramics, the overall segment resulted in a 5.6% growth. We expect this to get better in FY '25, which I will cover later.

In Q4 FY '24, sales of Ceramics was INR220 crores against INR211 crores in Q4 FY '23 and INR213 crores in FY '24. Subsidiaries in Australia and America registered a mid -teens growth.

Coming to the bottom line performance of the segment. On a full year basis, consolidated PBIT was INR286 crore s with a growth of 13.9% compared to the last year. All companies in this segment contribute to margin improvement. So the PBIT margin has improved from 24.4% to 26.5% on a full year basis.

I'll request Padmanabhan to cover the PBIT margin, debt position s, Cap ex, cash flow and return on capital employed. Thank you.

P. Padmanabhan: Consolidated on a full year -- PBIT margin is at 13.5% in the current year compared to 11.8% during last year. This is due to better performance in Abrasives and Ceramics. Abrasives' margin improved from 5.1% to 8.7% and Ceramics margins improved from 24.4% to 26.5%. PBIT margin at consolidated level for Q4 FY '24 was at 14.4% compared to 14% in Q3 FY '24 and 13.3% in Q4 of last year.

Stand alone on full year basis, stand alone PBIT margin is at 18% in the current year compared to 17.1% during last year, excluding onetime exceptional income of INR25 crores. The drop in margins is coming mainly from Electrominerals segment. Its PBIT margins dropped from 14% to 9.5%. Other 2 segments did better than last year. Abrasives' margin improved from 13.7 % to 17%, and Ceramics' margins improved from 24.6% to 25.1%.

PBIT margin for the quarter improved from 17.4% in Q3 of FY '24 to 18.9% in Q4. Abrasives, on a full year basis, consol idated PBIT margins improved from 5.1% to 8.7%, mainly contributed by stand alone on Abrasives business, its margin increasing from 13 .7% to 17% and losses coming down in RHODIUS and AWUKO.

At consolidated level, PBIT margins for the quarter improved from 7.3% in Q4 FY

'23 to 11.9%

in Q4 of FY '24. Also improved by 237 basis points sequentially. This was due to increase in the margins of stand alone Abrasives business from 15.8% in Q4 of FY '23 to 18.7% in Q4 of FY '24. This is mainly on back of the better reali sations and improved operational efficiencies. Stand alone Abrasives' margins improved by 144 basis points sequentially as well.

In respect of the Electrominerals. On a full year basis, the PBIT margins have decreased from 16.9% during last year to 15.4% in the current financial year. This drop is a result of stand alone business and the South African subsidiaries performance. The margins of stand alone business dropped from 14% to 9.5%. On a full year basis, volume growth in Alumina has been good, and SiC volumes were marginally better than last year, but price reali sations were impacted due to

dumping by Chinese producers. This resulted in drop in PBIT to the extent of INR28 crores.

PBIT margins at consolidated level for Q4 current year was at 13.6% at the same level of Q3 of the current year. Quarter -on-quarter, it dropped by 245 basis points.

The margins of stand alone business dropped from 7.8% in Q3 to 6.2% in Q4 and by 119 basis points quarter -on-quarter. The drop in margins is mainly due to lower price reali sation despite securing higher volumes. In respect of Ceramics, the consolidated PBIT margins improved from

24.4% to 26.5% and stand alone margins increased from 24.6% to 25.1%. All 3 subsidiaries, CUMI America, CUMI Australia and VAW Russia have better margins than last year.
At a consolidated level, PBIT margins for the quarter improved from 23.2% in Q4 to 25.2% in Q4 of the curre nt year and improved by 50 basis points sequentially. The margins of stand alone business dropped from 23.7% in last quarter to 23.5% in Q4 of the current year and by 73 basis points quarter -on-quarter, mainly on account of mix between the industrial ceram ics and refractories and product mix within the industrial ceramics.
The debt position : there was no debt in the stand alone books and the total debt at the consolidated level was at INR113 crores at the end of FY '24 compared to INR230 crores at the end of FY '23. The debt -to-equity ratio at 0.04 at consolidated level. Cash and cash equivalent net of borrowings was INR442 crores against INR166 crores at the end of last year.
In respect of the Cap ex on a full year basis, we did Cap ex investment of INR219 crores at the consolidated level. Cash flow : Our free cash flows on a full year basis for FY '24 at consolidated level is at 86% of PAT compared to 33 % of PAT during last year. At a stand alone level, it is 90% of the PAT compared t o 60% of PAT during last year. This is mainly on account of significantly higher net cash inflow from operations and better working capital management compared to last year.
The return on capital employed on a full year basis at consolidated level is at 1 8.5% compared to 17% during last year. At stand alone level, it is at 20.3% compared to 20 % in last year. On Y - On-Y for a consolidated basis, the return on capital employed for Ceramics has improved from 42.4% to 46.9%. For Abrasives, it has improved from 7.8% to 13.1% and for Electrominerals, it has decreased from 29.9% to 26.7%.
For stand alone businesses, the return on capital employed for Ceramics has improved from 48.3% to 52.2%. For Abrasives, it has improved from 40.9% to 44.2%, but for Electrominerals, it has decreased from 38.9% to 26.2%. Unallocable expenses at the stand alone level in FY '24 is at INR19.8 crores, while in FY '23, unallocable expenses was INR32.77 crores . The expense is lower by INR12.95 crores. This is mainly due to h igher dividend income in FY '24.
Compared to Q3 of FY '24, the expenses in Q4 of FY '24 are lower INR10.56 crores due to higher dividend income. Similarly, compared to Q4 of l

ast year, the expenses are higher by
INR4.96 crores, primarily due to higher pro fessional fee spend. Consolidated - the unallocable expenses at the consolidated level for FY '24 was at INR57.6 crores. While in FY '23, unallocable expense was at INR72 crores, primarily due to the withholding tax related to VAW in FY '23 and lower prof essional fees in FY '24. Unallocable expenses was higher by INR4.13

crores quarter -on-quarter, and sequentially, it was higher by INR8.9 crores, primarily due to the exchange losses in the current quarter and the professional fee spend.
Now I request Mr. Sridharan to take you through the next section related to future outlook.
Sridharan Rangarajan: Thank you. I'll cover about FY '25, what we are looking at. The Indian economy continues to remain resilient against the challenging global environment. The medium -term outlook is positive. We are cautiously positive about the key geographies and sectors i n which we operate.
In this background, we expect the full year consolidated sales growth could be 9% to 11% on a stable currency basis. We expect the consolidated sales could be INR5,100 crores to INR5,200 crores. We expect the growth in Abrasives around 11% to 12%, Ceramics 12% to 14% and Electrominerals 5% to 6%. Abrasives' growth would be driven by 3 elements: India Abrasives, RHODIUS and AWUKO. India Abr asives' growth to be 9% to 11%.
The key drivers of the growth would be go -to-market expansion for r etail and mass industrial products. with specific 3 focus areas: basically increased our work in East and North, where we need to scale up our presence and do that; building the reach and white spaces of West and parts of North to focus on demand generatio n; structured key account management. All these will go to help the go -to-market expansion.
And multiple NPD currently in pipeline will hit the market across the retail industrial by mid of financial year. This should also help the increase in select segme nts. Introduction of new products in market via traded route to match the costs, especially some value -added segments which we need to really focus on.
Dedicated focus on special new categories like cutting blades in non -South markets. Focus on key accoun t management for top 50 precision customers. These areas, the strategy initiatives that we are looking at, will help us to grow in the Abrasives and stand alone. RHODIUS, we are targeting a growth of 10%, roughly about EUR 5 million to EUR 7 million. Moderat e economic activity recovery in Germany and other European countries coupled with demand pickup in private label business would help to get the 10% growth. These are numbers which they have done in the past, say, in 2022, like that.

AWUKO, we are targetin g a growth of EUR 8 million to EUR 10 million. Our team has done an extensive market sizing, reaching out to key customers who have moved away from AWUKO during the last 4 to 5 years before takeover of CUMI. The key drivers of growth would be: one, focus on wood and leather industry. Two, get back star customers. The list of 70 customers we have made where we have worked, supplied in the past, but they're not dealing with us currently. Three, overall reduction of lead time. These 3 focus areas will help us to get the higher volume that we are targeting.
Our Industrial Ceramics, the growth rates are, India and America are the 2 key drivers. Australia will be marginal growth. We expect the growth to be 13% to 15%. We expect all 3 sub -segments of Industrial Cera mics, where metalli sed cylinders, engineered ceramics will do well. Growth drivers include medium voltage, T&D industry , pickup, mob ility, high -speed rail, mines, minerals , defen ce sector will be the growth drivers for Industrial Ceramics.

Refractory, we expect the gr

owth to be 12% to 13%. The drivers of growth would be a global in
class, super alloys, chemical processing industry in North America, Europe and MENA regions. Market opportunity in iron and steel, cement, carbon black. Electrominerals it woul d consist of growth in India and Foskor Zirconia.
As far as VAW, we are planning similar performance as that of the last year. Foskor Zirconia, the reason for the growth, as I said that we missed 2 quarters in the last year below 1,000 tons of run rate. W e have reorgani sed the marketing, reaching out to all customers with higher demand in Q4. We started participating in exhibitions, etcetera . The run rate is 1,000 tons in Q4. We expect this to continue in FY '25.
As far as India, the volume growth was go od in FY '24 itself, and we expect this would continue. We are also expecting a stable price environment. We had a steep price impact last time, which was about 7% to 8%. We expect a growth of 10% in India. The demand drivers are for the performance of the refractory and abrasive industries. In FY '24, we delivered a PBIT margin of 13.5% at consolidated level. We expect in FY '25, this could improve by 20 to 30 basis points.
Abrasives in FY '23, it was 5.1%, moved to 8.7% in FY '24. We expect that it could improve another 100 basis points in FY '25.
Ceramics FY '23, it was 24.4%, moved to 26.5%. We expect a similar performance in FY '25. Electrominerals, in FY '23 was 16.9%, went down to 15.4%. We expect 20 to 30 basis point improvement in FY '25. Cap ex, we spent on an average INR195 crores annually in the last 5 years. In FY '23, we spent around INR219 crores.
In FY '25, we are expecting a spend of INR350 crores. We acquired the assets of DRONCO Germany in FY '24. We acquired the brand and technology of DRONCO. We have moved assets into India. We are setting up this facility in India, it would take 2 years for us to set up this facility.
Similarly, we are setting up a 6 tons per month high -purity silicon carbide facility. This will take about 18 months. We are also planning IT infrastructure and safety -related Capex . Now I'd like to close my opening remarks with a summary.
In stand alone business, good volume growth in Electromineral business, VAW ceramics, metalli sed cylinders, refractories, corrosion -resistance products. In Abrasives, good volume is there in industrial and precision. We faced price pressure in EMD business due to China dumping. We have challenge s in abrasive retail market. There were some challenges in engineered ceramics during the l ast 3, 4 quarters, but we are getting back on track. VAW Russia is doing well given the difficult conditions. South Africa business was impacted in Q2 and Q3, but now better shape. We are expecting a similar performance as that of Q4 continuing in FY '25.
RHODIUS has delivered a profit in Q4 FY '24, and we're expecting same momentum in the coming quarters. Losses in AWUKO are lowering, and we expect we have a planned breakeven at EBITDA level in FY '25. CUMI America and Australia are doing well, plus loss is coming down and will break even in FY '25. Free cash flow to PAT is very good at 86%. The company

continues to be debt free. In the meantime, we have also strengthened the leader ship team in the last 9 months.
Adrian Gansen joined as COO of RHODIUS. Markus Massa has joined as CFO at RHODIUS and AWUKO. Sushil Bendale has joined as CFO. Ajit Kolhe has joined as IT Head. Rammohan

has joined as EHS Head. Padmanabhan will take over as chief Risk Officer on Global Taxation Head. Shyam Raman will become the Chief Human Resources Officer. Srikanth will be heading the Abrasives business. So this has strengthened the leadership team, both at global as well as strengthening the leadership team at my level.
So we've created a good base . The business is in good conditions. We also equally worked on

the future, which I think we will share this in a year's time as we progress on that. With that, I will complete the opening remarks, and I will open up for Q&A. Thank you.
Moderator: Thank yo u very much. The first question is from the line of Amit A nwani from PL Capital. Please go ahead.
Amit Anwani: My first question is on the improvement in RHODIUS and AWUKO. There is -- I remember last quarter, we actually slashed the volumes number there and kind of flattish guidance there. So just wanted to understand how is the capacity utili sation which is shaping up in these 2 businesses? And is our strategy on track?
I remember when we acquired, we talked about cross -selling products, we talked about bringing technology here and raw material from India to supplying to these subsidiaries? And third thing, I wanted to understand what kind of volume growth we are factoring in for FY '25? And what actually very specifically led to the decline in the losse s for 4Q?
Sridharan Rangarajan: Yes. I think when we talked last time itself, we have guided that RHODIUS may lower the losses than expected. This was the guidance that I shared last time, and that is how they are also performing. And AWUKO's loss are also coming down. This is what we communicated. As I said that we expect a 10% growth in RHODIUS and substantial growth. It's not right to consider growth of 60%, 50% because it may look so absurd for this one. But they have been growing at about EUR 8 million to EUR 9 million this year.
And they can have a potential of getting to say EUR 30 million. So we are looking at getting to about EUR 17 million to EUR 18 million this year. As I said, the strategy is to focus on wood and leather. Second is to get back to the 70 customers with whom we have dealt in the past, but they have moved away from AWUKO because of their challenges that AWUKO went through before our acquisition. Those customers we have reached out and we will be in a position to get back to them, strengt hening of the marketing team, etcetera .
And the focus on reducing the lead time, which was one of the major cause people have shifted. So we feel that these will help us to get back to a normalcy and I think as far as the synergy goes, I think I just shared with you is that we are trying to set up a 50 million thin wheel capacity, which we acquired from a company called DRONCO, which is similar to RHODIUS in Germany, which went bankrupt. But we did not acquire the company. We acquired the assets, technology and brand. We moved these assets as we speak in the last month and that, we will

start setting this up using the RHODIUS technology. That is how the synergies will start playing out.
Amit Anwani: So how was the capacity utili sation, sir, in th ese 2 subsidiaries?
Sridharan Rangarajan: We have enough capacity to utili se.
Amit Anwani: Sure. Second question on ceramics business. You highlighted that we witnessed a high teen growth for ware ceramics and met cylinder and there were some issues, I think lesser customer offtake for ware ceramics and this year, we are guiding for almost, I think, 13%, 14% top line growth. So what kind of volume growth you are factoring in for ceramics in all these 3, 4 subsegments?
Sridharan Rangarajan: I don't wa nt to get into the specifics of volume and price. Probably I would stay with whatever I guided there. But I think in the engineered ceramics space, we are getting back to normalcy. That is what I expected. There was drop last year because of 1 customer's d elay. We are assuming that customer orders will continue to be the same, right? And that is the basic assumption. On top of that, we have confidence in getting the growth there because of some specific work that we have done in the last 18 months to get b ack to other areas, be it in devices and higher cylinder production as well a

s in terms of the defence . This will help us to get back to higher volumes in engineered ceramics. Wear ceramics and metalli sed cylinders are doing fine in the past and will continue to do also well in FY '25.
Amit Anwani: Sure. Lastly, sir, with the geopolitical situation, any disruptions we are facing with respect to supply to any area? That is my last question.
Sridharan Rangarajan: I'm not sure which political disturb ance you are telling. There are all around so many political disturbances happening. But I think we are continuing to navigate our business in compliance with many things and there are delays because of this Israel conflict and which I think every industry these days are facing. There is also an increase in logistics costs due to that. So those

are, I would say that every industry, every business is facing today and everyone is trying to find the best possible alternate to overcome that. So we also continue to do that.
Moderator: Next question is from the line of Sagar Gandhi from Invesco Mutual Fund.
Sagar Gandhi: Yes. Sir, my question is on this acquisition of D RONCO, which you mentioned. Can you please highlight what is the peak revenue that this company has done over the last 5 years? And if you can give some more details on this acquisition?
Sridharan Rangarajan: No. So first of all, I want to clarify, this is not an acquisition of a company. This is an acquisition of an asset, right . It has a capacity of 50 million thin wheel can be produced and we expect this could give about INR250 crores to INR300 crores of top line.
Sagar Gandhi: INR250 crores top line in rupee terms?
Sridharan Rangarajan: Yes.

Sagar Gandhi: Yes, from FY '25 onwards.
Sridharan Rangarajan: I wish we have a magic wand to put all capacity just like that. But I told it will take 18 months to set up this facility itself. So I would expect this would start flowing in from FY '27 and probably late FY'26 onwards.
Sagar Gandhi: Okay. And sir, margin profile, anything there?
Sridharan Rangarajan: I would not guess at this stage.
Moderator: Next question is from the line of Ravi Swaminathan from Avendus Spark.
Ravi Swaminathan: So first question is Abrasives growth...
Moderator: Sir, we're not able to hear you clearly.
Sridharan Rangarajan: I think you are on speaker, Ravi, can probably come out of the speaker, yes.
Ravi Swaminathan: Yes. So with respect to the Abrasives business stand alone, past couple of years has been in that 4% to 5% range. So is i t like the growth would have been slower because of industry growing and competition being higher or the entire industry itself being slow growth? If you can throw more light on terms of industry growth?
Sridharan Rangarajan: We have clarified this questio n earlier calls also is that industry has been growing well. No issues on the industry growth. It's just that we could not capture certain market share. This is what is our thing and I have a feel that it's largely a question of in select products, sele ct region, there are competition which have taken market share than us . Competition then organized competition like us. So there are definitely people who are either imported products and started selling or light manufacturing and started selling is what has taken place .
Ravi Swaminathan: Okay and this year, the margins were very good at 17%. Is that kind of sustainable at an EBITDA, I'm asking with respect to a stand alone Abrasive business?
Sridharan Rangarajan: Yes. So this is a combination of many things, as I described in my opening remarks, lot of that is a function of soft commodity prices happening. So I would expect there could be a small dip. I would say we should be able to maint ain that, but subject to many other things that would happen in this field. So you should factor in 50 bps dip to a 20 bps pickup.
Moder

ator: Next question is from the line of Harshit Patel from Equirus Securities.
Harshit Patel: Sir, I missed your commen t on setting up the high -purity silicon carbide facility. If you could elaborate on this?
Sridharan Rangarajan: Yes. I think this facility is set up in Kerala. We will serve 2 markets. One is market is for serving the semiconductor industry where high -purity silicon carbide will be used. Second is in the technical ceramics field. So these are the 2 fields that we will be addressing. The capacity is capacity is 6 tons per month capacity is what we are setting this up. Of course, we will scale up

depending on getting the capacity utilization, we will scale this up. We expect 18 months to set this up.
Harshit Patel: What kind of Capex it would require setting up these 6 tons per month?
Sridharan Rangarajan: So I don't want to share an exact Cape x one. It is part of the number that we shared already as overall Capex number at this point, yes.
Harshit Patel: Understood. Sir, just a small follow -up to that. So what kind of reali sations this high -purity silicon carbide would have? Would it be 10x, 20x or maybe 50x of what the commodity silicon carbide that we are selling? So is this the right ballpark or it would be different than this?
Sridharan Rangarajan: I think at least, say, 20, 25x higher than the current reali sation. I would ready to share many things on this. Step 1 is from a lab; we have moved to establishing a plant. That's the first step. We are confident of setting this up. We are confident of establishing this prod uct because we

have supplied a few from the lab level itself. So now we will have to then work in terms of getting to the next level, set this up, start working with the customers, and then we will share more details at that point.

Harshit Patel: Understoo d. My second question in on AWUKO and RHODIUS. In your opening remarks, you mentioned that the RHODIUS sales declined by 2% in FY '24 and AWUKO declined by close to 3%. Now what was the volume growth? I believe the prices would have declined so I believe the prices would have grown significantly, so the volumes must have declined at least in high single digits. So if you could give some flavour on the same?

Sridharan Rangarajan: See, honestly, AWUKO and all, it is too early to look at price, v olume, etcetera . As I said, we have enough and more to do there. I would rather focus in terms of increasing from the current EUR 9 million to the next year about EUR 17 million to EUR 18 million. That's step one. That should be our focus. RHODIUS is also is that these are blips that happen based on the current demand -supply situation. We are getting back to 10% growth, which is more or less what they have done in 2022 or so. So it is very much doable, and I would wait to focus on price volume analysis on a co mpany like this.

Harshit Patel: Sir, just lastly, on the stand alone Electrominerals business, we have seen the deterioration in the margins in the last 2 to 3 quarters because of the Chinese dumping. So what are the steps we are taking to arrest this decl ine in the margins? And what could be the sustainable margins in this segment going forward? That would be my last question.

Sridharan Rangarajan: So I think the Electromineral margin this year, we did about 9.5% stand alone, right? And last year, we were at 14%. I would like to think, maintaining in the range of 9%, 9.5% is possible. and it should improve as this dumping will start reversing and I think we'll have to give some more quarters before this stops. There are quite a few steps that we are look ing at in terms of bringing our cost down, both in terms of productivity, sourcing and energy cost reduction. So these are the measures that we are trying to counter that. But I think in the initial phase, we are also parallelly trying to work

with the gov ernment in terms of explaining to them to look at this antidumping measures. But it's a lengthy process, but I think these are the steps that we are taking.

Moderator: Next question is from the line of Saif S ohrab Gujar from ICIC Prudential AMC.

Saif Gujar: Just on the Russian subsidiary, VAW. Can you just repeat the PAT amount in r oubles and what would be in INR terms? And how much of that we have utili sed, say, for dividend taken to the stand alone entity and reinvestment out of that, sir?

Sridharan Rangarajan: We said that: one, profit increased significantly to RUB 1.6 billion, so it's roughly about INR145 crores to INR150 crores and we have a policy of taking 1/3 of this as a profit dividend, which will come to our holding company, not to the st andalone.

Saif Gujar: But it will eventually flow to the stand alone, right? So what I'm trying to understand on the cash flow part,

Sridharan Rangarajan: That will get used for servicing our debt for acquisition, etcetera , which we have already completed. That's why we said that all the debts are paid. Now we have an opportunity to reuse this for various purposes, including repatriating back to India.

Saif Gujar: Okay sure and my second question is on the dumping part but on the abrasive side. So similar thing just in terms of -- like for abrasive -- for Electromineral s you talked about taking up with the government. Are similar actions possible on the abrasive side? Or these imports have been there always, so there is no scope there?

Sridharan Rangarajan: No, no. I think there are similar possibility exists in abrasives, which we have done effectively along with the people in the industry. While the Ministry of Commerce recom mended for a dumping, Ministry of Finance did not agree to this. We have gone for an appeal against that.

Moderator: Next question is from the line of Bhoomika Nair from DAM Capital.

Bhoomika Nair: Yes. Sir, on the EMD segment now. On a stand alone basis, we are broadly around 20%, 25% is a specialty EMD. How do you see that changing over the next 3, 4 years as this high -purity silicon facility is commissioned?

Sridharan Rangarajan: Bhoomika, I think I just want to clarify a few things, which I will do now, is that we are at about 11% to 12% is our specialty material compared to the regular one. That's number one. It's not at 25%. The second is that our aim, yes, we are expecting by 2030, we will get to 75 %-25% is what is our current program that we will take us.

Bhoomika Nair: Understood. So sir, when this shift happens where you will probably, as you said, sometime move towards 25% kind of specialty business. How is the margin profile shift? Will it remain around this 9%, 10% kind of a range? Or do you think it will settle more towards 14%, 15% per se?

Sridharan Rangarajan: Yes. So let me give a colour . So the core product that we are talking is WFA brown fused semi -

friable silicon carbide is our core product. The specialties that we are looking at is Alumina Zirconia zirmol thermal spray products, sol -gel, zirconia are the specialty one and the transformational, which is HPSIC and graphene and silicon nitride. These are the 3 that we are looking at as a transformat ion.

So let's put these 2 together as core and specialty in a very a simplistic sense, right? So we expect this would take the contributions up at least by 10% to 15% higher is what is our expectation in this mix change because you will move from currentl y, let's say, 89 -11 to 75 -25 in this mix. So definitely, the PBIT profile would go up. Now I don't want to hazard a guess at this point. but I think it would definitely give a greater push in terms of moving the PBIT margin up.
Bhoomika Nair: Understood. S ir, similarly, in terms of high -purity silico

n, we were also looking at launching this product in Russia. So is that also being set up in Russia where the existing facility is being shifted towards that? Are we looking at adding capacity there? Because Rus sia also is running at a fairly high utili sation. So would it be more of a value growth out there with a very small marginal volume growth? And if you can just touch upon the high purity in that market as well?
Sridharan Rangarajan: So right now, our focu s is set this up in Cochin. We are not looking at setting up this in Russia. So that's the point one I want to clarify. We want to get some stability there geopolitical -wise before we get to further investments there.
Bhoomika Nair: Okay, okay. And from a VAW perspective, what will drive growth because, I mean, utili sations are already very high? So can we expect like a 10%, 15% kind of growth possible out there? Or will it be more subdued because of the higher utili sation?
Sridharan Rangarajan: It will be more subdued because of high utili sation. As I said, that we are taking a very, very -- 2% to 3% growth rate. Under the current circumstances, it's not right to go anything beyond at this point in time. Let's look at how the things change. Based on tha t, we can do that. There are pockets of growth possible, higher refractory growth, higher abrasives growth in VAW, which is definitely we are working on and those can give us some headroom and also the relationship between India and Russia in terms o f making use of their refractory products into India, we are strongly exploring that. That is another area of growth that we are looking at.
Bhoomika Nair: Okay. Okay. Sir, and just one last thing on the high -purity silicon in India. You said that it's moving from the lab basis to the plant aspect of it. Do we have some client tie -ups out or your anchor clients for our offtake once the plant is operational, say, 18 -odd months later?
Sridharan Rangarajan: Yes, yes. That's a good question. We have clearly an anchor customer in silicon carbide for our ceramic business because they will get into preparing themselves into serving semiconductor -based ceramics, defense side of ceramics, electronic -based ceramics. All these will requires the HPSIC material and that is what they would get into that. So clearly, these 2 capacities are tied up, and that is for a clear anchor customer within us, we will have that.
Now outside of the anchor customer for the semiconductor use, we will start . we are just seeing this supplying to a few customers for them to use the product and accept this, which will take time. But definitely, we have more than 50 percentage of the production, we will have an internal tie-up.
Moderator: Next question is from the line of Alok Ra njan from 36 0 One Asset Management Company.
Alok Ranjan: Sir, first question is, if you can help me understand what is the power transmission exposure as an end segment from our ceramics business?

Sridharan Rangarajan: So power transmission exposure for ceramics segment, my guess is about, say, 18% to 20%.
Alok Ranjan: And sir, given the commentary, which is not only restricted to India but on a global level also. Can we assume that although we have guided for the ceramics business growth to be in the ran ge of 12% to 14%, but this must be growing at a rate higher than 20% - 25%?
Sridharan Rangarajan: Yes. I think there are subsegments, which I think metalli sed cylinders, which goes into the medium voltage, which is what I also mentioned, is on a h igher trajectory, I agree.
Alok Ranjan: Got it. And sir, second question, if you can help me understand regarding this high -purity silicon carbide. Can you just help me understand the value chain like who will be the customer for us? And also, given the ki nd of semiconductor -related Capex being announced by Tata in terms of 50,000 w

afer capacity, what could be the other opportunity which Carborundum can think to participate?

Sridharan Rangarajan: So the high -purity silicon carbide would get used, as I said, we are looking at 2 broad areas of application: one is in the semiconductor; the other one is in the technical ceramics. Technical ceramics is basically, as I said, ceramics that would get used in semiconductor equipment, which is a very large space, whic h we can look at it.
The second area is in the electronics, EV vehicles and also the areas of defense. All these areas would require high -purity silicon carbide, largely on the industrial ceramics application is concerned. The second application goes is i n the silicon carbide -based wafer manufacturers would require the HPSIC material. So these are the 2 sets of things. As far as the data semiconductor that you just mentioned , they are based on silicon -based semiconductor fabs.
Alok Ranjan : Got it. Got it. Sir, just 1 clarification here. Given that we are putting up a capacity closer to 6 tons per month, what could be the typical size of a global market? And whether this capacity is initially to start with since we are moving from lab to pl ant scale. And in terms of the runway, it could be much, much higher? How to think about it, sir, the growth journey here?
Sridharan Rangarajan: So I think the growth journey, we are putting up a reasonable capacity because 6 tons per month. So definitely , it is a decent capacity. Head rooms are definitely there . After establishing definitely we'll be in a position to take a relook at this. Second is that we had to focus, as I said, we are just not focusing only on the semiconductor. We are also focused on the ceramic application, which I think since it's going to be integrated in our own value chain, we'll be more keen to look at it that way.
Alok Ranjan: Got it. Sir, last question. We are seeing commodities are moving up again. So li ke alumina prices have moved up from $378 kind of per ton to more than $400. So it's around 8% sharp move that we are seeing. How does that impact our Electromineral s business this movement, which we have seen in alumina?
Sridharan Rangarajan: It's difficu lt to directly correlate on the alumina side, alumina movement exactly, but definitely, it will have an impact into our own input material costs. So it has to be worked in terms of passing on the cost. Those aspects will start flowing through.

Moderator: Next question is from the line of Bhavin Vithlani from SBI Mutual Fund.
Bhavin Vithlani: Congratulations for a good set of numbers. Sir, actually, first is some data -related questions. I missed the numbers of AWUKO and RHODIUS. If you could just help me wi th full year revenues, EBITDA and PAT for RHODIUS? That will be helpful. And the guidance that you gave of incremental EUR 8 million, EUR 9 million, I just got a little confused. Can you help me again on the guidance front?
Sridharan Rangarajan: Let me take my notes paper. So AWUKO, as I said, I think it's a full year EUR 9.13 million sales. And the loss after tax was EUR 2.3 million. Now last year's loss after tax was EUR 3.7 million, that is FY '23. RHODIUS, I mentioned EUR 63.3 million is the top line and the full year basis, the loss after tax was EUR 1.5 million compared to EUR 3.7 million of the last year, FY '23.
Bhavin Vithlani: Sure. So in terms of guidance, what are we guiding individually on revenues and margins' front for AWUKO an d RHODIUS in '25?
Sridharan Rangarajan: So RHODIUS, as I said, we will grow by 10% more higher growth, and we will make a small profit and AWUKO, we said that we'll go up by EUR 8 million to EUR 10 million than the current numbers and we are looking at an EBITDA breakeven there.
Bhavin Vithlani: Sure. And so was RHODIUS' EBITDA positive in '23 given that it was a small loss?
Sridharan Ran

garajan: No, no. EBITDA positive, RHODIUS is EBITDA positive and I said, in fact, even at the curren t one, if I take the PPA out of EUR 2.8 billion, it is equivalent to a profit of EUR 1 million at the PBT level.
Bhavin Vithlani: I understand. Sir, the second question is on the Ceramics division, wherein you highlighted that the year gone by, we had mid -teens growth in ware Ceramics and Refractories. It's the Engineered Ceramics which declined. So what was the decline in the Engineered Ceramics last year and going forward as the customer which postponed, which you believe, will come back? Then the growth th at you're guiding for 11% to 13% seems lower than you guided in the past calls of 20% to 25% growth you are anticipating for the Ceramics division?
Sridharan Rangarajan: Yes. There are 3 sub -segments - industrial ceramics, ware engineered and metalli sed cylinders. Sum of all these 3 put together, we are flat compared to FY '23 to FY '24. We are not sharing individually their sub elements and their growth. We feel that the Engineered Ceramics growth that we are loo king at the next year, considers a similar sales of last year from the customer that we had a shortfall and we have picked up higher sales on certain select segments like night vision lamps, defense industry and few other devices' customers, which helps us to get to the growth back.
So hence, we are gaining growth at this point in time. Overall growth rate that we are looking at and on the refractory, again, there are 2 broad sub -segments, which is basically -- so 3 broad

segments, fired, monolithic and composites put together. These are the 3 subsegments there. They have grown substantially well last year, and we are expecting a similar performance to continue in the next year. Earlier, you were telling that you guided us 20%, now you are saying

13% to 15% and I would like to be conservative here and exceed rather than tell something and come below that.

Bhavin Vithlani: I appreciate that. Just 1 more question on the SOFC customer where there was a changeover in the m odel and hence, there was a deferment of the sales. Are you getting -- I mean, is there something more than just a changeover in the model where they are running off the older inventory than the demand impact that your discussions with the customers sugges t? And is that -- I mean, are you seeing that the growth can come back on a 3 -year basis, not talking we not expecting on 1 or 2 quarters that we have expected?

Sridharan Rangarajan: Absolutely. so we told, I think last call itself, I did clarify, there is a model change is one reason. The other one is their business in South Korea also went down and hence, it affected. They got back to the South Korea orders from Q4 of calendar year FY '25, which is what I did mention in the last call. So we feel that, as you rightly said, in a 3 -year time frame to come, they will get back to higher growth rate and I think it's a very strong customer. They are doing fine in their own business and they should be back.

Bhavin Vithlani: So on th e EMD and high -purity SiC, our capacity of 6 tons per month, if you could just help us with what would it be versus the global demand totally? I mean, I just want know what could be our share in the market once our capacities get commissioned?

Sridharan Ra ngarajan: I think I tried to answer this in the earlier question also is that, see, these are niche demands globally. We feel that what we have kept as a capacity to start with is a decent capacity to get in and once we establish, it will give us a reas onable share. So I feel that we would be able to share this more once we establish, start doing that, we will be able to come back to you and share. But I think it's a reasonable size to start at 6 tons a month.

Bhavin Vithlani: Sure. I'm sorry to hop on this again, would our

capacity be like sub -5% of the world demand? I mean, we want to know the headroom that the kind of...

Sridharan Rangarajan: There will be enough headroom...

Bhavin Vithlani: Great. Just last part of it, in t he EMD historically, we have been working on a certain battery - related materials like graphene and high -purity graphite. Any progress on that? And if you could just give us some colour on that would be helpful?

Sridharan Rangarajan: Yes. I think in the las t call, I did clarify these 2 points very well. and about our intentions, etcetera . But to start with, let me get to the graphene again. And see, I feel that we are focusing as far as graphene is concerned, on 3 broad areas and one is in terms of auto detailing, the other one is the bio pack. The third one is the super capacitor application. Fourth and fifth, work is on, which is on the cement and tires, many usual -- going through the rubber mark. So these are the 5 areas that we are looking at. Of these 3, we will take it up, and that is how we are gettin g to the next step.

As far as the graphite is concerned, we have clarified in the last call is that it takes a long time. We need to establish our synthetic graphite facility, which I think will take time. I would get back to you as and when we establish and we have a path forward, we will then share. At this

point in time, as I said, the HPSIC and graphene is the 2. And these are the 5 areas that we will focus on graphene of these 3, we have a clearly laid part, which will take it forward.

Bhavin Vithlani : Sure. Appreciate this. Last question, if I may. So we have seen the pollution control board have laid a significant penalties on the tire companies and that now there is a mandate for them to recycle. So do we have any products or solutions which can hel p them on this recycling part?

Sridharan Rangarajan: Yes. I think this is one area where we are focusing on is how by adding graphene, we get back to similar to virgin rubber, from a retraded or reused material, is the work that currently we are working on. As we start establishing, as we start progressing well technically. We have done technical work in terms of few people associated with us and some universities outside of India. Would get back to you in a specific one as and when we have a good p ath forward. But as I said, it's 1 of the 5 areas of our focus.

Moderator: Next question is from the line of Tarang Agrawal from Old Bridge AMC.

Tarang Agrawal: A couple of questions. One on the India business. If I look at FY '24, the Abrasives and the Ceramics segment has grown by about 4% to 5%, right? And the outlook for FY '25 seems to suggest that you all are baking in anywhere between 10% to 12% for the India business. Are you seeing increased level of activity overall from a market perspective? Or d o you think it's going to be a function of everything that you mentioned, so it will be more micro rather than market led?

And second, the 4% to 5% growth that we witnessed in FY '24 . Is there a way to probably comment whether we have lost market share or where we are because that number seems to be a bit soft? And the third on VAW, what percentage of , if you could give us a segmental split of VAW between Electromineral , ceramics and abrasives?

Sridharan Rangarajan: I think . so as far as the growth for FY '25 is concerned, I think let's split this into 2 elements, ceramics and abrasives, which is what your question is. So ceramics, I think, largely, 2 broad components, industrial ceramic and refractory are the 2 subcomponents in that. R efractory grew 20% plus, but we have a challenge on the Industrial Ceramics, which was flat, largely because of the engineered ceramic business, which we talked in a few questions earlier and how we think that we will get back to higher growth rate, we exp lained this clearly. So it has nothing

to do with the market one like, as in your own words, it's a micro -management of the business, and we will get there. So that is how the growth path of 5%, 6% this year to guided higher percentage the reason for ceramic side.

Abrasives, similar explanation. It is not the market, which is, I think market is there, market is growing . In a way you have mentioned that does it mean you have lost market share? Yes, in some specific pockets, yes, we have lost, we have to get back. That is a program that I described also what we will do in abrasives to get back this. As far as VAW is conce rned, it's predominantly Electromineral business. I would not like to share the individual segments, but this is the broad guidance I can give.

Tarang Agrawal: Would it be fair to presume about 75% to 80% of VAW would be Electromineral s?

Sridharan Rangarajan: It's a predominantly Electromineral business.

Moderator: Next question is from the line of Amar from Lucky Invest.

Amar: My question has been answered.

Moderator: Next question is from the line of Mohit Pandey from Macquarie Capital.

Mohit Pand ey: Sir, on the high -purity silicon carbide, so firstly, India business, but what are the commissioning time lines for the plant being set up? And secondly, in earlier calls, I think you used to mention about a certain level of purity that you are looking to achieve, like 99.999%. So is it fair to assume that, that has been achieved now? Yes.

Sridharan Rangarajan: I think we are looking at a fine purity, which we have established, it would take 18 months to set up this plant.

Mohit Pandey: Okay, sir. And is there work also ongoing on further and levels of purity being targeted? Or...

Sridharan Rangarajan: No. I think in this method of manufacturing; we have probably the best.

Mohit Pandey: Understood. Sir, and secondly, on abrasives domestic margins. So are there apart from softer raw material prices, what would be the self -help measures like cost controls, etcetera , contributing to the margin expansion, if you could give some sense around t hat as well?

Sridharan Rangarajan: Yes, I think there are 3 or 4 drivers which we described. One is the commodity, the other one is product mix, the third one is the cost measures and the fourth one is some of the price improvements that we put up in the s elect areas.

Moderator: Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to Ms. Bhoomika Nair for closing comments. Over to you, ma'am.

Bhoomika Nair: Yes. Thank you very much for giving us an opportuni ty to host the call, sir. Wishing you all the very best, and thanks to all the participants. Sir, any closing remarks from your end, sir?

Sridharan Rangarajan: I think, I, first of all, thank DAM Capital for hosting this conference. I would like to summari se and leave a few thoughts here is that we have quite a decent volume growth in most of the business segments that we have. And we have clearly done an excellent performance in terms of the profitability. The profit growth is very good. PAT ratio is at 10% plus.

Cash conversion is good at 86%, and it continues to be a Zero debt company. Good balance sheet and the companies that we acquired are started performing well, both at RHODIUS and AWUKO, it is on the trajectory of the right growth. We have done a good job in terms of reorgani sing and strengthening the leadership team at various levels. And we are currently working on a long -term strategy and a vision going up to 2030.

So summary is that a good base business, trajectory of growth identified, lead ership team is in place, we are working towards getting to the next level of the growth path. So that's probably the summary I would like to leave.

Moderator: Thank you on beha

lf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2024

"Carborundum Universal Limited Q1 FY 25 Earnings
Conference Call"

July 31, 2024

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – MANAGING DIRECTOR , CARBORUNDUM UNIVERSAL LIMITED
MR. SUSHIL BENDALE - CHIEF FINANCIAL OFFICER , CARBORUNDUM UNIVERSAL LIMITED
MR. G. CHANDRAMOULI – ADVISOR , INVESTOR RELATIONS , CARBORUNDUM UNIVERSAL LIMITED
MR. DENESH KUMAR – SENIOR MANAGER , STRATEGIC PLANNING , CARBORUNDUM UNIVERSAL LIMITED
MODER ATOR : MR. ADITYA MONGIA – LEAD ANALYST (INDUSTRIAL TRANSIT SECTOR), KOTAK SECURITIES LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to the Carborundum Universal Q 1 FY '25 Earnings Conference Call hosted by Kotak Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star, then zero on your touchtone phone.

I now hand the conference over to Mr. Aditya Mongia – Lead Analyst, Industrial Transit Sector . Thank you, and over to you, sir.

Aditya Mongia: Thank you , Steve , and welcome everyone to the Q1 FY '25 Earnings Call for Carborundum Universal.

Introducing the management , we have today with us, Mr. Sridharan Rangarajan – the Managing Director; Mr. Sushil Bendale – the Chief Financial Officer ; Mr. G. Chandramouli – Advisor, Investor Relations ; and Mr. D enesh Kumar – Senior Manager, Strategic Planning.

We would request the management to make the "Initial Remarks " on the Results that have gone by, post which we can start with the Q&A session. Mr. Rangarajan and your team, over to you. Thank you.

G. Chandramouli: Good morning to all of you. I am Chandramouli. Before we begin, as a practice, I will read out our disclaimer.

During this call, we may make certain statements which reflect our outlook for the future, or which could be construed as a forward -looking statement. These statements are based on the management 's current expectations and are associated with uncertainties and risks, more fully detailed in our Annual Report, which may cause the actual results t o differ. Hence, these statements must be reviewed in conjunction with the risk s that the company faces. Thank you.

Sridharan Rangarajan: Thank you. Good morning and very happy to meet you all again. Hope all of you are doing fine. There are rains . There are other natural calamities. Hope everyone is safe and take care of your health. So, good morning to all of you. A warm welcome to our First Earnings Call for the Financial Year FY '25.

Today, I have with me Sushil Bendale who is our CFO and Chandramouli, the Investor Relations

person and Mr. D enesh, Head of Strategic Planning . We will begin this call by providing an overview and then later on, we will have a Q&A from you.
Consolidated results, I will start with :
Consolidated sales for Q 1 FY '25 was almost the same at Rs. 1,184 crores compared to Q 1 FY'24. Consolidated Abrasives grew at 6.3% whereas there is a degrowth in Ceramics and Electrominerals segment by 6% and 9% respectively.

On sequential basis, Abrasives grew by 3.5%. Electromineral s was flat and Ceramic s has a de - growth of 4%.
PBIT for the quarter degrew by 3.5% to Rs. 149 crores , with PBIT margin of 12.6% against Rs. 155 crores in Q1 FY '24 with a PBIT margin of 13%. This was majorly contributed by abrasive growth at 76% , while Ceramics and Electrominerals degrew by 20% and 42% respectively.
The PBIT margin for Abrasives improved significantly from 6% in Q1 FY '24 to 10% in Q1 of the current financial year. While Ceramics ' margin drop ped from 28.2% to 24% and margin of Electrominerals dropped from 17.7% to 11.4% compared with Q4 FY '24, Abrasives ' margin dropped by 188 bps and Ceramics by 120 bps and Electrominerals by 219 bps. I will cover this in detail as I make my opening remark.
Profit after tax for the quarter was almost flat at Rs. 113 crores compared to Q1 FY '24, though there is a de -growth of 16.2% against Q4 FY '24. Foskor Zirconia delivered profits in Q4 , FY'24, but they incurred losses in Q1 FY '25. Also , profits from VAW Russia are lower mainly due to exchange impact. I will cover this again in detail. These two subsidi aries accoun

ted for about
Rs. 17 crores drop in profit after tax.
Standalone business grew marginally by 1% to Rs. 664 crores compared to Q1 as well as Q4 of FY '24. In comparison to Q1 FY '24, the Abrasives segment grew by 7%, Electrominerals degrew by 4% and Ceramics degrew by 6%.
On sequential basis, Electrominerals grew by 5.4%, Abrasives grew by 3.7%, and Ceramics degrew by 1.7%.
PBIT for the quarter was at Rs. 119 crores representing a degrowth of 2% quarter -over-quarter and 4% sequentially. The PBIT margin dropped from 18.5% in Q1 FY '24 to 18% in Q1 of the current financial year. Though the Abrasive s margin improved from 15.3% to 17.6%, drop in margin from Electrominerals and Ceramics segment resulted in drop by 54 basis points.
Profit after tax for Q1 FY '25 was almost flat at Rs.93 crores compared to Q1 of the last year and a marginal drop of 1% fro m Q1 FY '24.
Now I will go by business :
Abrasives :
Consolidated abrasives revenue for Q1 FY '25 was at Rs. 552 crores with growth of 6.3% compared to the same period last year and a growth of 3.5% sequentially. Standa lone business and RHODIUS plus AWUKO showed good growth compared to Q1 FY '24, whereas the domestic subsid iary Sterling Abrasives , VAW Russia showed negative growth. Sterling was impacted mainly due to the slowdown in domestic agro business despite their good performance in export. VAW mainly had an exchange impact as their sales were flat in local currency.

Standalone Abrasives for the quarter :
The sales grew 7.3% to Rs 303 crores compared to Q1 FY '24 and 3.7% sequentially. On a quarter -over-quarter basis, the growth was majorly driven by the industrial and retail segment where the major growth is coming from volume increase. However, there is a single digit de - growth in the precision segment mainly from exports, whereas the domestic market volumes and price remained at similar le vels as that of last year.
VAW for the quarter :
The sales in local currency grew by 16% compared to Q4 FY '24 mainly driven by an increase in volumes , though sales were flat compared to Q1 of the last year. The drop in volumes was compensated by a similar increase in price reali sation. I will cover VAW in detail when I go to the Electrominerals segment.
RHODIUS:
RHODIUS in Q1 achieved net sales of 17.3 million Euro compared to 15.5 million Euro in Q1 of FY '24 and 17.1 million Euro in Q4 FY '24. This represents a 12% growth over the last year, majorly driven by an increase in sales to Europe and the Americas . There was an increase in volume to an extent of 9% while mix and price enabled 1%.
Coming to the bottom -line performance :

I am happy to sha re that RHODIUS delivered profit in this quarter as well and delivered PA T of 0.3 million Euro compared to the loss after tax of 0.8 million Euro in Q1 of the last year. This was on account of favorable raw material price and improvements in production performance and volume. On a sequential basis, there is a marginal drop in profit to an extent of 0.3 million Euro , mainly coming from an increase in raw material prices and one -time employee payments.
AWUKO :
Coming to AWUKO 's performance :
We achieved 3 m illion Euro in sales for the quarter, which is around 20% better compared to Q1 of FY '24, as well as sequentially. The losses after tax have come down from 0.73 million Euro in Q1 FY'24 to 0.6 million Euro in Q1 of this year. However, the losses have increased from a level of 0.4 million Euro in Q4 FY'24 . As we told earlier, we expect AWUKO to break even at EBITDA level in FY '25. The small loss of 0.7 million Euro to 1 million Euro , we still maintain the same outlook.
America , there was a small degrowth of 4% and 13% compared to Q4 and Q1 of the last year, mainly impacted due to logistics -related challenges, but I think the pr

ogram for the full year is
intact.

I will now cover the bottom -line performance of this segment :
Consolidated P BIT for the quarter grew significantly by 76% compared to Q1 of last year. This resulted in margins improving from 6% in Q1, FY '24 to 10% in Q1, FY '25. This was mainly due to better performance in standalone, losses coming down in AWUKO and margins moving better in RHODIUS .
Standalone P BIT grew by 23.6% to Rs. 53.4 crores quarter -over-quarter and margins improved to 17.6% compared to 15.3% during the last year, mainly on account of product mix, softening of input costs, improvement in operational efficiencies, and better reali sation.
Sequentially, the PBIT went down by Rs. 8.2 crores mainly due to lower profits from RHODIUS and AWUKO, which we just covered.
Electrominerals consolidated :
Electrominerals on a consolidated basis for the quarter delivered similar revenue at Rs. 381 crores compared to Q4 FY '24. However, there is a degrowth of 9% compared to Q1 of last year mainly coming from VAW and CUMI standalone, I will be covering more details now.
Standalone Electrominerals :
Sales for the quarter was Rs. 189 c rores, which represents a growth of 5.4% compared to Q4 of FY '24 and a degrowth of 4% when compared to Q1 of the last year. There has been good volume growth in aluminas and silicon carbide both sequentially and prices remain at similar level.
While compared with Q1 of FY '24, there has been a drop in price reali sation by 4 % to 6% and you would see that the prices have been dropping since the last year Q1 . So, that is wh at this is comparison , but t he volumes remained intact , and we are also doing price corrections and we will get back to normalcy.
VAW for the quarter, sales grew by 5% to Rouble 2.4 billion against Rouble 2.3 billion in Q4 FY '24 on account of increase in volumes mainly. Price reali sations were flat . Sales were flat compared to Q1 FY '24. When converted to INR, it shows a downward performance quarter -over-quarter because of strong Rouble in Q1 FY '24 where it was converted at 1 Rouble equivalent to 1.01 Indian rupees on an average , whereas it has become weak at 0.92 Indian rupees in Q1 FY '25.
The operations are running well and there has been a significant increase in sales volumes of refractories and abrasives by 28% and 14% re spectively. The volume increase in silicon carbide is also very good.
Here I want to highlight that sales volume to export has increased compared to Q4 of FY '24 as well as compared to Q1 of last year. On this backdrop, the mix towards export sales volume has increased to 43% compared to 40%.

They delivered a profit after tax of 287 million Rouble in Q1 FY '25 against 423 million Rouble during the same period of the last year and Rouble 384 million in Q4 FY '24. This was mainly due to exchange impact . Operationally , VAW is doing fine .
To illustrate , in March '23, 1 US dollar was equivalent to 77.98 Rouble. I am talking March '23. This became 89.29 Rouble in June '23. So , when you close the books in June '23, you would restate your receivables in the book , bank balances and probably realizations . This resulted in exchange gain by restating the foreign currency receivable, bank balance and realizations.

However, in March '24, 1 US dollar was 92.59 Rouble. This became 85.75 in June '24. This difference in movement is one of the main factors for the reduction in profit to the extent of Rs. 20 to 23 crores , which you will see this in other income drop as well. They continue to be debt - free and the outlook remains stable and positive.
Now I move to Foskor Zirc onia:
For the quarter, the sales volume increased by 12 % to 1,050 metric tons compared to Q1 of the last year and 3% growth sequentially. The

re is a decrease in price realization. This is the main
reason for also the impact in profitability . So, despite ma intaining the sales volume, Foskor incurred loss mainly because of lower reali sation and product mix. We expect Q2 and rest of the year to be better than this and the plans for the same are in place. This covered the revenue portion of the Electrominerals segment.
Now I will cover the bottom -line performance of the segment :
Consolidated PBIT for the quarter was Rs. 43.3 crores, which de -grew by 42% compared to Q1 of the last year. The standa lone business, VAW and Foskor delivered lower PB IT than that of the last year. Standalone business was hit by a drop in price reali sation. This is compared to Q1 of last year, owing to the lower price of domestic imports.
VAW :
As explained , Rs. 20 to Rs. 23 crores reduction in profit was mainly on account of the exchange impact in their books. Foskor profits are impacted by a drop in price and product mix. Combined together, there was a drop of Rs. 31 crores in PB IT. Standalone PBIT grew by 46% to Rs. 16 crores compared to Q4 , FY '24 and margins improved from 6.2% to 8.5%.
Ceramics :
Consolidated Ceramics for the quarter degrew by 6% to Rs. 270 crores, quarter -over-quarter , and 4% compared to Q4 FY '24. The drop was mainly from the standalone business as engineered Ceramic s segment is yet to recover , as well as some refractory orders are getting delayed.
Standalone ceramics :

The Refractory, Wear Ceramics, and Metalli sed Cylinders business combined together grew 17% compared to Q1 of FY '24 and 1.4% compared to Q4 , FY '24. But the degrowth in engineered ceramics , overall ceramic segment resulted in a degrowth of 6.2% to Rs. 217 crores. And I think I will also cover this in a minute later, but I will wait for that. Subsidiaries in America registered good growth quarter -over-quarter and sequentially , whereas Australian subsidiary was flat compared to Q1 of the last year.
So, I will now cover the consolidated PBIT for the quarter was Rs. 65 crores representing a degrowth of 9% compared to Q4 of last year. This resulted in margin declining from 25.2% in Q4, FY '24 to 24% in Q1 , FY '25. This was mainly due to drop in margins of standalone business to 22.7% by 83 bps and margins dropped in Australian subs idiary . The drop in margins of standalone was mainly on account of mix be tween industrial ceramics and refractories product mix and also the product mix within the industrial ceramics.
I will come back again, but I request our CFO - Sushil to cover the financials in detail.
Sushil Bendale: Thank you, sir.
First, I will talk about the consolidated PBIT margins :
For the quarter, consolidated PBIT margin was at 12.6% compared to 13% in Q1 of FY '24. This was majorly contributed by better performance in abrasives. Abrasive s margins actually improved from 6% to 10% , while ceramics ' margins declined from 28.2% to 24% and Electrominerals ' margins declined from 17.7% to 11.4%.
Now I will talk about the standalone :
For the quarter, standalone PBIT margin was at 18% compared to 18.5% during the same period last year. Abrasive s' margins improved from 15.3% to 17.6%. Ceramics ' margins declined from 26.9% to 22.7% , and Electrominerals ' margins declined from 11.6% to 8.5%.
Now I will talk about the Abrasives segment :
Consolidated PBIT margin s for the quarter improved from 6% to 10%, mainly contributed by standalone abrasives business margins increasing from 15.3% to 17.6%. And this was on the back of better reali sations, improved operational efficiencies, losses coming down in AWUKO and marg ins moving from negative to positive for RHODIUS .
Now, Electrominerals :
For the quarter, at a consolidated level, PBIT margin has decreased from 17.7 % during same period last year to 11.4% in the current f

inancial year.

Standalone business , VAW and Fosko r delivered lower PBIT than that of last year. Standalone business was primarily hit due to a drop in price reali sations by almost 4 % to 6% due to price pressure owing to lower price imports.
VAW primarily because of the exchange impact as was explained earlier and Foskor due to the drop in price reali sations and product mix. But c ombined together, there was a drop of Rs. 31 crores in PBIT, but standalone PBIT grew by 46% to Rs. 16 crores comp ared to Q4 FY '24 and margins improved from 6.2 % to 8.5%.
Now, Ceramics :
For the quarter, consolidated PBIT margins declined from 28.2% in Q1 FY '24 to 24%.
Standalone margins also decreased from 26.9% to 22.7%. The drop in margins of standalone was primarily on account of mix between industrial ceramics and refractories and the product mix within the industrial ceramics business.
VAW delivered better margins while CUMI America and Australia had lower margins than the same period last year.
Now, com ing to the debt position :
There was no debt in our standalone books and total debt at a consolidated basis was Rs. 112 crores at the end of Q1 FY '25 compared to Rs. 113 crores at the end of FY '24 and Rs.178 crores at the end of Q1 FY '24. The debt-to-equity ratio was at 0.03 at a consolidated level.
Now, CAPEX:
During Q1 of FY '25, our CAPEX investment was Rs. 63 crores at a consolidated level.
ROCE :
For the quarter, the return on capital employed at a consolidated level is 16.9% compared to 19.7% during the same period last year. At a standalone level, it is at 20% compared to 22.6%.
For consolidated businesses, ROCE in Q1 FY '25 for Abrasives improved from 9.4% to 15.5% , while Ceramics has declined from 54.6% to 41.5% , and Electrominerals also decreased from 31.9% to 17.8%. For the standalone businesses, ROCE for Q1 FY '25 for Abrasives has improved from 44.8% to 45.4% , while Ceramics and Electrominerals have decreased.
Now I request Mr. Sridharan to take you through the next section , which talk about our future outlook.
Sridharan Rangarajan: Thank you, Sushil. We talked about the guidance for FY '25 last time. I will comment on what we communicate d earlier and what we expect considering the Q1 performance. We

communicated full -year consolidated sales growth could be 9% to 11% and consolidated sales could be Rs. 5,100 to 5,200 crores. We are confident of delivering the same.
We expect the growth of 11% to 12% in Abrasiv es, 12% to 14% in Ceramics as told earlier. We maintain the same stands for Electrominerals as well, a growth of 5% to 6%. Abrasive India growth would be 9% to 11% as communicated earlier.
RHODIUS is doing fine against what we planned. We are confident of delivering a growth of 10%, what we communicated earlier.
AWUKO delivered their Q1 FY '25 plan, and we are confident of delivering what we communicated during our last call, a growth of 8 million Euro to 10 million Euro over FY '24.
Industrial ceramics :
We still hold the growth projection of 13% to 15% in the segment driven by India, America, and Australia. Australia in Q1 FY '25 was marginally below the same period last year, but it is a very small percentage.
Q2 is also expected to be on a similar line. Growth in the second half of the year would be better, which will result in marginal growth in FY '25 against FY '24, what we told earlier. This is based on their order books as well as the projections that we have from some of the ke y customers.
Refractory :
We are confident of delivering growth around 12% to 13% over the last year. They have a very strong order book and there are some delays in scheduling the order. That is what is having some seasonality issues, but it would happen.
Electromi

nerals :
While it's expected to deliver similar performance of the last year in Rouble terms, this is what we have planned and what we communicated. Growth from standalone businesses is expected to be in line with our plan.
For Foskor , though Q1 FY '21 was impacted, we expect coming quarters to be better. We expect good growth over the last year , but some shortfall from the plan.

On the bottom line, we are confident of delivering what we communicated earlier. A consolidated PBIT margin to improv e by 20 bps to 30 bps, this is what we communicated. We expect similar numbers.

Consolidated Abrasive margin to improve by another 100 bps in FY ‘25, we still hold the same. Ceramics ’ margins should be similar as that of F Y ‘24. Electrominerals 20 to 30 bps improvement in F Y ‘25.
On CAPEX side:
We are confident of spending Rs. 350 crores. We spent Rs. 63 crores in Q1 FY’2 5
So, by and large, I would say , Q1, the top line in profitability or in line with the last year is better than our internal business plan. We expect the second half to be better. All the projects that we plan to execute are in line and we are confident of what we guided the last call.
Thank you , and we will open up for Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Amit Anwani from PL Capital. Please go ahead.
Amit Anwani: First question is on VAW. So, you did highlight that kind of flattish volumes we are expecting. Just wanted to understand, I think we were talking about debottlenecking, and I recollect the utilizations were also (+85%). I just wanted to understand is there any scope for debottlen ecking, what is the capacity utili sations ? And is there any constraint now with respect to volumes in the coming quarters and years from VAW?
Sridharan Rangarajan: Thank you, Amit. I think t he VAW is doing fine . Capacity utilisations , mainly the silicon carbide is very much on full capacity utili sation. The debottlenecking program is happening, and it will come on place, but I think when I said flat is largely is a function of comparative to the quarters that we are comparing. I think given the circumstances, given what we are all going through tha t, I think they are doing fine. We expect capacities will be augmented in time over the next year.
Amit Anwani: Second, sir, wanted to have an update on the Chinese dumping impact . You did allude in the previous quarters also , in abrasives , I think we were facing issues with respect to the retail abrasive and there was a strategy that we would like to enhance the distribution channel. And there was some competition from the other paint companies . So, just wanted to have an understanding how the quarter was in abrasives with respect to the Chinese competition and local competition and also Electrominerals on alumina where we were facing the realization issues. So, if you could elaborate on these points.
Sridharan Rangarajan: I think as we communicated in my opening remarks, the abrasives segments are doing fine, and I think the growth rate is also compared to what is happening with the competition we are tracking better. Our programs of strategy are coming in place, and it is paying dividends. We feel that th e pricing pressure from China would continue for some time, but I don ’t think it is going to be for long.
In terms of the alumin as, if you look at the trace from Q1 of last year, it continued to fall, I think, because of the competition. We see some corr ection . In fact, Chinese prices have started going

up and so starting next quarter, we are also putting up the price and we think that there would be a reversal in the price happening in Electrominerals .
Amit Anwani: Lastly, a few other compa

nies who are exporting are highlighting the container availability issue and logistics issue witnessed this quarter. So, d o you see that? So , first of all, any impact you see and will there be any risk to our export shipments because of this for this year?
Sridharan Rangarajan: I think i t’s a two -way issue both in imports as well as in export. This logistics issue, availability of containers as well as the freight movement have been impacted , and I think all of us are going through this issue. Sometimes it caus es delays . Sometimes it causes higher freight costs. All these combinations we are facing, and we are working with the customers as well as with the logistics agency to see how do we address this and this is across.
Amit Anwani: Are we factoring in some bit of it in our growth guidance?
Sridharan Rangarajan: I have already factored in whatever I have told.
Moderator: Thank you. The next question is from the line of Ravi Swaminathan from Avendus . Please go ahead.
Ravi Swaminatha n: My first question is with respect to the ceramics and refractories business. You had mentioned that, this quarter ’s decline had been because of the engineered ceramics that lo ss of business from the single customer and refractories also slowing down a bit. Just wanted to check with you, is there a bottoming out that is happening with respect to that business from that single customer and why there has been a weakness with respect to refractories? Is it more related to

election related iss ues or something of that sort ?
Sridharan Rangarajan: I think Q1 of last year was also a high peak as far as the customer that we are talking about , but since then the company has picked up. We feel that Q2 onwards this pickup will happen, and we have fact ored in whatever guideline that I have shared some time back now . Consider all these and we are confident of delivering a higher growth in ceramics based on the interactions with customers and order book we feel that we will do that.
As far as the refrac tory, no impact due to elections , but obviously certain customers ' inspection because lot of this is also dependent on their project execution timelines and inspection of the product , so there are some delays . And based on that , some invoices could not happen in Q1 , but given their strong order book that what we have seen , we feel that together we will deliver the guidelines we have communicated.
Ravi Swaminathan: And if you could talk more about any progresses with respect to some of the special and sp ecific areas that we are looking at like high-purity silicon carbide? Last call you had mentioned that you would be adding per month 6 tons. And similarly, graphe ne, synthetic graphite , if you can talk about incrementally, w hat has happened in these segmen ts in the past 3 months and over the 3-to-5-year period , cumulatively , any ballpark numbers in terms of revenue and profitability that can pan out in these sub -segments?

Sridharan Rangarajan: So, the progress is going well as per the timeline as far as the HPSIC project is concerned. And I think we are tracking the timeline, and I think as we communicated earlier , this would serve both semiconductor and technical ceramics market and we are trackin g to the timeline and schedule . So, we should be fine with that.
We are also fine with the project execution in industrial ceramics . As far as the semiconductor ceramics , that project is on , and I think we have started the CAPEX program for that. Similar ly, also the CAPEX program for the defense side is also on. So , all these programs whatever we communicated is very much in line and progressing as per our internal schedule and we feel that those should be coming along as per our internal guidelines.
Ravi Swaminathan: And high -purity silicon carbide , any top line that we can kind of think of

over the next 2 -3 years ?
So, this 6 tons per month would translate to roughly around 70 tons per annum and the realisations are like 25 times, 30 times more than the existing silicon carbide reali sation. So , it's like if we put a rough map , it comes to around 20 -25 crores of revenue. So , is that the kind of fair assumption in terms of overall revenue potential that is there in the near term in the next 2 - 3 years f or this business?
Sridharan Rangarajan: So, thank you for taking effort to do some calculation , Ravi. We would come back and share with the larger team as and when we are ready with the project and then some progress we are making in that direction. It wo uld be a better job at that point in time for us to communicate.
Ravi Swaminathan: Any progress on graphene, synthetic graphite? What are the potentials there?
Sridharan Rangarajan: So, graphe ne, as we said that, I think we are working on multiple areas. Bio -packaging and then the car detailing are the two areas. Other than that, we are also working on rubber, cement and few coatings. These are the areas that we are currently working on. The pro gress is good, and I think as I communicated in the last c all, this will be small incremental , but over time we will build a capability . I think allow us a reasonable time and I think this would become a good reasonable business as we progress. Give us som e time . I mean , this should be a 3-to-5-year window , but it should happen.
Ravi Swaminathan: Any addressable market size for graphene itself in India or abroad ? Any number that you have in mind , sir?
Sridharan Rangarajan: These are all good market size . We are looking at the opportunity set in multiple areas are really good . And also it gives us an , competitive advantage in our core product as well . So, hence , together we feel that these are all good bets to make and that is why we are taking it .
Moderator: Thank you. The next question is from the line of Harshit Patel from Equirus Securities . Please go ahead.
Harshit Patel: Sir, f irstly, on the clean energy piece of the business, you have earlier indicated that we were in discussion with multi ple other players as well , mainly in the developed countries to get the

approvals, getting trials done, etc. Has there been any meaningful progress on that ? Have we started getting some revenues from any of these customers?
Sridharan Rangarajan: So, in the sector that we are serving, this is on the solid oxide fuel cells, we are working with the biggest person in that field and others are very, very small and picking up . I am not sure where you got this information that we are working with multiple peopl e etc. So, t his is a program

where our concentration is only on this single customer.
But I think what we are working on is diversification in semiconductor fab equipment -based ceramics is one clear area . We have got significant approvals, and we are also getting orders on that direction and that is why we are making an investment in separate capacity . That I think will be one track , and also the defense and aerospace is another track . These are the two tracks. The third track is going to be on Elect ronic Ceramics . That is one track we are working on. I think , shortly , we will also make capacity investments for that. So, these things will help us to diversify and grow in newer and also meaningful market size areas.
Harshit Patel: Sir, j ust a follow up to that . Even your annual report mentions that a lot of new product development is happening in armored vehicle protection. You also just mentioned the same , and we have also done commerciali sation to a significant scale. So, could you give some flavor in terms of whether this is for domestic market or for exports, the size of this business and who are the competitors that we compete wi

th over here?
Sridharan Rangarajan: So, to start with, it will be for the domestic market and then as we start complet ing and also making the domestic market satisfied, we will work on the export market. The market size is quite large . And in fact , we are playing in a very niche area. So, I think we will make an investment in CAPEX to the tune of about say Rs. 30 to 40 crores. So, that is the CAPEX program that we are looking at. The revenues etc ., as we mature , we will share.
Harshit Patel: Sir, just lastly on Pluss, two years ago , I think the plan was to break even in FY ‘24. However, that has not happened. I think we have still incurred losses last year. So, what is the trajectory here in terms of revenues, margins, breakeven et cetera? Also , depreciation seems to be quite high both in Pluss as well as in RHODIUS . So, the current run rates will sustain in the foreseeable future or do we expect this depreciation to come down?
Sridharan Rangarajan: So, as far as Pluss is concerned, we have been making a profit in the last two quarters and I think there is a really encou raging order book we have and d efinitely we are expecting break -even and better performance this year. And I think, when you talk about depreciation, you are talking about probably the intangible write -offs. Perhaps that ’s what you are saying.
Harshit Patel: Yes, sir. Correct.
Sridharan Rangarajan: I think these will taper down. As far as RHODIUS is concerned, it should taper down after three years. So, I mean, three years after FY ‘25, it should taper down. And I feel that at this point in

time, RHODI US is making profit even after the PPA adjustment. So, we feel they are tracking to the program both Pluss and RHODIUS is in good shape.
Harshit Patel: Sir, just lastly on the tax rate, the tax rate at the subsidiary level seems to be very high for this particular quarter. Is there any specific reason for that? Also going forward, what would be the blended tax rate for us at the subsidiary level? That would be my last question.
Sridharan Rangarajan: So, I think for your keen, inquisitive eyes, I think yo u have done a very good analysis. I think the tax rate is higher largely because the deferred tax benefit is not taken in Foskor . Hence, you know, that is taking this tax rate higher. I feel that broadly, the overall company ’s tax rate should be in the ran ge of 28 % to 30%. That should be the broad level we should look at it.
Moderator: Thank you. The next question is from the line of Bhoomika Nair from D AM Capital. Please go ahead.
Bhoomika Nair: Sir, you highlighted new areas such as HPSIC , defense and aerospace, SOFC, electronics ceramics, etc. While I understand we might not be able to outline the revenue guidance kind of a number, but can you talk a little bit about what is the addressable TAM out here, how this market is growing and who are the playe rs that are there? What is the competition like as such in this market? So, if you can just talk a little more in terms of the TAM, which will help us to kind of at least understand where we could possibly grow to.
Sridharan Rangarajan: So, I think I talk ed about at least four different things. I think as far as the semiconductor and aerospace and defense, we should start seeing the benefit flowing in a year ’s time. As far as this electronic ceramic business is concerned, we need to put up some capacities. My guess is that in 18 months to 24 months, it should start happening. HPSIC, as I said, we should start seeing this benefit in FY ‘26 onwards, we should start seeing this. That is the broad timeline I can talk.
Bhoomika Nair: No, sir, I was basically tr ying to understand the market size and how large is this and what is it growing at over more like a two -three -year time frame . When we scale up,

how large can this possibly get from that perspective?
Sridharan Rangarajan: Absolutely. So, we will share thi s, Bhoomika , I think at an appropriate time. Once these are in place, I think we feel these are quite an interesting size that we are looking at and an interesting opportunity for us. This is part of our long -term strategy program and so definitely we will share as we mature into this.

Bhoomika Nair: The second question is in terms of the ceramic s segment, which has the engineer ed ceramics impacted the performance over the last few quarters . Since we are kind of recovering and you think this is kind of coming to a bottom, where do we see the growth really playing out and how do margins come back to 26% plus kind of levels out here?
Sridharan Rangarajan: I think that is already factored into the overall guidance that when I talked about. We considered the specific engineer ed ceramics mix getting changed is part of our margin guidance that I talked

about overall ceramics. I think , give us three more quarters, you should see that at the end of the year, we will be similar to the guidance that we have given, and it will start stabili sing that.
I think that is what I would share . And also, the customer with whom we are working is also showing us the signs of their order intakes and other things are getting better. We will get better is what our current discussion tells us. So, we should get back to the broad guidance that we share d the last quarter, which I repeated now . End of this year, we should see this one happening.
So, the blips in this quarter etc., please don 't skip this. I mean, i t is a reality, but I think we will get back.
Bhoomika Nair: The last thing is on RHODIUS and AWUKO . We are seeing a turnaround . We are seeing improvement. When do we start seeing improvement in terms of the margins actually moving towards a high single -digit le vel? And i f you can also comment about the demand, while obviously we are working on a lot of cost efficiencies, which is driving the improvement in margins, but if you can also touch upon the demand aspect in the European markets where we cater to?
Sridh aran Rangarajan: So, I think we shared that there is a quarter -over-quarter of roughly about 12% growth in RHODIUS and 20% in AWUKO . Predominantly, growth is coming from the volume side of it.
So, we see that the demands are slightly better and the effort that we are putting is also getting better . So, it is a combination of both.
The margin getting better right now is a lot of the efficiency factor as you rightly pointed out.
When we g uided, I t hink a couple of quarters back, we talked about EBIT margin in RHODIUS etc., getting better. It would take about three to four years. This is what we said that time .
We are still maintaining that stance and I think they will get back to the earlier levels of margins that they were delivering. I mean, we need to back off the PPA because that is an internal one and it will drop off after three years. So, I feel that they should get back to their normal level of margin by then. So, that is what I feel.
Moderator: Thank you. The next question is from the line of Mohit Pandey. Please go ahead.
Mohit Pandey: The first question is on Electrominerals . So, sir, when we are maintaining the full-year guidance for revenue, if you could elaborate on what are the assumptions on price hike and volume here for Electrominerals for the balance year?
Sridharan Rangarajan: Mohit, I think we did talk about this last time also . We are not sharing this in specific about price and volume . This is the overall total percentage is what we are gi ving. It's a combination of one, the standalone growth, Foskor 's growth compared to the last year because for Q2 and Q3 of last year, they had an impact, which I

think they would come back, which is consistentl y, then they are doing 1 ,000 tons plus, including this quarter. So, combination of all that is what we guided as an overall growth rate for the Electrominerals , which we are reiterating that we will be maintaining that.

Mohit Pandey: Sir, secondly, I think you indicated that some of the pricing pressures are easing in Electrominerals . So, wanted to understand what, if any , kind of impact that has for the abrasives ' margins ? Was that good as a raw material there ?
Sridharan Rangarajan: So, we feel that we should pass on this price increases back to the market, but there could be some timing difference arising out of that. So, that I think we should be able to manage it is what our current feeling is.
Mohit Pandey: Sir, thirdly , on the defense ceramics for the motor vehicles, so if you could elaborate if our offerings are substituting some of the existing ceramics that are being used or these are completely new innovative offerings, so that would be very helpful.
Sridharan Rangarajan: So, this is for two different types . One is body armor and then the vehicle . These are the two areas that our focus is on . Currently, these are imported into India . This will be import substitution programs.
Mohit Pandey: And is there any benefit you are dri ving from the import substitution list that the government put out on the defense side from time to time or that this is not a part of those lists?
Sridharan Rangarajan: There is no benefit that we are working with any government program, but our existing

competitiveness and capability is getting recogni sed because the Government of India took a
call that they will not do import of products and they will be self -reliant. That gives us, the
Atmanirbhar Bharat gives us this boost.
Mohit Pandey: And last qu estion . I think you explained this , but I could not get this . On the other income , why
is there such a fall? I could not understand earlier.
Sridharan Rangarajan: So, I think we explained to you earlier is that last year, that is Q1 FY '24, our Russian business
will restate their receivables in dollar and Euro terms based on what they closed as 31st March,
2023. And the exchange difference, then versus now, is what is causing this problem. I will
repeat what I said.
In March '23, 1 US dollar was equivalent to 77.98 Rouble. And in June, '23, it became 89.29.
So, this resulted in a gain. Now, the same two period, if you have to compare it in '24, that is,
March '24, it was 1 US Dollar is equal to 92.59 Rouble, but it went down to 85.7 5 in June '24.
And that is what is the swing that has cost and the difference you are seeing in other income as
well.
Mohit Pandey: So, it will possibly have some impact in the coming quarters also, because of exchange duration
and other income.
Sridharan Rangarajan: When I looked at some four years of number, that FY '23 was an exceptional year. And to go
through this, it will take eight quarters, which probably we are in the last leg of that quarter. And
I hope next year, next quarter onwards, i t should not have this kind of a wide swing.

Mohit Pandey: And very last question. So, how big would our R&D team be now, because we are doing so
many initiatives ? Is it possible to share that?
Sridharan Rangarajan: I think you asked. I think we did share this in our annual report. Offhand, I don 't remember , but
it should be 50 plus employees on that, but I think in the next call, I will definitely share this in
specific.
Moderator: Thank you. The next question is from the line of Aditya Mongia from Kot ak Securities Limited.
Please go ahead.
Aditya Mongia: So, a few questions from my side. Firstly, on the abrasive s part, if I focus in the standalone
busines

s, there has broadly been close to 10%-11% growth over the last two years in the first
quarter. Coul d you kind of, and we do understand that you are gaining that share.
So the question is, on the demand environment in the Abrasive s segment, on the standalone side,
there has been about a 10 %-11% growth on a two -year basis in this segment. And w e do
understand that certain strategies are starting to play out, but at a very market level, it appears to
be that the demand isn 't as robust. Could you give us some more sense of what is driving the
numbers for you and potentially the market down?
Sridharan Rangarajan: So, I think, honestly, I think the market is growing well, is our reading, because of many factors,
the kind of infrastructure investment that it goes through. Second is the kind of spend that
happens on building construction, residential and commercial complexes, bridges, roads, all
these leads to a lot of abrasive need. The second driver is the industrial need as well. That is also
requiring a lot of the abrasive need.
So, when we feel that these combined all these factors, I think with the industrial activity growing
in India, coupled with the future investment that the programs that the Government of India is
projecting and the GDP growth, at least 7% plus is being looked at , obviously, the market size
being large, our own assessment is ab out 10,000 crores plus is the market size, should grow quite
reasonably well. So hence, we feel that this is what we are looking at.
Aditya Mongia: The second question that I had was that you talked about the pricing pressure from the Chinese
from an impor t perspective, I think on the Electrominerals side and the fact that it won 't last for
very long. Is that based on early s igns that you were seeing or let 's say, are we kind of lobbying
with the government for having some kind of duties being put? What gives you that confidence
is what I am trying to engage over here.
Sridharan Rangarajan: Lobbying with the government is, we are continuing . We are continuing that process. But I think
what we are seeing the reality is that in some products, I am not an e xpert on China . Don't hold
me for that . But I think we see that the prices they are putting up at this point in time, we don 't
know what exactly the reason for that is because probably they have already bottomed out. The
way they have put the price down in the past might be hurting them, could be hurting the cash
flows . All that could happen and hence there could be a reversal on that. This is what we think.

Aditya Mongia: These are the last few questions from my side . Firstly , on Foskor , profit last quarter and then a
loss. Is it something just volatility not concerning or how do you think through the situation over

there?
Sridharan Rangarajan: Absolutely, volatility concerns us . I mean , this is a great concern for us . One is, see , what I am looking at positively is that they are able to deliver 1 ,000 tons . That's number one and number two is what caused them this time this problem is the first factor is that they could not buy raw material because their working capital facility was not there, which is probably is a self -inflicted wound and they have to re -smel t some of the work in progress and that cost them significant sum of money which is probably should not have happened that is something I feel is not the right thing to do .
The second factor , I think , is the price fall . The price fall is a combination of mix between Z450 and Z C product . We feel that the Z450 should pick up , which is our sweet spot, and I think it should happen. So, yes, to answer your question, I feel that the fluctuation really hurts us , but we are confident that they will get back.
Aditya Mongia: Last question from my side . Maybe this emanates f

rom a discussion that at least I had with you
maybe more than a year back . What would be the key capability gaps in your portfolio, if any , where in you would want to focus a lot more, like we have seen AWUKO , we have seen RHODIUS , but if you were to be thinking from a 3 to 5-year perspective, are there meaningful capability gaps and can we kind of organically do something about it or would we have to rely on inorganic measures to move forward ? And that is my last question.
Sridharan Rangarajan: Yes, I think I will just combine this with the earlier question Mohit asked . I will respond to that as well. The total R&D headcount is about 103 technical professionals . 26 PhDs we have at this point in time . And we have collectively filed 156 paten ts and 403 papers as this R&D team. But I think we need to do quite a lot.
So, we are ta king a relook at the R&D support and augmenting the R&D at all the four divisions which I think is a current program that I am keenly looking at, is to revamp this and support , how do we invest more in that. And that could be a combination of many things, augmenting here, tying up centers abroad, making sure that we even be willing to work outside of India, work on this, are some of the areas would help us to augment and supplement the current capability that we have. And that would probably help us in the long run.
We are currently working on a long -term strategy going up to 2030. Clearly , this is one area where we need to invest in. We are working on that . In the next three months , we will have a program of what all the things that we need to do, like how should we revamp our structure in abrasives, ceramics, in the mineral side . All that is part of that. That perhaps also answers your question.
Aditya Mongia: Those are my questions. Steve, if you could check if there are no more questions, we can brin g this conference to a close.

Moderator: Yes, sir, there are no more questions for today. I would like to hand the conference over to the management for their closing comments.
Sridharan Rangarajan: Thank you. I think, a s I said, Q1, we have similar to last year, both in top line and bottom line. Cash flows are good . The balance sheet is good . Programs , whatever we started working on, we are well on trajectory. Happy to note that abrasive s domestic growth as well as margins are decent and start paying of f.
I feel that the overall guidance that we talked about for the full year still we hold. Give us a couple of quarters more to see and then you will start seeing this. Ceramics as a whole, I think the second half will be better.
So, by and large, I feel that this is a year where broadly we will be in line with what we are looking at. Of course, when we meet next quarter, we will share more. Thank you and thanks a lot for all your support. Bye.
Moderator: On behalf of Kot ak Securities, that concludes this conference. Thank you for joining us , and you may now disconnect your lines. Thank you.

Call: Sep 2024

"Carborundum Universal Limited
Q2 FY '2 5 Earnings Conference Call "
November 04, 202 4

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – MANAGING
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MR. SUSHIL BENDALE - CHIEF FINANCIAL OFFICER–
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PLANNING – CARBORUNDUM UNIVERSAL LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Carborundum Universal Limited Q2 FY '25 Earnings Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant l ines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors. Thank you, and over to you, ma'am.

Bhoomika Nair: Thank you, and warm welcome to everyone on the 2Q FY '25 Earnings Call of Carborundum Universal Limited. We have the management today being represented by Mr. Sridharan Rangarajan, Managing Director; Mr. Sushil Bendale, Chief Financial Officer; Mr. G. Chandramouli, Advis or- Investor Relations and Mr. D enesh Kumar, Senior Manager, Strategic Planning. At this point, I'll hand over the floor to Mr. Rangarajan for his initial remarks, post which we'll open up the floor for Q&A. Thank you, and over to you, sir.

G. Chandramouli: Good morning. I'm Chandramouli. Let us start by p resenting with the disclaimer clause . During this call, we will make certain statements, which reflects our outlook for the future, or which could be construed as forward -looking statements. These statements are based on management's current expectations a nd are associated with uncertainties and risks are more fully detailed in our annual report, which may cause the actual result to differ. Hence, these statements must be reviewed in conjunction with the risks that the company faces. Thank you.

Sridharan Ra ngarajan: Thank you. Good morning to all of you, and a warm welcome for our second quarter earnings call for this financial year FY 24 -25. First of all, a very Happy Diwali to all of you, hope this year brings lot of wealth, peace and health to all of you and your family.

Today, I'm joined in this call by Sushil Bendale, our CFO; Chandramouli , who handles the Investor Relationship and D enesh, who handles the Strategic Planning. I'll provide an overview of the Company's performance for the quarter as well as the first half, and then we will open up for questions.

So first, to start with, I'll talk about the performance of Q2 and H1 FY '25 consolidated financial results. Consolidated Q2 was INR 1,209 crores. This is the highest quarterly sales. This was a growth of 7.6% compared to Q2 FY '24. This growth was contributed by all 3 segments. Electro minerals contributed about 6.5% growth, Abrasives about 6.4%, and Ceramics 5.5% growth. Compared to Q1 FY '25, sales in this quarter grew by 2.1%. Electro minerals g rew by 5.6%, Ceramics grew by 3.7%, and Abrasives was lower by 1.5%. Consolidated sales for H1 FY '25 was INR 2,393 crores with a growth of 3.4% compared to the same period last year. The growth was contributed by growth in Abrasives, which was at 6.4%. El ectro minerals was lower

by 1.6%, while Ceramics was lower by 0.5%.
Now coming to the profit before interest and tax for Q2 FY '25 was INR 154 crores. This was a growth of 9.2% over Q2 FY '24. Compared to Q1 FY '25, PBIT grew by 3.4%. So both quarter -on-quarter as well as sequen tial, there's a growth. PBIT margin at consolidated level improved

from 12.6% in Q 2 FY '24 to 12.8% in Q2 FY '25. PBIT for the first half of the year was INR 304 crores compared to INR 296 crores in H1 FY '24.
PBIT margin percentage for the first half of the year was at 12.7% as against 12.8% in H1 FY'24.
Profit after tax for Q2 FY '25 was INR 116 crores, showing a growth of 13.7% compared to profit after tax for Q2 FY '24. Profit after tax for Q2 FY '25 improve

d by 2.6% when compare d
to profit after tax of Q1 FY '25.
Profit after tax for H1 FY '25 grew by 6.4% to INR 229 crores compared to H1 FY '24. PAT margin increased from 9.3% to 9.6%.
Now I'll cover the standalone performance. Standalone Q2 sales was INR 705 crores with a growth of 9.6% compared to Q2 FY '24. This growth was contributed again by all 3 segments. Electro minerals contributed about 9.2% growth, Abrasives 8% , and Ceramics 4.8%. Compared to Q1 FY '25, sales in this quarter grew by 6.3%, Electro minerals grew by 11 .2%, Ceramics grew by 5.2% , Abrasives grew by 1.7%.
Standalone sales for H1 FY '25 was INR 1,369 crores with a growth of 5.1% compared to same period last year. This was contributed by growth in Abrasives and Electro minerals at 7.6% and 2.4%, respectively . There was a marginal drop of 0.8% in Ceramics segment. PBIT for Q2 FY'25 was INR 116 crores with a growth of 4.4% over Q2 FY '24. This was contributed by 8.6% growth in Ceramics and 4% growth in Abrasives over Q2 FY '24. Electro minerals PBIT was lower by 6.2% when compared to Q2 FY '24.
Compared to Q1 FY '25, PBIT in Q2 FY '25 degrew by 3.2%. PBIT of Electro minerals and Ceramics in Q2 FY '25 grew by 33.3% and 26% respectively. Abrasives were lower by 7%. There were unallocable expense of INR 17.6 crores in Q2 FY '25 compared to unallocable income of INR0.7 crores in Q1 FY '25. More details on unallocable part will be covered by Sushil later.
PBIT for the first half of the year grew by 0.9% to INR 235 crores against INR 233 crores in H1 FY '24. PBIT margin percentage to sales at standalone level was decreased from 17.2% in Q2 FY '24 to 16.4% in Q2 FY '25. The margin in Q1 FY '25 was at 18%. There was a small decrease in PBIT margin percentage from 17.9% in H1 FY '24 to 17.2% in H1 FY '25.
Profit after tax for H1 FY '25 grew by 2.2% to INR 180 crores when compared to H1 FY '24. PAT margin decreased from 13.5% to 13.1%. On a quarterly basis, PAT grew by 4.4% to INR 86 crores when compared to Q2 FY '24. PAT was lower by 7.3% when compared to Q1 FY '2 5.
Now, I'll cover the performance of each segment.
Now to start with Abrasives. Consolidated Abrasives sales for H1 FY '25 was INR 1,095 crores with a growth of 6.4% when compared to the same period last year. Standalone business, RHODIUS and AWUKO showe d good growth compared to H1 FY '24, whereas Sterling Abrasives and CUMI America had a small negative growth.

Q2 FY '25 sales was at INR 543 crores with a growth of 6.4% compared to the same period last year. This was growth contributed by standalone , AWU KO, RHODIUS and VAW. Compared to Q1 FY '25, sales was lower by 1.5%, this is largely coming out of the lower sales in AWUKO.
Standalone Abrasives –
Q2 FY '25 standalone Abrasives is grew by 8% to INR 308 crores compared to Q2 FY '24. Industrial segmen t, Retail segment registered double -digit growth, while Precision was marginally lower compared to last year. The growth was mainly on account of a small negative growth in exports. In comparison to Q1 FY '25, there was a marginal growth of 1.7%. Sales in -
- for H1 FY '25 was INR 611 crores with a growth of 7.6% compared to the same period last year. The growth was majorly driven by industrial, retail, while there was a small degrowth in precision. The growth in H1 FY '25 over H1 FY '24 was predominantly volume -driven growth.
I'll go to RHODIUS. RHODIUS in H1 FY '25 achieved a net sale of EUR 33.8 million compared to EUR 30.7 million in H1 FY '24. This represents a 10% growth in euro terms over the last year. There was an increase in volume, which is the p redominant part. For the quarter, RHODIUS achieved net sales of EUR 16.5 million, which is 8.5% growth over Q2 FY '24 and

compared to Q1, there was a lower growth of 4%, reflecting the seasonality of their business. In H1 FY '25, RHODI

US incurred a loss after Tax of EUR 0.1 million against the loss of EUR 1.4 million in H1 FY '24. So this means the losses are coming down significantly. It is to be noted that this is after the PPA write -off of EUR 1.4 million. We expect a growth of 9% on a full year basis a s against 10% what we communicated earlier in the call. We expect a breakeven on a full year basis against a small profit what we told in our previous calls. Please note that this would also mean a significant loss reduction compared to the last year. It i s to be noted that these numbers are after the PPA write -off of EUR 2.8 million on a full year basis.
I'll move to AWUKO. AWUKO achieved a sales of EUR 5.3 million for the first half of the year. This is a growth of 18% compared to the last year same perio d. For the quarter, AWUKO delivered a sale of EUR 2.2 million, which is 17% growth over the same period last year. Sequentially, it was lower by 26% compared to Q1 FY '25. The losses before tax on H1 basis are at similar level as well as the H1 FY '24 at EUR 2.3 million. Operationally, AWUKO improved their performance compared to the last year. We earlier communicated that the AWUKO would increase their yearly sales by EUR 8 million to EUR 10 million.
We also said that AWUKO would breakeven at EBITDA level. and have a small loss of EUR 0.7 million to EUR 1 million by FY '25. Currently, we feel at full year AWUKO would increase their sales around 2 million. We expect an EBITDA loss of around EUR 4.5 million. The reason for not achieving the planned sales are : 1. product portfolio change to more converted products and less jumbo rolls. This resulted in capacity constraints, higher lead times and costs. 2. Focus of customer business and target market did not develop as planned, 3. delays in achieving acceptable levels of quality. We are working on a strategy to improve AWUKO's performance.
I will share more details in the next 6 months. The current , Q3 and Q4, we have fully covered, and I have explained. Beyond that, I will cover in the next 6 months when I come and meet you.

Now I'll cover the performance of profit before interest and tax. Consolidated Abrasives PBIT for the first half of the year grew significantly to INR 90 crores from INR 68 crores in H1 FY '24, representing a growth of 31%. This resulted in margins improved being from 6.6% in H1 FY '24 to 8.2% in H1 FY '25. This was mainly due to standalone PBIT growing at 13.3% and RHODIUS delivering a small PBIT compared to negative in H1 FY '24.
Consolidated PBIT for Q2 FY '25 was INR 34 crores with a deg rowth 7.1% compared to Q2 FY '24. This was due to PBIT degrowth in Sterling Abrasives, CUMI America and AWUKO. While compared with Q1 FY '25, the PBIT was lower by INR 21 crores. This was mainly due to lower PBIT in AWUKO by INR 5 crores, RHODIUS by INR 9 crores and Standalone by INR 4 crores. AWUKO was due to lower sales, RHODIUS was due to lower sales, product mix and the cost push.
I'll move to Electro minerals. Consolidated sales in H1 FY '25 was INR 783 crores, which is slightly lower by 1.6% compared to the same period last year. Standalone business and Foskor Zirconia showed growth compared to H1 FY '24. VAW Russia in local currency delivered similar performance compared to the last year, but had a small degrowth when converted to INR.
Q2 FY '25 sales was INR 402 crores with a growth of 6.5% compared to Q2 FY '24. The growth was contributed by Standalone , VAW and Foskor.
In comparison to Q1 FY '25, sales grew by 5.6%. Standalone business and VAW sho wed growth, Foskor degrowth, details of which I will cover in Foskor section.
Standalone Electro minerals.
Standalone Q2 was INR 210 crores. This is the highest quarterly sales. It is a 9.2% growth compared to Q2 FY '2 4. This growth was aided by volume increase and higher price reali sat

ions.
This growth was also because of the higher export sales.
Compared to Q1 FY '25, sales in this quarter grew by 11.2%. This growth was aided by volume increase and higher price reali sation. Sales for H1 FY '25 was at INR 399 crores with a growth of 2.4% compared to the same period last year. This growth was aided by marginal volume increase and a small increase in price reali sation. The other feature of the growth is higher export and volume growth in value -added produ cts.
VAW, the operations are running well, and the capacity utili sations are slightly better compared to the last year. Sales in local currency for Q2 FY '25 degrew marginally by 1.7% compared to Q2 FY '24, which is, very small marginal degrowth and grew 1% compared to Q1 FY '25.
They delivered a profit after tax of RUB 466 million in Q2 FY '25 against RUB 413 million during the same period last year and RUB 287 million in Q1 FY '25. H1 FY '25 profits were RUB 753 million compared to RUB 836 million durin g the same period last year. There was no

major impact on exchange rate conversion in INR in comparison to last year.
I'll move to Foskor. For the quarter, sales grew by 38% compared to Q2 FY '24. This is predominantly coming out of volume increase; however, compared to Q1 '25, there was a drop of 32%. China dropping the price has impacted the volumes. First half of FY '25 witnessed a

volume growth of 26% compared H1 FY '24. However, the price reali sation dropped to an extent of 17%, resulting in a ne t sales growth of 9%.
Foskor Zirconia in H1 FY '25 incurred a loss of INR 14.7 crores compared to a loss of INR 6.1 crores in H1 FY '24. The increase in loss is mainly on account of strengthening of the South African Rand against the US dollar in this qua rter by around 10%. We have now considered the pricing pressure in the market and rolled up H2 FY '25 outlook. We feel Foskor Zirconia loss in H2 could be in the range of INR 2 crores against H1 FY '25 loss of INR 14.7 crores. Overall, the full year loss f or FY '24 was INR 7.4 crores and in FY '25, we expect it could be in the range of INR 16 crores to INR 17 crores.
Now I'll cover the performance of PBIT of this segment. Consolidated PBIT for Q2 FY '25 was at INR 58 crores. This was a growth of 33% compar ed to Q1 FY '25, Standalone business and VAW contributed to this growth. In comparison to Q2 FY '24, it was lower by 6.4%. This was mainly due to Standalone and Foskor's PBIT.
PBIT margin at consolidated level was at 14.3% in Q2 FY '25 compared to 11.4% i n Q1 FY '25 and 16.3% in Q2 FY '24. In H1 FY '25, PBIT was INR 101 crores compared to INR 136 crores in H1 FY '24. This resulted in a margin decrease from 17% in H1 FY ’24 to 12.9% in H1 FY ‘25. Standalone Electro minerals PBIT decreased from INR 46 crores to INR 38 crores. Drop is mainly due to pricing pressure in the market. The increase in PBIT loss in Foskor Zirconia to the extent of INR 8 crores, which was mainly on account of strengthening of the South African rand against dollar. VAW PBIT dropped by INR 18 crores due to the export duty, higher freight costs, etcetera. That's the broad reason for the swing.
I'll move to Ceramics section. Consolidated sales for H1 FY '25 was INR 549 crores compared to INR 552 crores in H1 FY '24. Q2 FY '25 sales was INR 280 crores compared to INR 265 crores in Q2 FY '24. The growth was contributed mainly by CUMI India and America. Compared to Q1 FY '25, sales grew from INR 270 crores to INR 280 crores, that is 3.7%. Standalone business and CUMI Australia showed growth.
Standalone ceramics. Standalone ceramics Q2 sales was INR 228 crores with a growth of 4.8% compared to Q2 FY '24. This growth was aided by volume increase and higher price reali sation. Compared to Q1 FY '25 sales in this quarter grew by 5.2%. This growth w as mainly contributed by highe

r price reali sation. Sales for H1 FY '25 was INR 444 crores. This is lower by 0.8% compared to the same period last year.
Fired and mono refractories, Wear Ceramics and Metalli zed Cylinders business at standalone combined tog ether grew at 14% compared to H1 FY '24. Sales were lower in Engineered Ceramics and Corrosion resistance business. Subsidiary in America on H1 basis registered a good growth, whereas Australian subsidiary was marginally better compared to H1 of the last year.
Now I'll cover PBIT of this segment. Consolidated PBIT for Q2 FY '25 was INR 80 crores. This was a growth of 23% compared to Q1 FY '25. This was contributed by double -digit PBIT growth in standalone , CUMI Australia and VAW Russia. In comparison to Q 2 FY '24, there was a

growth of 8%. This was mainly due to PBIT growth in standalone and VAW. PBIT margins in Q2 FY '25 was at 28.5% compared to 24% in Q1 FY '25 and 27.8% in Q2 FY '24.
Consolidated PBIT for H1 FY '25 was INR 144 crores compared to INR 155 crores in H1 '24. This resulted in margin decrease from 28% in H1 FY ‘24 to 26.3% in H1 FY '25. This was mainly due to standalone Ceramics. Standalone ceramics PBIT decreased by 6.7% to INR 111 crores on account of mix between industrial ceramics and r efractories and product mix within the industrial ceramics.
This covers the performance section. I'll also make a quick update on recent acquisitions that we have made.
We completed the acquisition of 100% stake in Silicon Carbide Product s LLC. , a refractory product manufacturer based in Horseheads at an enterprise value of $6.66 million. SCP speciali ses in manufacture of high -quality nitride -bonded silicon carbide products and are

widely recogni sed for their advanced firing and forming process. Thi s acquisition aligns with our strategic expansion plan and offers synergies in the market access, technology capabilities and raw material supply opportunities.
Using SCPs expedite in furnace design, patterning and tooling, CUMI aims to strengthen our offering in the Indian market, particularly in the critical thermal application such as power, steel, mining sectors. Additionally, we anticipate leveraging SCP's well -established customer base in Americas to introduce CUMI's products into industries such as glass, super alloys, petrochemicals, nonferrous and heat treatment.
We expect to see further synergies, including potential to supply CUMI's grade of raw materials to SCP and to jointly develop new products and technology. Additionally, this acquisition w ill almost double our NBSIC production capacity.
SCP closed last year that is calendar year 2023 with $ 4.2 million in revenue and $0.4 million in profit before tax with the projection to double the revenue over the next 5 to 6 years based on the current estimated growth trajectory. We believe that the identified synergies could generate an additional $5 million in annual revenue by the end of this period. We are in the process of crystalli sing specific synergy programs, and we'll provide a more comprehens ive update of our integration and synergies in the next 6 months.
Now, I'll request Sushil to cover the PBIT margin, debt position, capex, cash flows and ROCE. Thank you.
Sushil Bendale: So first, I'll speak about the PBIT margin. On an H1 basis, consolidated PBIT margin was at 12.7% compared to 12.8% in H1 '24. This was majorly contributed by better performance in Abrasives segment.
For the quarter, consolidated PBIT margin was at 12.8% compared to 12.6% in Q2 '24 as well as in Q1 '25. Now standa lone. Standalone PBIT margin for H1 '25 was at 17.2% compared to 17.9% in H1 '24. For the quarter, standalone PBIT margin was at 16.4% compared to 17.2% in Q2 '24 and 18% in Q1 '25.

Now I'll share the segment specifics. Ab

rasives, consolidated PBIT margin s of Abrasives on H1 basis improved from 6.6% to 8.2%, mainly because of standalone abrasives margins, improving from 16% to 16.9%, and RHODIUS delivering small profit in H1 '25. For the quarter, consolidated Abrasives margin declined from 7.3% in Q2 '24 t o 6.3% in Q2 '25.
The margins dropped by 364 basis points compared to Q1 '25, which was contributed by a decline in standalone margins from 17.6% to 16.1%, increased losses in AWUKO and margins moving from positive to negative for RHODIUS.
Now Electro minerals. Consolidated PBIT margins of Electro minerals on an H1 basis declined from 17% to 12.9%. The standalone PBIT margin of H1 '25 was at 9.4% compared to 11.7% in H1 '24. This drop is mainly due to pricing pressures in the market. Also, losses increased in Foskor on an H1 basis, primarily on account of strengthening of the South African Rand against USD. For the quarter, consolidated Electro minerals margins declined from 16.3% in Q2 '24 to 14.3% in Q2 '25. Standalone Electro minerals PBIT margins decreased from 11.9% in Q2 '24 to 10.3% in Q2 '25. The drop is mainly due to pricing pressures in the market.
The consolidated Electro minerals margin improved by 296 basis points compared to Q1 of '25, which was contributed primarily by improvement in margins of s tandalone and VAW. The standalone margins in Q2 '25 improved by 170 basis points compared to Q1 '25, mainly on account of better price reali sation.
Ceramics. Consolidated Ceramics margins improved from 27.8% in Q2 '24 to 28.5% in Q2 '25. Standalone Cerami c PBIT margins improved from 26.2% in Q2 '24 to 27.2% in Q2 '25. In comparing to Q1 '25, the PBIT margins improved by 449 basis points, which was contributed by improvement in margins of standalone and CUMI Australia. The standalone margins improved from 2 2.7% to 27.2% on account of higher price reali sation and favourable product mix.
The consolidated PBIT margins of Ceramics on a H1 basis declined from 28% to 26.3%, primarily due to standalone performance. Standalone margins decreased from 26.6% to 25% due to mix between industrial ceramics and refractories and product mix within industrial ceramics.
Now I'll speak about the debt position. There is no debt now standalone books, and total debt at the consolidated basis was at INR 103 crores at the end of Q2 '25 compared to INR 140 crores at the end of Q2 '24 and INR 112 crores at the end of Q1 '25. The debt -to-equity ratio was at 0.03 at a consolidated level.
Capex during H1 of '25, our capex investment was INR 124 crores at the consolidated level.
Return on capital employed. For H1 '25, the return on capital employed at a consolidated level is 17% compared to 19% during the same period last year and at a standalone level, it is at 19.3%

compared to 21.5%. For the consolidated business, the ROCE in H1 '25 for Abrasives improved from 10.2% to 12.3%, while Ceramics has declined from 51.7% to 44% and Electro minerals has decreased from 31.7% to 19.4%. For the standalone businesses, ROCE for H1 '25 for Abrasives has marginally decreased from 41.3% to 41%, while Cer amics has declined from 54.9% to 46.8%, and Electro minerals has decreased from 31.3% to 21.5%.

Now, I'll speak about the unallocable expenses. At a standalone level, the unallocable expenses in Q2 '25 were at INR 17.6 crores, which is similar to the unallo cable expense in Q2 '24. In Q1'25, the unallocable income was INR 0.7 crores. This is primarily due to dividend received in Q1 '25. On an H1 '25 basis, unallocable expenses were INR 16.9 crores, lower by INR 6.1 crores compared to the same period last year, primarily due to higher interest income in H1 of '25.

At a consolidated level, unallocable expenses for Q2 '25 were INR 11.2 crores compared to Q2 '24 unallocable expenses were lower by INR14.7 crores, primarily due to h

igher interest income
in Q2 '2 5, exchange loss and receipt of dividends from VAW in Q2 '25, higher project -related costs in Q2 '24 and lower spend in Q2 '25. Compared to Q1 '25, the unallocable expenses were almost flat.

On the half year basis, unallocable expenses at the consolidated level were INR 23.4 crores, lower by INR 28.2 crores compared to H1 '24, primarily due to higher interest income in H1 '25, exchange loss in receipt of dividend from VAW booked in H1 '24, which is not there in H1 '25, higher project -related costs in H1 '2 4 and lower expenses in H1 '25.

Now I request Mr. Sridharan to take you through the next section related to the future outlook. Thank you.

Sridharan Rangarajan: Thank you, Sushil. So I'll just make a quick overview what we said last time versus where do we stand after looking at the first half. We communicated that our full year consolidated sales could be 9% to 11% and the consolidated sales could be INR 5,100 crores to INR 5,200 crores. We maintain the same.

In consolidated Abrasives, we expect a growth of 10% as against 11% to 12% what we communicated earlier. This short fall is mainly coming from AWUKO . We communicated during our last call, a growth of EUR8 million to EUR10 million for AWUKO . Currently, we feel that full year AWUKO could rise the sales around EUR2 million.

Abrasives India growth would be 9% to 11%, which is as communicated to you earlier.

RHODIUS is doing well. In H1 FY '25, RHODIUS has delivered a growth of 11.6% in Indian rupees. We communicated earlier a growth of 10% on a full year basis can be expected. We feel it could be 9% to 10%.

We communicated about sales growth of 12% to 14% in consolidated Ceramics segment. We maintain the same. For Industrial Ceramics business in India, we communicated about a growth projection of 13% to 1 5%. We expect some shortfall in Engineered and Wear Ceramics segment. This would lead to around 12% year -on-year growth, 1% lower than what we communicated.

CUMI Australia and CUMI America are doing fine.

Refractory, we are confident of delivering 12% to 13% growth over last year on the back of a strong order book, which is also in similar to what we communicated.

We communicated about sales growth of 5% to 6% in consolidated Electro minerals segment . We maintained the same. VAW is expected to deliver a similar performance to the last year. This is what we have planned and what we communicated to you. Growth from standalone

business is expected to be about 10% growth, as said in the previous call. For Foskor, the H1 FY '25 did not go as per our plan . They were impacted due to pricing pressure in the market and strengthening of South African Rand against dollar. We expect H2 '25 to be better than H1 FY'25.

On the PBIT performance, we communicated that consolidated PBIT margins would be in the range of 13. 7% to 13.8%. We expect it to drop by 100 basis points . This is mainly coming from underperformance by AWUKO in Abrasives and Foskor Zirconia in Electro minerals. We said that consolidated Abrasives margins will improve by 100 basis points in FY '25. We expect margins to be similar to that of FY '24.

Ceramic margin will be similar to that of FY '24. We maintain the same.

We said that consolidated Electro minerals margins will improve by 20 to 30 basis points in FY'25. We expect margins to decrease by 150 to 200 basis points from FY '24. This is mainly coming from standalone, which is facing cost push and price reali sation pressure and Foskor Zirconia, which is facing pricing process.

On capex side, we said that we would spend around INR 350 crores on a f ull year basis. So far, we have spent INR 124 crores. We feel that we would be spending about INR 300 crores in FY'25.

To sum up on the whole, we expect the top line to be INR 5,100 crores to INR 5,200 crores. We expect P

AT to be about around INR 500 cro res.

We w ould be spending around INR 300 crores of capex . We will be debt free. While delivering the current business, we would have prepared a strategic plan for the future of CUMI. We will share about this more in future. With this, I will end my opening remarks and thank you all for hearing this out. We will now open up for question and answer. Thank you.

Moderator: Thank you. We will now begin the question -and-answer session. First question is from the line of Ravi Swaminathan from Avendus Spark . Please go ahead.

Ravi Swaminathan: Sir, thanks for taking my question. My first question is with respect to the Ceramics and Refractory segment. You had talked about reasonably good growth coming in for the Engineered Ceramics and Wear Ceramics, etcetera. If you could give more granular details as to which are the sectors which are driving the growth for these sub -segments as of now.

There was one large customer from whom business was impacted, how is the path to recovery over there? If you can talk about these 2 segments and also refractories, what is driving growth there? How is the demand from certain sectors like glass, carton black, steel, etcetera? If you can talk about that, that would be great.

Sridharan Rangarajan: Yes. Thank you for your question. So to start with, I would say, the customer that we had impact of slower growth is picking up, and it is the trajectory of what we communicated is very much on track. So that is in control. And as we communicated, we said that calendar year '25, which is what t hey would focus on, the pickup will be much more.

But right now, their trajectory is very much on track. We are traveling as per earlier communicated, no issues. As far as the growth in ceramics and refractories, all the normal sectors that we are address ing have witnessed a growth, and we are seeing robust demand for each of them whether it is cement, steel, carbon black, chemical industries, power distribution. All these sectors we have seen good demand, both in India as well as overseas which is what is driving the performance of them. So to sum it up, I think the demand drivers are largely coming from various industries that we serve.

Ravi Swaminathan: And the metalli zed cylinder segment should we kind of think of it as growing like a 15% CAGR kind of s egment. I mean mid -teen kind of growth sustainable over 2 years , 3 years?

Sridharan Rangarajan: So, I think we guided the ceramic business growth as I summed up around 12% to 15% growth. I would expect a similar type of growth continue because see it's a mix of various products or segments which are there, whether it is wear, m etalli zed, engineered , fired refractories, mono, prodorite business. So all put together is a basket of this. So I would assume that, that kind of a trajectory of growth should be expected.

Ravi Swaminathan: Understood. And my last question is with respect to the competition in Abr asives and Electro minerals that you had talked about in the past two quarters, three quarters, especially Chinese competition and in Abrasives compe tition from paint companies, et c. How do you see that panning out, is it same level, has it intensified, or has it come off?

Sridharan Rangarajan: So as far as the compet ition, let's focus on Electrom inerals first is that I think as far as Foskor Zirconia is concerned, the competition from Chinese is severe and the pricing pressure is very much on. So that i s what is pulling their sales also down as well as the impact on their margins.

As far as India is concerned, I think we see that so far we are able to pass on the cost increase that we are getting to the market.

And we will have to wait and see how the s econd half would span from the Chinese competition. We expect they would also face a similar cost pressure beca

use it's a global pressure that everyone is facing. So obviously, there would be their reactions to that also. But nevertheless, it is difficult to gauge how the Chinese w ould react, b ut we are working cautiously in terms of explaining things to our customers.

They understand where the cost drivers are coming from, and they are in a position to pass on the cost increase that we are getting and as far as the Abrasives, paint is a very small sector as I was also alluding to is a very speciali sed small sector that they were focusing on compared to the whole range of abrasive products.

I think that is continuing and probably with kind of many pressure s the paint industry is going

through, the focus is on their core industry than I would say focusing on the Abrasives at this point in time.
Ravi Swaminathan: Understood sir. Thanks a lot.
Moderator: Thank you. The next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Thank you very much for the opportunity. Sir my first question is on our Abrasive subsidiaries. So why was the performance at CUMI America weak in the second quarter of FY '25. If I remember correctly, the performance was weak in first quarter of FY '25 as well, as the sales had declined both Y -o-Y as well as Q -o-Q? And similarly, for the Sterling Abrasives as well now the performance has been weak for the two consecutive quarters. Anything sp ecific you would like to highlight on both these?
Sridharan Rangarajan: Could you repeat the second question on Sterling.
Harshit Patel: Yes. Similarly, the Sterling Abrasives performance has also been pretty weak for the two consecutive quarters. On one h and, the agro processing market is doing fairly well, going by the commentary of other peers operating in the same segment. So anything specific you would like to highlight on both sales as well as margins here?
Sridharan Rangarajan: Right. T hat's a good c ommentary from you, Harshit. I think as far as Sterling is concerned, I think they were impacted largely from one particular product segment called cone polishe rs, which removes the husk from the rice and paddy that is what is their business. And because o f a government policy change which expects certain percentage of rice to be returned post - dehusking process that cannot be maintained which was probably very high and cannot be maintained by any millers at this point in time.
So the millers have stopped p retty much at least on the two states which is Punjab and Haryana. This has stopped and that is the result of slowdown, and which is what has cost Sterling Abrasives business slowdown which I think p robably will get corrected post policy changes, etc., would happen. As far as CUMI America is concerned I think , see, they had a very good business. Ev en at this point in time, they are doing well.
Largely, the dependence on one customer which is have shifted their facility from US to Latin America, and it will take a year for them to stabili se because they had quite a lot of inventory at this point in time which is going to be currently consumed. If I remove that customer and start looking at , their growth is really good. So there will be a blip which I think we very well understand i t will get back. We have invested in people in U.S.A three new headcounts were added. It's a focused market. I think it will come back very nicely. We are confident of getting it back.
Harshit Patel: Understood. Sure. Sir, my s econd question is on AWUKO and RHODIUS . So, what is the end user industry mix for both these companies , as what percentage of sales are derived from automobile, construction, general engineering, retail, et cetera over there?
Sridharan Rangarajan: So as far as AWUKO is concerned it is leather and wood are the two major industry segment that

they serve. There is also a few other small segment, but this is the two one. As far as RHODIUS is concerned, it serves a wide range of industries including cons truction, infrastructure related to this. This is largely a thin wheel, and thin wheel has got a wider application in very many industries. These are the industries they serve.
Harshit Patel: The focus on the concentration on automobile industry is not ver y high over there?

Sridharan Rangarajan: No, not very high.
Harshit Patel: Understood. Sir, just a small question, if I can squeeze in, you have decreased your capex guidance by close to INR 50 crores from earlier INR- 350 crores to INR 300 crores. So is this just a postponement of the capex or some capex structurally we are not going to do at all. So if you can give some clarity.
Sridharan Rangarajan: It’s a t iming difference, no postponement. It's because of some starting delays, some t iming differences, I'm just giving that guidance. Otherwise, it will be very much on whatever we plan. We will spend on each of these critical capex.
Harshit Patel: Understood. Thank you very much sir for answering my questions and all the best.
Moderator: Thank you. The next question is from the line of Bhoomika Nair from DAM Capital Advisors. Please go ahead.
Bhoomika Nair: Yes. Sir, just a couple of clarifications . Let me start with Electro minerals . Now while Foskor

has seen a weaker -than-anticipated performance, but if I look at it on a standalone basis , last two, three quarters was weak, and we started seeing some improvement in the current quarter. And if I remember earlier you had mentioned that there was some dumping by the Chinese guys both out h ere and SiC prices ha d also fallen, which was impacting VAW . So, if you can just comment on that, while the pain seems to sustain in Foskor, there seems to be some improvement on standalone as also in VAW, if you can just throw some light on that aspect?

Sridharan Rangarajan : So, I think as far as India domestic pricing pressure and competition from China is concerned, no change. It is the same. If you look at it, I think our pickup in margin is largely volume, plus also a mix, which helped us to pick up th is margin, which is 8.5% moving to 10.3%.

We expect the cost pressure, which is largely coming out of the alumina prices going up is impacting most of the Electro mineral products , which are white and brown fused has gone through at this point in time. And to that extent, I would say we will see this pricing pressure. We are trying our best to pass on in the market. But China competition is bit unpredictable. The logics of why would they price differently, God alone knows at this point in time. Because when you have a global alumina cost increase, which is very well known, everyone can read and comment about that, but at this point in time, this is what we have seen. As far as the SiC competition from China is very mild. I wouldn't put it the way that what we are seeing here in India.

Bhoomika Nair : Sir, also in terms of within EMD we were looking at high performance materials, and we are setting up the HPSIC plant. If you can just comment on that, where are we in terms of t he construction, when does the plant get commissioned? How can we see scale up of that plant over the next few years, while it will get operational soon, but most of a scale -up perspective because it's a smaller project right now. What is the feedback that you're getting from the market? How quickly can you scale it up? Will it be a long -term process to scale it up? Or can we kind of scale it up much faster? So, some thoughts on that, sir.

Sridharan Rangarajan: So, first of all, the project is very much on track as far as the HPS IC is concerned. And we talked abo

ut December '25, where we said we will have the full utili sation that will start happening as far as this project is concerned. We expect it could be much earlier than that, but I think let's still maintain the same guideline as what we told. As you rightly observed, this is a small project. We expect establishing the products to start with, this is what we are currently trying to do. We have seeded this. We have sent some of the products to a few geo graphies where we are getting reasonably good feedback and we will wait to share with you more as we progress on that. So far so good. I think it looks interesting at this point in time.

Bhoomika Nair : Okay. And what about the other areas, like say, graphe ne or graphite or anything else to materially talk about any progress? Or maybe if you can talk about how large can this whole specialty piece become over the next two, three years? Any thoughts on that?

Sridharan Rangarajan : Yes, I think that's what I mea nt in my closing remarks . We would be sharing some of these details in the next six months, as we are working on the long -term strategy on each of these areas that you talked about, plus a few more areas that we have listed as well. We will share that. At this point in time, I'm not in a position to share this.

Bhoomika Nair : Sure. Sir, on Ceramics, how should we look at in terms of the margin profile? And year two, we are working on a lot of technical ceramic aspect of the entire business. So how is that s hare kind of scaling up, if you can throw some light on in terms of what was technical ceramics as a percentage of the segment revenues and what it is today and what it can possibly get to so that we understand how the margins might scale up. And if you ca n also talk about the MET cylinders capacity, where are we in terms of utili sation? Any plans to further expand capacity up there?

Sridharan Rangarajan : Right. So I think as far as the programs in ceramics side is concerned, all of them have hit the ground. We have construction, which is on the full swing, whether it is a ceramic for semiconductors, ceramic for defence is very much on, and we are progressi ng as per schedule. We have also looked at a few other areas within ceramics. We expect ceramics margins could go up based on these types of newer opportunities, but I'm not in a position to share what kind of a growth, etcetera.

But I would say the curren t profile of margins that we are seeing should continue, should improve, as we start bringing these newer one, which is what I said that step 1 for this year is delivering the INR 5,100 crores to INR 5,200 crores is what our current trajectory. And in six months' time, maybe we will share a brief profile of what are all the initiatives that we are looking at in each of these segments what we plan to do. So that, we will be able to share and maybe to give some more colour to this type of growth and margins, etcetera, and where these growths will come from.

As far as the Metalli zed Cylinders capacity is concerned, I think we are very well operating

capacity. We should be in the range of about 80% plus capacity utili sation. And I feel that we may be in a posit ion to increase depending on debottlenecking, etcetera. I think we are very much on track.
Bhoomika Nair : Ok Sir, I will come back in the question queue.

Moderator: The next question is from the line of Bhavin Vithlani from SBI Mutual Fund.
Bhavin Vithlani : Yes. Could you just help us with the ceramics breakup between refractories, the one which are supplying to SOFC and the growth that we have seen in the first half how the mix has changed, which is you're highlighting some mix change has led to ma rgin upside? That's my first question.
Sridharan Rangarajan : So Bhavin, generally, we are not sharing the mix of ceramic and refractory within the Ceramics segment a

s well as the individual sub -segments in the various elements of it, but what I can share is that some of the products that we are looking at in terms of compared to last year versus this year, the share of Engineered Ceramics has picked up compared to the last year, which is why one of the margin pickup has happened.
Similarly, I would say few other sub -segments involved in that. Like for example, it could be fired refractory's share has also picked up. So, these are individual things which probably contributes to margin pick up, if I can share with you.
Bhavin Vithlani : Sure. Just a follow -up on the ceramics , globally when we look through the commentary of the larger grid equipment manufacturers like Siemens, ABB and Hitachi, they are delivering 20 -plus percent growth in an industry which is used to 2% regularly. And CUMI , I understand, has a significant market position in the Ceramics for the switchgear application. Could you just help us understand the kind of growth.
Sridharan Rangarajan : It is also more than 20%.
Bhavin Vithlani: Okay. What would be our capacity utili sation in this segment? Are we looking at expansion in this segment?
Sridharan Rangarajan: So I was just answering this to Bhoomika, we are in the range of about 80% plus. We can improve our capacity utili sation through debottlenecking, can help us. We are not constrained at this stage by capacity as far as growth is concerned.
Bhavin Vithlani: Okay. And the Greenfield expansion, I mean, expansion that we are looking in the Ceramic segment, is the Metalli zed Cylinder part of it? Or the expansion is largely into the other applicati ons like defence , as you highlighted?
Sridharan Rangarajan: So the expansion is more on the Engineered Ceramic side, which is one for supplying to semiconductor fab equipments. That is the first area of expansion. The second is in the protection of vehicle s, that is defence vehicles as well as which is armour as well as the body. That is the second area of expansion.
Third would be some substrate -based expansion, which I have not mentioned in my capex program but this is not on the ground. It will come in future, but I think these are the areas of our expansions.
Bhavin Vithlani: Sure. On the subsidiaries of Abrasives, especially the German ones, you highlighted that auto is not a larger end user industry. But auto has a ripple effect on the broader economy . The kind of targets that you had set while we had acquired of getting to 11% EBIT level, would you believe

that they are getting pushed out? And what is the effort that we are looking at in terms of greater level of supply of raw material and also expans ion within the Europe for these 2 entities for us to achieve that 11% EBIT target?
Sridharan Rangarajan: So as far as the RHODIUS is concerned, we feel that it is still possible, and we are progressing to what we have been alluding to. I don't see any issu es on that. Where we are seeing issue, which is on AWUKO, which we have not given any guidance like what we just said. But in general, I'm answering, yes, AWUKO is a concern for us, where we said we could grow at least EUR8 million to EUR 10 million in th is year. The growth is only EUR 2 million this is where I said that for the next 2 quarters, we are feeling that this is possible to achieve.
But beyond that, we would take 6 months to get back in terms of what programs that we will have on AWUKO to get back to the both growth and profitability.
Bhavin Vithlani: Sure. Just lastly, on the Russia piece, I actually missed the numbers. If you could just help us give the data on what was the revenue and the profits in Rouble terms for the Russian entity?
Sridharan Rangarajan: I did not share the revenue when I covered, but I did cover the profitability, I will share that. So they de livered profit after tax of RUB 4

86 m illion in Q2 FY '25 against RUB 413 million for the
same period last year. And H1 basi s, they deli vered RUB 753 million compared to RUB 836
million same period last year.
Bhavin Vithlani: Yes, thank you so much. These were my questions.
Moderator: Thank you. The next question is from the line of Saif Sohrab Gujar from ICICI PRUDENTIAL
AMC . Please go ahead.
Saif Sohrab Gujar : My question is just on the cash flows and balance sheet. 1H FY '25 had a lower cash flow
conversion. If you look at in current assets, inventory has a substantial increase as well as if you
look at other financial asset s and other current assets, they have seen an increase. Any specifics
you can highlight and which segments, say, Abrasives or Ceramics is causing this?
Sridharan Rangarajan: No. I think you've observed very diligently, I would say. I think cash flow , free cash flow is a
concern, and we will get back correcting some of these areas. So the building pattern, which is
Q2, most of what we have done is highest in Electro minerals, highest in Ceramics, highest in as
a Company and hence, the receivables or the worki ng capital growth is on the higher side, which
is what you have seen here. We will get back to normalcy in H2. So we will get to normal FCF
targets that we are looking at in a full year basis. But H1, yes, we have missed the FCF target,
yes.
Saif Sohrab Gu jar: Specifically on inventories, if you can highlight, there also there is an increase. So is it a n
inventory -led, RM -led phenomenon or more finished goods only? Similarly , you highlighted for
trade receivables, right?
Sridharan Rangarajan: It is mostly it's a raw material -led phenomenon where some of the materials inventory have
piled up, largely because we wanted to have this as a preparation for the H2 and we are also

expecting some price increases in aluminas, et cetera. So we also have o rdered some of these
materials in advance. So those are the reason for the inventory pileup.
Saif Sohrab Gujar : Thank you and all the best.
Moderator: Thank you. The next question is from the line of Jasdeep from Clockvine Capital . Please go
ahead.
Jasdeep : Sir, how have exports done in the first half? What are the product segments and geographies
which are driving exports?
Sridharan Rangarajan: So exports have done well, both for Electro minerals as well as for Ceramics. Abrasives had a
small challenge. I w ould not put any colour to this at this point. The geographies are largely
Europe and America.
Jasdeep : Got it, sir. And sir, what are your plans for integrated Indian manufacturing with your European
acquisition? Have you been able to see new product segm ents manufactured into your European
business? And how has been the experience so far?
Sridharan Rangarajan: So we have worked on a one particular product line what RHODIUS used to outsource from
other manufacturers, where we are able to manufacture to the quality standards and the cost
expectation, which is what we have now established. That's one product line that we are able to
do that. We will look at scaling up, et cetera . as we progress on that. Then I think another area of
cooperation is we shared tha t DRONCO capacity getting relocated to India, which is 1 of the
key programs, which will incorporate some of the technologies used in RHODIUS, would be
adopted here for that line. So that will come, but that is FY '27 type of completion as far as the
proje ct is concerned.
Jasdeep : Sir, in this 1 product segment, where you have started manufacturing in India for RHODIUS,
what has been the cost reduction that you have achieved? In the sense that if RHODIUS was
earlier buying the same product at, let's say, INR100, now what is the price right now at which
they're buying from the Indian operations?
Sridharan Rangarajan: So right now, I can share that we are able to

meet their cost expectations.
Jasdeep : So broadly, what you're trying to say is that you are supplying to them at the same price as they
were sourcing earlier?
Sridharan Rangarajan: No, I said that their cost expectations.
Jasdeep : Thank you. That's all for my side.
Moderator: Thank you. The last question is from the line of Aditya Mongia from Kot ak Securities. Please
go ahead.
Aditya Mongia: My first question was more on the competitive angle perspective. I wanted to get a sense of
across your segments, where is Chinese competition versus where it was pre -COVID. I
understand that there was a perio d when you would have benefited. I'm just trying to get a sense

of versus pre -COVID period, where is Chinese competition at this point of time across your segments?

Sridharan Rangarajan: So Chinese competition is there everywhere and in every product line. You can't single out in one area. It is there everywhere, right? Whether it is Electro minerals or Abrasives, whether it is India or South Africa and all these product groups and the countries have been witnessing the Chinese competition.

Now to your question in terms of pre -COVID versus COVID, or during the COVID versus the now. I think the dynamics, I would say, what are all the things that is changing at this point in time is , I mean, look, I'm not an expert on China, but I'm just sharing what I lea rned is there is a demand lull in China, which makes them to sell or export to other countries and perhaps the – their cost has no basis at this point in time, we do not know.

We only feel that I hope they don't sell at a cash loss, which might also happen is what we are hearing at this point. So there is, to some extent, these type of phenomenon which most of the industries and I'm telling clearly, this is not just our industry, it is many industries are facing from China. So this is what I would say at th is point in time, I can broadly share.

Aditya Mongia: Understood. The second question that I had was more on high -purity silicon carbide and applications on the semiconductor side. When you think through what you want to do in that segment, what are the ke y kind of imponderables? Is electric vehicles, the key application and and in that context the share of 800 -volt charging systems becoming more prominent in the single biggest driver. I just wanted to get a sense of how do you think through your relevance in that segment? What are the key demand drivers? And second part of the question was how would CUMI's product compared to that of competition? If you could comment on these two aspects here.

Sridharan Rangarajan: Yes. So I think , today, the semiconductor products are made either out of silicon or silicon carbide, and the devices made out of each of them have their own play. Of course, there's also - - gallium nitrate is another product. Similar to gallium nitride, few other products are also available. And each of them are playing in, depending on the temperature as well as the switch, they are getting adopted to the type of material that we would use. Plus, the other factor is the cost.

What we are seeing is that and which is a global phenomenon that is hap pening is SiC is preferred choice of these semiconductor devices because of the high temperature application that some of this you just mentioned in your question, hence, the preference to SiC -based devices, hence, the requirement of high -purity silicon ca rbide. So this is the logic of demand growth.

As far as our product is concerned, we are competitive and at high -end level, and we have seeded some of these applications to the select manufacturers of these devices in their own application. So looks like i t is performing and hence, we've started seeding these trial orders at this stage. So that is probably the best at this stage I can share.

Aditya Mongia: May

be just a last question on this part and that will be all from my side. Typically, Ceramics have ha d a profile of larger overseas kind of share of business versus domestic. Do you believe

the same would hold true for silicon carbide as well? And in that context, can it become a business that is sizable maybe 3% or more of your entire consol top line? Ca n that be a possibility for the next 2, 3 years?

Sridharan Rangarajan: So to start with, silicon carbide is the biggest overseas business of us. Our capacity in Russia is about 80,000 tons to 85,000 ton s, whereas our capacity in India is about 10,000 tons. So we have a significant overseas share as far as the silicon carbide is concerned. Perhaps your question, if I have to assume that it is on high -purity silicon carbide? High -purity silicon carbide is a basic venture at this point in time, very small. And most of these capacities could be consumed outside of India.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Ms. Bhoomika Nair from DAM Capital for closing comments.

Bhoomika Nair: Yes. I will just like to thank everyone and particularly the management for giving us the opportunity to host the call. Thank you very much sir, and wish you all the very best.

Sridharan Rangarajan: Thank you. I think thank you for your patience hearing. I would like to summarize one small comment, is that we are trying to deliver INR 5,100 crores to INR 5,200 crores. We expect the PAT to be around INR 500 crores. Capex program would be INR 300 crores, will be a debt -free company. We would have also prepare d a strategic program by then in the next 6 months. So we've created a good delivering the current. We will also prepare a good future in which we'll share at an appropriate time. Thank you.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thanks for joining us, and you may now disconnect your lines.

Call: Nov 2024

(no extractable text — likely a scanned image PDF)

Call: Jan 2025

18th January 2025

BSE Limited
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National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
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Dear Sir/Madam,

Sub: Transcript of the Investor Call

Pursuant to our letter dated 15th January 2025 informing t he upload of audio recording of the investor call held on 15th January 2025 , please find enclosed a copy of the transcript of the Investor call and the same can be accessed through the following link.

Link: https://www.cumi -murugappa.com/wp -content/uploads/2025/01/15.01.2025 - investor -call-transcript -1.pdf

Request you to k indly take the above on record.

Thanking you

Yours faithfully
For Carborundum Universal Limited

Rekha Surendhiran
Company Secretary

"Carborundum Universal Limited
Business Update Conference Call "
January 15, 202 5

MANAGEMENT : MR. SRIDHARAN RANGARAJAN –
MANAGING DIRECTOR – CARBORUNDUM
UNIVERSAL LIMITED
MR. SUSHIL BENDALE - CHIEF
FINANCIAL OFFICER – CARBORUNDUM
UNIVERSAL LIMITED
MR. G. CHANDRAMOULI – ADVIS OR,
INVESTOR RELATIONS – CARBORUNDUM
UNIVERSAL LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL
ADVISORS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Carborundum Universal Business Update Call hosted by DAM Capital Advisors Limited. As a reminder, all participant line will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Bhoomika Nai r. Thank you, and over to you, ma'am.

Bhoomika Nair : Yes. Thank you, everyone. Thank you. Good evening, everyone. On behalf of DAM Capital, I would like to welcome you to the Carborundum Universal call for a business update. We have the management today being represented by Mr. Sridharan Rangarajan , Managing Director; Mr. Sushil Bendale, Chief Financial Officer; and Mr. G. Chandramouli, Advis or, Investor R elations. At this point, I'll hand over the floor to Mr. Rangarajan for his initial remarks, post which, we'll open up the floor for Q&A. Thank you, sir, and over to you.

Sridharan Rangarajan: Thank you, Bhoomika, and good evening to all of you. Thanks for your participation in today's call. I would like to provide an update of an event relating to VAW, which is a material step -down subsidiary of CUMI.

As per the U.S. Department of S tate's press release dated 10th January 2025, the set of Russian companies in the manufacturing sector which includes VAW, were added to the U.S. Department of Treasuries, Office of Foreign Assets Control, (OFAC), Specially Designated Nationals and Blocked Person List (SDN list) for operating or having operated in the manufacturing sector of the Russian Federation economy.

As a re sult of VAW's designation, all of VAW's property and the interest in the property that are in the United States are in possession or control of U.S. persons are blocked. Further, most financial transactions involved in U.S. currency and transactions involv ing U.S. persons are

not possible for VAW unless authorized by general or specific license of a OFAC .

As such, VAW has no business operation or sales in the U.S. VAW is assessing the impact of its designation . Material update, if any, will be informed post the completion of such assessment. This call will be limited to this event and we will take questions relating to that only. We will try to answer to the best of what we know today. We'll open up the question for the next 15 minutes. This will be a sh ort call, only focused on this event. Thank you.

Mod erator : Thank you very much. The first question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Sir, firstly, as you have previously mentioned, close to 40% to 45% of our VAW sales come from Europe. So how much proportion of these sales is denominated in the U.S. dollar, which might be impacted going ahead, as you have mentioned?

Sridharan Rangarajan: Yes. So overall, you're right, about 60% of the businesses is within Russia, and the balance is outside of Russia. We think around 12 percentage of our busine ss is U.S. dollar denominated a nd this we would be talking to each customer to understand their willingness to switch to other currencies.

Harshit Patel: Sure. So in your preliminary assessment, how long this shift will take, whether we will be able to complete this exercise in this March quarter itself? Or will it take more time and will spill over towards June quarter as well?

Sridharan Rangarajan: So just to refresh and we are going through this multiple discussions within us. I think probably we'll have more update when we meet in the month of February after our earnings call or during the earnings cal

l.

Harshit Patel: Understood. And just a small follow -up to that from my side. What happens to the outstanding receivables that we have in the U.S. dollar?

Sridharan Rangarajan: So we have very, very miniscule outstanding receivable, and these will have to be collected. We understand these are known customers who have been workin g with us for quite some time a nd there are individual customers that we need to start working with them to collect. We don't see at this point in time a risk.
Harshit Patel: Understood. Thank you very much for answering my questions and all the very best.
Mod erator : Thank you. The next question is from the line of Aditya from Kotak Securities. Please go ahead.
Aditya: Just to clarify, what you're saying is there is no meaningful direct impact of the move on your business in Russia, right ?
Sridharan Rangarajan: I'm saying that we are explaining the dynamics of our current structure of the business. We are in the process of assessing the impact i t is too early to have a full impact to assist. As you know, it's just 2 working days has passed and we are just trying to understand impact of each of this element. I'm sharing what we know at this point in time a nd that is what I would summarize.
Aditya: Okay. Maybe to earlier question, but do you expect as in the strategy of growth, which obviousl y you're not investing from a growth perspective, but do you think through Russia any different light after there is an event came, let's say, a European event incrementally happen? Any thoughts that you would have at this point of time because either one should we be thinking of this as a small event or a precursor and I'm n ot sure how to think through it?
Sridharan Rangarajan: Yes. Honestly, this year, at this point in time, we have been dea ling with Russia for the last 2 - 3 years in a kind of as it comes going t hrough the motions of various progress in terms of geopolitics. And that is how we are looking at it. We don't have any kind of aspiration of growth, and we have been communicating this as well until clarity emerges in this manner . So I w ould say that's the stand we that continues even now.

Aditya: Understood. Those are my primary questions. Thank you for your responses. Thank you.
Sridharan Rangarajan: Thank you. Aditya.
Mod erator : Thank you. The next question is fr om the line of Mohit Pandey from Macquarie Capital. Please go ahead.
Mohit Pandey: Sir, maybe, a bit early to ask this, but can you please clarify if this development has any impact on your other businesses in the U.S.? And what proportion of your total b usiness is in the U.S. today?
Sridharan Rangarajan: This, as we understand as per our discussion with multiple people involved, this is highly fo cused on VAW and its business a nd that is how we understand and we have communicated the same thing also to the investors.
Mohit Pandey: Okay. And yes, so secondly, overall, like 5%, 7% of your sales, console sales could be in the U.S. Is that the right understanding? Or is it a different number?
Sridharan Rangarajan: Yes. I would share more details as we go to our earnings call. We are our focus is largely into this event, and I'm trying to address any questions relating to this event.
Mohit Pandey: Sure, sure, sir. And my other question was even before this event, just wanted to understand how repatriation was happening from VAW to the parent or CUMI International, if you could help us understand that?
Sridharan Rangarajan: So typically, the dividend is paid and that is how the repatriation of dividend happens using the banking channels. And we think that, that should continue to happen.
Mohit Pandey: Okay. And this does not get impacted by the USD restrictions. Is that correct?

Sridharan Rangarajan: Correct .

Mohit Pandey: Okay. And I understand, I mean earlier, I think sometimes some quarters back, if I remembe r correctly, it was mentioned around 30% of VAW is like repatriated as dividend. Is that the right understanding or?
Sridharan Rangarajan: It varies, Mohit, depending on their capex need, their local req uirement, etcetera. But generally, the companies poli cies, 30% of the profit is generally being repatriated -- I mean, paid out as dividend.
Mohit Pandey: Understood, sir. Okay, sir. Thank you. That was it for my side. Thank you.
Mod erator : Thank you. The next question is from the line of Bhoomika Nair from DAM Capital Advisors Limited. Please go ahead.
Bhoomika Nair: Sir, just one small clarification. You mentioned that 12% of the revenues of VAW is in U.S. dollars. Now where is the end revenues of this 12% happening? Is it more in Europe? Or is it more U.S. or any other geography, if you can just elaborate on that, so we understand how easy it will be to probably shift to other currencies?
Sridharan Rangarajan: So it is typically no Europe, no U.S. sales, as I said in my opening remarks, and it typically happens outside of the Europe, this 12%. So that respective countries have to look at customers that we look at whether they can shift to other currencies.
Bhoomika Nair: Okay. So to that extent, in case somebody is not willing to move, that will be the p ossible worst -case situation loss till the market or till this issue gets resolved with the U.S. government?
Sridharan Rangarajan: Correct, correct.
Bhoomika Nair: Okay. Fair point sir, thank you so much.
Mod erator : Thank you. The next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.
Harshit Patel: Just a small follow -up, sir, are there many Russian firms producing silicon carbide who are exporting directly to U.S.A.? And if so, could

there be a material change in the si licon carbide prices in the global market, is that a possibility that you see which is happening at the moment?
Sridharan Rangarajan: So silicon carbide is a very large market. And as I said, that VAW has not been selling to U.S. in the past as well.
Harsh it Patel: Right, understood. Thank you very much sir.
Mod erator : Thank you. The next follow -up question is from the line of Aditya from Kotak Securities.
Aditya: If you could just refresh us with any other restrictions that are presently there in VAW. I think there is some export duty adverse imposed. It would just be helpful if you could kind of give us a sense of any other restrictions, whether on repatriation or on duties being put or any other sanctions that are there that are applicabl e to the Russian entity.
Sridharan Rangarajan: No other restriction to our knowledge exists. This is the first time we have faced and that's what we are sharing with you.
Aditya: Thank you. That clarifies. That was my only question. Thank you.
Mod erator : Thank you. The next question is from the line of Bhavin from SBI Mutual Funds. Please go ahead.
Mod erator : Sorry to interrupt, Mr. Bhavin, I would request you to please use your headset.
Sridharan Rangarajan: A little bit closer to mic, please.
Bhavin: So pardon me if I mention changes, I joined in a bit late. So what I understand is about 45% of the revenues or within Russia and balance was exports. Now, the question is can the Euro as the currency be used because...
Mod erator : Sorry, Mr. Bhavin, we are not able to hear you.

Bhavin: Question was 45% of revenue was domestically sold to the Russian
entity where 55% is exports. Are there distractions on Euro sales? Can
the Euro sales be continued? And as you said,

15% of the sales were EU
entities within the Europe, would it be possible to switch to Europe, Euro
as a currency?
Sridharan Rangarajan: Yes. Sorry, Bhavin. I think you came in late. We covered this almost 60
percentage is lo cally sold in Russia and 40% is actually exported. It is a
reverse of what you are telling. And basically, of that 12 percentage of
that sales is currently U.S. dollar -denominated. And we have to work
with each customer to see whether they are willing to s hift from their
current dollar -denominated sales. And that is the process that we have
engaged and it will take some time to give you an update.
Bhavin: But sir, the question also was invoicing in Euro as a currency in you r
view, should not be a problem?
Sridharan Rangarajan: Yes. As we understand, the limitation is that we cannot use dollar
currency.
Bhavin: Okay. Sure. Another follow -up question. What percentage would be to
China? And is it possible in case of worst case scenario to pivot to China
given that they have other arrangements in Russia?
Sridharan Rangarajan: We hardly sell anything to China, Bhavin.
Bhavin: Okay. This is the last question. Is the high -purity S iC program that is
embarking and the pilot plant is in India, but would there be any i mpact
on that program given the current situation?
Sridharan Rangarajan: We don't see any impact of that, that's happening in India and it will
continue to progress in that direction.
Bhavin: Thank you so much for taking my questions.
Sridharan Rangarajan: Thank you, Bhavin.

Mod erator : Thank you. As there are no further questions from the participants, I
would now like to hand the conference over to Ms. Bhoomika Nair for
closing comments.
Bhoomika Nair: Yes, sir. Thank you very much, sir, for giving us an opportunity to host
the call and answering all the queries on a relevant event and thank you
to all the participants. Any closing remarks from your side, sir?
Sridharan Rangarajan: No, thank you for all of you for coming in and showing interest and I
think we'll continue to update you as we progress on this event as we
learn more. Thank you.
Mod erator : Thank you. On behalf of DAM Capital Advisors Limited, that concludes
this conference. Thank you for joining us, and you may now disconnect
your lines.

Call: Feb 2025

18th February 2025

BSE Limited
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street , Fort Stock Code: 513375
Mumbai - 400001

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) Stock Code: CARBORUNIV
Mumbai – 400 051

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Request you to k indly take the above on record.

Thanking you

Yours faithfully
For Carborundum Universal Limited

Rekha Surendhiran
Company Secretary

"Carborundum Universal Limited Q3 2025 Earnings Conference Call"

February 14, 2025

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – MANAGING DIRECTOR , CARBORUNDUM UNIVERSAL LIMITED
MR. SUSHIL BENDALE – CHIEF FINANCIAL OFFICER , CARBORUNDUM UNIVERSAL LIMITED

MR. G. CHANDRAMOULI – ADVISER , INVESTOR
RELATIONS , CARBORUNDUM UNIVERSAL LIMITED
MR. DENESH KUMAR – ASSISTANT GENERAL
MANAGER (STRATEGIC PLAN NING), CARBORUNDUM
UNIVERSAL LIMITED
MODERATORS : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS

Moderator : Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of Carborundum Universal Limited , hosted by DAM Capital Advisors Limited .

As a reminder , all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors. Thank you, and over to you, ma'am.

Bhoomika Nair : Yes. Good morning, everyone. A warm welcome to the Q3 FY '25 Earnings Call of Carborundum Universal Limited. We have the Management today being represented by Mr. Sridharan Rangarajan – Managing Director; Mr. Sushil Bendale – Chief Financial Officer; Mr. G. Chandramouli – Adviser, Investor Relations; and Mr. Denesh Kumar – AGM (Strategic Planning).

At this point, I will hand over the floor to Mr. Rangarajan for his "Initial Remarks", post which we will open up floor for Q&A. Thank you, and over to you, sir.

G. Chandramouli : Good morning. I am Chandramouli.

Let us start the meeting with a disclaimer :

In this call, we may make certain statement s, which reflects our outlook for the future or which could be construed as forward -looking. These statements are based on Management's current expectations and are associated with uncertainties and risks , are more fully detailed in our annual report, which may cause the actual result to differ. Hence, these statements must be reviewed in conjunction with the risks that the Company faces. Thank you.

Sridharan Rangarajan : Good morning to all of you, and a warm welcome to our 3rd Quarter Earnings Call for the Financial Year FY '25. I trust that you and your family members are safe and healthy. I will quickly cover an overview , and then we will open up for question and answers.

First, we will talk about the consolidated number :

Consolidated Q3 sales were INR 1,241 crores. This was a growth of 9.8% , compared to Q3 FY '24. This growth was contributed mainly by Ceramics and Electro minerals, whereas the Abrasives was marginally lower. Compared to Q2 FY '25, which is a sequential quarter, we were higher by 2.6% . Ceramics, Electro minerals grew up, and Abrasives was slightly lower.

Consolidated sales on YTD basis stood at INR 3,635 crores. It shows a growth of 5.5% compared to the same period last year. This growth was contributed by Ceramics by 8.6%, Electro minerals 3%, and Abrasives by 4.1%.

I will cover the PBIT , but whatever I am covering about, the PBIT, I will talk about PBIT before exceptional items, and I will cover in specific about the exceptional items little later. PBIT for Q3 FY '25 was INR 141 crores . This was lower by 10.8% over Q3 FY '24. PBIT from Ceramics went up by 14%; and Electro minerals 34%, a little better. However, PBIT from Abrasives were significantly lower. I will cover each of these business PBIT little later. While some of these business PBIT was higher, there was a swing in unallocable expenses, which resulted in overall PBIT coming down, and Sushil will explain this separately.

Compared to Q2 FY '25, PBIT is lower by 8.8%. The PBIT of Electro minerals segment grew up by 17%, whereas PBIT for Abrasives and Ceramics were lower by 18% and 14%, respectively. PBIT margin percentage at consolidated level came down from 11.3% in Q3 FY '25 from 14% in Q3 FY '24 and 12.

8% in Q2 FY '25. PBIT on YTD basis was at INR 444 crores , compared to INR 454 crores in the same period last year. PBIT margin percentage on a YTD business decreased from 13.2% to 12.2%.

Consolidated profit after tax and non-controlling interest for Q3 without exceptional items relating to VAW was INR 111 crores against the same number of INR 111 crores in Q3 FY '24, and INR 116 crores in Q2 FY '25. I will cover this in detail. We feel operation -wise, it's

comparable performance and at expected level.
Consolidated profit after tax and non-controlling interest for Q3 FY '25, after the exceptional item was INR 35 crores. Profit after tax on YTD basis was INR 264 crores against INR 326 crores in the same period last year. Again, this is due to exceptional item. If we consider without these exceptional items, profit after tax and non-controlling interest was INR 339 crores, which is a growth of 4%. So, business -wise, this is fine, there are exceptional items, which we will cover later.
I will move to Standalone :
Standalone Q3 was INR 728 crores with a growth of 15% compared to Q3 FY '24. This has been the highest quarterly sales for CUMI. This growth was majorly contributed by Ceramic segment growing at 25%, Electrominerals growing at 22%, Abrasives grew marginally by 1.1%.
Compared to Q2 FY '25, the sales in this quarter grew up by 3.2%. Ceramics grew up by 16.5% ; Electrominerals was almost flat; and Abrasives de-grew by 4.6%.
On YTD basis, standalone sales were at INR 2,097 crores with a growth of 8.2% compared to the same period last year. This was contributed by growth in Electrominerals at 8.6%, Ceramic s at 7.4%, and Abrasives at 5.4%.

PBIT for Q3 FY '25 was INR 110 crores, similar to Q3 FY '24. You would note that some of the PBIT of the businesses was INR 129 crores compared to INR 114 crores in Q3 FY '24. This was offset by higher unallocable expense, resulting in flat PBIT. The growth in segment results were mainly from Ceramics and Electrominerals , and while Abrasives was lower by INR 7 crores. Ceramics went up by INR 17 crores, and Electrominerals by INR 6 crores.
Compared to Q2 FY '25, PBIT in Q3 FY '25 was lower by INR 6 crores. On YTD basis, PBIT grew marginally by 0.4% to INR 344 crores against INR 343 crores in the same period last year. Profit after tax on a YTD basis grew up by 1.6% , INR 260 crores , when compared with the same period of the last year.
So, I will cover the segment performance now :
We will start with Abrasives :
Consolidated Abrasives sales for 9 months in FY '25 was INR 1,621 crores, a growth of 4.1% when compared to the same period last year. Standalone business grew up by 5.4%, RHODIUS about 7%, AWUKO 16%, showed good growth compared to 9 months in FY '24, whereas the Sterling Abrasives and CUMI America had a negative growth.
Q3 sales was at INR 526 crores, with a small degrowth of 0.4% , compared to Q3 FY '24. Compared to Q2 FY '25, sales were low by 3.1% , largely coming out of the lower sales in standalone and in RHODIUS .
Standalone Abrasives :
YTD sales was at INR 905 crores with a growth of 5.4% compared to the same period last year. Growth was majorly driven by Industrial and Retail and while there was a small degrowth in Precision business . The growth on YTD basis was predominantly coming out of the volume.
In Q3 FY '25, Standalone Abrasives sales grew up by 1.1% to INR 294 crores , compared to Q3 FY '24. Industrial and Precision segment s registered growth, while Retail segment was marginally lower, mainly on account of a small volume drop. In comparison to Q2 FY '25, there was a degrowth o

f 4.6%, mainly due to lower industrial demand.
RHODIUS :
RHODIUS on a YTD basis achieved net sales of €49 million compared to €46 million during the same period last year. This represents a 6% growth over the last year. This was mainly due to volume growth. For the quarter, RHODIUS achieved net sales of 15.3 million, which is 1% lower compared to Q3 FY '24 and lower by 7.5% compared to Q2 FY'25 .
And between Q2 and Q3, you have the lower number of days due to Christmas holidays, et cetera , generally , the seasonality will be like this.

On YTD basis, RHODIUS incurred loss after tax of €0.9 million against the loss after tax of €2.1 million in the same period of last year . So, the losses have come down significantly. We expect a growth of 7% on a full-year basis as against 9% what we communicated during the Q2 earnings call.
We expect a loss after tax of €1.9 million on full-year basis against the breakeven we told in Q2 Earnings Call. The losses in FY '25 are expected to be higher by €0.38 million compared to FY '24. This is mainly due to pricing pressure in the market, higher freight costs , and additional costs relating to contract workers . It is to be noted that this is after the PPA write -off of €2.8

million, meaning to add the €2.8 million on a full year basis, it is making a profit.
AWUKO :
AWUKO achieved sales of €7.6 million on YTD basis. This is a growth of 15% compared to the same period last year. For the quarter, AWUKO delivered a sale of €2.3 million, which is 8% growth over the same period last year. Sequentially, it grew by 3% compared to Q2 FY '25. The loss es before tax on a YTD basis were €3.7 million compared to €2.7 million in the same period last year. Excluding one -off income in FY '24, AWUKO has improved their performance operationally.
During Q2 Earnings Call , we communicated AWUKO would increase their yearly sales by €2 million and have an EBITDA loss of €4.5 million. At present, we feel that the sales will increase by €1.3 million instead of €2 million, EBITDA loss will still be around €4.5 million.
Now, I will cover the PBIT performance of the business segment :
Consolidated PBIT for Abrasive on YTD basis was lower by 0.5% at INR 118 crores as compared to that of the last year. There was a slight drop in margin from 7.6% in 9 months FY '24 to 7.3% in 9 months FY '25. This was mainly due to standalone drop in PBIT margins , decreasing from 16.4% to 16.1%.
Consolidated PBIT for Q3 FY '25 was at INR 28 crores, with a degrowth of 43% compared to Q3 FY '24. This was due to PBIT degrowth in standalone almost about INR 7 crores, RHODIUS about INR 4 crores and AWUKO about INR 9 crores. While compared to Q2 FY '25, the PBIT was lower by INR 6 crores, this was mainly due to lower PBIT in RHODIUS and standalone .
Now , I will move to Electrominerals :
Consolid ated sales for 9 months in FY '25 was INR 1,199 crores, showing a growth of 3% compared to the same period last year. Standalone business grew up by 8.6%, Foskor 24%, showed good growth compared to 9 months of last year. VAW in local currency delivered bet ter performance, about 2% growth compared to the same period last year. However, when it's converted to Indian rupee, it is showing a de -growth of 2.5%.

Q3 FY '25 consolidated sales was INR 416 crores, with a growth of 12.8% compared to Q3 FY '24. The grow th was contributed by standalone and Foskor Zirconia. In comparison to Q2 FY '25, sales grew by 3.4%, Foskor had a double -digit growth, standalone was flat and VAW had a small degrowth.
Standalone Electrominerals :
Standalone Q3 sales was at INR 211 crores. This is the highest quarterly sales for Electrominerals business. It is a 22.4% growth compared to Q3 FY '24. This growth was aided by volume increase, higher price realization and also because of higher export sales. Compa red to Q2 FY '25, sales in this quarter were marginally higher by 0.3%. This was again aided by price realization and a small volume drop.
YTD sales was INR 610 crores, with a growth of 8.6% compared to the same period last year. This was on account of inc rease in volume and a higher price realization. The other feature of the growth is also higher exports.
VAW :
The operations were doing well, and we will cover in detail the issues that we face.
Sales in local currency for Q3 FY '25 grew by 6.4% compared to Q3 FY '24 and grew by 6% compared to Q2 FY '25. On YTD basis, they delivered a 2.2% growth.
They delivered a loss after tax of RUB 718 million in Q3 FY '25, including onetime exceptions against a profit after tax of RUB 392 million in Q3 FY '24 , and profi t of RUB 466 million in Q2 FY '25. If you exclude the exceptions, profit after tax for Q3 FY '25 would have been RUB 479 million , comparable to the other quarters. Profit on YTD basis, RUB 35 million compared to RUB 1.23 billion during the same period last year. If you exclude the exceptions, profit after tax on YTD basis for FY '25 would have been RUB 1.23 billion.
I will now cover in detail about the issues relating to VAW :
As per the press release of United States Department of State dated 10th of Januar y, a set of companies which includes Volzhsky Abrasive Works, our subsidiary Company , has been designated as “Specially Designated Nationals and Blocked Person ”, SDN list, part of the U.S. Department of Treasury's Office of Foreign Asset s Control, OFAC, fo r operating or having operated in the manufacturing sector of the Russian Federation economy. So, as a result of this, the assets held in U.S. will be blocked. Transaction in U.S. currency is not possible for VAW. Transaction involving U.S. or with U.S. is not possible. Transacting in euro currency is not possible as bankers and financial institutions would not risk themselves for a secondary sanction. We made a detailed assessment of the situation with the background of the learning and consulting from various experts. VAW used to export around 40 % to 45 % of sales. Of this, U.S. dollar -denominated sale s is about 12% , and euro -denominated sales is about 25%. VAW does

not have any customer in U.S. Going forward, VAW will not be able to export in U.S. dollar or in euro.
VAW will be able to carry out only Domestic business . In the meantime, we have provided for receivables in U.S. dollars and euro including the deposits in dollars. This would result in 100% provisioning on carrying value of the foreign currency receivables and deposits in VAW's books , including CUMI Group. This amounts to RUB 1.59 billion before tax. Post tax, it would be equivalent to RUB 1.19 billion. This position is at VAW's level. CUMI has to pay to VAW.
After netting off the payable, the impact before tax is INR 104 crores , and post -tax and non-controll ing interest, impact would be about INR 76 crores.
In Q4 FY '24, VAW made a sale of RUB 2.3 billion and a PAT of RUB 384 million. Q3 FY '25, VAW made sales of RUB 2.6 billion and a PAT of RUB 479 million , before exceptional item.
So, we are al so considering this. It's changing day by day, depending on various outcomes, but we have considered lower sales , and a lower profit compared to Q4. So , I would say at this point, we have to learn this, but we're going every quarter at this point in time.
Now I will move to Foskor Zirconia :
During the first 9 months of FY '25, Foskor Zirconia in local currency witnessed a sales growth of 19% compared to the same period last year. The growth was majorly driven by growth in volumes. And for the quarter, sales grew by 45% compared to Q3 FY '24 a nd grew by 29% as compared to Q2 FY '25. On YTD b

asis, Foskor incurred a loss of INR 10.2 crores as compared to the loss of INR 10.7 crores in 9 months FY '24.
During the Q2 Earnings Call, we communicated that Foskor's loss would be in the range of INR 16 crores to INR 17 crores. Because of better profit in Q3, we feel the loss would come down and it would be in the range of about INR 9 crores to INR 10 crores.
Now I will cover the PBIT of this segment :
Consolidated PBIT for Q3 FY '25 was INR 67.5 crores. This was a growth of 34% compared to Q3 FY '24. Standalone business, Foskor Zirconia, VAW contributed to this growth . In comparison to Q2 FY '25, it was a growth of 17%, again mainly due to better perfor mance in Foskor.
PBIT margin at a consolidated level was 16.2% in Q3 FY '25 compared to 13.7% in Q3 FY '24 and 14.3% in Q2 FY '25. On YTD basis, PBIT was INR 168 crores compared to PBIT of INR 186 crores in the same period last year. This resulted in margi ns decrease from 16% to 14%. For 9 months period, the drop is largely on account of VAW. Standalone Electrominerals, PBIT was similar to that of the last year.
I will move to the Ceramics Section:

Consolidated sales on YTD basis was INR 864 crores compared to INR 795 crores in the same period last year. This represents a growth of 8.6%. The growth was mainly driven by CUMI India.
Q3 FY '25 consolidated sales was at INR 315 crores compared to INR 243 crores in Q3 FY '24. The growth was contributed majorly by CUMI India. Compared to Q2 FY '25, consolidated sales grew by 12%. Standalone business and VAW showed also a decent growth.
Standalone Ceramics :
Standalone Ceramics' Q3 sales was INR 265 crores, with a growth of 25% compared to Q3 FY '24. This growth was aided mainly by volume increase, offset by small impact due to lower price realization, mainly arising out of the refractories. Compared to Q2 FY '25, sales in this quarter grew by 16.5%. The growth was majorly aided by volume increase. Prices were impacte d by Monolithic segment of the Refractory business.
YTD sales were INR 710 crores. It was higher by 7.4% , compared to the same period last year. Fired and Mono Refractories , Metallized & Engineered Ceramics business at standalone level grew as compared to the same period last year, and sales were lower in Wear Ceramics and Corrosion Resistance business.
I will cover now the PBIT of this segment.
Consolidated PBIT for Q3 FY '25 was at INR 68 crores. This was a growth of 14% compared to Q3 FY '24. This was majorly contributed by PBIT growth in standalone by 34% . In comparison to Q2 FY '25 , There was a degrowth of 14%. Standalone PBIT grew by 9%. Th ere was a decrease in PBIT in overseas subsidiaries, which is basically Australia and America. PBIT margin in Q3 FY '25 was at 21.8% compared to 24.7% in Q3 FY '24 and 28.5% in Q2 FY '25.
Consolidated PBIT on YTD basis was at INR 213 crores compared to INR 215 crores same

period last year. This resulted in margin decrease from 27% to 24.6% for the 9 months period. This was mainly due to underperformance in Australia and America.
I would request now Sushil to cover the PBIT margin percentage, debt, CAPEX , cash flow and return on capital employed. Thank you.
Sushil Bendale : Thank you. Let us speak about the PBIT margin at a consolidated level. On a YTD basis, the consolidated PBIT margin was at 12.2% compared to 13.2% in the same period last year. For the quarter, consolidated PBIT margin was at 11.3% compared to 14% in Q3 FY '24 and 12.8% in Q2 '25.
Now the standalone :

Standalone PBIT margin on a YTD basis was at 16.4% compared to 17.7% during the same period last year. For the quarter, standalone PBIT mar gin was at 15% compared to 17.4% in Q3 '24 and 16.4% in Q2 '25.
Abrasives :
The consolidated PBIT margins of Abrasives on a YTD

basis decreased from 7.6% to 7.3%.
And standalone Abrasives margins were at 16.1% with a dip of 30 basis points as compared to last year.
RHODIUS reduced their losses and AWUKO has improved their performance operationally.
For the quarter, consolidated Abrasives margins declined from 9.5% in Q3 '24 to 5. 4% in Q3 FY '25. This was due to decline in standalone margins from 17.2% to 14.6%, and the margins dropped by 95 basis points compared to Q2 '25.
Electrominerals :
The consolidated PBIT margins of Electrominerals on a YTD basis declined from 16% to 14%. An d the standalone PBIT margin of 9 months was at 9.3% compared to 10.5% in FY '24 9M. The drop is mainly due to higher input costs and pricing pressures that we see in the market.
For the quarter, consolidated Electrominerals margins improved from 13.7% in Q3 FY '24 to 16.2% in Q3 '25. Standalone Electrominerals PBIT margins increased from 7.8% in Q3 of FY '24 to 9.1% in Q3 '25.
The consolidated margins of Electrominerals improved by 192 basis points compared to Q2 '25, which is contributed by profits deliv ered by Foskor in Q3 '25 compared to losses in the previous quarter. The standalone margin percent in Q3 '25 decreased by 113 basis points compared to Q2 '25.
Now the Ceramics business :
Consolidated Ceramics margins on YTD basis decreased from 27% to 24.6%. The standalone Ceramics PBIT margins declined by 50 basis points to 25.1%. Profits from CUMI Australia and CUMI America were slightly lower compared to last year.
For the quarter, con solidated Ceramic margins declined from 24.7% in Q3 '24 to 21.8% in Q3 of FY '25. This is mainly attributable to CUMI Australia and CUMI America. In comparison to Q2 '25, the consolidated Ceramics margins decreased from 28.5% to 21.8% in Q3 of '25. The standalone margins in Q3 '25 decreased by 186 basis points compared to Q2 '25.
Now about the debt position :

There was no debt in our standalone books. And total debt at a consolidated basis was at INR 109 crores at the end of Q3 FY '25 , compared to INR 103 cr ores at the end of Q2 '25 , and INR 119 crores at the end of Q3 '24. The debt -to-equity ratio was at 0.03 at a consolidated level. On a YTD basis, the CAPEX , our investment was about INR 202 crores.
ROCE :
On the YTD basis, our return on capital employed at a consolidated level is 17% compared to 18.3% during the same period last year. And at a standalone level, it is at 18.2% compared to 20.5% last year. For consolidated business, ROCE in 9 months for Abras ives declined from 11.4% to 11.1%; Ceramics declined from 46.5% to 38.2%; and Electrominerals from 27.1% to 24.6%.
For standalone businesses, the ROCE on YTD basis for Abrasives has marginally decreased from 42.9% to 38%, and Ceramics has declined from 51.4% to 46.6%. Electrominerals has decreased from 27% to 20.1%.
Now the unallocable expenses at a standalone level :
At the standalone level, the unallocable expense in Q3 '25 was at INR 19.8 crores compared to Q3 '24. This was higher by INR 16 crores, pri marily due to lower dividend, higher project -

related costs, higher employee costs on account of new headcount additions, ESOP benefits and leaves benefit valuations. Compared to Q2 '25, it was marginally higher by INR 2 crores due to higher dividend receip ts in Q2 '25.
On the YTD basis, unallocable expense was INR 37 crores compared to YTD Q3 '24. Unallocable expense was higher by INR 10 crores, primarily due to lower dividend, higher project -related costs, higher employee costs on account of new headcount addition and ESOP benefits.
At a consolidated level, unallocable expense at the consolidated level in Q3 was INR 22 crores. Compared to Q3 '24, unallocable expense was higher by INR 24 crores, primarily due to higher exchange loss in CUMI International on translation of certain closing balances, higher project -related co

sts, higher employee costs on account of new headcount addition, ESOPs and leave benefit valuations.
Compared to Q2 '25, the unallocated expense increased by INR 11 crores , primarily due to exchange loss in CUMI International on account of translation on certain balances versus exchange gains in Q2 of '25. On a YTD basis, the unallocable expense at a consolidated level was INR 45.4 crores almost at a similar level of YTD Q3 '24.
Now I request Mr. Sridharan to talk about the future outlook.
Sridharan Rangarajan : Right. So , I will comment about what we talked about in Q2 Earnings Call and what we are now looking at.

We communicated full -year consolidated sales to be 9% to 11% g rowth. We said about INR 5,100 crores to INR 5,200 crores. We expect a shortfall of INR 200 crores to INR 300 crores. So, the overall growth will be accordingly adjusted.
Consolidated Abrasives, we expect a growth of 5% against 10%, what we communicated ea rlier. This shortfall is mainly coming from AWUKO. We communicated growth in the last call, €2 million, whereas now they are talking about €1.3 million.
Abrasives India growth would be in the range of 6% to 7% against 9% to 11%, what was communicated earli er.
RHODIUS is doing well. We communicated earlier, the growth of 9% to 10%, but now we are revising. We feel it could be about 6% to 7%.
We communicated about sales growth of 12% to 14% consolidated Ceramic segment. We expect it to be 10% to 12%. For Industrial Ceramics business in India, we communicated growth projection would be 12% because of some shortfall in Engineered and Wear Ceramics segment. It would be 10% on a year -on-year basis. Refractory, we expect 8% to 9% growth over the last year, against 12% to 13%, as communicated earlier.
We communicated about sales growth of 5% to 6% in consolidated Electrominerals business. We expect some shortfall from VAW what we have planned. This will lead to flat marginal improvement over the last year.
Growt h from standalone business is slightly better than what we communicated earlier, about 10% growth.
The PBIT performance, we communicated consolidated PBIT would be 12.7%, 12.8%. We expect a drop of by about 100 to 120 bps. We said that consolidated Abrasi ves and Ceramic margin will be similar to that of FY '24. At present, we expect to drop by about 150 basis points. In our last call, we said that consolidated Electrominerals margin will be in the range of 13.5% to 14%. We expect the margin decrease by 100 bps.
For CAPEX side, we said that we would spend about INR 350 crores. So, far, we spent about INR 202 crores in 9 months. We feel we should be spending about INR 300 crores.
So, overall, we expect the top line to be INR 4,800 crores to INR 5,000 crores. We expect PAT to be around INR 450 crores without considering the exception effect. We would be spending about INR 300 crores of CAPEX . We will be continuing to be debt -free. While delivering the current business , we have also prepared a good strategic plan for the future. We will share more in the near future.
So, with this, I will conclude the opening remarks and open up for the Q&A. Thank you.

Moderator : Thank you very much. We w ill now begin the question -and-answer session. Anyone who wishes to ask a question may press "*" and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press "*" star and 2. Participants are requested to use handset while asking a question.
Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Harshit Patel from Equirus Securities . Please go ahead.
Harshit Patel : Hi, sir. Thank you very much for the opportunity. So, my first question is on VAW. As you mentioned, we won't be

able to transact , both in U.S. dollars as well as in euro. So, is there that much of an appetite in the local Russian market that we will be to absorb those lost sales? Or what exactly could be impact of these measures, both in the near term as well as how do we plan to mitigate this over a medium to long term?
Sridharan Rangarajan : So, Harshit, we said that we will not be able to sell and we will not be able to compensate. We will only be selling what we were selling domestically. And we are just looking 1 quarter at a time to see how this whole thing develops. So, that is why we said that as far as the next quarter, we have made this adjustment. That is why we are bringing down the top line also in our projection. So, that is what we are looking at, at this stage. But we feel that given what they have been doing in domestic, they should be able to continue to do the same.
Harshit Patel : Understood. Just a follow -up to that. You have also mentioned that the cash worth around INR 123 crore, which is not available for use by any entities within the group due to the temporary repatriation restrictions. So, is this the entire cash balance of V AW or just 1 portion of it? And why can't we repatriate that to India? I mean we can at least transact between Ruble and INR, right? There shouldn't be any restrictions on that?
Sridharan Rangarajan : Yes. So, Harshit, just an accounting technical term is b eing used. This represents the cash in VAW. And typically, the cash repatriation means that Rupee -Ruble trade is possible only to the extent of the trade -related transaction. CUMI India doesn't own VAW directly. It is owned by Cyprus, and it has to come th rough Cyprus. And that is where we feel that at this point in time, it is not repatriable and hence, it is mentioned so.
Harshit Patel : Understood, sir. Perfect. Sir, my second question is on our Ceramic segment. While the standalone business has done exceedingly well, the growth has been more than 20% after quite a long period of time. However, the margins seem to be weak. Our understanding was that when the Engineered Ceramics business will revive, there would be a decent margin exp ansion on that. First, that is not visible.
And secondly, even the Ceramics margin at the subsidiary level seems to be very weak. So, is there any one -off impact of the consolidation of that American entity, which is silicon carbide products that we have c onsolidated for the 2 months of this particular quarter. So, what was the revenue and PBIT contribution from that acquired Company in this particular quarter?

Sridharan Rangarajan : So, to start with, there are some one -off issues in Australia and America. Australia is largely there are provisions in terms of the inventory , and in terms of the receivables. And that is the broad reason. Plus, there is also product mix change in terms of the lower project -based orders. That is the reason for that.
As far as the Americas is also concerned is that we used to ship them, including the freight, but now we have changed the terms. The freight is absorbed by our American entity. And hence, there is a drop in the margin from their level. So, I would say, the se are not relating to operations side of the business. More at this point in time, one -off I would say.
Now a s far as the margins that you are looking at , in terms of the PBIT, we had a standalone Ceramics margin of 25.3% of Q3 FY '25 versus the last year at the same period, about 23.7 %. And sequentially, we were at 27.2% and moved to 25.3%, showing improvement in margin as you observed that the volume is going, mix is better and the margin percent age is also better.
Harshit Patel : Sir, just on that Silicon Carbide Products, Inc...
Sridharan Rangarajan : So, that Company is fine. We will share more details , it's a very small english Company . They are in line

with our expectations.
Harshit Patel : Perfect. Sir, just a small 1 question, if I can squeeze in. The standalone EMD margin had benefited from the higher fused alumina prices in the last quarter, that is second quarter of FY '25. So, how was that particular situation in 3Q FY '25, because we see a sequential margin drop in this particular aspect?
Sridharan Rangarajan : So, to start with, if you look at always EMD, the Q3 PBIT margins were lower than the Q2. It's a seasonality effect. You can check many quarters and you will see this trend, righ t?
Second is that there is a cost pressure. Definitely, alumina price increase versus our ability to put on the price is a continuing process, plus the competition from China is also a factor that puts us also pressure in terms of putting up the price. So, that is what I would look at it largely , and that is where you see this margin about 9.1% compared to last year's same period at 7.8%. So, that's a broad thing. The drop from 10.3% to 9.1% is more a seasonality linked basis.
Harshit Patel : Understood, sir. Those were my questions. Thank you very much , and I will get back to the queue.

Sridharan Rangarajan : Okay. Thank you. Thank you, Harshit .
Moderator : Thank you. Participants who wish to ask a question , may press "*" and 1. Next question is from the line of Amit Anwani from PL Capital.
Amit Anwani : Hi, sir. Thanks for taking my question. First question is on Abrasives. You mentioned that the guidance has been lowered to 6% to 7%. And also for consol , Abrasives RHODIUS has been lowered to 6% to 7%. So, domestically, you have been highlighting in the past that standard

Abrasives have been facing Chinese impact. I wanted to understand more color post the tariff wars and slowdown in China continues, what is the outlook in domestic market for Abrasives? Will it be 6% to 7% for longer period of time or there's some improvement affecting it?
And also, what is the status on now RHODIUS and AWUKO as well with respect to sales? Are we sticking to what we guided, because in 3 months' time, we changed the guida nce drastically? So, just wanted to understand more details on Abrasives side and subsidiaries.
Sridharan Rangarajan : Yes. See, Abrasive demand is largely, I would say, at this point in time, holding on. Definitely, the market industrial activity is showin g pressure in terms of the demand, that is there. And also at the same time, there's an increased infrastructure spend. The government also has announced, so should be able to again put up some demand for the Abrasives one. So, it is going to be a period w here we need to watch , in terms of how the demand is going to play out.
So, as far as the tariff type of question, I am not going to do crystal ball guessing now. So, let us see how this is going to pan out, and then we will take it if it comes , because it's going to be tough to do this.
AWUKO and RHODIUS, in terms of the top line, so as I said that I think it's AWUKO, we have just revised from €2 million to €1.3 million. That is the only revision that we are doing. But a large portion of the RHODIUS is a challenge of cost pressure rather than the top line. And I would say that in terms of the top line, we are still feeling that what we said earlier versus now is still holding. Large issue is in terms of the pricing pressure and some logistics costs going up , and employment of contract workforce. A combination of this is what is pulling the margin down. But they should be in a position to address. We will share more colo ur as we meet in the month of May.
Amit Anwani : Again, on the VAW, you said 12% of sales is happening , USD. That has impacted. And I recollect, we were doing a lot of sales in Europe, which is 60 -40%, 60% was Russia, 40% on Europe. So, any color? So, shall we assume that large part of the sales will be impacted or you'

ll
be diverting more towards Russian markets or some other geographies? If you could give more colors on the business aspect of VAW now, how should we read?
Sridharan Rangarajan : So, I told, Amit, in my opening remarks, 60% is domestic sale and 40% is export. And of that, 12% is dollar -denominated and 25% is euro -denominated. We feel that euro on dollar, they will not be able to export. And the focus of the Company would be more on Domestic side of the business, which is what they used to do, 60 % of the business. And we are looking now quarter -by-quarter.
For this quarter, whatever we are feeling for the remaining 2 months, we have made this adjustment. We have worked on that. That is why we are sharing this adjustment. Beyond that, we will have to wait and see as things develop. There are many developments happening every day. There's lot of development. So, let's wait and see without making a broad -based guess for the future.

Amit Anwani : Sure, sir. Thank you. Thanks so much.
Sridharan Rangarajan : Thank you.
Moderator : The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.
Aditya Mongia : Thank you for the opportunity. Again, 2 questions on VAW. Firstly, when you say that the euro -denominated businesses will also go down and it will only be a Domestic business , is this coming in from the customers? Or is this a thought process that you have at this point of time?
Sridhar an Rangarajan : So, it's largely coming from the fact that the bankers are not in a position to transact in dollar or in euro. So, that is the basic problem that they are facing.
Aditya Mongia : Okay. Understood. And let's assume, as you were saying, the rev enue levels fall to 60% of where things are today in VAW. Could you give us a sense of how does it a, impact the profitability in local currency , because there will be fixed costs that have to be taken into account?
And then secondly, from a repatriation perspective, what are the needs that we have of extracting the incremental profits and the cash from there?
Sridharan Rangarajan : Sorry, could you repeat the second portion of the question, repatriation?

Aditya Mongia : So, of whatever incremental money we make in VAW, I am not clear whether we can repatriate them or not because of the comment that was made on the call on cash. We're just trying to get a sense of both aspects; a, what will be the profitability? And b, what will be the means to make it come t o us, incremental profit that is?
Sridharan Rangarajan : Sure. So , Aditya, first of all, as I said earlier is , we are taking 1 quarter at a time. The model of the business will be Domestic business . And obviously, the business have to be sized for that, which means costs have to reflect that volume of the business, right? So , all those aspects needs to be looked into that. The team is definitely looking all these aspects of it.
As we go and meet in the month of May, we will have better picture emerging an d we will share what we are looking at going forward. But as I said, Domestic business is possible. Domestic space is there. They have been doing this for the last 3 years, as you know, as they change their product mix and positioning of the product. And w e feel that that should be in good stead for them , once they have resized their operation accordingly. And we have considered, when we talked about this year, the impact of that for the, let's say, the 3 months of Q4 is part of that consideration. But beyo nd which, I would like to wait to see how this is going to play out. We feel that some better picture should emerge.
Aditya Mongia : Sure. Again, just to a clarity, is repatriation a problem or not? A simple question on incremental profit.

Sridharan Rangara jan: So, repatriation of

dividend is a challenge , because you cannot repatriate using dollar or euro.
So, that is the issue. And the money they have to make use of it for their own investment purpose.
And we will have to wait and see once better days comes.
Aditya Mongia : Sure. And if INR 100 is the volumes or revenues of this Company , how much are being consumed internally, let's say, coming to India and then being used up? Is that any meaningful proportion?
Sridharan Rangarajan : Question is not clear . Could you repeat the question?
Aditya Mongia : Are there any sales that happened from VAW to standalone entity? I am just trying to get a relevance from an internal perspective.
Sridharan Rangarajan : No. We have very, very little sales to CUMI India and has no impact to CUMI India business. And there will not be any transaction between CUMI India and VAW.
Aditya Mongia : Noted. I have more questions, but I will get back into the queue. Thank you.
Sridharan Rangarajan : Yes. Please.
Moderator : Thank you. The next question is from the line of Bhavin from SBI Funds. Please go ahead.
Bhavin Vithlani : Good afternoon. Yes. The question again is on VAW. Now that it is a restriction, is there a thought of because the acquisition was made with a thought process of se curity of raw material. Now that is not possible. Is there a thought of divesting this business completely as repatriation also is getting challenged?
Sridharan Rangarajan : Yes. Bhavin, it's a good question. From our point of view, we need to allow some time to understand what this means to us, right? And we don't want to extend our thinking beyond the current management of what we are doing.
These things can change. It's a geopolitical issue. So, we need to wait and see. So , we will have to give some tim e to see how this development will turn. So , I will focus more on 1 quarter at a time and see how do we take this forward.
Bhavin Vithlani : Sure. Could you give us an update on the projects within the Ceramics division, the couple of expansions which were underway in terms of armored or the semiconductor one? And also, a couple of quarters back, we had issues with respect to the new energy hydrogen SOFC related. Where are we in that? Have we seen a ramp -up on that front?
Sridharan Rangarajan : Okay. So, as far as the projects are concerned, they are very much on track, and we are tracking to the time as well as to the cost. We feel that it should progress as per our time line. No challenges, no issues.

I am not clear about your second comment in terms of , we have not shared any challenges relating to hydrogen -related stuff. I am not sure where you are coming from.
Bhavin Vithlani : Okay. So, we ha d seen a drop in sales , because the customer...
Sridharan Rangarajan : Okay. So, that is not hydrogen related, probably let me come in. It is a solid oxide fuel cell manufacturer, and they are not into Hydrogen business. So, they would basically generate electricity out of that , and that is what is their core business. That business is back. As we communicated, this is from Q1, that is calendar year Q1 onwards FY '25, which is what, like Jan to March, what currently we are running, which is Q4 for us. Their order intakes are fine, and

they are very much in line with the trend what they have communicated to us.
Bhavin Vithlani : Okay. Just a couple of follow -ups on the 2 expansion projects, especially on the armor side. If you could give us like, are the customers for which we are building, are their projects also in line because we would be Tier 1, Tier 2 suppliers. So, if you can give some update on that front on both the projects? While we may be ready, the customers also should be correspondingly ready.
Sridharan Rangarajan : The customers are ready, and they are definitely very much par t of this progress, and they have been upda

ted. They also keep updating us. And it is progressing as expected.
Bhavin Vithlani : Perfect. So, ramp -up could be pretty quickly as soon as we see expansion getting commissioned. Would that be a fair assumption?
Sridharan Rangarajan : So, first, let's start the project, kick -start the production, start our sale, and then we will share more details as we progress.
Bhavin Vithlani : Great. Yes. Those were my questions. Thank you so much.
Sridharan Rangarajan : Right. Thank you, Bhavin.
Moderator : Thank you. The next question is from the line of Lakshminarayanan from Tunga Investments . Please go ahead.
Lakshminarayanan K. G. : Sir, I have 2 questions. First is that if I look at India made and India sold, what has been the last 9 months sales growth, made in India and sold in India?
Sridharan Rangarajan : It's roughly at about around 8%. I don't have a precise number, but indicatively, what Abrasives, refractories and some of the Electrominerals sales put together, I shou ld look at it that way.
Lakshminarayanan K. G. : And if you look at this segment, what has negatively surprised you in the last 3 months or maybe 6 months?
Sridharan Rangarajan : Negatively surprised is definitely Volzhsky Abrasive Works...
Lakshminarayanan K. G. : No, I am just looking at the India made, India sold. How does that actually stand out?

Sridharan Rangarajan : I don't think there's any major surprise, I would say, either positive or negative. We feel that it is continuing to be the same, and we ex pect probably the momentum might pick up because of this renewed commitment from the government of India in terms of the CAPEX programs, infrastructure spend, et cetera, should probably also more money put in the people, the demand driving could also happe n. And so it should probably look at as more positive.
Lakshminarayanan K. G. : And in this business, what is the mix of direct OE sales versus distribution? And which has actually grown faster between these 2 segments, India made India sold?
Sridharan Rangarajan : So, we have the entire Electrominerals , Refractories for business to business. And as far as Abrasives is concerned where the dependence on the distributor is high. So, that, I would say, for example, is the biggest distributor -led business. The rest is all business -to-business -led growth. And overall, we are looking at more similar experience. Maybe in the distributor side, there are pressures in terms of their collections and probably some inventory piling up, all those we are looking at. Other than that, I don't think any significant observation, which I can have.
Lakshminarayanan K. G. : Correct. And my second part of the question is in terms of India made and exports, what has been the growth for the last 9 months? And how do you expect this year to conclude for the Export business from India?
Sridharan Rangarajan : Export has significantly grown than the domestic growth. And I will feel that should continue the same way. I don't see this as a challenge
Lakshminarayanan K. G. : You have a number, sir? You have a number in terms of how much is the India made and exported from India? For the last 9 months, what is the revenues and then how it has grown over the similar period last year?
Sridharan Rangarajan : Yes. We have grown almost about, s ay, 18% to 20% in the export side of the business.
Lakshminarayanan K. G. : And how much of that is the total business, if you look at India, India made?
Sridharan Rangarajan : We will share more details to you, Lakshminarayanan. Yes.
Lakshminarayanan K. G. : Okay. Thank you, sir. That's all my questions.
Sridharan Rangarajan : Right. Thanks.
Moderator : Thank you. The next question is from the line of Mohit Pandey from Macquarie. Please go ahead.
Mohit Pandey :

Yes. Good afternoon, sir. My first question is on Ceramics subsidiaries. Sir, if you could please provide more color on the challenges that were faced in this quarter in the subsidiaries, especially CUMI America that impacted the margins? Because historically, as per my understandin g, this has been a very profitable subsidiary. So, that would be very helpful.

Sridharan Rangarajan : Yes. Mohit, we covered this , largely 2 businesses, Australia and America is where we had some of the one -offs. There's a provisioning on the inventory receivable plus big business mix change in Australia. Logistics costs going up in America. And these are the broad drivers , and proba bly some higher employee benefits , because of the law change in Australia. Other than that, those are all normal. And we still feel if you exclude them, their business performance is good, and we feel that these are one -offs.

Mohit Pandey : Okay, sir. So, sir, provisioning, et cetera, you think is more or less done in this quarter for inventory and receivables?

Sridharan Rangarajan : Yes, yes. Yes. They are done, yes.

Mohit Pandey : Okay Sir, secondly, on RHODIUS margins, so you indicated the cost pressu re that is hurting profitability, but you also said demand seems to be holding fine. So, going forward, do you see possibility of passing on the cost pressures? If you could also give more color on the nature of these cost pressures, that would be really h elpful

Sridharan Rangarajan : So, I said that there's a price pressure, which is basically the expectation from the customer is a price drop. And at the same time, there is also a cost pressure. That is the combination of it. And I don't think cost is a significant portion. It's mainly th e market price is where the challenge comes.

Mohit Pandey : Okay, sir. Understood. And sir, last question on VAW. So, fixed cost notwithstanding, is the Domestic business inherently more profitable on the gross margin compared to whatever exports have been done so far from VAW?

Sridharan Rangarajan : Yes. So, we feel, as I said in my earlier response also is that Domestic business , they should be able to do fine. And they are readjusting and repositioning themselves as far as the fully focused Domestic busine ss model is concerned. And we feel that, that should be helpful for them, and they should be in a position to manage it.

Mohit Pandey : Okay. And sir, last question on the unallocable expenses. So, any outlook if you could provide here? So, these project co sts that were mentioned, these are linked to the newer R&D works that you're undertaking. Is that a fair understanding? So, this can remain elevated? Or how should we think about it?

Sridharan Rangarajan : See, this could change. Last year, we spent about, say, - INR 58 crores of total unallocable costs. We should expect should be in the range of about around INR 60 crores plus. So, that's the broad expectation one can have.

Mohit Pandey : Okay, sir. And so last question was on the longer -term plan that you briefly alluded to. So, any time lines you have in mind around when you're looking to announce that? That would be my last question.

Sridharan Rangarajan : Yes. We will share more details when we meet again in the month of May.

Mohit Pandey : Okay, sir. That's it from my side. Thank you so much. Bye.

Sridharan Rangarajan : Okay. Thank you.

Moderator : Thank you. Ladies and gentlemen, this will be our last question. It's from the line of Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair : Yes, sir. Just wanted to ask on the Abrasives business. In terms of the end market, we saw Precision was quite impacted. But now there seems to be some improvement. So, if you can talk about t he outlook for Industrial, Retail and Precision? And because t

his quarter was fairly muted in standalone from a growth perspective, how do we see the growth coming back? And also some comments on the Chinese competition.

Sridharan Rangarajan : So, Bhoomika, I talked about the overall Abrasive business. We feel that it will continue to be in that range, 8% to 10% growth. Industrial is doing fine. Retail is doing fine. Precision is largely in terms of the dependence on how the industrial outlook i s there. So, to some extent, it is linked to, I would say, like say, bearings and some of the high -end auto components business turnaround. So, that should also be doing fine is my own guess. So, overall, I should say that they should be able to travel aro und 7% to 8% type of a growth.

Bhoomika Nair : Sure. Sir, on the other side, in term s of Ceramics, you talked about the one -offs that we saw in Australia and in Americas. When you mean one -off, does that mean that this will not recur going forward and it wi ll normalize to the business level margins as we move ahead into the next quarter or the next year?

Sridharan Rangarajan : Correct, correct, correct. That's correct.

Bhoomika Nair : Okay. Okay. And lastly, on VAW, with exports being a challenge, which is 40% , and as the revenue scale comes down, will there be a hit on the profitability because of the fixed cost and lower revenues?

Sridharan Rangarajan : So, as I said, the business is relooking at the model , and repositioning themselves the cost also accordingly , because you cannot afford to run the business at the same level with 100% business possible, whereas you are only doing domestic. So, that repositioning is parallelly happening, and they have to resi ze this operation accordingly. So, they are very much aware, and they are

definitely on the job to do that.
Bhoomika Nair : So, how long do you think it will take to resize the business and cost structure accordingly? Will it take like 3, 6 months or longer timeframe?
Sridharan Rangarajan : My own guess is that they should be able to reposition this in this quarter.
Bhoomika Nair : Okay. Okay. Fair point. Got it, sir. This was my question s. Thank you very much for giving us an opportunity to host the call and also the participants for being there. Thank you very much, sir, and wish you all the very best.

Sridharan Rangarajan : Thank you. Thank you. Thank you so much. And I'd just like to say that if you exclude the exceptions arising out of the Russia challenge, we feel that the business has performed, operation -wise, quite decent , and that should continue is what we feel. As far as Russia is concerned, we are keenly watching and see how we need to respond to each of the situation.
And as I said, we will take 1 quarter at a time , and see how do we tread this part. It's a geopolitical issue, and we need to see how this will evolve. And you're all keenly watching the news. So , you must also be tracking this parallelly.
So, I feel that other than this, the business is doing fine. The balance sheet in good stead. We feel that we have done a fair bit of work in terms of the future , in terms of how a long -term strategy can be looked at. And we will share a portion of that when we come and meet in the month of May. So , thank you for all your patient hearing and asking the right questions, and wish you all the best. Thank you.
Moderator : Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconne ct your lines.

Call: May 2025

19th May 2025

BSE Limited
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street , Fort Stock Code: 513375
Mumbai - 400001

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) Stock Code: CARBORUNIV
Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor Call

Pursuant to our letter dated 13th May 2025 informing t he upload of audio recording of the investor call, please find enclosed a copy of the transcript of the Investor call and the same can be accessed through the following link.

Link: https://www.cumi -murugappa.com/wp -content/u ploads/2025/05/Q4 -FY-2024-25-earnings -call-transcript.pdf

Request you to k indly take the above on record.

Thanking you

Yours faithfully
For Carborundum Universal Limited

Rekha Surendhiran
Company Secretary

"Carborundum Universal Limited
Q4 FY '25 Earnings Conference Call"
May 13, 2025

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – MANAGING DIRECTOR – CARBORUNDUM UNIVERSAL LIMITED
MR. SUSHIL BENDALE – CHIEF FINANCIAL OFFICER – CARBORUNDUM UNIVERSAL LIMITED
MR. G. CHANDRAMOULI – ADVISOR , INVESTOR RELATIONS – CARBORUNDUM UNIVERSAL LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS LIMITED

Carborundum Universal Limited
May 13, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Carborundum Universal Limited Q4 FY '25 Earnings Conference Call hosted by DAM Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital. Thank y ou and over to you, ma'am.

Bhoomika Nair:

We have the Management today being represented by Mr. Sridharan Rangarajan – Managing Director; Mr. Sushil Bendale – Chief Financial Officer and Mr. G. Chandramouli – Advis or,
At this point, I will hand over the floor to Mr. Rangarajan for his "Initial Remarks", post which we will open up floor for Q&A. Thank you, and over to you, sir.
Moderator: Yes, sir, you can go ahead.
Sridharan Rangarajan: All right. Okay. Good morn ing to all of you.

G. Chandramouli: Good morning, I'm Chandramouli. Before getting into the call, I read out the disclaimer. During this call, we will make certain statements, which reflect our outlook for the future or which could be construed as forward -looking statements.
These statem ents are based on management's current expectations and are associated with uncertainties and risks are more fully detailed in our annual report, which may cause the actual results to differ. Hence, these statements must be reviewed in conjunction with the risk that the company faces. Thank you.

Sridharan Rangarajan:

Good morning to all of you. I hope I'm audible and a very warm welcome to our fourth quarter and full year earnings call 2024 - 25. In today's call, I would try to cover as much as possible to give you all the facts that the company has gone through in the last couple of quarters so that you get a better picture of the performance and relate to that appropriately.

I'll start with consolidated sales. Consolidated sales on a full year basis was INR4,834 crores with a growth of 4.4% compared to the last year. This growth was driven by Ceramics 7.7%, Abrasives 3.3% and Electrominerals 1.9%. At standalone, the sales grew at about 7.3% and the challenge at the consolidated level is largely coming on account of the softer VAW growth in Q4, which I will describe more in detail.

However, subsidiaries such as RHODIUS and Foskor have grown well. RHODIUS has grown 6%, Foskor has grown by 15%. So we have Q4 challenge rising out of the VAW post sanctions, I will cover that in detail.
Consolidated PAT was INR168 crores, lower compared to the last year, INR461 crores was the last year FY '24 number and INR293 crores is this year's number. So there's a shortfall of INR168 crores and I will broadly explain what is the reason for this INR168 crores upfront.
At VAW, we made a provision of INR91 crores, this is a post -tax amount that I'm talking since I'm covering the post-tax, in Q3 and we have already described the reason for that. In Q4, since the sales volume of VAW came down post sanction, the profit also came down by about INR24 crores.
Besides this, in AWUKO, we reversed the deferred tax credit to the extent of INR32 crores and we have not taken deferred tax credit for the losses in FY '25, which is roughly about INR18 crores. So these are the broad reason for the shortfall. So consolidated PAT was lower on account of these exceptional items.

There are 2 br oad items. One is VAW, which is relating to sanction and post -sanction the lower volume. So all of that is relating to sanction related and the second one is the deferred tax credit reversal in Awuko.

We feel these are reversible once the situation improve s. So that's how I read this situation.

PBIT on a full year basis was about INR541 crores compared to INR 62 1 crores in the last year. This was lower by 13.4% over FY '24. PBIT from Ceramics was marginally higher. Our PBIT from Electro minerals and Abrasi ves were significantly lower. The drop of INR84 crores was mainly due to VAWs to the extent of INR36 crores and AWUKO to the extent INR31 crores. So overall PBIT margin decreased from 13.5% to 11.2%.

On stand alone basis, full year, the sales was at INR2, 784 crores with a growth of 7.3% compared to the last year. This growth was contributed by Electro minerals at 10%, Ceramics at 6.5%, Abrasives at 3.9%.

Standalone profit after tax on a full year basis was INR322 crores as against INR350 crores in the last year. This is due to higher unallocable expenses, the details of which will be covered by Sushil later in his section.

I will cover the segmental per formance.

Abrasives , to start with, on a consolidated basis, Abrasives sales in FY '25 was INR2,159 crores. This is a 3.3% growth compared to last year. Standalone contributed 3.9%; RHODIUS 6.4%, AWUKO 11%, showed good growth compared to FY '24, whereas the selling had a small degrowth largely relating to their agro business.

Standalone Abrasives sales on a full year basis was INR 1,195 crores with a growth of 3.9% compared to the last year. The growth was majorly driven by volume, both in industrial and retail. Precision was bit softer.

RHODIUS on a full year basis, achieved net sales of EUR67 million compared to EUR63 million during FY '24. This represents a 5.5% growth over the last year. This was mainly due to volume growth.

On a full year basis, RHODIUS incurred a los s after tax of EUR0.2 million against a loss of EUR1.5 million last year. So the losses have come down significantly. If we exclude the PPA write -off of EUR2.8 million, they delivered a profit after tax of EUR1.8 million. So this is what we were also earli er communicating with you.

Moving to AWUKO. AWUKO achieved a sales of EUR10 million on a full year basis. This is a growth of about 10% compared to the last year. The losses before tax on a full year basis was EUR6.6 million compared to EUR3.3 million dur ing FY '24. The difference is on account of two things: one, there was a gain in FY '24, which is not recurring, plus an inventory provisioning in FY '25. Besides this, we also stopped taking deferred tax credit. This resulted in a reversal of EUR3.5 million of deferred tax asset. This is a deferred tax asset until FY '24. Plus, the 3 quarters, whatever we took that also we reversed in Q4 besides not recognizing for this year, which is roughly about EUR2 million.

So in total, on a full year basis, the los s after tax was EUR10.2 million in FY25 against EUR2.3 million in FY24. So this thing is majorly driven by the reversal of the deferred tax asset. The reason why we took this decision was we wanted to see delivery of profit before we continue taking this d eferred tax asset credit. And hence, we reversed this asset so far what we have taken.

Now I'll cover the PBIT performance in the business segment. Consolidated Abrasives PBIT on a full year basis was lower by 17% at INR151 crores as compared to the last year. The major drop is coming from AWUKO due to the inventory provisioning and on -time gain that I just talked about. Standalone PBIT was lower by 1.3%, mainly on account of product mix.

In Electrominerals consolidated sales in FY '25 was INR1,574 crore s, showing a growth of 1.9% compared to the last year. Standalone business grew by 10%, Foskor grew by 14.8%. All of them showed good growth. The performance of VAW Russia is impacted in Q4, the specifics of which will be covered in the subsequent sections later.

Standalone Electro m

inerals sales on a full year basis was at INR815 crores with a growth of 10% compared to the last year. This was on account of the increase in volume and price realisation. Price reali sation was much higher compared to the volume growth. Other feature of this growth is that we have higher exports compared to the last year. There's a significant growth in export.

VAW until 9 months ending December 2024, the company's operations were sl ightly better compared to the last year. We delivered a growth of 2.2% in the first 9 months as communicated earlier. As per the press release of United States, VAW was put on sanction on 10th of January included in the SDN list of OFAC. As a result of thi s designation, VAWs business in Q4 got impacted, silicon carbide volume came down by 30%. Abrasives volumes were flat and Refractories -volume had an increase.

In Q4, VAW made a sale of RUB 1.83 billion against RUB 2.63 billion inQ3 FY '25 and RUB2.31 bi llion in Q4 FY '24. They made a profit after tax of INR11 crores in Q4 '25 compared to INR35 crores in Q4 '24 and INR38 crores in Q3 '25. These are all excluding exceptional items.

On a full year basis, VAW made a sale of RUB9.4 billion against RUB9.7 b illion in FY '24 and delivered a profit after tax of INR119 crores, excluding exceptional items. This means that whatever the provision that we made is not considered part of INR119 crores against INR149 crores in FY '24. So roughly INR30 crores of profit is lower compared to the last year.

On a full year basis, Foskor Zirconia witnessed a sales growth of 9% compared to the last year. The growth was majorly driven by the volume. On a full year basis, Foskor incurred a loss after tax of roughly about INR12 crores as compared to INR7 crores last year.

I'll cover the PBIT of the segment. Consolidated Electro minerals PBIT on a full year basis was lower by 25% at INR177 crores as compared to the last year. The major drop is coming from VAW. Standalone PBIT w as lower by 11% on account of higher input costs.

Now I'll cover the Ceramics section. Consolidated Ceramics sales on a full year basis was INR1,160 crores. This represents a growth of 7.7%. The growth is mainly driven by CUMI India., Standalone Cerami c business on a full year basis were at INR939 crores. This is higher by about 6.5% compared to last year.

In Industrial Ceramics business, metallized engineered ceramics grew substantially well, almost double -digit growth, while the wear -ceramics remained flat. Due to the absence of major orders in wear -ceramics, this has remained flat. The fired and mono r efractory business grew well, again, high -teens growth. Corrosion -resistant business, which is a highly project -dependent business had a degrowth, and this resulted in a net growth of 6.5%.

Now I'll cover the PBIT performance of the business segment . Consolidated Ceramics PBIT for the full year basis is almost flat at INR286 crores. Standalone PBIT was better by 5.5%, mainly on account of better volumes and price.

Now I request Sushil to cover the PBIT margin, debt position, capex and cash flow.

Sushi l Bendale: Thank you. PBIT margins consolidated on a full year basis was at 11.2% compared to 13.5% during the last year. Standalone PBIT margin on a full year basis was at 15.3% compared to 18% last year. Abrasives consolidated PBIT margins on a full yea r basis decreased from 8.7% to 7% and standalone Abrasives margins were at 16.1% against 17% in FY '24.

RHODIUS reduced their losses, but AWUKO PBIT was lower in FY '25 due to a onetime gain of EUR2.2 million in FY '24 and inventory provisioning of EUR0 .7 million in FY '25.

Now Electro minerals. The consolidated PBIT margins of Electro minerals on a full year basis declined from 15.4% to 11.3%, primarily due to VAW. The standalone PBIT margin was at 7.7% compared to 9.5% i

n FY '24. This drop is mainly due to higher input costs and the pricing pressure in the markets.

Ceramics, the consol idated Ceramics margin on a full year basis decreased from 26.5% to 24.7% and standalone Ceramics PBIT margins declined by 28 basis points to 24.8%. Profits from CUMI Australia and CUMI America were lower compared to last year.

Now the debt position, the re was no debt in our standalone books and total debt at a consolidated basis was at INR120 crores at the end of Q4 '25 compared to INR109 crores at the end of Q3 and INR113 crores at the end of Q4 '24. The debt -to-equity ratio was at 0.03 at a consolidate d level.

In FY '25, our capex investment was INR282 crores at a consolidated level.

Free cash flows on a full year basis at a consolidated level is 22% to PAT compared to 86% last year. The decline in free cash flow was on account of higher working ca pital and higher capex investments.

The return on capital employed on a full year basis at a consolidated level is 14.2% compared to 18.5% during last year. At a standalone level, it is at 16.6% compared to 20.3% in FY '24.

For consolidated segments, ROCE in FY '25 for the Abrasives segment decreased from 13.1% to 10%. Ceramics decreased from 46.9% to 35.5% and the Electro minerals decreased from 26.7% to 18%.

For standalone business, ROCE on a full year basis for Abrasives has decreased fro m 44.2% to 36.2%. Ceramics has declined from 52.2% to 43.8% and Electro minerals has decreased from 26.2% to 18%.

Now about the unallocable expenses. On a full year basis, the unallocable expenses for the standalone were at INR63.1 crore in FY '25 as comp ared to INR19.8 crores in FY '24. This was higher by INR43.3 crores primarily due to lower dividend, higher project -related expenses, higher employee costs on account of new head count additions, ESOPs and leave benefit valuations.

Now I request Mr. Srid haran to talk to you about the future outlook.

Sridharan Rangarajan: Thank you. I will cover now about two things. One is what we look at FY '26, given what we have seen. I also would like to share more about the long -term strategy that we have been working for the last 18 months.

We expect the full year consolidated sales growth could be 6% to 7% in FY '26.

Consolidated sales growth in Abrasives would be 5% to 6%, majorly driven by growth in standalone Abrasives, which could be 6% to 8% and then RHODIUS and AWUKO.

Sales growth in consolidated Ceramics would be 16% to 18%, majorly driven by growth in standa lone Ceramics and then supported by CUMI Australia and CUMI America.
Sales growth in Electro minerals could be about 1% to 2% because of the drop in sales in VAW in Russia. For VAW, we expect the sales volume drop to the extent of somewhere between 25% to 30% in FY '26. Standalone Electro minerals and Foskor to grow in the range of 8% to 10%, and 6% to 8%, respectively.
In FY '25, we delivered a PBIT margin of 11.2% at consolidated level. In FY '26 this could drop by 100 to 150 basis points because of the softer performance in VAW.

Consolidated Abrasives margin was about 7% in FY '25. We expect this could improve by another 100 to 150 basis points.
Consolidated Ceramics in FY '25 was 24.7%. We expect this could drop by 100 basis to 120 basis points.
Consolidated Electro minerals in FY '25 was 12.5%. We expect this could be dropped by 500 to 600 basis points in FY '26. This is again arising from VAW.
Capex could be in the range of about INR300 crores to INR350 crores. This is what we are expecting.
Just to sum up here, I think we feel that VAW's performance will have a deeper impact in FY '26. We feel that the profitability could drop at least by INR100 crores and that is why we have factored in the numbers whatever I'm telling. But it all depends on the recovery. Basically, if

the
sanctions get lifted sooner than later what we are looking at, then this could change and I'm expecting whatever I communicated as if the sanctions are continuing.

I would like to share more about the long -term strategy, which is the 5 -year program that we are looking at. CUMI has a strong legacy in industrial materials and has a great starting point to capitalize the growth opportunity available in India and across the globe. Building on our rich legacy, we have spent de dicated effort in detailing out 'where to play' and 'how to win' for all our businesses, creating a clear trajectory of bold, long -term strategy for the next 5 years by identifying opportunities in the existing and emerging sectors.

Our clear, long -term aspiration has been built grounds up with cumulative effort of over 150 leaders across CUMI, its subsidiaries and joint ventures. This will guide our focus on investment for the next 5 years. At the highest level, we want to grow by 2 times in this period with sustained profitability. Our aspirations will be met with the right level of investment to fuel this growth in India as well as globally. This strategy will also be supported with a structured execution road map to help us drive on the ground change effectively.

We've ensured that our long -term growth strategy is holistic and is anchored on 3 strategic vectors. One is scaling up our core existing businesses, entering relevant adjacencies and exploring step -outs. Today, I would l ike to share more details on the first vectors of the group, it's about scaling up our existing business going forward.

In Abrasives, we built on our strong position to become the leading player in a growing INR10,000 -plus crores of domestic market while further scaling our presence in the key export markets. We are reshaping our go -to-market model and investing in frontline capability building. We are investing in digital capability to enhance customer engagement and robust data -driven execution. They ha ve a strong industrial distribution base.

Our goal is to deepen the engagement with customers across both retail and the B2B channels through our distribution base. We would gain market share in under -penetrated space and gain customer share to nearly do uble our domestic market share over the next 5 to 6 years.
To drive this growth, we are strengthening our product pipeline across both Coated and Bonded segment, shaping a dynamic customer -centric portfolio. This would be through our R&D as well as an ap propriate sourcing strategy.
To serve the growing infrastructure and construction industry, we are also investing in expanding our thin wheel capacity using the synergy with RHODIUS and Dronco, which is both the asset as well as the technology and assets that we bought.
In Electro minerals division, we will evolve from a minerals player to a specialty material player. Our focus here would be we will scale up alumina capacity from the current level and increase the share of treated grain. This treated gra in means heat -treated grains, silane treated, sol■gel treated, blue -heated and zirconia -coated grains. Thereby, they increase the share of value -added

products in the alumina portfolio. We will also focus on export markets. Our current share would almost d ouble in this space.
Secondly, we will focus on expanding our Zirconia portfolio. We want to add capacity. We also want to add products like alumina zirconia, stabilized zirconia, monoclinic zirconia and zirconia for thermal spray powders using the syne rgy that we will have with Foskor Zirconia.
And lastly, we will aim to enhance our product development capability to serve the high -growth sectors like semiconductor, aviation, clean energy by venturing into advanced materials such as thermal spray powder s, both oxides. It could be aluminum, alumin

um titrate, metallized zirconia,
stabilized zirconia and mullite. Thermal spray powders for solid oxide fuel cells, HPSiC, graphene, silicon nitrate and aluminum nitrate. These are the newer portfolios that we wi ll add.
This strategy will allow us to completely reorient EMD's business strategy. We plan to increase our specialty minerals to 40% share in the next 5 to 6 years.
In Industrial Ceramics, we will scale our leadership in high -margin advanced ceramics whi le strengthening the core segments like scaling up Metallized Cylinders, Engineered Ceramics and wear protection.
Growth will be powered by innovations for specialized sectors such as semiconductor, aerospace, defence and e -mobility. We are expanding int o ceramics for semiconductor, wafer fab equipment, opening opportunities across the broader and higher value segment of the value

chain. At the same time, we are aligning with the long -term global priorities as well as national priorities, enter in new are as such as aerospace and defence (vehicle and body armour , both alumina, ZTA, RBSiC and boron carbide) and as well as in electronic sector, which would involve Tubes, substrates, Brazed assemblies.
To reinforce this, we are investing in the state -of-the-art manufacturing facilities, strengthening our global footprint, establishing a strategic collaboration with leading technology partners, positioning us for the long -term differentiation. A significant share of our overall investment will be directed towa rds our effort in expanding Industrial Ceramics to be a truly global ceramic powerhouse.
In Super Refractories, we will target to be relevant and scaled player in India's large and growing INR15,000 crores -plus refractory market. We will continue to push the borders of addressable market by adding newer products in mono and market capabilities and gain share in both domestic and export markets.
We will use our competence in glass, CPI, carbon black, cement and address global market. We will ensure our f ocus on cost excellence considering increased global competition in the domestic market while continuing to grow our overseas footprint. We are also expanding our structural composite capability to advance composite capability.
To support this journey, w e are building future -ready capabilities across key functions. We will scale up our investment in R&D in line with the required growth. We expect to increase our R&D spend 4 to 5 times over the next 5 to 6 years to fuel the innovation across the board.
Building a high -performance organization that embodies and demonstrate a set of behaviour deeply rooted in the Five Lights of Murugappa Group, signalling a culture of being even more performance and collaboration -oriented. The Five lights of the Murugappa Gro up are integrity, passion, quality, respect and responsibility.
We also redesigned the role of the functions -- various functions to support the truly global organization. Plus, we will be comfortable in funding these investments for our growth through our cash flows.
To summarize the entire organization of CUMI's energized by this vision for long -term growth, and we are supported by robust governance framework to ensure and tr ack progress. We look forward to providing an update on specific process as we realize the maturity.

So just to sum up, I think for the time being, we are focused o n FY '26. We have given a broad clear line for you, but at the same time we are prepari ng well for the 5 -year journey for which we have broadly given some of the programs and what we are looking at.
And just to sum up, the FY '25, two major issues that we faced is the sanctions in VAW, which had a significant impact. The second one is the reversal of deferred tax credit. These are the 2 extraneous factors. The rest of them are normal business, which we feel t

hat we are getting into.
There are issues that we need to focus and address. We feel VAW, as I communicated to you, one more year. We' ve kept this at least at a lower volume of 25% to 30%, which brings the profitability also down. That is what we have factored in, in the guidance that we have shared with you.
Thank you, and we will now open up for Q&A.
Moderator: Thank you very much. The first question is from the line of Harshit Pat el from Equirus Securities. Please go ahead.

Harshit Patel: Sir, my first question is on VAW. I missed the sales and profit number that you provided in th e rouble terms. Could you please repeat on that, please?
Sridharan Rangarajan: Yes. I think VAW on a full year basis, VAW made a sale of 9.4 billion against 9.7 billion, and they delivered a profit after tax excluding exceptional items of INR119 crores and you should net off INR90 crores of impact on this. So INR119 crores minus INR90 crores would be profit after tax post this onetime adjustment. If you exclude the onetime adjustment, it is INR119 crores against INR149 crores of FY '24.

Harshit Patel : Understood. Sure. Sir, on this Q4 margins, which are very weak and you explained that our volumes were drastically down in the fourth quarter, so is this weak margin performance just because of the operating deleverage due to lower volumes? Or are there any other one -offs? So what I'm trying to understand is that where the gross margins impact over there at VAW?

Sridharan Rangarajan: Yes. So Harshit, I think, this is exclusively coming out of the volume drop. And as I said, it is 25% to 30% volumes are down in Q4 and we have factored in the similar volume drop for the

full year next year as well. So that is what I communicated. So it's a pure volume drop.
Harshit Patel: Understood. Sir, my second question is...
Sridharan Rangarajan: And the one -offs relating to VAW were earlier communicated in Q3 itself.

Harshit Patel: Perfect. Understood, sir. Sir, my second question is on Ceramics. With the normalization of supplies to a large U.S. -based clean energy customer, we thought that the standalone revenue growth would be in high double digits in the fourth quarter. However, it has not happened so. So was it due to delayed ramp -up at this particular customer? Or was there any other reason for the same?

Sridharan Rangarajan:
No, I think the ramp -up with the customer is happening as communicated, no challenge at all. Just to give you a perspective, the entire Ceramics segment let's look at it in 3 broad areas. 65 percentage of the business grew at about 18%. 23 percentage of th e business, which is Wear Ceramics were flat. And then 12 percentage of the business degrew at 36%. That is how the overall mix you are seeing about 6% to 7%, right?

Now that camouflages the real growth what is happening. The 12% is a business, which i s highly project -driven business and there are delays in projects, which really caused this degrowth. So it has nothing to do with the high -margin Ceramic business and whatever we have communicated is very much in line. We feel this project -led growth woul d come back next year.
Harshit Patel: Understood. Sir, what are the 65% and this 23% parts, could you explain these 2?

Sridharan Rangarajan: These consist of Engineered Ceramics, Metallized Cylinders. Those are the components and also the fired refractories, all that put together is a component that consists of 65%.
Harshit Patel: Okay. And 23% will be the Wear Ceramics business. Would that be right understanding?
Sridharan Rangarajan: That's what I told.

Harshit Patel:
Perfect. Sure. Sir, just lastly, from my side, the standalone EMD margins have contracted sharply both on Y -o-Y and Q -o-Q basis. So could you please explain the reasons for the same? There is also

a steep jump in the standalone other expenses. So are these 2 things related to each other?
Sridharan Rangarajan: No. So I think in the EMD margin, the way I would like to look at it is that we practically passed on the cost increase of alumina to the extent of, say, 85% to 90% cost push. The rest we could not push because of the pricing pressure coming from China. So that is what you are seeing in the margin drop.
Moderator: The next question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: So my first question is how is the capex and implied expenses expect to incur to achieve the strategic objectives which have laid out for the next 5 years?

Sridharan Rangarajan: So thank you, Mohit. We are not sharing this at this stage, the capex program. I would have loved to share it at this stage. But next year capex I have shared with you broadly. So that is what at this point. But as I said, we have a c lear program to deliver this 2 times top line growth. So we feel that we have enough programs to deliver this and should not have an impact -- should not have an issue for us.
Mohit Kumar: Is it possible to share the R&D capex, which you incurred last y ear?
Sridharan Rangarajan: Don't have readily and probably at a later point we will share with you.

Mohit Kumar: Understood, sir. My second question is on the Abrasives. How is the competition shaping up? Are you seeing the easing out of the competition because you're saying at the same time, you'd guided for the market share? So how do you think you'll achieve highe r growth and higher market share in the next 5 years, given the competition there?

Sridharan Rangarajan: So I broadly described the program that we would increase the market share. Right now, we are looking at the market into 4 broad categories. There's a first category like ourselves and Norton, that's local manufacturing players. The second category is largely people who either manufacture here or import and then sell in their brand name. These are good brands that they are selling.

Then the third category is the non -abrasives companies who import for their own industrial use, right, direct import from that and the fourth category is basically the international players, which they import and then sell in their brand.

So we feel that we have enou gh room in these 3 other category to take a share and that we can grow in the market and the growth strategy largely the broad strategy is that, one, is wherever there are product gaps where we have identified product gaps and that are going to be met both out of the new product to be developed and introduced or source where required.
And the second one is strengthening the go -to-market. There are certain states where we are not present or we have a very, very low market share where we would like to expand the market share. Plus, the customer, certain Class A and Class B customers, they would like to improve our wallet share that we work with them.

So based on these 2 broad and there are some elements to this approach, but that's how we are looking at. The R&D spend, I'll get back to you.
Moderator: The next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: My question pertains to your remark about the strategic plan and you highlighted that we'll be focusing on aerospace, defence vehicles and I think defence electronics also investing in manufacturing facilities and collaborating there. So if possible for yo u to share more details, what kind of product, any target we have in this space and will it be high -value product, export or domestic market? Any more colour on this, please?

Sridharan Rangarajan: I would broadly touch upon this. One is it's basically both vehicle and body armour are the 2 spaces that we would work because that is where the cer

amic has got a play. So that is all we are
looking at and that's why I said that we will be focused on that . It would be based out of either alumina or a ZTA or reaction bonded silicon carbide or boron carbide. These are the materials that we would be using and the product outcome would be either a body armour or a vehicle armour .

Amit Anwani: Sure, sir. Sir, second question, again on VAW. So you said FY '26 also will be hit by a decline of 30% -33% on VAW and impacting the PAT by almost INR100 crores for FY '26 as well.
Wanted to understand how one should look for VAW? Are we in a wait -and-watch that these things, which are dependent on external controls, will be better off? Or is there any strategic thinking, which has gone into VAW while devising the 3 - to 5-year plan for us?

Sridharan Rangarajan: So I think since the time of the sanction in January, e arly January 2025, right, so we are almost, say, kind of 4, 5 months since the sanction has happened, there are a lot of developments, which are very positive, right . There are multiple ceasefires has happened between Ukraine and Russia.
There are open com ments made by both the governments that they would like to end this conflict and then reach a settlement.
There is also a lot of facilitation being offered by various countries across the globe and every other country has expressed that this should end. So we hope, I think there will be a logical conclusion sooner than later. I'm not an expert on the geopolitical happening, but we positively look forward to that.

Amit Anwani: Right. So finally, on the Chinese impact, which we have discussed throughout last year also that there has been a pricing pressure and we try to device distribution strategies across segments where it was impacted, including the low -end abrasives and alumina and we talked a bout at least 5 to 6 quarters for things to be better off. Are we under similar notings or have the things further

deteriorated or improved from the Chinese dumping side?
Sridharan Rangarajan: See, again, the time we talked versus the time we are now talking, there are many things that has happened. The global trade itself is undergoing a reset. So obviously, it is better to wait and watch in how this whole thing will develop.
We expect tha t the competition from China will continue to be tough and they will have upper hand in terms of the bringing down the cost, ability to compete in terms of prices, which no one can match. So those issues will continue is what our current thinking is and ob viously, we are preparing ourselves to work against that.
Moderator: The next question is from the line of Mohit Pandey from Macquarie.

Mohit Pandey: Sir, my first question is on the 5 -year outline that we have shared. Sir, please correct me if I'm wrong, but as I can understand, the incremental growth as per your current position will be from incremental domestic investments. Is that understanding corr ect?
Sridharan Rangarajan: Right. That's correct.

Mohit Pandey: Okay, okay. And sir, I just wanted to hear your thoughts on the turnaround strategy for AWUKO and RHODIUS, especially in line of the stimulus that is being announced by the economy there on the infra side? Is AWUKO and RHODIUS likely to have a second order impact here?

Sridharan Rangarajan: So as far as the RHODIUS is concerned, as I said and communicated in the call also, they are profitable after you exclude the PPA, which is our own write -off that we are trying to do that, right? So it is profitable and it is the growth trajectory. There's no issue on the RHODIUS side.

What we are facing is on the AWUKO side. We feel that the growth opportunity, which you are talking about, the second order benefit that would come, we feel that this will help them. Definitely, this is what we are also l ooking for

ward to. So there would be a betterment is what we are looking at.
Mohit Pandey: Okay. But for this year's guidance, so clearly, it's too short term. So you're not building in any impact because I heard you said it was largely driven by domestics. Okay, okay. So that's clear, sir. Sir, secondly, on Ceramics, if you can please confirm t hat for the margins, your guidance is a drop of 100 to 125 basis points. Is that right, sir for FY '26?
Sridharan Rangarajan: Yes, 100 to 120 basis points.
Mohit Pandey: Okay. And sir, what would drive this, please?

Sridharan Rangarajan: It is this coming from the -- again, there's a small portion of the business from Russia. So that would get impacted, hence, we are building that.

Mohit Pandey: Okay, Sir, and across the 3 businesses -- or maybe across Abrasives and Ceramics, as per you r current assessment, over the next 5 years, there is clearly a much higher growth. Would that be Ceramics? And what would that mean for our margin for Ceramics?

Sridharan Rangarajan:

Mohit Pandey
So I'm not sharing any margin guidance on the future. But broadly, I explained our overall trajectory, we are looking at doubling it. Second is that programs that what would drive the growth is what we have shared. I would like to stick to that.

Sure, s ir. Sir, one last question. On the minerals, specialty minerals, greater push towards specialty minerals, Sir, if you could please, if it is possible to elaborate what is different this time because I understand for the past several years, there has been an ambition to increase sales for specialty minerals in the overall business. So what's the right to win now, given that, if I understand correctly, we've already been trying this in this area for quite some time?

Sridharan Rangarajan: Absolutely. Grea t question. And I think thanks for asking. Three different things. One is within alumina, we are increasing the treated grain and export of alumina is going to go up. That's the first vector, this is different. Second is increasing the zirconia portfolio, this is the second vector of difference because our right to win is very high because we have established operation in South Africa plus we are also having a small operation here.

So with this, we want to increase the portfolio. As I said, it's just not only all varieties of zirconia, whether it's alumina zirconia, stabilized zirconia or monoclinic Zirconia and zirconia for thermal spray powder. So it's entire range. That's the seco nd difference.
The third difference is focus on thermal spray powders using oxides. That is the third difference where we have established our capability and we are trying to ramp up with a few anchor customers that we have.
The fourth area that we would like to focus, which is on 2, 3 different materials. One is the HPSiC and the thermal spray powders for solid oxide fuel cells and alumina nitrates, which is both silicon nitrate as well as alumin um nitrate.
The last alone would take about 3 -4 years before the real benefit of this would start coming. The first 3, where we have established the right to grow, and that is how we are planning to grow. These are the difference between the earlier program and this program.
Mode rator: The next question is from the line of Nidhi Shah from ICICI Securities.

Nidhi Shah: So my question is mainly around employee expenses. We see employee expenses have kind of shot up this year and I understand that some of this bit is from ESOP. So how much is ESOP, how much is not? And then what can we expect in FY '26 in terms of employee expenses?

Sridharan Rangarajan: So broad guideline is that employee expense as a percentage is still ver y much comparable range only. So there is no change into this. These are minor blips that happens on a year -on-year basis. They're not significa

nt. So since you are making a forecast, I would encourage you to look at it that way.
Nidhi Shah: All right. And could you provide the ESOP number that was for this year in the employee expenses?

Sridharan Rangarajan: Not much, Madam. But anyhow when annual report comes, we will have a lot of details on the ESOP.
Moderator: The next question is from the line of Manish Goyal from Thinqwise Wealth Managers.

Manish Goyal: Sir, I have 2 questions. First on your 5 -year plan, so we aim to double sales. So does it assume any inorganic initiatives? And if yes, then probably in which areas or what would be the focus on that, first question.

Second question, I just would like to know have we probably started realizing any gross leveraging benefits on acquisitions with RHO DIUS and AWUKO? Maybe geography wise in terms of leveraging sales and distribution and also on the product wise.

Sridharan Rangarajan: So the numbers that we looked at and shared does not have any acquisition as part of this number. And as far as RHODIUS, clearly, we are looking at lot of synergy arising and in fact, the thin wheel facility that we are setting up will be using the technology of RHODIUS and that would help us delive r quality products and at the cost that the market would like to have. So this is the synergy, I would say, as an example from RHODIUS at this point.

Manish Goyal: And would you be able to like the challenging what we face from China in terms of largely on the pricing front, will this probably technology help us to address that and that is how we are probably looking at?

Sridharan Rangarajan: Yes. So we have looked at what is the imported costs and what is also this technology would bring plus we worked on a cost model where we should still be competitive if some dumping happens from China, we should be able to counter that.
Moderator: The n ext question is from the line of Aditya from Kotak Securities.

Aditya Mongia: I had a question from my side. The way you have split the Ceramics business in terms of components and growth, could you do the same for the Abrasives and EMD standalone portions in terms of what is being impacted by China and what is not. It would be good to know the relevance of Chinese competition in terms of revenue share impacted and the real impact being seen given whatever is happening right now in last 1 year.

Sridharan Rangarajan: So as far as Abrasives is concerned, I don't think we have any -- I mean, that's a universal growth that we are having. I'm sure you would have looked at other published results in the space. So we both are traveling, give or take, about 4% growth. And so the way I look at it is that almost, say, 50% -plus market is gett ing imported into India. Of that, 60% comes from China, and the rest is coming from other countries.
So that constitution, we have not seen any big difference compared to the earlier position. And that's why I felt that you continue to have this challenge and then you are looking at that. So we're countering that, two things. One is come up with your own new product to be delivered or source for the time being and then develop the product as you become ready today and launch this. So we have now looked at a whole lot of sourcing strategy to counter this and that's the program that we are looking at.

As far as the Electro minerals is concerned, I think where we are having a challenge is the entire the alumina space is where the challenge that we will have, which is all we talked about so far in the earlier calls also. My guess is that the entire alumina s pace could be about 30% to 35% of our business should be in that range.
Aditya Mongia: Sure. Just to kind of complete this question. So if we only focus on areas between Abrasives and Ceramics that are not impacted by Chinese, what would be the kind

of growth pattern that you
are seeing in those kinds of market on a blended basis?

Sridharan Rangarajan: Yes. We are not sharing anything like that. I've given a broad next year growth. I've given my expectation in terms of that. So I would like to stic k to this, Aditya.

Aditya Mongia: Okay. The second part on this would be then that the Electro minerals segment at a standalone level margins were low. As we see through the next year, how should we think through them? As you've been able to pass on 85 -90% and this alumina division is a sizable part of that business. So how do you think through whether there is scope of further pushing the pricing up? Or should we be assuming low single -digit margins in that portfolio?
Sridharan Rangarajan: So overall , I guided that the EBIT margin on the aluminas will come down by 500 to 600 basis points compared to this year, 12.5%. And I feel that it would take care of some portion passing on benefit -- cost push also. I feel that in the initial Q1, we will continue to have this pressure in India and then we will slowly start getting this better in Q2 onwards. So that's how I'm looking at.

Aditya Mongia: And would there be a strategy that we can follow the way we are doing in other areas wherein we'll be in a better positioning in the alumina space from here on? Or is it just dependent on -- yes. So what's the strategy over there? How soon can it like bene fit us here?
Sridharan Rangarajan: Right. I just discussed the strategies is supplying more treated grains in alumina, which help us to have ability to counter this. This is what is our strategy. I enlisted all the types of treated gains and we are very much on it. In the next 1 year, we should be able to start launching these products and going in that trajectory.
Moderator: The next question is from the line of Bhavin Vithlani from SBI Funds.
Bhavin Vithlani: So I have 3 questions. First, if I look at the Abrasives business on a standalone basis where 11 quarters we are seeing low single -digit growth and there were three couple of quarters in the early part of calendar year 2024 where we were seeing some acceleration, but we have now seen decele ration back.

So if you could help us understand breaking it into 2 parts. One is what part is the slowdown in the end market? And I understand Abrasives is over -indexed to commercial vehicles and that segment of the market has slowed down? And second i s what we are seeing is acceleration in the thermal power manufacturing, especially when we look at BHEL order book, et cetera. So if you could help us understand the underlying market slowdown.
And second, what part of the market is impacted by the Chinese competition? And that part, we understand has should have been anniversarized. So that is my first question to understand the

stand -alone Abrasives better.
Sridharan Rangarajan: So the indus trial distribution is growing at about high single digit, right? And we see that, that's a very positive one. Retail is growing at about mid -single digits. The challenge is largely in the precision side, where the industrial growth -led precision side is where the challenge is. And I think you have pointed out some of the industrie s and you have clearly articulated that. So that is where we see this deceleration is happening. So as the industry picks up, we feel that this momentum will start picking up. That's how I read this.

Bhavin Vithlani: Great. The second question is on Rus sian piece. And when we see this quarter, revenues declined by about 16 -odd percent, but you've seen a sharp drop in the margins. In this, if you could help because this is a continuous process industry. So slowing down or stopping of production is difficu lt. So we would have been forced to sell in Russian market.

So if you could just help us understand the kind

of pricing pressure that would have happened
and the kind of volumes impact that was there in the Russian piece because of forced selling into the home market and exports kind of getting impacted due to the sanctions?

Sridharan Rangarajan: So honestly, there is no forced selling. We feel we are currently not able to sell. Hence, we are not producing. So hence, as a result of that, unabsorbed costs because you carry a lot of cost of this full manufacturing process. That is what is getting impacted and as I said, it is not 16%. It is about almost 25% to 30% volume drop in Q4.
We expect a similar drop for the next year as well. So there is no, I would say, because of that, we are trying to push this into the market, hence, the price falls, et cetera. It is largely we are not able to sell. Hence, we are not able to produce, hence , we have an issue in terms of the profitability.

Bhavin Vithlani: I understand. The last question is on the Ceramics piece. So if you could just give us where we had seen a slowdown last year in some of the specialized piece, which was going to which we're selling to the hydrogen cells. How has that market now shaping up given that when we look at your end customer, they are seeing increased order booking.
Second is especially on the metallized piece where transmission and distribution as a segment world over we are seeing very strong growth. So on that, if you could give us an outlook in terms of what we are seeing in the specialized piece and what it does to the growth outlook for the next year in the standalone Ceramics piece?

Sridharan Rangarajan: No, no, great observation. So I think, as I said that 65 percentage of the Ceramics segment has grown about 18%. This includes the sectors that you talked about a nd so they are growing, including Metallized Cylinders are growing well. So definitely, you are right in your observation. As I said, the 23 percentage of the business is flat, and hence, the average is coming down. That is what I earlier also told.

Bhavin Vithlani: So just a follow -up here. This piece is basically the refractories piece, which is slowing down due to the underlying steel production demand?
Sridharan Rangarajan: No, it's a Wear side of the Ceramic business, which is what is flat.

Moderator: Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to Ms. Bhoomika Nair for closing comments.
Bhoomika Nair: Yes, I would just like to thank all the participants a nd also the management for giving us an opportunity to host the call. Thank you very much, sir, and appreciate it. Any closing comments from your side?

Sridharan Rangarajan: As I said, I think just to give a brief closing comment is that this year, there are 2 extraordinary factors. One is largely driven by Russia sanction, which eventually has got 2 types of impact.
One is a provisioning impact, which we feel that once this s anction gets lifted it will reverse back. The other one is the volume drop as a consequence of that, which happened in Q4.
The second major challenge that we faced is the reversal of the deferred tax credit in AWUKO.
So if you take these 2 factors, whi ch is the substantial portion of the difference that accounted for, we feel that the business is doing fine and we have spent a good amount of capex this year.

We have also spent 18 months of time in creating a good structured, long -term strategy. We've communicated the broad direction in which we are trying to travel. We've also broadly looked at considering the current global trade -related issues and the geopolitical issues.
We feel that what we are looking at as the next year, we communicated, we sai d that we'll have a 6% to 7% growth and we also broadly communicated PBIT margin, how it would pan out. We feel highly focused on our exe

cution in terms of the long -term strategy. So we will see
improvement, strength to strength every quarter. Thank you fo r your support and thank you for your patient hearing.

Moderator: Thank you. On behalf of DAM Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2025

14th August 2025

BSE Limited
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street , Fort Stock Code: 513375
Mumbai - 400001

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) Stock Code: CARBORUNIV
Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor Call

Pursuant to our letter dated 8th August 2025 informing t he upload of audio recording of the investor call, please find enclosed a copy of the transcript of the Investor call and the same can be accessed through the following link.

Link: https://www.cumi -murugappa.com/wp -content /uploads/2025/08/Q1 -FY-2025-26-Earnings -Call-Transcript -1.pdf

Request you to k indly take the above on record.

Thanking you

Yours faithfully
For Carborundum Universal Limited

Rekha Surendhiran
Company Secretary

"Carborundum Universal Limited
Q1 FY '26 Earnings Conference Call "
August 08, 202 5

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – MANAGING DIRECTOR – CARBORUNDUM UNIVERSAL LIMITED
MR. SUSHIL BENDALE -- CHIEF FINANCIAL OFFICER – CARBORUNDUM UNIVERSAL LIMITED
MR. G. CHANDRAMOULI – ADVIS OR, CARBORUNDUM UNIVERSAL LIMITED

MODERATOR : MR. HARSHIT PATEL – EQUIRUS SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of Carborundum Universal Limited hosted by Equirus Securities . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this

conference is being recorded.
I now hand the conference over to Mr. Harshit Patel from Equirus Securities. Thank you, and over to you, sir.
Harshit Patel : Hello. Good afternoon, everyone. On beha lf of Equirus Securities, I welcome you all to the first quarter FY '26 earnings conference call of Carborundum Universal. We have with us from the management, Mr. Sridharan Rangarajan , Managing Director; Mr. Sushil Bendale, Chief Financial Officer; and Mr . G. Chandramouli, Advisor.
I would like to hand over to Mr. Sridharan Rangarajan , Managing Director for the opening remarks and post that, we will open the floor for Q&A. Over to you, sir.
G. Chandramouli : Good afternoon. I'm Chandramouli. As a practice, let me read out the disclaimer before getting to the call. During the call, we may make certain statements, which reflect our outlook for the future or which could be construed as forward -looking statements . These statements are based on management's current expectations and are associated with uncertainties and risks are more fully detailed in our annual report, which may cause the actual results to differ. Hence, these statements must be reviewed in conjun ction with the risks that the company faces. Thank you.
Sridharan Rangarajan: Good Afternoon to all of you, and a warm welcome to our first quarter earnings call. I will give an overview, and then we will open up for question and answer. To start with cons olidated sales for the quarter was INR1,207 crores in comparison to INR1,184 crores Q1 FY '25, which is a 1.9% growth compared to the same period last year, and 0.6% compared to Q4 FY '25 of INR1199 crores.
Standalone sales was INR698 crores compared to INR664 crores in Q1 FY '25. This represents a growth of 5.2% and in comparison to Q4 FY '25 that represents a growth of 1.7%. In Q1 FY '26 consolidated PAT declined by 45.2% compared to Q1 FY '25, that is from INR113 crores in Q1 FY '25 to INR62 crores in Q1 FY '26. This is due to the lower volumes in VAW, which we have explained in the last call itself, Rhodius and domestic business . I will explain all of this in detail a little later.
In Q1 FY '26, standalone PAT of INR145 crores grew by 55.4% from INR93 crores in Q1 FY '25. The increase is due to a onetime dividend from SEDCO which is about INR68 crores.
Now I'll cover the consolidated performance. As stated earlier, the consolidated sales for the quarter was INR1,207 crores with a growth of 1.9% compare d to Q1 FY '25 and compared to Q4 FY '25, it is 0.6% growth. Softer growth at consolidated level was mainly on account of Rhodius . Rhodius as such is making a change in their logistics partner, which caused a substantial drop in volume. I'll cover that in the Rhodius section separately. T he drop in volumes

at VAW, which we have earlier explained in our Q4 last year's call itself, they are mo ving as per the business plan.
You would note that the Ceramics segment grew by 11.1% and Electrominerals by 6.3%, while Abrasives declined by 8%.
Consolidated PAT for the quarter was INR62 crores. This in comparison to Q1 FY '25 PAT of INR113 crores is lower by INR51 crores. The lower profit is due to lower profits in VAW in comparison to last year’s Q1 . If you would recall that in January 2025 , VAW had sanction and we had this challenges com

ing forth. This coupled with the drop in profit in Rhodius and the standalone businesses put together accounts for this difference. Roughly, you can say around INR18 crores, INR18 crores, INR 14 crores respectively .
Consolidated PAT for the quarter of INR 62 crores in comparison to Q4 FY '25 PAT of INR29 crores grew b y INR33 crores. This is predominantly due to the reversal of deferred tax asset in AWUKO in Q4 '25. If you remember that we had reversed the deferred tax asset that what we claimed so far in Q4 FY '25.
Standalone business : In Q1 FY '26, standalone sales was INR698 crores, which is a growth of 5.2% compar ed to INR664 crores Q1 FY '25. This was contributed by growth in Electrominerals at 12.3% and Ceramics at 10% and standalone Abrasive business degrew by 5.5%.
Standalone profit after tax for the qua rter was INR145 crores as against INR93 crores in Q1 FY '25. This is higher by INR52 crores compared to INR61 crores in Q4 FY '25 . PAT of Q1 FY '26 is higher by INR84 crores. This is due to the one -off dividend of INR68 crores from SEDCO.
Now I will cover the segmental performance. To start with in Abrasives, consolidated Abrasives sales in Q1 FY '26 was INR508 crores. This in comparison to Q1 FY '25 sales of INR552 crores which has declined by INR44 crores, that is an 8% decline. Rhodius Abrasives declined by INR26 crores and standalone declined by INR 17 crores .
Consolidated sales in Q1 FY '26 at INR508 crores in comparison to INR538 crores in Q4 FY '25 showed a decline of INR30.5 crores. This is mainly coming from Rhodius Abrasives.
At standalone Abrasives sales for Q1 FY '26 was INR286 crores. Last year, Q1 FY '25 sales was

INR303 crores, resulting in a decline of INR17 crores, which is 5. 56%. Precision segment grew well. We are seeing softer demand in the channels due to the invento ry correction. And as far as Rhodius is concerned, Rhodius recorded a net sale of EUR 13.2 million in this quarter compared to EUR 17.3 million during the Q1 FY '25. It is a 23% decline in sales. Rhodius has shifted its logistics partner in Q1 FY '26 for better efficiency. This resulted in a significant disruption of operation. This resulted in non -fulfilment of orders on hand, resulting in lower sales. We expect the stability of operation to come by end of August, we expect this would impact the full year sales as well. We expect the remaining 3 quarters sales would be in line with the last year's sales. Rhodius incurred a loss after tax of EUR 1.6 million in this quarter against the PAT o f EUR 0.3 million in Q1 FY '25. This was mainly due to the loss of sales arising out of the logistics issues.

Awuko achieved sales of EUR 2.6 million this quarter in comparison to EUR 3 million in Q1 FY '25. The loss before tax are at the same level as that of Q1 FY '25.

Now I will cover the PBIT performance of the Abrasives business segment. Consolidated Abrasive PBIT was INR11 crores. In Q1 FY '25, it was INR55 crores and in Q4 FY '25, it was INR34 crores. The drop of INR44 crores in Q1 FY '26 compared to Q1 FY '25 is du e to Rhodius amounting to INR26 crores mainly due to loss of sales and Standalone drop of about INR16 crores.

Consolidated PBIT of Q1 FY '26 was lower by INR22 crores in comparison to PBIT of INR34 crores in Q4 FY '25. This is mainly due to Rhodius Abrasi ves and standalone Abrasives.

I will move to the next segment now, Electro minerals. Consolidated sales in Q1 FY '26 was INR405 crores, showing a growth of 6.3% compared to Q1 FY '25 of INR381 crores. Standalone business showed a good growth of 12.3% compa red to Q1 FY '25.

The performance of VAW was lower due to the sanctions imposed in Q4 FY '25. However, consolidated sales in Q1 FY '26 was at INR405 crores was higher by INR30 crores compared to INR375 crores of Q4 FY '25. This is mainly due to better performance in standa

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better performance in VAW , etc.

Standalone Electrominerals sales for Q1 FY '26 was INR212 crores with a growth of 12.3% compared to Q1 FY '25 of INR189 crores. Standalone sales in Q1 FY '26 at INR212 crores was higher by INR7 crores when compared to INR206 crores in Q4 FY '25. This was on account of increase in volume as well as price. Standalone Electrominerals saw good growth from export as well as domestic. VAW sales for Q1 FY '26 was RUB 1.84 billion which is a 25% dec line from RUB 2.46 billion in Q1 FY '25.

Sales for Q1 FY '26 was RUB 1.84 billion, which is flat compared to RUB 1.83 billion in Q4 FY '25. In Q1 FY '26 in r ouble terms, the profit after tax was RUB 72 million as compared to RUB 287 million in Q1 FY '25 and RUB110 million in Q4 FY '25.

FZL: Sales for Q1 FY '26 was INR56 crores which is a 3.7% increase as compared to Q1 FY '25 of INR54 crores and INR6 crores higher than INR50 crores in Q4 FY '25. In Q1 FY '26, this incurred a loss before tax of INR8 crores as compared to INR5 crores in Q1 FY '25 and INR7 crores in FY '25.

Now I'll cover the PBIT of Electrominerals segment . Consolidated EMD PBIT for Q1 FY '26 was INR4 crores. In Q1 FY '25, the PBIT was INR43 crores. The drop of INR39 crores in Q1 FY '26 to Q1 FY '25 is due to VAW amounting to INR27 crores, standalone business amounting to INR9 crores and Foskor amounting to INR3 crores. Consolidated PBIT of INR4.4 crores in Q1 FY '26 was lower by INR 4.6 crores in comparison to PBIT of INR9 crores in Q4 FY '25.

Ceramics consolidated sales in Q1 FY '26 was INR300 crores, showing a growth of 11.1% compared to Q1 FY '25 of INR270 crores. Standalone business showed good growth of 10% compared to Q1 FY '25. Consolidated sales in Q1 FY '26 at INR300 crores was higher by INR30 crores compared to INR270 crores in Q4 FY '25.

Standalone Ceramics sales for Q1 FY '26 was at INR238 crores with a growth of 10% compared to Q1 FY '25 of INR217 crores was higher by INR9 crores when compared to INR229 crores sales in Q4 FY '25. This was on account of increase in volume and price . In Industrial Ceramic business, Metallized Ceramic, Engineered Ceramics drove the growth and in refractory , monolithic and corrosion -resista nce grew as well.

Now turning to the PBIT performance of Ceramic segment. Consolidated Ceramic PBIT for Q1 FY '26 was INR75 crores with a growth of 16% compared to INR65 crores of Q1 FY '25 .

Compared to INR74 crores in Q 4 FY '25 the PBIT grew by 1.5%.
Standalone Ceramic PB IT for Q1 FY '26 was INR62 crores with a growth of 25.4% compared to INR49 crores of Q1 FY '25 . In comparison to Q4 FY '25 of INR 55 crores, the PBIT grew by 13%.
I'll request Sushil to cover the PBIT margin, debt position, capex , cash flow and the ROCE.
Sushil Bendale : The PBIT margin for the consolidated was at 6.7% for the quarter compared to 8% in Q4 of FY '25 and 12.6% in Q1 of FY '25.
For the quarter, standalone PBIT margin was at 23.8% compared to 11.8% in Q4 of FY '25 and 18% in Q1 FY '25. This al so includes the one -off dividend income from SEDCO.
Abrasives for the quarter, consolidated Abrasives margin declined from 10% in Q1 of FY '25 to 2.2% in Q1 FY '26 due to a drop in volumes at Rhodius and the standalone business. Standalone margins dropped from 17.6% to 13.1%. The drop in margin was mainly due to drop in volume and increase of freight and fixed cost. The consolidated margin declined by 398 basis points compared to Q4 of FY '25. Standalone margins declined from 16.2% in Q4 of FY '25 to 13.1% in Q1 of FY '26.
Electro minerals. For the quarter, consolidated Electrominerals margin declined from 11.4% in Q1 of FY '25 to 1.1% in Q1 of FY '26. The decline was mainly attributable to the lower volumes in VAW coupled with lower reali sation. Standalone m argins dropped from 8.5% to 3.3%. This is mainly due to higher input co

sts. The consolidated margin declined by 132 basis points
compared to Q4 of FY '25. Standalone margins improved from 2.8% in Q4 of FY '25 to 3.3% in Q1 of FY '26.
Now Ceramics. For the quarter, consolidated Ceramics margins improved from 24% in Q1 of FY '25 to 25% in Q1 FY '26. The standalone margins improved from 22.7% to 25.9%. The consolidated margins increased by 10 basis points compared to Q4 of FY '25. Standalone margins improved f rom 23.9% in Q4 of FY '25 to 25.9% in Q1 FY '26.
Now I'll talk about the debt position. There was no debt in our standalone books and total debt at the consolidated basis was at INR172 crores at the end of Q1 FY '26 compared to INR120 crores at the end of Q4 FY '25 and INR112 crores at the end of Q1 FY '25. The debt -to-equity ratio was at 0.05 at the consolidated level.

In Q1 FY '26, our capex investment was INR64 crores against INR63 crores in Q1 FY '25 at a consolidated level.
Free cash flows in Q1 of FY '26 at a consolidated level, 98% to PAT compared to 37% in Q1 of FY '25. At a standalone basis in Q1 FY '26, free cash flow to PAT was 104% compared to 47% in Q1 of FY '25.
Now for ROCE, for Q1 of FY '26, the ROCE at a consolidated level is 8.1% compared to 16.9% during Q1 of FY '25 and at a standalone level, it was at 24.6% compared to 20% in Q1 of FY '25. For consolidated segments, ROCE in Q1 FY '26 for Abrasives decreased from 15.5% in Q1 of FY '25 to 2.8% this quarter, Ceramics has decreased from 41.5% to 37.8% and Electrominerals has decreased from 17.8% to 1.8%.
For our standalone businesses, ROCE in Q1 of FY '26 for Abrasives has decreased from 45.4% to 26.3% this quarter and Ceramics has improved from 44.5% to 47.2%, and Electrominerals has decrease d from 22.3% to 8.4%.
Now the unallocable expenses net of income, at the standalone level, unallocable expenses in Q1 of FY '26 was an income of INR60 crores. If you exclude one -time dividend from SEDCO of INR 68 crores, this would be an expense of INR7.3 crores.
In Q1 of FY '25, the unallocable income was INR72 lakhs, and the difference is due to lower dividend in few companies in Q1 FY '26. In Q4 of FY '25, the unallocable expense was INR26 crores due to seasonality in dividend receipts.
Now I request Mr . Sridharan to take you through the next section related to the future outlook.
Sridharan Rangarajan: Thank you. So just to summari se, I think Ceramics sales, we communicated a sales growth of 16% to 18% last time at the full year level at consolidated and we hold our guidance for the consolidated Ceramics segment.
EMD sales, we gave a guidance of 1% to 2% growth in Electro mineral Division in last call, we retain the same guidance.
Abrasives sales in our last call, we communicated 5% to 6% for the year. This could be about 4% to 5%, considering the lower sales in RHODIUS in Q1 FY '26.
So overall, last time we said 6% to 7%, we are now looking at 5.5% to 6.5%.
Consolidated margin in the Ceramics section last call , we communicated PBIT margin of 23.5% to 23.7% on a full year basis, we maintain the same.
EMD in the last call, we said 6.5% to 7.5% on a full year basis, we currently look at 4.5% to

5.5%.
Abrasives, last time we said the PBIT margin could be 8% to 8.5% on a full year basis. Currently, we are looking at 6% to 6.5%.

We said that last time, the overall consolidated PBIT margin could be a drop of 100 to 150 basis points compared to FY ' 25 base of 11.2%. Now we are looking at 250 to 300 basis point drop compared to that level.
Just to summari se, I think one, Rhodius , the transfer of logistics issue is quite an unexpected one and we did not consider in our forecast. There is a complete chaos in terms of software breakdown, physical movement of goods were impacted. So now we are trying to address this. We

expect end of August all this will be addressed. We expect that rest of the quarters, the sales will be in line with the last year.
In EMD standa lone, the margins drop due to higher alumina costs which I think is now passed on because the inventory, whatever we had was completely liquidated. We are back to normal and that should get us back to the proper margin what we were gaining. Besides these t wo, I think the major challenge was Abrasives local India drop, which also we feel that will get back from Q2 onwards.
You have seen that our free cash flow is in good shape, delivered 100 -plus percentage in standalone, very healthy free cash flow in conso lidated. Balance sheet is quite strong. We have done all our programs as far as the long -term strategy is concerned, we're tracking very well. So those are in good shape. We will address these the one -off blips that we will come back strongly in the coming quarters. Thank you.
Moderator: Thank you very much. We will begin the question and answer session. T he first question is from the line of Bhavin Vithlani from SBI Fund Management.
Bhavin Vithlani: Sir, three questions. So first is on VAW. So could you he lp us understand the way forward given that now we almost have 6 months since the sanctions? What is your thought process in mitigating and how do we get back to normal levels and when in your view?
Sridharan Rangarajan: Okay. You said three questions or I 'll answer one by one?
Bhavin Vithlani: Okay. I'll outline. Second is in the domestic Abrasives segment, if you could give us a bit more colour on where are we seeing slowdown given that we have three segments that you outlined. One is the retail, another is industrial, and third is the precision, where exactly is the impact? Optically, it looks the precision is it, and hence, the margins have got lowered. So more colo ur here will be helpful.
Third is, if you could just help us understand on the German subs idiaries, what is the one -off that was there in the quarter? How do you see these two Rhodius and Awuko on the balance a 9- month period and the full year basis, excluding this? I mean, what should be the revenue and profitability in the balance 9 -months period? Th ese are my three questions, sir?
Sridharan Rangarajan: Correct. So as far as VAW is concerned, I think we broadly guided last time that we expect the volumes should be lower 25% to 30%, in the last call we have that guided that. This time also, they are lower by about 25% compared to the same period last year. We are constrained to selling only inside Russia. We are continuing to do that. They are profitable within that set of the business.

But the future depends on how the settlement as far as Ru ssia, Ukraine is concerned will turn out. And based on that, developments will happen. I don't want to hazard a guess given that multiple forces are at play. As far as Abrasives segment is concerned, you're right, there are three broad segments. We have Pr ecision, we have Industrial, and we also have Retail. The challenge that currently we are facing is on the Retail side.
And as I was telling that there is a reasonable growth in the rest of the segment, which is what is making us confident about it. This i s quite a few major distributors have to focus on the stock clearance and that is what caused this decline in sales.
As far as the German subsidiary, Rhodius , is concerned, as I told that this quarter, we had lost about EUR 4 million compared to the same p eriod last year. We expect that the remaining three quarters, we will be in line with the last year sales. What we have lost, we will not be able to recover.
Meaning, this order will serve that is a thing. But since there's a significant delay has happened , we expect that we will not be able to recover. But of course, we are trying our best to see how

do we serve t

his order as well as be able to serve the future orders.
The issue is largely in terms of the change of software cost a significant delay, which is one major reason. So the pick and pack we were not able to perform. We could not physically move the inventory from the previous warehouse to the new warehouse. Even in the new warehouse, we were not able to have a proper location. These are outsourced warehouses. So this caused quite a bit of a challenge. It's getting addressed. We expect end of this month, we will completely address this issue.
Bhavin Vithlani: Sure. Sir, just one more question, a book keeping question. Employee expenses for the conso lidated is up by 24% and if I look the subsidiary piece, which is minus the standalone, they are up by little over 30%. So if you could just help us understand that?
Sridharan Rangarajan: Sure. I will get back to you with the answer to you. Can we move on to the other question. In the meantime, we will try to find the answer.
Moderator: The next question is from the line of Ravi Swaminathan from Avendus Spark.
Ravi Swaminathan: My first question is with respect to the standalone Electrominerals business. Th e margins are kind of still on the compressed side. You had mentioned that it was because of raw material prices going up, and now we are passing it on. But earlier, you had mentioned that there was also competition from Chinese players especially in alumi na, et cetera.
What is the status with respect to the competition from Chinese players in this particular category? That is my first question. And with respect to the second one, in terms of the other option value kind of products like high purity silicon carbide and supply of ceramic to emerging product categories like EVs, et cetera, what is the status of that?
Sridharan Rangarajan: Okay. So thank you, Mr. Ravi Swaminathan. So first of all, as far as the Electrominerals is concerned, the alumina price, li terally went up in the 6 months, it doubled. It went up as high as

about $800. And then it fell down to $350 per ton and the fall is in the matter of 3 to 4 months. So the inventory that we held because we bought this at a higher price had to be liquidated , and that is what is causing us this problem that we have in Q1.
The price pressure continues to be there. We don't see there's anything new, but that is continuing aspect. As far as the high -purity silicon carbide program, it is progressing well on trac k, and we are progressing on some of this qualification process. We are progressing on track. As I guided, it won't be major sales for this year, and we are not looking at an immediate short -term type of revenue arising from that.
Ravi Swaminathan: And wit h respect to Ceramics sales for EVs and semiconductor industry, is that a big driver of growth, likely to be a big driver of growth over the next 1, 2 years or 3 years?
Sridharan Rangarajan: Right. So you are right. I think that's a good driver of the grow th, and that is also one of the reason why we have a very good growth in Ceramics segment at this point in time.
Ravi Swaminathan: Okay. And within Ceramics and Refractories, one last question. With respect to wear ceramics, the technical ceramics, metalli zed cylinder and refractories, if you can break up the growth, how it was in the overall 10% growth that we have seen this quarter, which is growing faster, which is seeing better traction, even kind of a broad commentary or colour on it, that will be grea t?
Sridharan Rangarajan: Yes. I think we are seeing our Engineered Ceramics business; Metalized Ceramics business are growing well. We are also seeing Monolithic business going well, quite decent. And we're also seeing our Corrosion -Resistance business doing well. There is a few softness in terms of wherever projects are getting executed. That is where there are some de

lays in that. That is why
some of the expected projects, there is some delay. Otherwise, the business overall is doing well.
Ravi Swaminathan: Project will be which end user industry, sir?
Sridharan Rangarajan: we typically s erve many industries, carbon black, cement, steel. The refractory products goes into many industries . So that happens to diversified industries.
Moderator: The next question is from the line of Harshit Patel from Equirus Securities.
Harshit Patel: Sir, fir stly, on the U.S. tariffs, what would be the impact on our Abrasives and Ceramics exports because we export quite substantial amount to the North American base? Could there be a substantial impact on our supplies to that clean energy customer in the U.S. f rom where we have started seeing some pickup from CY '25 onwards?
Sridharan Rangarajan: Yes. So thank you, Harshit. See, so far, it is evolving. I won't call it we have any conclusive answers on this. And as you would know that the world itself is just gra ppling with this. We do not know what is the final outcome going to be but what I can see is that broadly, it is a function of few things which I want to lay out here is, are there equivalents available getting manufactured in U.S.?
Are there equivalents a vailable from other countries? And how fast the process of qualification

is going to take place and also suitability for the manufacturer to adopt to the new supplier and

a function of what is the differential duty versus what we can absorb? And the abilit y of three parties to share this difference, whether it is the customer or intermediary manufacturer in U.S. and the supplier from India.

So these are the parties who are going to deal with this. Plus, of course, there are other factors like what the India n government is going to provide their support, all that factor. So I would say, at this stage, we do not have any immediate threat or any issues that we foresee. We have made reasonable examination of all these factors that I laid out. But I would like to get to a full picture to understand what exactly would be the impact in all this. We seem to be in a decent position.

Harshit Patel: Understood. Sir, my second question is on the capex . What are our capex plans for the next two years, FY '26 as well as FY '27 across all three of our major segments? I think you have highlighted doing some capex for fused alumina -based products in Electro minerals, supplying to the semiconductor OEM equipment from Ceramics, doing bullet -proof armour as well as vehicle armour related products. So if you could highlight all the areas and quantum across all 3 major segments that will be very helpful?

Sridharan Rangarajan: Yes. So we don't normally provide that kind of guidance. I think if I remember, it is about INR350 crores was the capex program that we guided last call that we will spend for this year. So that we are sticking to the same one and all the programs are in line with that.

Moderator: The next question is from the line of Mohit Kumar from ICIC I Securities.

Mohit Kumar: So only one question I have on the standalone Abrasives, is the industry not growing? Is it the demand or competition? And any colour on that will be helpful there.

Sridharan Rangarajan: See, I would say Industry is growing. I don't think there's a decline in the industry. Definitely, there is growth in industry. Of course, you have the other published player, you are very much aware about that what is the kind of results that we are getting in that, more or less comparable. There are minor variation s here and there. I feel the industry is growing.

And as I have laid out in the last call also, we feel that there are segments where today, products getting imported and coming into India is growing substantially high. So definitely, overall growth in th e Abrasives sector is growing. W

e have a specific challenge of our major distributors or particularly stock clearance and their own credit locks, those mechanisms. But other than that, I won't say that the challenge is industry led.

Moderator: The next que stion is from the line of Bhoomika Nair from DAM Capital.

Bhoomika Nair: So my first question is on VAW. It's been a tough quarter. You spoke about the 25%, 30% kind of decline. But if I look at the revenue numbers, the consol minus standalone, it seems fa irly stable. Can you explain why we're seeing the revenues being stable? And if you can call out the VAW loss during the quarter?

Sridharan Rangarajan: Sorry, what was the last part of the question?

Bhoomika Nair: The loss at VAW, sir, at Russia?

Sridharan Rangarajan: Yes, yes. So I think your question is that consol minus standalone is stable is what to our observation, if I understood you correctly.

Bhoomika Nair: In EMD, yes, in EMD.

Sridharan Rangarajan: Yes. Right. So I think that you are very good in your observation because I think there, we source product from VAW and then use that product, which got stopped. So what happened, the elimination of -- so we actually show the sales outside only to the customer. That is what is the total sales that we do. So since that has stopped, hence, the elimination has come down, you see a flat number.

That is what you have observed, which is the right observations. But per se, the sales of VAW has come down, which is in line with what we have guided. The second ques tion you asked is the margin on the EMD, right?

Bhoomika Nair: Yes, yes.

Sridharan Rangarajan: So EMD losses -- just hold on. Sorry, you continue your question. I will gather and come back. Sorry.

Bhoomika Nair: Okay, sir. I mean, if you can get back to me on what is the quarterly revenue and profit at VAW that would help. Second is in terms of...

Sridharan Rangarajan: We shared that. Just give me a second.

Bhoomika Nair: Sure, sir. In the meanwhile, we were looking to commission an HP SIC plant later this year...

Sridharan Rangarajan: Sorry, VAW sales was RUB 1.84 billion in Q1 FY '26, compared to RUB 2.46 billion in same period last year, Q1 FY '26. So that was a number that we shared. Yes, in r ouble terms, the profit after tax was RUB 72 million as compared to RUB 287 million and RUB 110 million in Q4 FY '25. These are the numbers we read. Yes, please go ahead, Bhoomika.
Moderator: The next question is from the line of Bhoomika Nair from DAM Capital.
Bhoomika Nair: Yes, sir. You can hear me?
Sridharan Rangarajan: Yes, we can hear you. I don't know where we got dropped, but I was just telling that -- you were able to get it or shall I...
Bhoomika Nair: Yes. I got that, sir. I got that. My question was on HP SIC . We had this pilot plant to be operational at the end of the calendar year. What is the status of that? And how are we seeing the progress in terms of the client offtake and things like that?
Sridharan Rangarajan: We are very much on target as far as the HP SIC pilot plant is concerned. As I told i n the previous question also, our samples that we are working with various clients have been seeded. They're in the process of testing, very much on target. And I just want to repeat the same thing I told in the earlier answer. We do not expect any huge sa les arising from HP SIC business in this year or in the near -term future.

Bhoomika Nair: Okay, sir. So the next question is on the Rhodius segment, part of the business which you call, there were some logistics -related challenges which impacted the ability to kind of drive revenues, and we expect that from September onwards, it will kind of normali se. Now if I take a step back, it's been about 3 to -- 3, 4 years since you've taken over Rhodius . If you c

an just
help us understand what has been the benefit?
How are we seeing the profitability and the revenues kind of grow out there? There is a PPA impact, which I do understand, but how do we see the turnaround at the consol level for the international subsidiaries for Abrasives? If you can just explain a littl e bit out there?
Sridharan Rangarajan: So I just want to lay out here is that since the time we acquired without PPA, we have been making continuous profit, right? And this year, with this exception of the EUR 4 million loss, we expect a loss, right? and we expect that the remainder of the three quarters, we will be same as last year in terms of the top line. But we will not be ab le to recover this lost volume.
Hence, we will have a loss for this year. We expect that the -- last year, we had -- without PPA, we were profit in the last 3 years that whatever we have been operating. And this year, we could be in the range of roughly about EUR 2 million type of a loss.
Bhoomika Nair: Sure, sir. And how is the demand outlook? And how are you seeing this kind of impr ove into FY '27, '28, if you can just talk about that?
Sridharan Rangarajan: I do not have a crystal ball, but it all depends. It's very tough to predict that far...
Bhoomika Nair: And I was just trying to understand how the demand in general is panning ou t? What are you hearing on ground? That is where I was coming from.
Sridharan Rangarajan: So I mean, it's same as what everyone of us hears. I think we need to wait for some more stability to emerge in terms of this multiple things that's floating around. So we'll wait for some more time sense to provide details.
Bhoomika Nair: Sure. And lastly, if I may ask, what is our overall U.S. exposure while w e understand that it is difficult to gauge what will be the actual outcome and might not be much...
Sridharan Rangarajan: On console sales, roughly about 8 to 10 percentage of our sales is U.S. -based.
Moderator: The next question is from the line of Aditya from Kotak Securities.
Aditya: The first question I had was on the Abrasives segment, not focusing on where the market is and where the competition is, but if CUMI as the company has pursued certain steps that they would want to take to improve their competitive positioning on the retail side of things and outside, could you give us a sense of the progress that has been made over there and when should we start expecting benefits coming out of the same for us?
Sridharan Rangarajan: So we have rolled out the programs in terms of our Abrasives growth. We are seeing the benefit of it and we are working towards each o f these dimensions that we said we will work. As I said, this quarter is an issue relating to some of these inventory corrections in the dealer side of it. But

otherwise, our ability to cover newer states which we have -- so far, our market share is defini tely progressing well.
We've started right on us there. NPD programs are firing well. So that is also well on track. In some of this go -to-market work in terms of our agility, ability to work and getting better

productivity, that is also on track well. So we think that the programs are on track. It is on the ground, we are seeing the efforts type of our -- these are like, for example, the number of calls that each one makes , the number of productive calls each one makes, the coverages that each one makes, a ll that tracking whatever we are seeing are progressing well. And probably, we will start seeing the results soon.
Aditya: Okay. Is there a need to do a similar kind of maybe benchmarking study or re -assess our competitive positioning on the standalone Electrominerals side, where obviously, there is an element of Chinese competition, but do you envisage any amount of work that needs to be done to get that segment back on track from a competitive positi

oning perspective?
Sridharan Rangarajan: Honestly, ou r competitive position in terms of the India EMD position is really reasonable. That is why we have in the LTS program, how do we go beyond aluminas and what all the programs which we have laid out in the last call is positioned towards that, and we are ve ry much on track, and we are progressing towards that.
Aditya: Okay. The last question I had was more on DRONCO , which is essentially assets that you want to re -commission inside the country. My sense is about INR200 crores, INR250 crores is something that can be achieved as incremental sales from the Abrasives business. What could be the time line of the same and how could we see the contribution gearing up to these kinds of revenue levels from that asset?
Sridharan Rangarajan: Sorry, I'm not aware that I guided that kind of a sale, but the program of DRONCO, this one is very much on. We are on the ground, the equipments have come. They are in the process of assembling it. So those program are very much in time for execution dates. So as per program, whatever we said we will do, we are going ahead with that.
Aditya: Could you clarify what is the capacity or the revenue number at full capacity that can come from that kind of acquisition and obviously the part of liquidity?
Sridharan Rangarajan: So it is not an acquisition. It is an asset purchase, where we had it is roughly about INR80 million to INR100 million worth of wheels we will be able to manufacture. That is our capacity.
Aditya: And the sales number that can come from there would be roughly EUR 80 million to EUR 100 million?
Sridharan Rangarajan: We have not told anything like that at this point. As soon as the commissions at that time, we will start sharing that.
Moderator: That was the last question for the day. I now hand the conference over to the management for the closing comments. Over to you, sir.

Sridharan Rangarajan: So thank you all for your participation. I just want to reiterate the facts that CUMI is well on track as far as strategy that it wants to implement, whatever we have laid out in the last call.
Every program is being pursued right on us. We have a specific challenge in terms of Rhodius , which completely was unexpected.
Warehouse move impacted us in a huge way about EUR 4 million. The high cost inventory that EMD holding is getting liquidated. In fact, it's completely done so that margin pressure that what we have seen in EMD would go away.
We see that the sales pressure that we have seen in Abrasives, particularly on some of the distributor sales due to the stock clearance we would not push that we would be able to get back.
So on the whole, I would say that we are very much on track and progressing in terms of our long-term strategy well.
Our balance sheet is quite strong. Cash flows are really good. The focus on free cash flow is really good at this point. So we will continue to update you as we meet in the next quarter. Thank you.
Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

6th November 2025

BSE Limited
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street , Fort Stock Code: 513375
Mumbai - 400001

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) Stock Code: CARBORUNIV
Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor Call

Pursuant to our letter dated 31st October 2025 informing t he upload of audio recording of the investor call, please find enclosed a copy of the transcript of the Investor call and the same can be accessed through the following link.

Link: https://www.cumi -murugappa.com/wp -content/uploads/2025/11/Transcript.pd f

Request you to k indly take the above on record.

Thanking you

Yours faithfully
For Carborundum Universal Limited

Rekha Surendhiran
Company Secretary

"Carborundum Universal Limited
Q2 FY '26 Earnings Conference Call "
October 31 , 202 5

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – MANAGING DIRECTOR – CARBORUNDUM UNIVERSAL LIMITED
MR. G. CHANDRAMOULI – ADVIS OR– CARBORUNDUM UNIVERSAL LIMITED

MODERATOR : MR. ADITYA MONGIA – KOTAK SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Carborundum Universal Q2 FY '26 Earnings Conference Call hosted by Kotak Securities. As a reminder, all participant lines will

be in the listen -only mode, and there will be an opportunity for you to ask qu estions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star and zero on a touchtone phone. Please note this conference is being recorded.
I now hand over the conference over to Adi tya Mongia. Thank you and over to you, sir.
Aditya Mongia: Thanks, Mark, and good morning, everyone. Welcome to the earnings con call of Carborundum Universal. From the management side today we have Mr. Sridharan Rangarajan, Managing Director; and Mr. G. C handramouli, Advisor . Without any further delay, I request the management to share with us their opening remarks, post which Q&A can follow. Over to you, sir.
G. Chandramouli: Thank you, Aditya. Good morning. I'm Chandramouli. Let us start the proceeding w ith the disclaimer. During this call, we may make certain statements, which reflect our outlook for the future or which could be construed as forward -looking statements. These statements are based on management current expectations and are associated with uncertainties and risks are more fully detailed in our annual report, which may cause the actual results to differ. Hence, these statements must be reviewed in conjunction with the risks that the company faces. Thank you.
Sridharan Rangarajan: Good morning to all of you, and a warm welcome to our second quarter and the first half earnings call for the financial year FY '26. Thank you for joining us today. Hope you all had celebrated Diwali with family and friends. Our warmest Diwali wishes to everyone and t rust the festive season bring you joy and prosperity. We will begin this call by giving an overview of the Company's performance for the quarter as well as the first half, then open up for questions.
To start with, consolidated sales in Q2 FY '26 was INR1,287 crores compared to INR1,209 crores in Q2 FY '25. This shows a 6.4% growth as compared to Q2 FY '25. Abrasives grew by 7.4% from INR543 crores to INR584 crores. Ceramics grew by 7.8% from INR280 crores to INR301 crores. Electro minerals degrew marginally by 0.9% from INR402 crores to INR399 crores.
Compared to Q1 FY '26, sales in this quarter grew by 6.6% from INR1,207 crores to INR1,287 crores. Abrasives grew by 15% from INR508 crores to INR584 crores. Ceramics grew by 0.6% from INR300 crores to INR301 crores. Electro minerals degrew by 1.6% from INR405 crores to INR399 crores.
Consolidated sales for H1 FY '26 was INR2,493 crores compared to INR2,393 crores in H1 FY'25. This shows a growth of 4.2% growth. The growth was driven by Ceramics segment, which grew by 9.4% from INR549 crores to INR601 crores. Electro minerals grew by 2.6% from INR783 crores to INR804 crores. Abrasives degrew by 0.3% from INR1,095 crores to INR1,091 crores.
Coming to the PBIT performance. PBIT for Q2 FY ' 26 was INR111 crores against INR154 crores in Q2 FY '25. Compared to PBIT of INR81 crores in Q1'26, Q2 PBIT grew by 37%. PBIT

for the first half of the year was INR192 crores compared to INR304 crores. The drop is mainly contributed by VAW about INR51 cror es, RHODIUS INR26 crores and standalone INR34 crores.
Now I go to standalone. Standalone Q2 FY '26 sales were INR712 crores with a growth of 1% compared to sales of INR705 crores in Q2 FY '25. Compared to Q2 FY '25, Electro minerals grew marginally by 1.2% from INR210 crores in Q2 '25 to INR213 crores in Q2 '26. Ceramics was almost flat. Sales in Ceramics moved from INR227 crores in Q2 FY '25 to INR228 crores. Abrasives degrew marginally by 0.1%.
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tandalone sales of INR712 cr ores in Q2 FY '26 compared to INR698 crores in Q1 FY '26 grew by 2%. Abrasives grew by 7.5% from INR286 crores in Q1 FY '26 to INR308 crores in Q2 FY '26. Electro minerals was almost flat with a growth of 0.2% moving from INR212 crores to INR212.7 crores. C eramics degrew by 4.3% from INR238 crores in Q1 FY'26 to INR228 crores in Q2 FY '26.
Standalone sales for H1 FY '26 was INR1,410 crores, a growth of 3% compared to sales of INR1,369 crores in H1 FY '25. This was contributed by growth in Electro minerals at 6.5%, which moved from INR399 crores in H1 FY '25 to INR425 crores in H1 FY'26. Ceramics grew by 4.9% from INR444 crores to INR466 crores. Abrasives degrew by 2.8% from INR611 crores to INR594 crores.
PBIT for Q2 FY '26 was INR87 crores compared to PBIT of INR116 crores in Q2 FY '25. Mainly Ceramics contributed to INR17 crores drop here. PBIT for Q1 FY '26 was IN R166 crores. PBIT of Q2 FY '26 dropped to INR87 crores. This is mainly due to lower dividend income. PBIT for the fir st half of the year grew by 7.9% from INR235 crores in H1 FY '25 to INR254 crores in H1 FY '26.

I'll go to the segment performance.
Abrasives, consolidated Abrasives. Sales of H1 FY '26 was INR 1091 crores when compared to INR1,095 crores, almost remaine d flat. Q2 FY '26 sales was INR584 crores with a growth of 7.4% compared to INR544 crores in Q2 FY '25. This growth was contributed by AWUKO INR9 crores, RHODIUS INR25 crores and CUMI America.
Compared to Q1 FY '26, sales was higher by 15%, moving from INR508 crores to INR584 crores. This is largely driven by sequential recovery in standalone INR 22 crores, recovery in RHODIUS about INR 49 crores, which has seen a loss in Q1 on account of the transition to a new third -party logistics provider.
Standalone Abrasives: In Q2 FY '26, standalone Abrasives sales of INR308 crores remained flat compared to the same period last year. Sales of H1 FY '25 was INR594 crores with a degrowth of 2.8% compared to INR611 crores in H1 FY '25. Sequential growth is encouraging and looking forward to a better H2.
RHODIUS Abrasives : In H1 FY '26 achieved a net sale of EUR 30.6 million compared to EUR 33.8 million in H1 of FY '25. This represents a 9% degrowth over last year. For the quarter,

RHODIUS achieved net sales of EUR 17.4 m illion, which is 5.4% growth over Q2 FY '25, which saw sales of EUR 16.5 million. Q2 FY '26 sales is higher by 31.6% compared to EUR 13.2 million in Q1 '26, reflecting the resolution of operational challenges relating to logistics.
In our previous call, we had said that we expect the stability of operation to come by end of August. We are almost resolved and back to normal and we had also said that Q1 performance would impact the full year sales as well. We said that we expect the remaining 3 quarters sales would be in line with the last year's sales. In Q2, we are seeing a 5.4% growth. We still maintain the same outlook.
In H1 FY '26, RHODIUS incurred a loss of EUR 2.2 million against a loss of EUR 0.1 million same period last year. This is after the PPA writ e-off of EUR 1.4 million, reflecting the loss of sales in Q1 impacting the profitability. At the full year FY '25, RHODIUS made a loss after tax of EUR 0.2 million in FY '25. We expect the loss after tax to be about EUR 3.5 million to EUR 4 million this year. This is after PPA write -off of EUR 2.8 million.
AWUKO achieved a sale of EUR 5.5 million for the first half of the year. This is a growth of 5.3% when compared to the sales of EUR 5.3 million last year. For the quarter, AWUKO delivered s ales of EUR 2.9 million, which is a 31% growth over last year EUR 2.2 million. Sequentially, it was higher by 12.7% compared to EUR 2.6 million in Q1 '26. The losses before tax in H1 versus this year has remained flat. At the full year, we expect the sales gr owth to gr

ow
by about 20%. We maintain the same outlook. The losses before tax could decrease slightly.
Now I will cover the bottom line performance of the segment. Consolidated Abrasives PBIT for the first half of the year was INR45 crores compared to PB IT of INR90 crores in H1 FY'25. Margins have declined from 8.2% to 4.1%. The margins were impacted by RHODIUS and standalone business.
Consolidated Abrasives PBIT for Q2 FY '26 was INR33 crores compared to PBIT of Q2 FY '25 at INR34 crores. Compared to Q1 FY '26, the PBIT was higher by INR22 crores . Q1 FY '26, was INR11 crores. This is mainly due to RHODIUS and standalone Abrasives.
Electrominerals consolidated sales for H1 FY '26 was INR804 crores compared to sales of INR783 cror es in H1 FY '25. Standalone business and Foskor Zirconia helped to grow this. Standalone business grew by 6%, Foskor grew by INR20 crores and VAW degrew by about INR83 crores.
Q2 sales was INR399 crores compared to sales of INR402 crores in Q2 FY '25. The degrowth was on account of the VAW. Sales in Q2 FY '26 was INR399 crores compared to INR405 crores in Q1 FY '26. This is also largely arising from VAW.
Standalone Electrominerals . Standalone Q2 sales was INR213 crores. This is a 1.2% growth compared to s ales of INR210 crores in Q2 FY '25. The growth was largely aided by volume, while prices remained flat. Exports continue to perform well in this segment. Compared to Q1 FY '26, the sales in this quarter was almost flat. Sales for H1 FY '25 was at INR425 crores with a growth of 6.5% compared to INR399 crores in H1 FY '25. This growth was aided by volume and price. Export definitely helped a lot.

VAW sales in local currency in Q2 FY '26 degrew by 37.2% compared to FY '25 from RUB 2.4

billion to RUB 1.6 billion. In INR sales, the degrowth was 27%. The exchange rate used in Q2 FY '25 was 0.94 compared to the exchange rate used in Q2 FY '26 is about 1.08. Sales in local currency degrew by 15%, that is RUB 1.8 billion to RUB 1.6 billion compared to Q1 FY '26.
VAW delivered a profit after tax of RUB 222 million in Q2 FY '26 against RUB 466 million during same period last year and RUB 71 million in Q1 FY'26. In local currency, H1 FY '26, the sales was RUB 3.4 billion compared to RUB 4.9 billion in H1 FY '25. This i s a decline of 31%. We communicated this expectation earlier. In INR terms, the sales decline was from INR459 crores to INR364 crores, resulting in a decline of 21%.
H1 FY '25 profits were RUB 294 million compared to RUB 753 million during the same period last year. This is a decline of 61%. In terms of H1 , profit from INR70 crores, it declined to INR31 crores. With respect to the full year performance at VAW, we had earlier committed a drop in volume by about 25%. We maintain the same guidance now.
Foskor Zirconia. : For the quarter, sales was ZAR 114 million compared to sales of ZAR 82 million in Q2 FY'25. The loss after tax was ZAR 24 million compared to loss after tax of ZAR21 million in Q2 FY '25.
Sridharan Rangarajan: In Q1 FY '26, sales was ZAR 121 million and in Q2 FY '26, the sales was ZAR 114 million. In Q1 '26, the loss after tax was ZAR 18 million compared to the loss after tax in Q2 '26 of ZAR 24 million. In H1 FY '26, sales was ZAR 235 million compared to H1 FY '25 sales of ZAR 203 million. In H1 FY '26, l oss after tax was ZAR 42 million compared to ZAR 32 million in H1 FY '25.
I'll move to Ceramics business. Consolidated sales for H1 FY '26 was INR601 crores compared to INR549 crores in H1 FY'25. This is a growth of 9.4%. Growth was driven by standalone operations and the Australian subsidiary. Q2 FY '26, the sales was INR301 crores compared to INR280 crores in Q2 FY '25. This is a growth of 7.8% and was driven largely by our Australian subsidiary.
Standalone Ceramics Q2 sales was INR228 crores, which is fl at compared to Q2 FY '25.

Compared to Q1 '26, sales in this quarter degrew by 4.3%, basically from INR238 crores to INR228 crores. Sales for H1 FY'26 was INR466 crores. This is higher by 4.9% to INR444 crores in the same period last year.
To cover the PBIT of the segment, consolidated PBIT for Q2 FY '26 was at INR62 crores compared to the PBIT of INR75 crores in Q1 FY '26, mainly due to product mix and volume.
Consolidated PBIT of H1 FY '26 was INR137 crores compared to INR144 crores in H1 FY '25.
Standalone Ceramics PBIT decreased by 3.8% to INR107 crores from INR111 crores in H1 FY '25.
There was no debt in our standalone books. Total debt at consolidated basis was INR210 crores at the end of Q2 FY '26 compared to INR172 crores at the end of Q1 FY '26 and INR103 crores at the same period last year. The debt -to-equity ratio is 0.06 at consolidated level. Cash and cash

equivalent at the consolidated without cash in VAW is about INR215 crores, which means debt net of cash is 0.
During the H1 FY '26, our capex investment was INR162 crores against INR124 crores in H1 FY '25. This is against our full year plan of INR350 crores as we communicated during the last call. So we are progressing as per the plan. At the standalone level, the capex was INR120 crores compared to INR69 crores same period last year.
Now I'll provide an update on the outlook for the current year. I maintained the outlook shared last time, which is as follows. Consolidated sales growth could be 5.5% to 6.5%. Consolidated Ceramics growth could be 16% to 18%, same as earlier communicated. EMD growth guidance is about 1% to 2%, same as last time communicated. Abrasives sales in our last call, we communicated 4% to 5% growth for the year.
Margins at consolidated level, Cerami cs section, we communicated 23.5% to 23.7% on a full year basis, maintained the same. EMD in the last call we said 4.5% to 5.5%. Abrasives last time we said PBIT margin could be 6% to 6.5% on a full year basis. We said that last time the overall PBIT margi n could be 8.2% to 8.5%, we maintained the same. Capex side, we would spend about INR350 crores. We have spent about INR162 crores in H1. So we think we will meet the capex plan.
So that's broadly my opening remark, and I think I'll open up for Q&A. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Ravi Swaminathan from Spark Capital.
Ravi Swaminathan: My first question is with respect to the standalone segments of Abrasives and Ceramics and Refractories. The growth were subdued during this quarter. So if you can give a bit more granularity in terms of quality of growth in Abrasives in the retail side and industrial supply side.
Similarly, for Ceramics and Refractories betwee n the Wear Ceramics, Metallized Cylinder and

Refractories, how the individual subcategories were growing, that will be great, sir?
Sridharan Rangarajan: Thank you. I think -- so the growth in the standalone segment, particularly Electrominerals was about 6 .5%, Ceramics 4.9% and Abrasives degrew at 2.8%. But the growth sequentially in Abrasives at 7.5% is encouraging. We expect that trend to continue for the second half. And that's the broad outlook that we have.
And as far as the Ceramics is concerned, the H2 will be strong, largely because of the way the order books were built and some of the projects requirement are coming along. So we expect that H2 will be heavily loaded compared to the H1. So hence, we feel that the growth compared to the H1 versus H2 will be different and Electrominerals will continue the trajectory that we have been committing. That should continue. That's what broadly guiding to.
Ravi Swaminathan: And within the subcategories, any flavour , sir? So for example, Ceramics and Refractori es, how Wear had performed, how Refractories had p

erformed, how Metallized Cylinders have performed?

Sridharan Rangarajan: Yes. So Metallized Cylinders and Engineered Ceramics have performed over 20%. And I think there were challenge s basically on the Wear Ceramics side. Both Wear and some of the Refractory side, the project -based dependence, there's a delay, which should pick up in the next quarter and we should see overall growth. At H1 level, we are at about 11% growth. We expect that, that w ould pick up.
Ravi Swaminathan: Okay. And which sectors would be -- Wear Ceramics would be catering to where this delay? Is it like steel, cement...
Sridharan Rangarajan: So it is steel, cement, glass, all these sectors, there are some project delays.
Ravi Swaminathan: Understood. And similar flavour on Abrasives side, retail vis -a-vis industrial supply, how it is doing? Any flavour on that?
Sridharan Rangarajan: So I think industrial and precision are doing fine. Retail is a bit subdued, but the encouragin g thing is that the inventories at the dealer level have really come down, which sees that Q3 and Q4, we should see a pickup. The lot of festival pickup helped to move their inventory level. So that is something is encouraging to look at Q3 and Q4.
Ravi Sw aminathan: Got it, sir. And my final question with respect to the Electrominerals business, you had highlighted that there is a bit of Chinese competition in aluminium oxide and how it is panning out. So is there increased competition which is there or is it maintaining? Any views on that?
Sridharan Rangarajan: It is maintaining and no difference that we see at this point.
Moderator: The next question is from the line of Harshit Patel from Equirus Securities.
Harshit Patel: Sir, my first question is on stan dalone Ceramics. I think the margins over there have been the weakest we have seen in last 4 years, about 20% or so. You have highlighted adverse product mix as one of the reasons. What could be the other factors over here? Also, we had expected a strong r evenue growth as clean energy sales to the U.S. -based customers are reviving. However, we have posted only flattish sales. So if you could explain, co -relate these th ings, that will be very helpful?
Sridharan Rangarajan: So I think product mix and the othe r one is the top line. There's base level fixed cost absorption needs to happen. So since there's a top line is a bit soft. So that's why we expect the H2, we could pick up. I mean, we will bounce back better in the H2 and that should start showing the mar gin pickup. And that's why even in the overall margin guidance, I still maintained what was earlier said.
Harshit Patel: Right. Just a follow -up to that, sir. But sir, when our Metallized Cylinders and Engineered Ceramics are doing so well, which are obvio usly the higher -margin businesses for us vis -a-vis the Wear Ceramics and Refractories, shouldn't the product mix be good for us? Should that not be an accretive product mix?
Sridharan Rangarajan: It does and that is why it is helping us a bit. But if you l ook at the wear plus the Fired Refractories business, they are not bad. Their ma rgins are also very encouraging . But the volumes that they

hold to the total business when it is not growing, it does have the impact of the mix. And that's why we used the word mix.
Harshit Patel: Understood. Sir, my second question is on the subsidiary level Electrominerals business. Here, the sales seem to be very strong despite the continued sanctions on VAW. Margins have also improved on a sequential basis. So how have we achieved this improvement in the first place?
Sridharan Rangarajan: No. So I think if I look at Abrasives, we have done fairly well outside, of course, there's a

domestic Abrasives pickup, equally F oskor Zirconia top line pickup.

These two are helping us
in terms of our overall pick up . But you have also a fall of almost INR83 crores in the top line as far as VAW is concerned. But the eliminations, the intercompany eliminations are lower compared to the last year because we no more source from VAW. So that benefit also accrues to us. So that is how the overall we are in better shape as far as Electrominerals is concerned.
Harshit Patel: Sir, just lastly, a book -keeping question on our others segment, wherein we combine the results of PLUSS , SEDCO as well as the IT business. Here, we have posted the positive PBIT after consecutive losses of 14 quarters. Anything you could highlight here?
Sridharan Rangarajan: I think I don't want to track individually t hese smaller businesses, but I think all of them are doing fine. So all of them have fired well, and that is the basic reason for that.
Moderator: The next question is from the line of Amit Anwani from PL Capital.
Amit Anwani: First question on VAW again. So obviously, you have highlighted that there would be 25% reduction in volumes. I wanted to understand any development which has happened on sanctions. And in case of sanction continuing, what kind of volumes are we expecting any strategy or any hope of s anction getting lifted? How should one think of this business slightly medium term?
Sridharan Rangarajan: Look, I think this is a very tough area to guess because this is a geopolitical question. I would like to stay away from that. I think you are as good as mine or more than mine in terms of knowing the geopolitical situation as everyone reads instantaneously, as everyone treats.
I feel that our focus at this point in time is to stay within the ambit of what we can do and that I think is what we will stay. What is helping us is a debt -free company and also highly focused way of running the business helps us to stay afloat and we hope sooner some better prospects would come.
Amit Anwani: Sir, on the 2 subsidiaries, AWUKO and RHODIUS , I would love to und erstand are we on track for breakeven and when are they happening? And second, with respect to what is driving the demand? I understand there's a lot of sales there is global in nature. So just wanted to understand what is the situation on demand side for these subsidiaries? There's some improvement which has happened and we are expecting H2 to be slig htly better. So updates on that?
Sridharan Rangarajan: Sure. So I think the RHODIUS drop in Q1 is a one -off event largely driven by the way the logistics was handled, but they are out of that and they are back to normal and the demand, I would say, it is good and it is continuing the way we are planning as far as RHODIUS is

concerned. As I said that we continue to look at RHODIUS as a good company, would get ba ck to the profitability even after PPA soon. That is what we are broadly looking at.
As far as AWUKO is concerned, we feel that getting to about roughly about EUR 12 million to EUR 14 million top line for this year is the first milestone that we should hit. So far, it looks like the trajectory is towards that. And then at the end of the year, we will again update you in terms of how we are looking beyond that. So by and large, both are traveling as per what we were looking at.
Amit Anwani: Sure, sir. Lastly, sir, on the new product development. Last time I recollect you highlighted the high-performance SiC pilot plant is on track, though we do not expect the volumes in F Y '26, FY '27. So any update on that? And apart from that, we're seeing a lot of activities happening on semiconductor, CG Semi installed the plant an d even L&T is talking about it.
So -- and we also talked about some ceramic -based products for semiconductor. So j ust wanted to understand with respect to product developments, what one should look at in near to medium term,

which can materiali se in 2, 3 years?
Sridharan Rangarajan: Sure. So semiconductor, basically ceramics for semiconductor fab equipment is what our focus area. And that facility is coming up very much in line. And we expect these would start benefiting in the next year onwards, which is what our earlier guidance also. So that would continue.
And the defence program, aerospace and defence program inv estment is also very much on track. The investment on HP SiC is also very much on track, all the programs that we broadly talked about. As far as our long -term strategy is concerned, everything is pretty much on track. That's why you see a strong capex spend, which is very much in line with our spend as well. In fact, the INR160-odd crores is probably the highest at this point in time. So we are progressing based on our long -term trajectory.
Amit Anwani: Sir, are we seeing any contribution coming in from these projects in the next 2 years or it will be beyond years?
Sridharan Rangarajan: So as far as the semiconductor, we expect that it would start contributing from next year and

then aerospace and defence , partly next year, but mostly year after. And then as far as the HP SiC, we said 2 years, we need to wait because these are all seeding time, which is what we are currently doing.
Moderator: The next question is from the line of Rupesh Uttvani from Nayan M Vala Securities Private Limited.
Rupesh Uttvani: I just would like to know that over the past 2 -3 quarters, if I am to look at your other expenses, they are on a standalone basis, they have grown on a higher trajectory, which has been affecting your overall margins. So if you could maybe just shed some l ight on what is causing that increase, that would be really helpful?

Sridharan Rangarajan: I think other expenses, what you call as unallocable at the consol level is very much comparable at H1 to H1 level and standalone level, there is a marginal increase of about INR10 crores. So I see that it is very much in line. We don't see abnormality, except there are some dividend income movement, which is like we also disclosed that close to some INR68 crores plus is the dividend that we had kind of one -off dividend, other than that, I think if you exclude that, I mean, as we exclude we see that it is very much in line.
Rupesh Uttvani: Okay, sir. And I just wanted to confirm that you had said that -- in this call, you had said that VAW is not exporting raw materials to the Indian subsidiary for, let's say, from the Electrominerals perspective. So I mean, would that affect our margins anyway in the Abrasives or any other segment?
Sridharan Rangarajan: I don't think we had any link to the -- our domestic Abrasives business. We never sourced for our domestic Abrasives business and has no connection to that. And we are not sourcing. I mean that stopped here.
Moderator: The next question is from the line of Bhavin Vithlani from SBI Mutual Funds.
Bhavin Vithlani: Sir, the question number one is with respect to your comment to the earlier where I also was observing a 35% increase in capital expenditure. If you could help us what is the planned outlay for the cu rrent financial year and the next? And if you could also give us a breakup between the key projects that we are planning this capital expenditure?
Sridharan Rangarajan: Yes. So Bhavin, I think we did guide INR350 crores of capex at the full year level is w hat our guidance is and we have spent about INR160-odd crores now. Second half, we will have the rest and this is as per our long -term strategy program that what we have worked on. So it is very much in line.
Individual project details will be difficult t o share, but these are coming for, let's say, semiconductor facilities, facilities for aerospace and defence , investment in HP SiC facility, investment in thin whee

l relocation. All these are the programs that we are working on.
Bhavin Vithlani: Sir, pardon me for hopping this. What would be the total planned outlay for the semiconductor for the aerospace, defence , Ceramics and HP SiC over a 2 to 3-year basis, the total planned outlay for getting the project up and running in the Phase 1 of our pl an?
Sridharan Rangarajan: So Bhavin, I think it is a reasonable facility and based on our expected returns and the top line is the normal way that we evaluate and put. Individually, we are unable to share how much is this, etc. But be rest assured that it is based on anchor customers' programs that we have in place to support that, and that is how we are making these investments.
Bhavin Vithlani: Sure. My other question is on the Electrominerals and when I look at the subsidiaries performance, which is stan dalone minus consolidated, the revenue run rate that I see for the quarter is about INR186 crores and prior to the sanction, it used to be about INR190 crores to INR200 crores. So it's not very different despite the sanctions. VAW i s a continuous process business , so could you help us understand, is the impact that we are seeing is largely the realisation where we've been able to push out the volumes, maybe at a lower margins? And in

this quarter also, we've seen a remarkable improvement on the profitabili ty front. I mean, if I look at the EBIT of the division where it was negative in the previous quarters, about INR2 crores, INR3 crores and it is about INR13 crores positive. So the effort that we are putting, it will be helpful to understand and what trans pired such an im provement despite the sanctions?
Sridharan Rangarajan: So first of all, sanction does affect. It is not that it is not affected. So it's told that at H1 level, we have an INR83 crores of impact on the Electrominerals business. So it does af fect. But what helps us is the standalone growth, growth in Foskor is helping us to a large extent to offset this. So that is what I would say rather than anything else.

And obviously, that helps us also to some extent a margin stabili sation. And so I thi nk had VAW performed at its normal level, we would have enjoyed a far better results than this. I hope to see that day soon.
Bhavin Vithlani: Sure. And if you could -- I mean if possible, what would be the plan assuming the sanctions go on for years? What is the plan of action for the Company to get to alternative markets, alternative customers?
Sridharan Rangarajan: See, I think -- I'm sure this is very difficult to even work through a simulated experience of answering this question because it's very tough. From our side, we have an approach where focus highly on what VAW can do with the limitations what they have. So that's number one.
Make sure that we run this in a way which is within the framework of what is possible, highly focused on cash conser vation, making sure that they have reasonable margins and able to survive. At the same time, thinking beyond how can we do beyond this is a very, very difficult task, Bhavin. We have limitations of what we can do. So definitely, and as a group, we will not do what is not possible.
Bhavin Vithlani: Sure. Sir, my last question is on the Abrasives front. As we've highlighted, there are 3 broad segments, retail, industrial and precision. Retail is where the pressure was. But I also understand is that within the precision and the industrial, automotive as a sector has a greater salience.
And as we are seeing pickup in the automotive production, I mean if you could just give us an outlook in terms of do we see rate of growth for the standalone Abrasives improving , because yesterday, our competitor also reported and they reported kind of a 6% growth. So your outlook over the next 3, 4 quarters, given the automotive pickup and how you are seeing w

ill be helpful?
Sridharan Rangarajan: I think as I said that our own r eading is that the H2 for the Abrasives going to be better. First of all, if you look at Q2 versus Q1, we are seeing a pickup in terms of growth and we have grown about 7.5% plus and we expect Q3 and Q4 will be better on a few things.
One, our own retail network, the kind of inventories with them is kind of far more thinner at this point in time because of what they had experienced in the last quarter. So the benefit of G ST plus the festival growth, et c., we should see this coming up in Q3 and Q4. So I wou ld say that our expectation for us is definitely better in H2.
Moderator: The next question is from the line of Viraj from SiMPL .

Viraj: I joined the call a little late. So pardon me if my question is repetitive. Sir, my question is largely on recent devel opments at Wendt . So post exit of 3M, we are primarily the de facto promoters in the company. And in the past, we have seen transfer of talent from them to CUMI as well.
And recently, we have seen exit of top leadership as well from them. So question is what is our play here now with the entity? And what is our aspiration and expectations from that company? And what will help us achieve those?
Sridharan Rangarajan: So thanks for this question. I would stick to commentary on the performance of CUMI here and I'm sure you appreciate our constraints on that. We should talk about CUMI, and I encourage you to focus on CUMI.
Moderator: The next question is from the line of Aditya Mongia from Kotak Securities.
Aditya Mongia: I just wanted to check with you, sir. S o standalone business started to kind of grow over the last 3, 4 years at mid -to-high single -digit more towards mid and high. I'm talking overall business.
Could you give us a sense of what needs to change to accelerate the growth to higher levels?
That's the first question and linked up to that is of the INR350 crores that you are spending in, is the split a lot more towards existing businesses or is it a lot more towards new lines of work?
Sridharan Rangarajan: Sorry, your second question is not audible. Could you be clear on that?
Aditya Mongia: Sure. What I was asking was that in that INR350 crores of capex , is it more inclined towards existing lines of work or is there a fairly meaningful share of new lines of work?
Sridharan Rangarajan: Okay, good. So I think what needs to happen to have a higher growth is the first question as far as standalone business is concerned. So I think this is the program that we have for a 5 -year horizon from now till FY '30 is where the LTS work that we have prepared ourselv es.
I think each of this business have come up with a set of actions, which would take the growth from the current level to a higher growth rate. We feel that each of them are definitely working towards that. I think we broadly shared last time around tha t. I think the Abrasives is largely going to focus on sharpening the go -to-market, introducing newer products through the NPD program.
Similarly, we also have a program of how do we source and scale. And these are the programs and of course, there are spe cific geographies today we are not present or have our market share is lower. So how do I make use of those. So these are the opportunities that we should see and pursue this.
In the Electrominerals , we said that scaling up in alumina more towards the treated grinds,

whether it is heat treated or silent treated or sol -gel-treated, blue -treated, zirconia -treated grinds, thereby increasing our alumina portfolio. At the same time, focus on the value -added products through additions of zirconia, zirmul , stabilized zirconia, etc ., and getting into new areas like thermal spray powders, et c. These are the programs as far as Electrominerals is concerned.
As far as Industrial Ceramics is

concerned, our focus is largely in terms of how do we serve in
newer areas like semiconductor, electronics, aerospace and defence and how do we prepare

ourselves for that, which is what is the program that each of them are working and in terms of the Refractory, it is mostly t o scale up on the monolithic refractories.
Just broadly summarizing it. So these are the programs which will help us to accelerate the growth. What you have observed as there is a pickup, but will it pick up further. So the answer is yes, and these are th e programs that we would work on. Of the INR350 crores, are you investing in new areas? And if so, how much? I would say a majority of this investment goes into newer areas is what I would share with you.
Moderator: The next question is from the line of Mo hit Pandey from Citi.
Mohit Pandey: Sir, first question is on Metallized Cylinders. So I believe you mentioned in this quarter, there has been 20% growth. So just wanted to understand what are the capacity utilizations there now? And are there any expansio n plans here? The end market does look like growing quite smartly here. That would be question number one.
Sridharan Rangarajan: Yes. I think you are right. I think the end market is growing very strong. And I shared over 20% growth, which is what we are t elling. And we are also parallelly looking at how do we prepare ourselves for an accelerated growth and so clearly, we have a program to address that.
Mohit Pandey: All right, sir. Sir, secondly, on the aerospace and defence ceramics. Is it possible to share more color around your offerings here where exactly which sub segments are they likely to find applications in? And have you already entered into any partnerships with any defence customers for R&D for them or how are you thinking about this?
Sridharan Rangarajan: Good. So the 2 broad areas that we work on is basically vehicle protection and body protection. These are the 2 broad areas that we are working on and so our strength is to prepare ourselves and supply the cerami cs needed for that, for which we have some collaboration with DRDO and CGCRI, which are very much in place and the capabilities are very much there.
The third area is certification in terms of various international certification in terms of the penetratio n. So those are also fairly we have got about 4 different levels of certifications that we have got for our products and we are working with some of the leading suppliers for aerospace and defence in India. And definitely, these are the 4 broad kind of ind icators that I can share.
This is how we are working on.
Mohit Pandey: Okay. Sir, just to clarify, so this is not just domestic opportunity. This is possibly international because I understand you said about some certification? Is that fair?
Sridharan Rang arajan: No, certification is required even to supply to the domestic market. And hence -- because that's basically -- you need to make yourself qualified to supply, and that's the basic threshold. So that is what we are doing. Our focus is domestic to star t with.
Mohit Pandey: Okay, okay. Yes. Sir, and last question is more near term. So Ceramics, you mentioned in H2, you're looking at on standalone Ceramics a pickup. If you could give more color around whether this is based on certain order backlog that yo u already have or what should drive this pickup in H2 in Ceramics standalone?

Sridharan Rangarajan: Right. This is based on the order backlog and the project execution time from the customers. So those are the basis for the estimation.
Moderator: The last question is from the line of Anupam Goswami from SUD Life.
Anupam Goswami: Sir, my first question is on the Ceramics. How do we look at it in a little long -term growth? We had good run

until now and its kind of supporting the other segments. So from here onwards, even beyond, let's say, '26, FY '27, '28, how is the market turning up for us? How is the newer product doing? And how do you see the growth sustaining?
Sridharan Rangarajan: In the Ceramics, I think I was just talking a little bit earlier, the growth trajectories are -- so there is an existing set of business and their own growth trajectory, which is basically either Engineered Ceramic products or Metallized Cylinders and the wear products. That 's the growth

engines.
The second is the newer investments that we are making, which is basically in terms of semiconductor, electronics, aerospace and defence . So that will help us to accelerate the growth currently what we have. So these will be the 2 b road engines and which would drive the future growth of Ceramics.
Anupam Goswami: So until now we had about 20%, 22% sort of growth in Ceramics. Can we take this number going forward? Do we have that conviction here?
Sridharan Rangarajan: So we have been guided individually, but we have shared a broad guidance 2 calls back in terms of what we are looking at in the long -term trajectory. I think those should help you to make your projection, but we are quite upbeat about what we are trying to do.
Anupam Goswa mi: Okay. Sir, last on the new areas. Where do you see the revenues coming in? And how much of a contribution we can see from that? What is the scale of we can look at?
Sridharan Rangarajan: I think we broadly guided at the overall company level, 2 times in this period of the next 5 years. That's what we have broadly guided. So individually, we haven't shared any guidance but programs, we did share about that.
Moderator: That was the last question. Ladies and gentlemen, I now hand over the conference over t o the management for the closing comments.
Sridharan Rangarajan: Good. I think thank you all for participating. I would summarize, number one is what we have been guiding for this year, we are very much on track. Capex program is very much on track.
Balance sheet is strong and the trajectory that we all looked at for the LTS 2030, we are progressing well towards that.
So I would say that in terms of some of the specific items like issues on VAW, we need some resolution at the geopolitical level, whic h will help us to take this forward. But other than that, we are very much on track in rest of the progra ms that what we are looking at.
So thank you and all the very best.

Moderator: On behalf of Kotak Securities, thank you for joining us. You may now di sconnect your lines.

Call: Feb 2026

4th February 2026

BSE Limited
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Dalal Street , Fort Stock Code: 513375
Mumbai - 400001

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
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Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor Call

Pursuant to our letter dated 30th January 2026 informing t he upload of audio recording of the investor call, please find enclosed a copy of the transcript of the Investor call and the same can be accessed through the following link.

Link: https://www.cumi -murugappa.com/wp -content/upl oads/2026/02/CUMI -Q3FY26 - Earnings -Call-Transcript.pdf

Request you to k indly take the above on record.

Thanking you

Yours faithfully
For Carborundum Universal Limited

Rekha Surendhiran
Company Secretary

"Carborundum Universal Limited
Q3 FY '2 6 Earnings Conference Call "
January 30, 202 6

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – MANAGING DIRECTOR – CARBORUNDUM UNIVERSAL LIMITED
MR. G. CHANDRAMOULI – ADVIS OR, INVESTOR RELATIONS – CARBORUNDUM UNIVERSAL LIMITED

MODERATOR : MR. KUNAL SHAH – DAM CAPITAL ADVISORS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Carborundum Universal Q3 FY '26 Earnings Conference Call, hosted
by DAM Capital Advisors Limited. As a reminder, all participants' line will be in listen -only mode and there will be
an opportunity for you to a sk questions after the presentation concludes. Should you need assistance during this
conference call, please signal an operator by pressing star then zero on your touch -tone phone . Please note that this
conference is being recorded.

I now hand the confer ence over to Mr. Kunal Shah from DAM Capital Advisors. Thank you, and over to you, sir.

Kunal Shah : Yes, welcome to the Quarter 3 of FY26 earnings call of Carborundum Universal Limited. From the management side
today, we have Mr. Sridharan Rangarajan, the Managing Director and Mr. G. Chandramouli, the Advis or. At this point,
I would like to hand over the call to the management for their opening remarks, post which we can take up the Q&A.
Thanks, and over to you, sir.

G. Chandramouli: Good morning. I'm Cha ndramouli. Let us start the proceeding with a disclaimer clause . During the call, we may make
certain statements which reflect our outlook for the future or which could be construed as forward -looking statements.
These statements are based on management's current expectations and are associated with uncertainties and risks are
more fully detailed in our annual report, which may cause the actual results to differ. Hence, these statements must be
reviewed in conjunction with the risk that the company faces. T hank you.

Sridharan Rangarajan: Good morning to all of you and Happy New Year to all of you. A warm welcome to our third quarter earnings call for
the FY '26. Thank you for joining us today. So, we'll begin this call by providing an overview and then followed up by
Q&A. On a stand -alone basis, sales in Q3 FY '26 was INR769 crores compared to INR712 crores in Q2 FY '26. This
is a growth of 7.9%. Ceramic grew by 11.9% from INR228 crores in Q2 FY '26 to INR255 crores in Q3 FY '26.
Electro minerals grew by 7.9% from INR213 crores in Q2 FY '26 to INR229 crores in Q3 FY '26. Abrasives grew by
4.9% from INR308 crores in Q2 FY '26 to INR323 crores in Q3 FY '26.

Stand alone sales in Q3 FY '26 was INR769 crores compared to INR728 crores in Q3 FY '25. It's a growth of 5.6%.
Abrasives grew by 9.8%, Electro minerals grew by 8.9%. Ceramics dropped by 3.8%. On YTD 9 months basis,
stand alone sales was INR2,179 crores compared to INR2,097 crores for the same period last year. This i s a growth of
3.9%. Electro minerals grew by 7.3%, Ceramics grew by 1.7% and Abrasive grew by 1.3%.

At the stand alone level, PBIT of Q3 FY '26 grew by 32% compared to INR87 crores in Q2 FY '26. The PBIT for Q3
FY '26 was INR115 crores compared to INR110 crores in Q3 FY '25. This is a growth of 5.3%.

Stand alone PBIT margin increased sequentially from 12.2% in Q2 FY26 to 15% in Q3 FY26 . This when compared to
Q3 FY '25, is almost flat. At YTD 9 months level, Stand alone PBIT was INR369 crores compared to INR344 crores
and a growth of 7.1%. PBIT margin increased from 16.4% in FY '25 to 16.9% in FY '26.

Standalone profit after tax for Q3 FY '26 was INR85 crores compared to INR64 crores in Q2 FY '26. This is an increase
of 31% on a seq uential basis . Compared to INR81 crores in Q3 FY '25 , this is an increase of 4.9%. Profit margins in
Q3 FY '26 was 6% compared to 2.8% in Q3 FY '25 and 5.8% in Q2 FY '26.

At the 9 months level , stand alone profit after tax in FY26 was INR294 crores compared to INR260 crores in the same
period last year. This marks an increase of 12.9%. At the YTD 9 months level PAT margin in FY '26 was 13.5%
compared to 12.4% in the same period last year.

Moving to the consolidated resu

lts. On a YTD 9 mon ths basis, consolidated sales was INR 3,766 crores compared to
INR3,635 crores in the 9 months of FY '25. This marks a 3.6% growth. Ceramic s grew by 6.1%, Abrasives grew by
2.4% and Electro minerals was almost flat. Consolidated sales in Q3 FY '26 was INR1,273 crores compared to
INR1,241 crores in Q3 FY '25. This marks a growth of 2.5%. Abrasives grew by 8.1% and Ceramics was almost flat.
Electro minerals dropped by 3.6%.

On a sequential basis, consolidated sales in Q3 FY '26 was INR1,273 crores compar ed to INR1,287 crores in Q2
FY '26. This has marked a drop of 1.1%. Ceramic grew by 4.7%. Electro minerals grew by 0.6%. Abrasives dropped
by 2.5%.

Coming to the bottom -line performance. Consolidated PBIT for Q3 FY '26 was INR109 crores compared to INR141
crores in Q3 FY '25. Consolidated PBIT in Q2 FY '26 was INR111 crores, which is almost flat compared to Q3
FY '26. At the 9 months level, consolidated PBIT was INR301 crores in FY26 compared to INR444 crores in F Y '25.
Consolidated profit after tax for Q3 FY '26 was INR76 crores compared to INR35 crores in the same period last time.
The profit after tax of Q3 FY '25 includes an exceptional item related to VAW . At the Q3 FY 26 level , the PAT margin
was 6% compared to 2.8% in Q3 FY '25. On a sequential basis, consolidated profit after tax for Q3 FY '26 was INR76
crores compared to INR75 crores in Q2 FY'26. At the YTD 9 months level, consolidated profit after tax was INR212
crores compared to INR264 crores in the sam e period last year. Profit after tax for the first 9 months of FY '25 includes
exceptional item related to VAW. At the YTD 9 months level, the PAT margins were 5.6% compared to 7.3% in the
same period last year.

I'll move now to abrasives.

Stand -alone ab rasives recorded a sales of INR323 crores in Q3 FY '26 compared to INR294 crores in Q3 FY '25. This is a growth of 9.8%. The growth was broad -based, driven by retail, industrial and precision . On a sequential basis compared to the sales of INR308 crores in Q2 FY '26, this is a growth of 4.9% and on an YTD basis, INR917 crores is the total sales in FY '26, which is a growth of 1.3% compared to INR905 crores in the same period last year.

Consolidated Abrasives. Q3 FY '26 consolidated sales was INR569 crores with a growth of 8.1% compared to INR526 crores in Q3 FY '25. This growth was contributed by stand alone business, which grew by 9.8%.

Compared to Q2 FY '26, consolidates were lower by 2.5% moving from INR584 crores Q2 FY '26 to INR569 crores in Q3 FY '26. Stand alone business grew by 4.9%. Rhodius Abrasives had a small drop, which is in line with the seasonality. Consolidated sales for YTD 9 months in FY '26 was INR1,660 crores with a growth of 2.4% when compared to INR1,621 crores in the same period last year. At the YTD level , stand alone Abrasives grew by 1.3%.

Now I will move to Rhodius . In Q3 FY '26, Rhodius achieved a net sales of EUR 14.8 million , which is a 3.5% drop over EUR 15.3 million in Q3 FY '25.

On a sequential basis, sales declined from EUR 17.4 million to EUR 14.8 million. Normally, Q3 is a lower quarter, 2.5 months quarter because of the Christmas vacations, et c. At the 9 months level, FY '26 Rhodius recorded sales of EUR 45 million compa red to EUR 49 million. You might remember that we lost close to EUR 5 million sales in Q1 due to the shifting of warehouses in Q1.

Q3 FY '26, the loss after tax was EUR 0.84 million compared to the loss after tax of EUR 0.78 million in Q3 FY25 . On a sequenti al basis, loss after tax increased from EUR 0.57 to EUR 0.84 million. At 9 months level, FY '26, Rhodius

incurred a loss after tax of EUR 3 million. This is after a PPA write off of EUR 2.1 million. The loss of business due to shifting our warehouse in the is a predominant increase in further higher

losses. The 9 -month loss after tax in FY '25 was EUR 0.89 million.

So, on a full year basis, we said in the last call that Rhodius will do same as last year in Q2, Q3 and Q4. So, this means an annual sales of 62.6 million. We now expect the full year sales to be about 60 million. We expect the full year loss to be in the range of EUR 4.5 million after write -off of PPA about 2.8 million.

AWUKO.

At the YTD 9 months level, A wuko recorded a sales of EUR 7.9 million compared to EUR 7.6 million in the same period last year. This represents a growth of 4.6% . For the quarter , Awuko recorded sales of EUR 2.4 million, which is a 3% growth over sales of EUR 2.3 million in Q3 FY '25. On a sequential basis, sales dropped by 19% from EUR 2.9 million in Q2 FY '26 to EUR 2.4 million in Q3 FY '26.

In Q3 FY '26, A wuko recorded loss before tax of EUR 2.7 million compared to the loss before tax of EUR 1.4 million in Q3 FY '25 and the loss before tax of EUR 1.5 million in Q2 FY '26. The higher loss is primarily due to no production during this period to optimi se the inventory and hence, ability to recover the fixed set cost was lower. Besides this, there was also a small one -time expenditure that they incurred.

At the YTD 9 months level, FY '26, Awuko incurred a loss before tax of EUR 5.1 million compared to the loss before tax of EUR 3.7 million in the same period last year.

Now I'll cover the bottom -line performance of the Abrasive segment. Consolidated abrasive PBIT in Q3 FY '26 was INR20 crores with a drop of 28% compared to PBIT of INR28 crores in Q3 FY '25. This was an account of PBIT drop in Awuko .

On a sequential basis, PBIT of consolidated abr asives declined from INR33 crores to INR20 crores. This drop is, again, mainly on account of Awuko . At the YTD 9 months level, consolidated PBIT in FY '26 was INR65 crores compared to PBIT of INR118 crores for the same period last year. The drop is co ntributed by R hodius , Awuko and the stand alone.

Electro minerals.

Stand alone Electro minerals recorded a sales of INR229 crores in Q3 FY '26 compared to INR211 crores in Q3 FY '25. This marks a growth of 8.9%. The growth was driven by export segment, which is a very substantial progress that we have made. On a sequential basis, sales of INR229 crores in Q3 FY '26 represents a growth of 7.9% compared to sales of INR213 cror es in Q2 FY '26. Sales for the YTD 9 months period was at INR654 crores, which is a growth of 7.3% compared to the INR 609.8 crores of last year .

Consolidated EMD sales for YTD 9 months FY '26 was INR1,204 crores with a growth of 0.5% as compared to INR1,119 crores for the same period last year. At the YTD level, standalone Electro minerals grew by 7.3%. Foskor grew by 16.6%, VAW dropped by 25%. Drop in VAW reflects due to the U.S. sanctions, which was imposed in January 2025.

Compared to Q2 FY '26, sales was almost flat moving from INR399 crores to INR401 crores. Standalone business grew by 7.9%. and I think, there was a decline in Foskor as well as in VAW. Q3 FY '26 sales was at INR401 crores with a drop of 3.6% compared to INR 416 crores in Q3 FY25 . Stand alone business grew by 8.9%, and VAW dropped by 28%. Foskor grew by 6.5%.

Now going to VAW . At the YTD 9 months level, VAW recorded sales of RUB 4.8 billion compared to RUB 7.6 billion in the same period last year. This represents drop 36% drop over the last year. VAW came under sanction since January 2025. For the quarter, VAW achieved a sale of RUB 1.4 billion, which is a drop of 46% compared to the last year same period at RUB 2.6 billion.

On a sequential basis, sales declined from RUB 1.5 billion to RUB 1.4 billion, almost flat. At the YTD 9 months level, VAW recorded profit after tax of RUB 414 million compared to profit after tax of RUB 35 million in the same period last year.

We move to

the Foskor. At the YTD 9-month level, Foskor recorded a sale of ZAR 336 million compared to ZAR 308 million in the same period last year. This represents a growth of 9% over the last year. Sales volume went up substantially, 28% grow th. At the same time, the realis ation fell by 13% because of the price pressure from Chinese competition. In addition to that, rand appreciated by 6%, very strong appreciation bec ause of the rand appreciation, coupled with the price drop and the volume increase , the net result is sales value increase of 9%. In Q3 FY '26, Foskor achieved the sales of the ZAR 101 million, which is a 4.5% decrease over ZAR 106 million in Q3 FY '25. Again, volume went up. However, the reali sation dropped by 13%, volume went up by 22%, rand appreciated by 8% and so that's the basic reason for the gain impact.

On a sequential basis, sales declined from ZAR 114 million in Q2 FY '26 to ZAR 101 million . The volume remained flat, and the sales drop is due to the rand appreciation in the same period. At the 9 months level Foskor recorded loss after tax of ZAR 66 million compared to loss after tax of ZAR 22 million in the same period last year.

Q3 FY '2 5, Foskor made a profit after tax of ZAR 10 million . In Q3 FY '26 this became loss after tax of ZAR 24 million. This drop in profit is predominantly due to the drop in price and appreciation of rand and on sequential basis loss after tax was almost flat.

Now, I'll cover the bottom performance of the segment. On a sequential basis, PBIT of consolidated EMD increased from INR33 crores to INR34 crores in Q3 FY '26. This is a 16% increase sequentially.

Consolidated Electro minerals PBIT for Q3 of FY '26 was at INR35 crores to a drop of 48.7% compared to INR68 crores in Q3 FY '25, mainly on account of PBIT drop in VAW and Foskor. At the 9 months level consolidated Electro minerals PBIT was INR72 crores compared INR168 crores in the same period last year. At the 9 months level, margins have declined from 14% in FY25 , to 6.0% in FY26 .

I'll move to Ceramics now, consolidated Ceramics. Sales for YTD 9 months in FY '26 was INR917 crores with a growth of 6.1% and compared to INR864 crores in the same period last year. At the YTD level stand alone ceramics grew by 1.7%. Compared to Q2, sales were higher by 4.7%, moving from INR301 crores to INR316 crores. In Q3 FY '26, sales was INR316 crores with a growth of 0.4% compared to Q3 FY '25 at INR315 crores.

Stand alone Ceramics

Standalone Ceramics recorded sales of INR255 crores, which is a growth of 11.9% compared to INR228 crores in Q2 FY '26. In Q3 FY '26, sale of INR255 crores dropped by 3.8% compared to INR265 crores in Q3 FY '25. At YTD level, sales was INR721 crores, which is a growth of 1.7% compared to INR 710 crores in the same period last year.

Now total debt posit ion, there was no debt in stand alone books. The total consolidated debt was about INR290 crores in Q3 FY26 , compared to INR210 crores in Q2 FY26 and, INR108 crores in the same period last year.

The debt -equity ratio is 0.07 at the consolidated level. Cash and cash equivalents at the consolidated level without VAW was INR385 crores.

CAPEX - During the first 9 months, the capex investment is INR248 crores compared to INR209 crores same period last year. We s aid we will spend INR350 crores for the full year, and we feel that we should be completing that INR350 crores of capex .

I'll come to the guidance. During the last call, I said, growth in consolidated sales could be 5.5% to 6.5%. I maintain the same guidan ce. Consolidated Ceramics, we communicated a sales growth of 16% to 18% in the beginning of the year. We marginally bring this down from 13% to 14%.

Abrasives sales in our last call, we communicated to 4% to 5% for the year. I maintain the same.

Consolida ted EMD, we gave a guidance o

f 1% to 2% sales growth. I maintain the same.

Margins.

In the Ceramic segment, we communicated PBIT margin of 23.5% to 23.7% on a full -year basis. We are likely to be at 21% to 22%.

EMD in the last call, we said 4.5% to 5.5% is the PBIT margin. We maintain the same guidance .

Abrasives, last time, we said PBIT margin would be 6% to 6.5% on a full year basis. We now revised that to 4% to 4.5%.

We said the last time, the overall consoli dated PBIT margin could be 8.2% to 8.5%. This could be 7% to 8%.

On the capex side, we said we will spend INR350 crores on a full year basis. We spent so far INR248 crores on a 9 -

month basis. We maintain the full -year guidance of INR350 crores of capex .
I now open up for a Q&A and then we will conclude the call. Thank you.
Moderator: The first question is from the line of Amit Anwani from Prabhudas Lilladher Capital.
Amit Anwani: So, first question for the reduced guidance in Ceramics, and we can see that even stand alone business is kind of 4%
down. So, could you explain what went wrong? And within that, is it the exports from Ceramics which has also been impacted and versus the tech nical and wear ceramics, how the situation in Ceramics since we are expecting some recovery after Q1, Q2, and we are again revising down the guidance for Ceramics?
Sridharan Rangarajan: So, I think we are not again revising. This is the first time I'm brin ging it down. We feel that I think Ceramics, Q4 will
be a strong quarter, first of all, because we feel that Ceramics on a full year basis, the projects are getting delayed, and that is what is causing us this challenge of Q3. But I think if you look at se quentially, they have done well on a stand alone basis and we feel that Q4 will be a very strong quarter based on the order backlog that what we have.

However, we expect that there could be delays in some of the projects like, for example, while we have an order, the ability to ship depends on the inspection by the customers, and there could be some delays. Hence, we are cautiously bringing this down. We felt that there could be some challenge. Hence, we are bringing it down. So that's what I would think so. It is not anything at this point in time, we feel otherwise.
Amit Anwani: So, what's the kind of exports contribution in Ceramics for first 9 months?
Sridharan Rangarajan: If you see a blended rate, it could be in the range of around 50% to 55%. and industrial ceramics, it could be as high
as 75% because it's a combination of two businesses.
Amit Anwani: Right. Sir, second question on the recently concluded EU FTA, and we have exposure to Europe and in fact, when we
acquired the subsidiaries, we w ere talking about synergies and cross -sell. So, any reading you have for your businesses from this FDA? And if you could explain more, could it be of benefit to you?
Sridharan Rangarajan: So, I think right now, it's too early at this stage. So, I feel overall FTA will be beneficial to us. Right now, we are under
the MFN category. So hence, definitely compared to that rate, MFN FTA rate will be definitely lower, at least to the extent of about 4% to 5% lower which definitely increases our competitivenes s. Hence, it is more beneficial to us.
Amit Anwani: Am I audible?
Sridharan Rangarajan: Now you are audible, yes. Again, you are not audible.
Amit Anwani: I think there is some line issue. Is it better?
Moderator: Amit, go ahead with your question.
Sridharan Rangarajan: We can take the next question and then let him come on the queue.
Moderator: Okay. Thank you Amit.
The next question is from the line of Harshit Patel from Equirus Securities. Please g o ahead
Harshit Patel: Firstly, on A wuko and R hodius , while you have outlined your performance so far in the 9

months of FY '26, can you
broadly highlight how we should think about revenue growth and margin development for both these companies for the next year, that is FY '27?
Sridharan Rangarajan: I will share the details more in the next call, Harshit, because we will be doing the roll up at that time, we'll be able to
share at t hat time a nd I strongly feel that the current challenge of A wuko, which is like a marginal top line growth is our key concern and I think we will reflect on that and when we meet in the next call, we'll share this more.
Harshit Patel: Sure, sir. In terms of the next quarter, which is the fourth quarter, will it be broadly on similar lines as to what we have
seen in the third quarter? Or would there be a material improvement sequentially for the January to March quarter?
Sridharan Rangarajan: You are talking about A wuko ?
Harshit Patel: Correct. Both, sir, b oth A wuko as well as Rhodius .

Sridharan Rangarajan: Yes, yes. Okay. So A wuko will be on the similar trend is what our reading is, and we feel that the current trend would
continue, and it could be better compared to the profitability because of the expenses getting spread over the production process because last quarter, we did not manufacture.
So hence, the fixed cost absorption was practically zero. So that was the cause. But going forward, that would be a

slight benefit on that. But top line, we are expecting to be on the similar trend and as far as Rhodius is concerned, I feel normally Q4 is a better quarter compared to the Q3 because Q3 is a Christmas quarter. So that benefit I expect that it would come in terms of the top lin e.

Harshit Patel: Understood, sir. Sir, secondly, on domestic abrasives, China has recently removed the export rebate on abrasives
products including grinding wheels from 9% to 0%. This will be in effect from April onwards. Can this translate into a tangib le improvement in the domestic market share for us over time?

Sridharan Rangarajan: So, this is a positive news as far as the Indian market is concerned and across. I mean, abrasives is one such product,
but many products, the export benefit drop would ben efit this. So, we think that this is a positive information, and it would definitely help us to strengthen our position.

Harshit Patel: Understood. Sir, lastly, on Foskor Zirconia. This particular business has continued to impact our margins and profit
negatively. Even in the first half of FY '26, we have incurred a PBT loss of around INR25 crores in INR terms. On top of that, there is fur ther loss in the third quarter as well.

So, what is the outlook on this business? And how do we plan to improve the performance here? I remember a few years ago, we had also planned to divest this particular business. But I think since then, nothing has happened on that front. So, if you can provid e some outlook on this business, that will be very helpful.

Sridharan Rangarajan: Yes, I think it's a good question. So, Foskor does trouble us a lot and definitely impacting us. So right now, what we
are doing is they have two products, ZC and Z450 and ZC is having higher losses. So, we have tapered down the ZC business. we are only focusing on Z450. So, the Q4 will have only Z450 operation, and we want to see how that performance is. If it is going to improve, that is fine. If not, we need to take a firm call. So, this is what our current approach is.

Moderator: The next question is from the line of Harshit Patel from Equirus Securities.

Harshit Patel: Sir, in the domestic Electro Minerals business, what is the mix between domestic revenues and exports within our
stand -alone business? Also, is there any material diff erence in margins between these two?

Sridharan Rangarajan: So yes, the mix is improving more towards the export. That is helping us a lot. I think our aim is to have a 3

0% mix,
that is 30% export mix on a long -term basis, but the current trend shows that e ven now, we are very close to that.

Harshit Patel: Understood. Sir, secondly, in our stand alone Ceramics business, which has barely grew by around 1.5% to 2% in the
first 9 months of FY '26. So could you highlight the performance and growth rates of diffe rent sub -segments, mainly refractories, wear ceramics, industrial ceramics. If you could give us a flavour on which of the segments have grown and which haven't, and based on your assessment, how FY '27 will look like for all these sub -segments?

Sridharan Rangarajan: So we have two broad segments within that, which is ceramics and refractories. But the way we discussed in the last
few calls, the set of businesses we have engineered ceramics, some of the fire refractories, all that growth, w e are looking at growth of 20%.

Our challenge continues to lie in the wear ceramics and also the project -based fire refractory business, bunching of the product and that is happening or that's going to happen in Q4 is one of the reasons that we are looking at a muted 9 months one. So, we expect the full year basis, they will be strong. Wear ceramics continues to have this challenge. Largely, we feel that one, the ceramic business in U.S., particularly in the last 2 quarters, were sluggish. The end customers on many projects have delayed a nd deferred because of the uncertainty in the tariff, not just because of us, I'm just saying as a project.

We are only a small supplier in that, but because they are actually going to face many import costs. So, a lot of them have deferred this trying to get clarity in terms of how it is going to happen. So that 2 quarters is causing this challenge. We think -- the information we are getting is that people more and more now start firming up their project and start moving ahead. So that should come back. So, this is how I read the ceramic business as a whole. And as we guided ceramic business , we've given a guidance at the consolidated level. But in the ceramic, obviously, India becomes forming a major portion. We expect that overall growth rate, w e know that the current rate is 1.7%, but we expect this to be in the range of about 9% to 11% at the full year level.

Moderator: The next question is from the line of Jonas Bhutta from Birla Mutual Funds.

Jonas Bhutta: So, I would appreciate your comments while you said that you'll give out a separate guidance for both the businesses,
the A wuko and Rhodius probably with the Q4 results and just like Foskor, sir, do you sort of have a time frame as to when you will keep evaluating these businesses, whether they remain -- are something that are sort of meeting the targets that you had set out at the time of their acquisition as in you bought them for a particular reason?

And I know maybe 3 years, or 4 years is not a good enough time to sort of evaluate these businesses because we buy it for the long term. But just curious to know as to what are the steps that you are taking to sort of see that whether these fit probably just like you're going to take a call on Foskor. So, what is the timeline that you've given yourself on this?
Sridharan Rangarajan: Yes. I think, again, a good question. Foskor, as I communicated, probably 1 quarter to 2 quarters, we will take a call.
And A wuko , we think that we should take a firm call in a year's time.
Jonas Bhutta: Understood and just out of curiosity, sir, again, what is the cap -- while we bought it for, I think, EUR 5 million or EUR 6 million, what has been the total loss funding that we've done insofar or the losses that we w ould have incurred in the last 3, 4 years ever since we acquired them?
Sridharan Rangarajan: Yes, yes. I think we have incurred a loss of close to about EUR 30 million and this is over

the last 4 years ’ period.
Jonas Bhutta: Sure, sure. My second question, sir, was on Ceramics. About 2 years back, sir, we've seen a phenomenal growth and
for the past 4, 5 years up until maybe fiscal '24 and predominantly driven by these new age applications in SOFC, cells, et cetera. The business of the company that was givin g us those orders seem to be booming. Is it already reflective in the sales of Ceramics for the past 2 quarters?
Or that is something -- that's the upside that's potentially going to come going forward? Because, again, the communication was that the intens ity of Ceramics in these products is likely to go up and our wallet shares will sort of trend higher. So, I'm just, again, wanting to know whether that's already reflective of the upside in the last 2, 3 quarters?

Sridharan Rangarajan: So, I think your pointed observation is well noted. I think on the Ceramics side, the businesses that we are serving to
SOFCs and some of the high -end ones, they are growing pretty high. As I said, it's north of 20% is the growth that we are having and we also have a very sizable, good order book. In fact, we bagged the highest -ever order in the last quarter from them.
So, we seem to be doing fine there. So, challenge, as I explained to you, comes largely from the wear ceramic side, which is what is causing and probably once the project starts kicking in, in America, I think this should start getting better. And then you will start seeing the overall growth would also start looking better. So, two broad reasons.
One is that side. The other side is the ref ractory projects bunching that is happening in Q4. So, these are the two broad reasons why we are seeing a muted growth up to 9 months. Still I'm -- as I guided on stand -alone 9% to 11% on a basis ceramic, we will still do that because you will see a stron g Q4 on that. And then you will start s eeing a better growth in FY '27 a nd some of the businesses that you are hinting are really supporting our growth there.
Jonas Bhutta : Got it. I appreciate your responses sir. All the best
Sridharan Rangarajan: Thank you
Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing
comments.
Sridharan Rangarajan: Good. I thank you all for participating. I would li ke to summarize as follows. I think, of course, you don't have the
business plan, but we are tracking to the business plan at 9 months level and we think that we have worked on all the major efforts in terms of our long -term strategies for Ceramics, Ele ctrominerals and Abrasives.
Capacities are being created and our investment progress is pretty much in line. That's why we are also maintaining the guidance of INR350 crores. All the programs in terms of technology tie -ups, working with partners in two b road areas are all progressing well. People addition, getting key leaders’ part of this new and improved programs that we are looking at are all also happening in parallel. So, I would say while we focus on the current and future also, we are securing well.
Abrasive growth in Q3 is encouraging. We think that this trend should continue. We feel Q4 will be a strong quarter for Ceramics based on the projects that they have tied up. Electro minerals is showing good come back, very good margin recovery that they have shown. Their ROCs are also looking good.
So overall stand alone has done an exceptional job. We think that Q4 could be better in stand alone. We do hav e challenges at Foskor Zirconia, A wuko and I think we would take appropriate actions on this. R hodius is doing fine, but I think we can get better at it. We will do work on that. So, with that background, I thank you for all your patience and time in attending this call. Thank you.
Moderator: On behalf of DAM Capital

Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

21st May 2026

BSE Limited
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Fort Stock Code: 513375
Mumbai - 400001

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) Stock Code: CARBORUNIV
Mumbai – 400 051

Dear Sir/Madam,

Sub: Transcript of the Investor Call

In continuation of our letter dated 15th May 2026 informing the upload of the audio recording of the Investor Call held with analysts/investors, please find enclosed the transcript of the said call.

The aforesaid transcript is also available on the Company’s website and can be accessed at the f ollowing link:

Transcript link

Request you to kindly take the above on record.

Thanking you

Yours faithfully
For Carborundum Universal Limited

Rekha Surendhiran
Company Secretary

Encl: As above

“Carborundum Universal Limited Q4 FY’26 Earnings
Conference Call”

May 15, 202 6

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – MANAGING

DIRECTOR , CARBORUNDUM UNIVERSAL LIMITED
MR. G. CHANDRAMOULI – ADVIS OR, INVESTOR
RELATIONS , CARBORUNDUM UNIVERSAL LIMITED
MODERATOR : MR. HARSHIT PATEL – EQUIRUS SECURITIES PRIVATE
LIMITED

Carborundum Universal Limited
May 15 , 202 6

Moderator: Ladies and gentlemen, good day and welcome to Carborundum Universal Q4 FY26 Earnings Conference Call hosted by Equ irus Securities Pvt Ltd.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
Please note that this conference is being recorded . I now hand the conference over to Mr. Harshit Patel from Equirus Securities. Thank you and over to you, Mr. Patel.
Harshit Patel: Thank you. Hello, good morning to everyone. We welcome you to Carborundum Universal Q4 FY26 and Full Year FY26 Earnings Conference Call.
We have with us from the Management , Mr. Sridharan Ra ngarajan – Managing Director, and Mr. G. Chandramouli – Advisor - Investor Relations.
I would now request the Management to give their opening remarks on how the 4th Quarter as well as full FY26 went by and provide some outlook for the future. Over to you, sir.
G. Chandramouli: Good morning. I am Chandramouli.
Let us start the proceeding s with a disclaimer :
During this call, we make certain statements which reflect our outlook for the future, or which could be considered as a forward -looking statement. These statements are based on management current expectations and are associated with uncertainties and risks are more fully detailed in our annual report, which may cause the actual result to d iffer. Hence, these statements must be reviewed in conjunction with the risks that the company faces.
Thank you.
Sridharan Rangarajan: Thank you. Good morning to all of you and a very warm welcome to our 4th Quarter and Full Year Earnings Call for the Financial Year F Y26. I trust you and your family members are safe and healthy.
We will begin this call by providing an overview of the Company's performance for the full year FY26 and Q4 FY26, followed by an outlook for FY27. We also plan to share some glimpse s of our Aspiration 2030 later in the call.
To start with standalone sales :
On a full year basis, standalone sales in FY26 was INR 3,024 crores compared to INR 2,784 crores in FY25. This is a growth of 8.6%. It may be noted that the Company has crossed the mark of INR 3,000 crores in standalone revenue this year. Growth at standalone level was driven

by the Electrominerals segment, which grew by 11.1%, recording a sales of INR 906 crores compared to INR 815 crores last year.
Ceramic se gment grew from INR 939 crores last year to INR 1,000 crores in this year. This is a growth of 6.5%.
Abrasives increased from sales of INR 1,195 crores in FY25 to INR 1,270 crores in FY26, marking a growth of 6.2%.
Across the standalone segment, growth reb ounded strongly over H2 and particularly in Q4 FY26. Standalone sales increased from INR 1,410 crores in H1 FY26 to INR 1,614 crores in H2 FY26, reflecting a strong sequential growth of 14.4%.
On a year -on-year basis, H2 FY26 grew by around 14.1% compared to INR 1,415 crores in H2 FY25. You may note that H1 FY26 was only marginally higher by about 3%.
Standalone Abrasive grew from INR 594 crores in H1 FY26 to INR 675 crores in H2 FY26, which is a growth of 13.7% on a sequent ial basis. On a year -on-year basis, Abrasive grew 15.6% compared to the last year same period.
Ceramics increased from INR 466 crores in H1 FY26 to INR 534 crores in H2 FY26, marking a sequential growth of 14.5%. Year -on-year, it grew by 8% in H2 FY26 and 4.9% in H1 FY26.
Electrominerals grew from INR 425 crores in H1 FY26 to INR 481 crores in H2 FY26, an increase of 13.2% sequentially. On a year -on-year basis, the segment delivered strong growth of 15.5% in H2 FY26 and 6.5% in H1 FY26.
Overall, the growth in H2 FY26 was broad -base

d across all segments, with Abrasive s, Ceramics ,
Electrominerals all contributing double -digit sequential growth, leading to a strong performance

in comparison with H2 FY25, as well as in comparison to H1 FY26.
In Q4 FY26, s tandalone Sales recorded at INR 845 crores, compared to INR 769 crores in Q2 FY26, reflecting a sequential growth of 9.9%, compared to INR 687 crores in Q 4 FY26. Sales grew by 23.1% in that period.
Abrasives grew from INR 323 crores in Q3 FY26 to INR 353 crores in Q4 FY26, marking an increase of 9.3% sequentially and compared to Q4 FY25, it recorded a strong growth of 21.5%.
Ceramic increased from INR 255 crores in Q3 FY26 to INR 279 crores in Q4 FY26, marking an increase of 9.2% sequentially and compa red to Q4 FY25, it grew by 21.7%.
Electrominerals rose from INR 229 crores in Q3 FY26 to 252 crores in Q4 FY26, marking a growth of 9.7% sequentially and compared to Q4 FY25, it grew by 22.3%.

Standalone profit after tax :
FY26 PAT was INR 416 crores, compared to FY25 PAT of INR 322 crores, reflecting a growth of 29.4% year -on-year. The PAT of FY26 includes a dividend from one of the subsidiaries of about INR 76 crores.
H1 FY26 PAT stood at INR 209 crores, compared to H1 PAT of INR 180 crore s, registering a growth of 16.4%. H2 FY26 PAT was INR 207 crores, compared to H2 FY25 PAT of INR 142 crores, a strong growth of 45.9%.
Q4 FY26 PAT came in at INR 122 crores, compared to Q4 FY25 PAT of INR 61 crores, resulting in doubling of profit in this quarter.
Now I would move to the consolidated results :
Consolidated sales on a full -year basis was about INR 5,149 crores in FY26. This marks a growth of 6.5% over the sale of INR 4,833 crores in FY25. It may be noted that the Company has surpassed the mark of INR 5,000 crores in the consolidated revenue this year.
Consolidated growth was driven by Ceramic s segment, which grew from INR 1,160 crores to INR 1,268 crores, marking a growth of 9.3%.
Consolidated Abrasive segment grew by 5.1%, from INR 2,159 crores to INR 2,271 crores.
Consolidated Electrominerals grew by 3.7%, going from INR 1,574 crores to INR 1 ,632 crores.
The muted consolidated Electrominerals growth reflects the higher base in FY25 due to VAW. You will note that VA W was sanctioned in January 2025, so in FY25 VAW had a normal sale of three quarters.
In Q4, FY26 consolidated sales were INR 1,383 crores compared to INR 1,199 crores. This is a growth of 15.4%. Growth in Q4 was driven by Abrasive s which grew by 13.4%, Ceramic s which grew by 18.6%, Electrominerals which grew by 14. 0% over Q4 '25. Compared to Q3 -26 which recorded sales of INR 1,273 crores, sales in Q4 grew by 8.7%.
During the last call, I said the consolidated sales would go by 5.5% to 6.5%. Against this, we have recorded a growth of 6.5%.
Now I will cover the consolidated profit :
Consolidated PBT before exceptions in FY26:
Consolidated profit before exceptional items and taxes stood at INR 416 crores compared to INR 572 crores in the previous year, reflecting a drop of 27.2% year -on-year. The majority of this decline was on account of VAW almost about INR 87 crores, Foskor a lmost about INR 22 crores, Awuko INR 19 crores, Rhodius about INR 46 crores. I will cover these in detail later.

Exceptional items - Foskor and AWUKO:
In FY26, exceptional items amounting to INR 135 crores have been recorded in the consolidated financial s tatement. In FY25, there was an amount of INR 104 crores for the provisions relating to the foreign currency deposit and receivable outside of CUMI Group following the imposition of sanctions in January 2025.
During the financial year, CUMI International Limited, the holding company of Awuko , approved to initiate the closure of Awuko through a voluntary winding -up process under the applicable laws in Germany, consideri

ng the continued underperformance of the subsid iary with
the mounting loss es and its inability to turn around in view of the prevailing market conditions. So, exceptional items relating to this closure amounts to INR 119 crores.
Foskor Zirconia (Pty) Limited is a subsidiary of CUMI International Limited. CUMI holds 51% stake in Foskor Zirconia indirectly . Foskor Zirconia has not been able to achieve sustainable profits since 2013, despite several strategic and operational restructuring initiatives undertaken in the past. Further, the escalation in electricity and other input costs in South Africa, coupled with the intensifying global competition and foreign exchange fluctuations, has rendered the

business commercially unviable. Turnaround initiatives have been adversely impacted by the prevailing market conditions, marking the continuation of operations unsustainable.
Accordingly, the Board of Foskor Zirconia , based on the recommendations of the management, has concluded that it is not in a position to continue the operations and there is no realistic alternative and will be se eking requisite approvals in this process. Accordingly, the consolidated FY26 financials include the impact of INR 16 crores relating to the write -down of various assets to the reali sable value.
I will cover the profit before interest and tax :
Standalone P BIT:
At standalone level, the business reported a total PBIT of INR 525 crores in FY26 as compared to INR 425 crores in FY25, reflecting a strong growth of 23.4%. Segment results of INR 491 crores in FY26 is marginally higher than the results of INR 489 crores in FY25.
At segment level, Electro minerals delivered a strong performance, increasing from INR 63 crores to INR 82 crores, registering a robust growth of 31.1%.
Abrasive PBIT was INR 195 crores in FY26 compared to INR 193 crores in FY25, registering a marginal growth of about 0.9%.

Ceramics declined from INR 233 crores to INR 214 crores, reflecting a drop of 8%. We will cover this later in the call.
Consolidated PBIT:
Consolidated PBIT was INR 404 crores in FY26 compared to INR 541 crores in FY25. This marks a decline of 25.3%. The drop is due to VAW, Fos kor, Awuko and Rhodius . As I explained earlier, I will cover this later in detail.
I will go to the segmental performance.
Abrasive segmental performance :
Consolidated Abrasive s recorded a sales of INR 2,271 crores in FY26 as compared to INR 2,159 crores in FY25, registering a growth of 5.1%.
On a quarterly basis, sales of INR 610 crores in Q4 FY26 grew by 13.4% compared to INR 538 crores in Q4 FY25.
On a sequential basis, sales grew from INR 569 crores in Q3 FY26 to INR 610 crores in Q4 FY26, reflecting a growth of 7.2%.
Consolidated Abrasive sales growth was driven by growth in the standalone segment, Rhodius Abrasives, Awuko Abrasives , CUMI America and Sterling Abrasive s. During our last call, I communicated a sales growth of 4% to 5% in consolidated Abrasive s we can expect , we are now at a growth of 5.1%.
Now, I will cover standalone Abrasive s:
At standalone level Abrasive s recorded a full year performance of INR 1,270 crores in FY26 , as compared to INR 1,195 crores in FY25 , reflecting a growth of 6.2%.
On a half -yearly basis, H1 -26 stood at INR 594 crores against INR 611 crores in H1 -25, registering a decline of 2.8%. However, in H2 showed a strong recovery, increasing to INR 675 crores from INR 584 crores in H2 FY25, reflecting a growth of 15.6%.
The overall performance improved from INR 594 crores in H1 FY26 to INR 675 crores in H2 FY26, marking a growth of 13.7% sequentially.
Overall, the full year growth was driven by a strong rebound in the second half. You would note that the business faced issues such as inventory correction from the dealer channel, unseasonal rains which delayed construction activity in some markets, tepid

demand in the industrial
segment and a short period of caution in the northern markets following the Pahalgam attack.
We undertook a range of go -to-market initiatives, including market expansion activities such as dealer appointment, new product introduction, branding of established products in newer

geographies, onboarding of key potential OEMs as customers and a host of other initiatives.
Besides this, implementation of GST rate rationali zation and a rebound in festival season demand provided a growth impetus.
I will move to Rhodius Abrasive s.
Rhodius Abrasive s in FY26 was EUR 61 million compared to sales of EUR 67 million in FY25.
This marks a decline of 8.8%. In Q1 FY26 Rhodius made a transition to a new third -party logistics partner , considering the long -term operational efficiencies . This transition resulted in a loss of sal es of about EUR 5 million. We communicated this earlier with you. While operations resumed to normalcy by Q2 FY26, the lost sales in Q1 FY26 could not be regained over the rest of the years.
Overall, I think they delivered sales of EUR 61 million compared to EUR 67 million. We expect

sales in FY27 to grow by 5% in FY27 . The PAT loss in FY26 was EUR 2.6 million compared to EUR 0.2 million in FY25. We expect FY2 7 the PAT to be a very small loss.
Awuko Abrasives:
Awuko recorded a sales of EUR 10.5 million in FY26 compared to sales of EUR 10.1 million in FY25. This is a growth of 4.6% in Euro terms. The loss before exceptional and tax increased from EUR 6.6 million to EUR 7.7 million in FY26. This marks an increase of 15 .8%. Losses were higher in Awuko on account of various factors. Anyhow, we have decided to wind down the Company as following the legal process as given by the respective countries.
Abrasive PBIT in the standalone Abrasive s FY26 recorded a marginal growth of 0.9% year - over-year. Looking at the half -year dynamics, there was a strong sequential recovery with the H2 FY26 growing by approximately 31.3% over H1 -26. While there was a significant gain in the momentum over H2 due to reasons explained earlier, the i mpact of lower volumes in H1 and the resultant lower cost absorption offset the profitability gains in H2.
The standalone PBIT margin percentage decreased from 16.1% in FY25 to 15.3% in FY26, and 81 bps drop. This decline was mostly on account of the lower volume in H1 FY26.
At the consolidated level, PBIT margin dropped by 36.2% going from INR 151 crores in FY25 to INR 97 crores in FY26 . Higher losses at Rhodius, Awuko contributed to this decline.
RHODIUS Lost INR 45 crores versus nearly INR 0.44 crores in FY25 and Awuko INR 75 crores of loss versus INR 58 crores of loss last year.
At the consolidated level, PBIT percentage of Abrasive s segment dropped from 7 .0% to 4.3%.
During the last call, I said PBIT margin of Abrasive would be 4% to 4.5%. We are now at 4.3%.

EMD segmental performance :
Consolidated Electrominerals :
Consolidated Electrominerals recorded sales of INR 1,632 crores in FY26 compared to sales of INR 1,574 crores in FY25. This marks a growth of 3.7%. The growth at consolidated level is entirely on account of lower sales at VAW Russia, which declined by 22% in INR terms in the Electrominerals segment.
VAW Russia :
In rouble terms, VAW recorded sales of almost 6 billion rouble s compared to 9.4 billion rouble s in FY25. This marks a decline of 35.3%. Sales in Abrasive s segment in VAW was about 14% lower compared to FY25. Sales in Ceramic s segment was lower by 31% compared to FY25.
Profit before exceptional items and tax of the entity declined from 1.7 billion in FY25 to rouble 617 million in FY26. Lower sales and profits are on account of the sanctions imposed by the USA, despite the volume being considerably lower, the business continues to be profitable at its current lev

el of operation.
Standalone Electrominerals:
Stand alone Electrominerals recorded a full year performance of INR 906 crores in FY26 as compared to INR 815 crores in FY25, reflecting a strong growth of 11.1%. On a half -yearly basis, H1 -26 stood at INR 425 crores against INR 399 crores in H1 -25, registering a growth of 6.5%. H2 FY26 increased to INR 481 crores from INR 416 crores in H2FY 25, reflecting a stronger growth of 15.5%. Sequentially, the performance improved from INR 425 crores to INR 481 crores, with a growth of 13.2%.
Overall, the full year growth was driven by stronger growth in exports. Exports grew by 100% from FY25 to FY26 and currently contribute to little over 33% of the total sales, compared to 11% of the sales in FY25.
Exports were driven by leveraging business existing relationships with many global OEMs across Abrasive s and Refractories . Introduction of treated grains, coupled with anti -dumping duties against Chinese grains by EU, all helped to achieve this.
Foskor Zirconia (Pty) Limited:
Sales at Foskor Zirconia recorded ZAR 46 1 million compared to ZAR 415 million in FY25. This marks a growth of 11.2 % in RAND terms. The loss after tax without exceptional effect increase d from ZAR 27 million in FY25 to ZAR 77 million in FY26. In ZAR terms, loss before exceptional items and tax increased from ZAR 37 million in FY 25 to ZAR 77 million in FY26. The volatility in Zircon Sand price, drop in Z AR 450 price and an appreciation of the RAND against the US dollar impacted the bottom line and hence the losses increased.

So, we decided to find that this is not viable anymore to continue.
Electromineral s PBIT :
Consolidated PBIT on a full year basis, recorded INR 91 crores in FY26 compared to INR 177

crores in FY25. A majority of this drop was on account of the sales drop due to sanctions at VAW and on account of the higher losses at Foskor Zirconia .

Stand alone Electrominerals PBIT grew by 31.1% in FY26, at INR 82 crores compared to INR 63 crores in FY25 . During the last call, I gave a guidance of 1% to 2% of the sales growth in consolidated Electro minerals , we are at 3.7% now. In the last call, I said PBIT margin could be 4.5% to 5.5%. We are at about 5.6%.

Consolidated Ceramic s:

Consolidated Ceramic sales a full year was INR 1,268 crores compared to sales of INR 1,160 crores in FY25, which marks a growth of 9.3%. Growth was driven by standalone business, which grew from INR 939 crores to INR 1,000 crores in FY26.

I will cover in detail the Ceramics .

Our Ceramics segment consists of Industrial Ceramics , which is 5 7% of the Ceramics segment, and refractors, which is 43% of the Ceramics segment. Industrial Ceramics full-year sales stood at INR 569 crores in FY26 compared to INR 528 crores in FY25, reflecting a growth of 7.8%. Sales in H2 grew by about 10.7%. Industri al Ceramics is broadly divided into three segments, wear Ceramics, Engineering Ceramics, and M etallized Ceramics . Wear Ceramics, which constitute roughly 30% of the business, offers w ear resistance products and engineering Ceramics , which constitutes about roughly, again, one -third of the business, as a suite of customi sed Engineering Ceramics , such as C-channels, spark plugs, rings, x -ray, image - intensified tubes, etc. Metallized cylinders are used in vacuum interrupters in the power transmission distribut ion industry that constitute s another one -third of the business.

Standalone Wear Ceramic business, which de -grew by 9%, sells to three broad geographical segments. It sells products to CUMI Australia, CUMI America and CUMI India. While Australia grew by ro ughly about 13%, India also grew well by 12%. The export s to America de -grew by 40%.

Within the w ear protection business, sales in Australian subsid iary grew by 13%, driven by strong orders with the OEMs.

Domestic business g

rew by 12%. Engineering Ceramics segment grew by 30%, driven by the SOFC segment, which is seeing a strong demand in the AI -driven data center segment.

Metallized Cylinder business grew by 9%. This segment, which typically grows about 14%, was impacted by a production -related challenge t hat cropped up in H1 but got addressed by Q4. This was resolved by Q4. Operations are back to normal. Hence, there is a fall in growth to 9%.

I will cover Refractories now:

Full year Refractories consist of two broad segments, Refractories and Anti-Corrosi ve products. Refractories constitute 77%, Anti-Corrosive s constitute 23%. Full year Segment al stood at INR 437 crores compared to INR 418 crores, reflecting a growth of 4.7%. The Refractory business dropped by 4.3% in H1FY26 compared to H1 FY25. This was aided by strong return of deferred projects, especially in the glass segment.

Orders in Anti-Corrosive s and Structural Composite business have been well sustained over the year. They grew very well in the last year. Sales driven by a fertili ser industry in structural composite business demand was strong in various sectors. During the last call, we gave a sales growth of 13% to 14% in Ceramics . We achieved 9.3% growth in Ceramics .

We will move to CAPEX :

Consolidated CAPEX was INR 309 crores, of which standalone constituted INR 235 crores. We communicated CAPEX estimate of INR 350 crores during our last calls.

I will provide a brief about what CAPEX we did last year :

In H1 FY26, we commissioned the first module of an exclusive facili ty for the manufacturing of advanced components for semiconductor wafer fabrication equipment with a CAPEX outlay of INR 66 crores. The facility comprises of an end -to-end capability from preparation of high purity powders to precision machining and cleani ng will cater key global OEMs .

Serial supplies of qualified products will commence in FY27, with the line utili sation gradually improving. Further expansions in line with the development roadmap and long -term strategy is very much th ere. In the first year of serial production in FY26, the focus would be on assimilating technologies and establishing a stronger system. A gradual ramp -up in FY27, the focu s supplies to the key customer will be on.

In aerospace and defence segment, we have commissioned a new facility with an outlay of INR 49 crores to produce advanced Ceramics for ballistic protection of vehicle and personnel. The business is expected to scale up high in 2030 gradually. Further ramping up will happen around that time. In this segment, we have secured STANAG 4 qualification of vehicle armor and for personnel protection of Ceramic qualified BIS Threat Level 5 and 6, equivalent to NIJ 3 Plus and 4 levels. We are awaiting SCOMET approval, which will enabl e us to expand the business.

The next major program is the upgradation of the existing white fuse alumina furnace from 2

MVA to 4.5 MVA, which will increase the existing capacities substantially. CAPEX outlay for this is about INR 53 crores, including the installation of 110 kV substation to meet the future

power requirements of the plant. The incremental capacity will have a maximum revenue potential of 95 crores for the full utili sation.
We have increased the treatment facility as well. This is a CAPEX outlay of INR 30 crores. This CAPEX is a maximum potential revenue of about INR 120 crores.
Additionally, pilot facility was established for the manufacturing of Ceramic powders for Solid Oxide Fuel Cells . The facility will leverage the technology tie -up we have with CGCRI. During the year, the business also entered into an agreement with the leading industry expert for the transfer of technology towards manufacturing of aluminum nitrate and silicon nitrate powders.
The next major growth project is the commis

sioning of thin wheel capacity at Hosur using the
assets that we bought from DRONCO . The total CAPEX outlay is INR 83 crores and can produce 46 million thin wheels with a peak revenue of about INR 120 crores.
FCF :
Free cash flow on a full -year basis at a c onsolidated level is 56.6% to PAT compared to last year's 16.1%. On a standalone level, the FCF to PAT was 46.5% compared to 14% last year.
The debt-equity ratio is 0.08.
Now I will go to the guidance :
At the consolidated level, we expect the sales to grow approximately 4 % to 4.5 % in FY27. However, if we exclude the revenue contributed from Foskor Zirconia and CUMI Awuko , which accounts to INR 343 crores in FY26 sales, and compare it with our business plan, comparable growth will be 11 % to 12 %. Consolidated Abrasive sales are expected to grow by 5.5 % to 6%. However, if we exclude the revenue from Awuko , which is about INR 108 crores in FY26, sales growth will be 11 % to 12 %.
Consolidated Ceramic growth is expected to be in the range of 15 % to 15.5 %. Consolidated Electrominerals sales are expected to decline by 6.5 % to 7% on account of the closure of Foskor Zirconia , which accounted for INR 235 crores in FY26. However, if we exclude the revenue contribution from Foskor Zirconia in FY26 and compare it with what we are planning to do in FY27, the growth would be 8 % to 9%.
Consolidated Abrasive s margins are expected to be around 9.5 % to 10 %. The reported margin in FY26 is 4.3 %. However, if we exclude Awuko losses, the comparable margin % for FY26 would be 7.9 %. So, basically, it will grow from 7.9 % to 9.5 to 10 %. Consolidated Ceramic s margin would be 20.5 % to 21 %. The reported margin is 20.2 %. Consolidated Electrominerals margin could be 9 % to 9.5 %. In FY26, the reported margin is 5.6 %. However, i f we exclude the loss of Foskor Zirconia and compare it, the FY26 margin would be 9.1 %. So, basically, from 9.1, it would be 9. 0% to 9.5 %. We expect to do a CAPEX of about INR 400 crores in FY27.
The key CAPEX program for FY26 includes expansion of Advanced Ceramics for power electronics, including substrate, metallized tubes, rings, braced assemblies, expansion of Brown -

Fused Alumina , addition of an integrated furnace facility for thermal spray powders and Zirconia furnace and grain processing facil ity.
We also intend to do 110 kV substation and tunnel kiln for Refractories . These are the major projects which should account for about INR 400 crores of CAPEX .
Now, I would quickly cover our Aspiration 2030 :
The Company launched its Aspiration 2030 in FY26 is the first year. The aspiration is built on seven key building blocks :
■ Building a high -performance organi sation
■ Ambitious growth for the current businesses
■ Focusing on innovation
■ Exploring new opportunities for growth
■ Achieving manufacturing exc ellence
■ Strengthening sales and marketing excellence
■ Supporting all this through digital and ESG initiatives.
Progress is regularly tracked through structured reviews involving teams across the business.
In the abrasive business, the Company has a clear ma rket strategy across the segments and it's expanding dealer networks, strengthening relationships with existing partners. The focus is also gaining the new customers and increasing business with the current ones. The Company is strengthening its presence i n the areas where it currently has low presence.
It has also grown its sourcing of business and has set up a new vertical for this, a clear roadmap for the new products to be introduced with the well -supported investment in R&D team and

capability and process building in R&D team.
The thin -wheel capacity based on assets acquired through DRONCO has been discussed earlier to stay competitive against the low -priced products, especially from China. The Company has launched a cost optimi

sation program, a cross significant SKUs, and strengthened the
coordination between sales, product development and quality teams using digital tools.
In the Electrominerals business, the capacity is being expanded by upgrading furnaces. The Company is also increasing its capaci ty in value -added products in alumina and diversifying raw material sourcing. Exports are a key priority and already form a significant share of the business.
Electrominerals, I would like you to look at it in three broad categories :
Core :
Our range of fused alumina products including BFA, WFA and silicon carbide products constitute our core product portfolio. We have expansion plans in both WFA and BFA. While

the core products will continue to form the bulk of our product basket, its share is expected t o current level of 85%. It will come down to 55% to 60% by 2030 as other product categories would scale up.
Treated products :
Treated products which include products that undergo heat treatment and coating are relatively high performing in nature. As discussed earlier, we are undertaking a related CAPEX initiative in this area. We aim to increase the share of treated -grains from 5 % to 6% at the current level, nearly 20 % by 2030.
Specialty products :
The business currently manufactures alumina Zirconi a products catering to applications in Abrasive , Refractories , metal matrix, composites and related industries. We also produce some zircon mullite grains. We have expansion plans for both alumina Zirconia as well as Zirm ul. In addition, as part of the L TS initiative, we plan to start production of calci a-stabili sed Zirconia and monoclinic Zirconia . Collectively, this suite of Zirconia -based products will form specialty products portfolio, whose share is expected to increase from 8 % currently to 18 % to 20 % by 2030.
Transformational products :
At the same time, the Company is investing in new technologies and products such as SOFC powders and Nitrides , which are expected to drive future growth. In FY26, we have commissioned a pilot lab facility with a spray py rolysis technology to prepare powders for SOFC and SOEC cathodes. This was done based on the technology transfer from CGCRI. Going forward, we will focus on capacity creation and securing anchor customers. There has been good progress on Nitrides side as w ell, with a leading technology consultant being onboarded in this year.
Apart from this, the business has achieved 5N purity on HPSiC and will be working on securing customers for the same over FY27. The technology route for 6N Purity of HPSiC has also been initiated and the business is currently working on a pilot scale manufacturing facility for the same.
Besides this, we are working on establishing applications for graph ene in bioplastics, coating, concrete and rubber. All these areas, such as thermal spray powders, electrolytes or Ceramic powders for SOFC, SOE C, Nitrides , HPSiC graphene are collectively called transformational products. We expect transformational products to contribute around 10% by 2030 compared to the current level, practi cally very little.
Growth in this segment is expected to be gradual as these are advanced materials catering to the emerging sector. We believe we need to create a good base in the transformational product in the aspiration period and create a new leg of g rowth beyond 2030.

Ceramics :
When we come to Industrial Ceramics segment, we can view it as core and emerging businesses where metallized cylinders for vacuum interrupters, engineering Ceramics for diverse applications would fall under the core business.
Emerging business encompass components for semiconductor wafer fab equipment, aerospace and defence electronic substrates.
In the core segment, the business plan is to increase metallized cylinder capacity

substantially
from the current level. Additionally , the business would expand production facility to meet the growing demand in SOFC segment.

In the emerging segment, the Company is entering into high growth areas like semiconductors through newly commissioned plant s which manufacture components that go i nto wafer fab equipment. Products have been approved by key customers for serial production. Work is also underway to build capabilities in advanced electronic components through global major tech partners.
Additionally, the business is entering to Active Metal Brazed (AMB) and Direct Bonded Copper (DBC), AMB products and DBC products, substrates and brazed assemblies for power electronics. A qualification program has been drawn and both these critical product segments and prototype development submission w ill be completed this year.
In the Refractory business, the growth will be based on both fired and monolithic businesses . The fired Refractory portion of the business, we are increasing the capacity by 75%. Additional capacity will focus on mullite , high alumina and IFB bricks, PC PF shapes for application in glass, Petrochem , super alloys and Ceramics . We are also progressing on our plans to increase our monolithic capacities. We will gradually ramp up our capacity in the composites business as well in car bon bricks, floor coating, and advanced structural composites.
While we do this host of initiatives at the business, we have also done good work in terms of the support functions. CUMI 's manufacturing excellence program which works on integrated manufactur ing excellence framework, improvements in quality, cost, delivery and operational efficiency across businesses. This program has delivered its intended cost savings in the first year through automation , digitally enabled QAQC and throughput improvement in key assets beyond savings , IMEX focuses on institutionali sing a culture of manufacturing excellence and the support of manufacturing excellence academy which runs the program for both management and non -management staff. The Company is also strengthening s ales capabilities through CRM implementation and the sales excellence academy which aims to drive more data -backed approach to sales.
Digital initiatives are further enhancing the manufacturing and planning systems, including the rollout of manufacturing execution system, MES, across identified plans and implement the S&OP software.

Safety and sustainability remain central to the company's long -term strategy through a structured EHS excellence framework. The Company is advancing its goal to Net Zero Emissi on, water positivity and improved material circularity.
FY 2030 targets include :
Increasing renewable energy use to 50%, reducing emission intensity by 25% and lowering energy intensity by 20% from FY2025 levels. Progress is supported by renewable energy adoption, cleaner fuels, waste heat recovery, energy efficiency initiatives. The Company has also made significant progress in zero harm journey recording a substantial reduction in LTIFR through risk management and behavio ural safety programs.
People capab ility development remains a key enabler of growth under a program called FAC eD to perform. The framework consists of focus on the factory, which is the first major initiative, acquisition of talent, rewarding career path, employee experience and developmen t of talent. We aim to do a high -performance organi sation relationship development initiative, include s the next 100 programs or helping build a strong future -ready talent pipeline.
Alongside this, the Company is driving cultural transformation through BEFAST behavio urs, bold and timely decision -making, embracing change with a solution -driven mindset, fairness to all stakeholders, accountability in decision -making and standing up for each other.
I would like t

o summari se that we continue to drive the focus ed execution across functions with multiple initiatives. The progress achieved in the first year of execution is really giving us confidence.
We have delivered the top line as well as the bottom line as per our internal targets and the progress from the fu nctional level also has gone well.
With this, I would like to open up for Q&A. I know it is a long opening remark, but I thought it is needed. We would have 45 minutes of Q&A.
Moderator: Thank you very much. Ladies and gentlemen, we will now begin with the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The first question is from the line of Jonas B hutta from Aditya Birla Mutual Fund. Please go ahead.
Jonas Bhutta: Good morning sir and thank you for the opportunity. Firstly, I just want to congratulate the management on taking a timely decision on the divestiture of an Awuko . I had two questions, both relating to your high growth or emerging segments. Firstly, if you can touch upon the SOFC segment, there we have seen the client place some very large orders on another vendor in India, provides line of sight right up till Calendar Year ‘29 and in fact 2030 as well. In your ca se, if you can give us the lay of the land in terms of how has that business for you grown? What is

your wallet share? Are you one of the many vendors for those Ceramic parts? Do you see any disruption in the technology that leads to lower adoption of Cera mics in that thing? Can this

business become like a 10 % to 12 % portion of your sales, maybe three or four years down the line? That's the first question.

Sridharan Rangarajan: Thank you. First of all, we feel that we are a very important shareholder of the particular segment that we serve to the SOFC segment. We believe that we have a vision at least going up to the next year and there's a line of sight the management provides, the customer provides going up to say 2028 like that. The customer also is growi ng well, so we have to build the capacities using that as a clue, plus the intermediary guidelines that they always give for the next one year. This is how we are looking at and we feel that given what the customer is embarked upon and the kind of growth t hat they are facing, we feel a very strong growth possibility in this segment. We have grown well last year and we expect to grow well in the coming years as well.

Jonas Bhutta: What would your wallet share with the client be?

Sridharan Rangarajan: We woul dn't like to share such details at this call. As I said, we feel that we are an important supplier to the customer.

Jonas Bhutta: Any guidelines on how big can this business be three years out for you? Not a number, but at least as a per centage , can it be meaningful in terms of like 10% or greater than 10%?

Sridharan Rangarajan: Definitely, it will be a meaningful share that we will have. As we said, the Engineered segment itself is currently one -third of the business that substantially it would grow up is our belief.

Jonas Bhutta: Thank you. The second question was on the new CAPEX that you have done for one of the OEMs . If you can delve a bit on what exactly will that help you get , where is this product used particularly? I think if I got the number right, you did about INR 60 crores to INR 70 crores of CAPEX for that. Where does it take you? Is it predominantly first to get the first articles out and get the pre -qualification and post, which will require a further CAPEX , if you can give a timeline to that? That's my final question.

Sridharan Rangarajan: We have crossed the qualification stage on a set of products and this is an initial investment. As I said, we expect that this investment could go at least 3x to 4x higher a nd we are geared for that. We also expect the reve

nue potential also is substantial in this industry.

Jonas Bhutta: Got it. I will take this offline. Thank you.

Moderator: Thank you. Next question is from the land of Harshit Patel from Equ irus Securities. Please go ahead.

Harshit Patel: Thank you very much for the opportunity. Firstly, on Abrasive , China has removed the export rebate on Abrasive products from 9% to 0% effective from April onwards. Has the domestic market pricing improved because of this or we have been able to garner a little bit better market share in the last one or two months?

Sridharan Rangarajan: It's a very recent phenomenon at this point in time. A lot of people will have inventory through the imported materials, all that is happening , but we believe that this is good for the domestic industry and it will help us to grow. Of course, the growth in H2 is about 15% is very encouraging. A lot of that could be due to this factor as well. But I think overall, we see a rebound and our work in terms of all the areas, whether it is GTM initiatives, new products that we introduce, bringing cost down of our products, all these combined effort s of our strategy is playing out. This we have been doing over the last 18 to 24 months is now playing out.

Harshit Patel: Understood. Just a follow up to that, given that we posted such a strong growth in the 4th Quarter , if you could explain your growth in terms of how industrial market did, how precision did, how retail Abrasive s did and what would be the outlook on these three sub -segments going ahead?

Sridharan Rangarajan: I think I gave a broad outlook in terms of the segmental sales what we are looking at. But we feel that standalone, we grew 6.2% this year. We believe that we can grow in the range of about 12% next year.

Harshit Patel: Understood. My second question is on standalone Electrominerals . What has been the contribution of volumes and higher pricing in the 22% YOY growth that we posted for 4th Quarter ? And even the full year growth at 11% was reasonably healthy. Also, you could comment on the Chinese import intensity, whether it has increased or decreased in recent times in that Electrominerals business based out of India.

Sridharan Rangarajan: So, the Chinese intensity continues to be there. There is no kind of coming down of it. But we started focusing more on the treated products, export segments and that is the focus that we are looking at and that gave us this growth that we posted in the full year as well as in Q4. The predominant growth h as come from volume. Price is probably you can treat it as flat, some small percentage.

Harshit Patel: Understood, sir. Thank you very much for answering my questions. I will come back in the

queue .
Sridharan Rangarajan: Right. Thank you.
Moderator: Thank you. Next question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.
Ravi Swaminathan: Hi, sir. Thanks for taking my question. My first question is with respect to the Vision 2030, any revenue target or growth target that we h ave and any margin target that we have for this?
Sridharan Rangarajan: Ravi Swaminathan, thank you for asking this question. We have not been sharing guidance. We have started sharing only one -year guidance and also giving a program that what we are lookin g at going for the Aspiration 2030 . We believe that it would energi se and bring growth substantially from now onwards and we have kind of addressed some of the issues that we are facing in terms of loss -making subsidiaries , so we should see a rebound.

Ravi Swaminathan: Got it, sir and with respect to the Ceramics and Refractories business, if you can once again highlight, you had mentioned numbers in terms of bifurcation between Ceramics and Refractories . If you can call it out once again and what kind of g rowt

h that we should think of in each of these individual subsegments if you can give that would be great ?
Sridharan Rangarajan: I think I gave an elaborate one, but I will just give a broad outlook to you that we feel that 57% of the Ceramic s is Industrial Ceramic and 43% is the Refractory business. The growth overall in the Ceramic s segment that we are looking at this year we achieved 6.5%. We expect next year would be in the range of about 14%. I am not sharing the individual data of the Refract ory and the Industrial Ceramics , but they would broadly form part of around this range, 14%.
Ravi Swaminathan: Understood, sir. Yes, thanks a lot.
Sridharan Rangarajan: Thank you.
Moderator: Thank you. Next question is from the line of Amit from PL Capital. Please go ahead.
Amit: Hi, sir. Thanks for taking my question. Just wanted to understand how has been the exports across the segments. I think you mentioned something 11 to 33%. I missed that so if possible for you to give us some colour in terms of exports within Ceramics and Abrasive s and what is the kind of outlook there?
Sridharan Rangarajan: I shared the export share of Electrominerals business, which I had said that we have reached a 33% share in the current business, over INR 300 crores of export in Electrominerals business. That's what I shared.
Amit: Right. How has been the export in Ceramics and Abrasive s, which we can get the break up of and what's the outlook there also?
Sridharan Rangarajan: The biggest portion of the Cera mics , over 80% of the business is all exports, and that is doing fine. That basically whatever is the growth that I talked about on Industrial Ceramics predominantly comes from those areas. Abrasive, a very small portion of the Abrasive business is the exp ort. Less than 10% is the export.
Amit: Understood, sir. My second question is on Rhodius . I think you guided about 5% top-line growth and kind of breakeven or some very small loss. So, what exactly are we factoring in. The growth seems to be still kind of mid -single digit, but we are expecting breakeven. So, where exactly improvements will happen? And if you could elaborate more in terms of how business volumes are happening in Rhodius and what will lead to the turnaround th is year?
Sridharan Rangarajan: So, if you see the last year, the big reason for the drop in is last year, we had almost EUR 5 million impact in terms of the logistics change and that really affected the top -line change. And we feel that they have been grow ing in the range of about 6% to 7% and we feel that that growth should happen and second is that because of this loss of sale as well as the margin impact due to this loss of sale, along with the logistics costs on the shift, these things would come down, and

hence we feel that we should get back to a small loss or a breakeven. The third reason is that we are also now working on a program with the Rhodius team in terms of how do we accelerate the profitability as a special program. So, these are the reasons why we think that we should get here.
Amit: Understood sir. Thank you. Thank you, sir.
Sridharan Rangarajan: Thank you.
Moderator: Thank you. The next question is from the line of Harshit Patel. Please go ahead. There is no response on the line of Harshit Patel. The next question is on the line of Akshay Thakur from Helios Capital Management. Please go ahead.
Akshay Thakur: Hi, sir. Thank you for such an elaborate call. So, my question is pertaining to the stationary armo ur within your defence and also CFR P products for aerospace. So, currently, there is a lot of ecosystem s being developed for aerospace and for aeronautics and for this defence as well. Almost 100% of that would be imported. So, how do you see this? Like, in terms of

commerciali sation, where are we placed? Are the certifications right? Are we negotiat

ing with
the OEMs or where are we placed on that?
Sridharan Rangarajan: So, I think you kind of very clearly described this. So, step one is to have the certifications in place, which we are defi nitely doing it. I described the certifications that we already got. So, pretty much, we are in good shape as far as certification is concerned. We are working with a few anchor customers at this stage. We also have the ability to work with them because th ey would be the front -ending in terms of what they would finally supply. We are only a product supplier to this case. So, hence, this is how we are planning to move in this model.
Akshay Thakur: Thank you, sir. That was helpful. My second question is, it's been a long time that we are facing the war situation in Russian subsidiary. So, all this time, are we able to figure out any alternative strategy? India also imports a lot of silicon carbide. So, are there any alternative strategies? What type of lower r ealisation would SIC get in other economies?
Sridharan Rangarajan: Honestly, it's difficult to create a capacity and the cost would be pretty high. So, it's going to be very difficult to recreate anything like that. But at the same time, Russia is not in a position to export products, which is what we are currently going through. So, practically, we need to wait for the sanctions to be lifted, which gives us an ability to go beyond Russia. So, at this stage, we don't have an alternate solution for this.
Akshay Thakur: Thank you, sir. One more question. Can you just throw some light on the subsidiary you have, PLUSS ? How is it doing?
Sridharan Rangarajan: PLUSS is doing fine.
Akshay Thakur: In terms of profitability?

Sridharan Rangarajan: Yes, they made profi t and it's a very small profit. They are doing fine.
Akshay Thakur: Okay. Thank you, sir. That was good.
Sridharan Rangarajan: Yes.
Moderator: Thank you. Thank you. The next question is from the line of Chintan from Pico Capital Private Limited. Please go ahead.
Chintan: Thank you so much for taking my question. So, sir, one of the questions that I had was that, as you said, the Ceramics business is around 80% exports for us and most of our peers will be global and they spend a lot on R&D. So, how do you see our business and our R&D evolve over the next few years? And what are the key areas that we will be focusing on?
Sridharan Rangarajan: Yes, I think that's a great question. We spend roughly about 1% as R&D and I think this needs to go up and we expect that we should at least start spending 2% to 3% level. We are working in terms of strengthening our R&D team across individual Bus and we are also strengthening the new product development process, coupled with so ftware -enabled process so that we kind of make sure that we do the right thing in terms of the new product, getting the right input from the market, customers and the users. So, all these factors are now being put part of this R&D process. So, strengthenin g the R&D, building the capability and putting process, we need to accelerate the spend both in terms of CAPEX as well as in terms of OPEX.
Chintan: All right, sir nd the second question I had was more on the Ceramics side. So, basically, a lot of applicat ions in EV require Ceramics . So, are we working on any products or programs with any OEMs or Tier -1s where our Ceramics are getting used on the EV space? And how do you see it evolving over the next three to five years, basically?
Sridharan Rangarajan: Yes, we do work. I think this is part of the Engineered Ceramics that I described and that's why we feel quite upbeat in terms of that segment's growth. So, we are working with Tier-1 suppliers to OEMs. That is how our role would be and definitely we are d oing that.
Chintan: And how do you see it evolving, maybe, sir? I mean, would it b

e a substantial part of our
revenues? What are the key focus areas, if you could just elaborate on that?
Sridharan Rangarajan: So, Engineered Ceramics will be a key focus are a for us, which would bring a substantial share of our business, which consists of areas like what you talked about in terms of SOFC, EVs, as well as rings. It also consists of image -intensified tubes. All these products groups would fall under that and we feel that the growth rate would be substantial and we also feel that the share of business will go up, and that is how we are creating this capacity. We are also trying to create, as I said, that Ceramic Substrate capacity for electronics is what we are c reating. We are working on that. Technology transfer agreement is done. Now, the capacity augmentation would happen in FY27 on that.
Chintan: All right, sir. Thank you so much for taking my questions. Thank you.

Moderator: The next question is on the line of Preet Jain from Nivesh Investment Advisors. Please go ahead.

Preet Jain: Thank you, sir, for taking my questions. Congratulations on a good set of numbers. Sir, my first question is on the semiconductor side. The semiconductor opportunity seems to be a massive long-term driver. So, can you read between structural Ceramics for fab equipment and HPSiC for vapors? And could you map out the current qualification cycle timeline with global OEM? And given the strict purity requirements, when do you expect this segment to cross the threshold into material revenue generation for us?

Sridharan Rangarajan: A lot of loaded comments and you are asking the right question. Particularly on this Ceramic for the wafer fab equipment, in the case that we have built the capa city, the material qualification process is pretty long. It will take about four to six years. We have crossed that and that is how we have created the capacity at this stage. We have samples tested. The development phase is completed and now we will start supplying to them. The serial production will start. So, you are right. It takes a long time and that is how we took a long time to get here. We will now complete Phase -1 and then expand to Phase -2 quickly.

Preet Jain: And when can we expect material reve nue generation from that?

Sridharan Rangarajan: 2029 onwards, we can expect. Okay.

Preet Jain: And my second question is, given the massive power distribution and big infrastructure CAPEX happening domestically, how quickly we can de -bottleneck our curre nt metallized capacity? And furthermore, are we seeing traction in penetrating the export market to compete against Japanese players like Kyocera and NGK?

Sridharan Rangarajan: In fact, our metallized cylinder, the biggest portion is only exports. So, definitely we are competing with the names that you are mentioning and we are doing it well and expansion would happen in the next 18 months, 24 months in a phased manner. It consists of three phases, but it could happen in that fashion.

Preet Jain: So, do we have the capacity till 1.5 years next to supply this metallized cylinder?

Sridharan Rangarajan: Yes, definitely. We are one of the number two worldwide player in this field and we feel that we have headroom. Plus, we are also de -bottlenecking and creating the new capacities.

Preet Jain: Okay. And sir, another question is, you are supplying to one of the largest SOFC manufacturers in the world. So, basically, our current reali sation, according to our revenue, sits at 13 to 15 lakhs per megawatt of deployed . And given that SOFC manufacturer has expanded its capacity from 1 gigawatt to 2 gigawatt, can I get to know what are your revenue e stimations regarding that SOFC product? And given that 5 to 7 year replacement cycle of that SOFC cell, can we also expect revenue from the replacement demand?

Sridharan Rangarajan: I think a lot of that has got

sub -elements of it, you are getting headline information, but we feel that definitely the gigawatts of additions that each of them would add would definitely help us,

our demand also would go up. As I said in the earlier question, we feel that the growth rate in this segment is going to be substanti ally high. We are parallelly gearing up because we are also feeling that we need to work in terms of creating this capacity ahead of time, so which is what we are working on this. I think you are right, step one is to this growth would seem to be going up because of the AI related data center demand , etc. So, definitely, it's a clear sign of growth in that segment and SOFC is a clear market leader in a clean energy segment, which definitely helps us quite a lot.

Preet Jain: If time permits, can I ask one mo re question?

Sridharan Rangarajan: Yes, please.

Preet Jain: Thank you, thank you for giving me the opportunity. So, basically, China has reduced its export rebate in April 2026 from 9 % to 13% on their Abrasives products. So, are we seeing any current traction of Abrasives sales growth volume improving in the current month or in the last month due to this policy?

Sridharan Rangarajan: So, I did comment on this, Preet, a little bit in the earlier question. I think it just happened, we are in the month of May, so a lot of inventory would be there in the system that should get also completed. I feel that definitely it is a good sign, it helps the domestic market to grow faster. We have grown 15% in H2.

Preet Jain: Okay, sir. Thank you, sir.

Moderator: The next question is on the line of Sejal Kapoor from Antifragile Thinking. Please go ahead.

Sejal Kapoor: Yes, thank you for the opportunity. Just a couple of questions on the R&D side of things in the business. What pe rcentage of your recent R&D and innovation projects were deliberately stopped or pivoted or redesigned because customer or market learning invalidated the original assumption? That is my first question.

Sridharan Rangarajan: That is a great question. If I just quickly look around our R&D at 4 BUs, We have not experienced any such program that we stopped or customers request change type of a situation, definitely not. But we have experienced cases where you need to put a particular application, but you require some more work to make sure that the appli cation really is capable of using our product. That type of thing happens.

Sejal Kapoor: Understood. Thank you. So, how will CUMI ensure its investments in silicon carbide, advanced Ceramics and other high -tech materials become high -ROCE scalable businesse s rather than technologically strong but capital -inefficient platforms?
Sridharan Rangarajan: I am not sure I agree to your question. Why would you think it's a capital -inefficient platform?
Sejal Kapoor: No. So, I mean, do you have internal benchmarks? We are doing a lot of advanced R&D in the Annual Reports, w e are almost confidently saying that post -2030, CUMI will emerge as a very

different -looking business because of the initiatives that we are doing across many things. So, I can name maybe the most fu turistic opportunity to my mind is something like semiconductor link materials, EV, but even things like Electrominerals , silicon carbide. We have got most strategic capability around that. Difficulty is also very high. See, ultimately, from an investor perspective, it's about how scalable the business can be and what will be the steady -state ROCE it will generate. The outcome will determine the shareholder wealth creation. So, I was coming from that perspective.
Sridharan Rangarajan: Sure. No, I think these are definitely looked at part of our threshold to evaluate any such opportunity. Clearly, the dimension that you are looking at, market size and opp

ortunity, growth rate and the ROCE that we would get in a steady state , we feel that these areas that we just listed in terms of Ceramics for semiconductors, Ceramic for electronics, high -purity silicon carbide, Ceramics for aerospace and defence , all these areas we feel that are good areas to work on and invest and that's how our program s are on. CUMI is capable of funding itself. If you really look at it, we spent this year INR 310 crores plus CAPEX and we have net zero debt at this point and substantially very good FCF. So, we are able to fund these type of programs and we think that we would spend INR 400 crores next year as well. And a year before, we did spend about INR 250 crores plus.
Sejal Kapoor: Helpful. Thank you so much. That answers all my questions. Thank you. Wish you all the best. Thank you.
Moderator: Thank you, Mr. Kapoor. The next question is from the line of Rachna Kukreja from SI MPL Limited. Please go ahead.
Rachna Kukreja: Thanks for the opportunity. Sir, could you please help me understand the performa nce of our Abrasive business for our JVs like Wendt ? See, the business for Abrasive s there has been declining in terms of growth as well as segmental profit margins. If you could give some color on the Wendt performance, it would be very helpful.
Sridharan Rangarajan: So, Madam, I am afraid I will be able to comment on that. This is another listed company. So, I think I would encourage you to stay in touch with the Management . They would be able to provide that. But I think their shortfalls are coming because of the machine building segments and Super Abrasive is doing fine. I would limit my conversation to this level.
Rachna Kukreja: Okay. Thank you.
Moderator: Thank you. We ta ke the last question from Pravesh Kochar from 4Line Capital. Please go ahead.
Pravesh Kochar: Hi. Thank you for taking the question. First one on Ceramics , I think last call , you mentioned we end up doing 13 %-14% growth in that segment and then the guide for next year also is at 15%-15.5% and we have ended the year at close to 9%. So, just want to understand what is the gap between those two. Second, again on the Ceramic SOFC side, do we supply only the Ceramic Plates , etc., or are we also in the electroly tes for that particular business? Thank you.

Sridharan Rangarajan: Okay. Two great questions. I think why did we miss? I think that is the only area we missed our guideline. It is largely because of deferred projects, which I think is substantially the one -line reason for why did we miss our guideline and why do we think that we can meet 15 is the backlog and the fo recast from our customer gives us that confidence. We are not currently into electrolytes, but you are asking a very deep question. We have the capability because of our Electrominerals business, we have the capability of manufacturing electrolytes. That is the technology we had worked with CGCRI and as I mentioned, we had a small pilot scale plant we established to manufacture that, which is what we just shared in the call as well. So, we have a small capability there. We need to now expand that. At this point in time, it is more a pilot scale.
Pravesh Kochar : On the overall segment, my question was earlier we used to anticipate 16 % to 18 % kind of growth in the Ceramic s segment. So, I was assuming because of the deferred projects, the next couple of years would be in that range, given this year some projects were deferred into next year. So, just trying to understand if structurally there is more competition that you are seeing, or the overall market itself is kind of slowing down?
Sridharan Rangarajan: It is not because of structurally something is changing. I feel that it is more projects, plus a lot of it would depend also on how we do bus iness in America in terms of the Ceramic side of the business. So, t

hese are factors that we have kept in mind when I told the kind of 14 % to 15 %.
Pravesh Kochar: Understood. Thank you so much and all the best. Thank you.
Moderator: Thank you. That was the last question. I would now like to hand the conference over to the management for closing comments.
Sridharan Rangarajan: So, first of all, I thank you all for patiently hearing us. But I just want to summari se. We have done fairly well in FY26. We have addressed all the major issues in terms of loss - making subsidiaries . They alone contributed a loss of over INR 100 crores to INR 120 crores. So, the first year of our five -year journey, we have done fairly well. CUMI has created a good base over the last 24 months for this aspiration. CUMI has made a significant capacity and capability investment in FY26. You see three years, INR 280 crores, INR 310 crores. Next year, we would plan to spend about INR 400 crores. All of them are in capacity or capability building, so that would give strong future revenue growth. CUMI has achieved good free cash flow after meeting all CAPEX investment. It is a good sign and CUMI is net debt -free.
CUMI has drawn a good Aspiration 2030. It is well -resourced, both in capacity and capability. It has built a good, strong execution rhythm. Above all, it has a good leadership and a strong team exhibiting "BEFAST " behavio urs, which consists of bold and timely decision -making, embracing the chan ge with solution -driven mindset, fairness to all stakeholders, accountability in decision -making and execution, and standing up for each other.
So, thank you all for hearing us during this call. I look forward to meeting you in the next call soon.
Carborundum Universal Limited
May 15 , 202 6

Moderato r: Thank you so much, sir. With that, we conclude this conference call. Thank you for joining us. I will now disconnect your lines.